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Q4 FY2023
Earnings Call Transcript

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AS Lakshminarayanan , Managing Director and Chief Executive Officer
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Chirag Jain

Good afternoon, everyone, and welcome to the Tata Communications Earnings Conference Call for Q 4 FY23. We are joined today by our MD and CEO, Mr. Amur Lakshminarayanan and our CFO, Mr. Kabir Ahmed Shakir , and our head for Investor Relations Mr. Rajiv Sharma. The results for the quarter ended 31st March, 2023 have been announced yesterday and the quarterly fact sheet is available on our website.

I trust you would have had the chance to look through the key highlights. We will commence today's call with comments from Lakshmi, who will share his thoughts on the business and long-term outlook, followed by Kabir, who will share his views on the financial progress achieved. At the end of the management's remarks, you will have an opportunity to get your queries addressed. Before we get started, I would like to remind everyone that some of the statements made or discussed on the conference call today may be forward -looking in nature and must be viewed in conjunction with the risk and uncertainties we face. A detailed statement and exp lanation of these risks are included in our annual filings, which you can locate on our website www.tatacommunications.com. The company does not undertake to update the se forward -looking statements publicly.

With that, I would like to invite Lakshmi to share his views. Over to you, Lakshmi.

AS Lakshminarayanan

Thanks Chirag. I welcome you all to Q4 FY23 Earnings Call. We witnessed another healthy quarter reflecting strong growth momentum in our data revenues. For the full year, data revenues are up by 10.3 %, PAT is up 21.2% and ROCE is at 28.3% versus 25.4% in March 2022.

Our results reflect the disciplined execution of our “Reimagine Strategy”, focus on “Deeper with Fewer” and our strategic push on products to platform. Our investments in the overlay or as you may call Digital Platform Services over the last couple of year s combined with our strengths with the underlay positions us uniquely as a Comm Tech player. Our unique strengths are very much noticed by our customer s in our abilities to impact both the cost and revenue side outcomes for them. Our Products to Platforms shift, increased investments in front -end sales, particularly in the international markets, and building new capabilities across the portfolio is reflecting in the growth moment um.

Our Data Revenues grow by 11.2% YoY again this quarter. For FY23, Digital platform and services revenues grew by 15.5%, highest in the last four years. To add more colour to our data growth; we have added INR 1,317 Crores of incremental data revenues in FY23, against an incremental revenue of INR 903 crores in FY21 and FY22 comb ined. Our digital revenues including Incubation are 32% of the total data portfolio and our ambition is that this number should be 50% of the overall data revenue over the next three years. Funnel addition in FY23 was the highest and we recorded more than 50% growth in large deal segment, and we are seeing good traction across India and

International markets.

Before I get into details of the performance for this quarter, I take pleasure in mentioning that Tata Communications was s

elected as the Turnaround Company of the Year by Forbes in March 2023 and that we have once again been recognized as a Leader in the 2023 Gartner® Magic Quadrant ™ for Network Services, Global, thus completing a Decade of Excellence. We further strengthened our DPS portfolio with some new launches this quarter. We launched Jamvee a cloud -based application offering inte grated and simplified voice calling solutions . This strengthens our offering , especially for knowledge and frontline workforce within enterprises and helping enterprises with a secure and compliant setup . Most importantly it helps enterprise customers have greater control over the deployment and management of the unified communication estate.

Let me add with Jamvee we will be able to address 80% of the managed PBX market and the overall market is still

growing in high single digits. The other product we l aunched CloudSIM, a software only SIM primarily addresses on demand connectivity and enables new use cases such as activating private network connectivity for short periods and provisioning connectivity only to devices in active use and allowing enterprise s to decrease the total cost of ownership. This is a significant innovation and we are the only one in the world to have this solution.

Moving to our performance for the fourth quarter of FY23. Our data business remains instrumental to our overall revenue growth moment um. It improved sequentially by 2.2%, coming in at INR 3,670 Crores. Our Digital Platforms and Services revenues stood at 1,080 Crores, registering a healthy growth of 15.9% YoY and 2.3% QoQ. Our Q4 consolidated revenue was INR 4,569 Crores, improving by 7.2% YoY and 0.9% QoQ. EBITDA for the quarter stood at INR 1,034 Crores, while the EBITDA Margin stood at 22.6%. The profit for the quarter was INR 326 Crores.

Let me talk about our margins and the aspects shaping EBITDA trajectory. I want t o re-iterate that we are fundamentally taking the company to a different growth trajectory. I have always said that the double digit revenue growth would take time and investment and this year is a milestone with 10% plus data growth on a full year basis and digital portfolio has grown 21% YoY, highest in last 4 years. This is encouraging and an outcome of the significant investments in people, platforms, IP creation, front end sales and capacity building. We called out to invest in growth and this was plan ned. Our full year EBITDA margins at 24.2% reflects these investments and we are very well in the range of our margin guidance of 23% -25%. There is a reason why we see ourselves as Comm Tech and not a traditional telco as we focus a lot on capital allocati on and ROCEs. Unlike traditional telcos which are at low single digit ROCEs; our full year ROCE of 28.3% is despite investments in growth. We have delivered first -time double -digit PAT margin and highest ever absolute PAT this fiscal. We are staying the co urse and FY24 will continue to be another year of investments particularly in DPS and our ROCE guidance of 25% plus remains intact.

Coming to our core Connectivity business , revenues grew by 7.4% YoY and 1.7% QoQ. We continue to invest in the core capabi lities, thus transforming our networks to be intelligent and working on their programmability to cater to the new market needs particularly on -demand needs.

Let me spend some time talking about our robustly growing Incubation or the connected solutions po rtfolio. The Incubation Portfolio progressed multi -fold growing by 65.3% YoY and 9.4% QoQ. We signed our first “born connected” deal with a leading EV manufacturer and we are very pleased to support their pan Asia scale up. I spoke about CloudSIM launch th is quarter and am h

appy to share that we signed our first deal as well with a large integrated IoT device and board manufacturer with remote controlling and monitoring capabilities for industrial equipment and plants. This will help them to simplify deploy ment and reduce costs. Our MOVE business continues to grow strongly and recorded a YoY growth exceeding 100%. Our IoT Offerings seeing a growth of greater than 90% in revenues for the full year and are gaining momentum in international markets, where we ca ter to both enterprises and smart cities. Being one of the few players with Atex -certified SafePass badge ID solution in India, our solution has gone live for one of India's largest oil & gas players which opens new avenues for growth.

Now, coming to our Digital Platforms & Services portfolio, it has grown at 15.9% YoY and 2.3% QoQ. Our multitude of offerings in the Digital Platforms portfolio are intended to consistently deliver more holistic solutions, stitching multiple products together for our custom ers’ ecosystems. Our digital fabric helps create a robust moat around increasing customer stickiness and insulates us from structural pricing decline seen in the legacy businesses. The most exciting part of the DPS is the strength of this portfolio and sui te of applications helping the enterprises to power their hyperconnected ecosystem. We have a good pipeline in our sales funnel and pipeline of product feature releases and new products in coming months.

Media business revenues were sequentially down 2.3 % and up 19.5% YoY. Sequential decline in revenue is due to lesser number of events this quarter versus previous. This quarter Tata Communications supported enhanced video

workflows for Formula E leveraging its media edge platform giving better quality vi deo feeds leveraging internet based last miles. In FY23 the team has supported over 20,000 events which represents a significant growth and revenues were up 28% YoY for this segment. We would like to update that Switch enterprises the acquisition which

we announced in 3Q, we are expecting all necessary approvals to be in place soon and targeting integration by 1QFY24. Switch will help us gain a strong foothold into the Americas media and entertainment market.

Moving to Cloud, Hosting and Security. This por tfolio registered a growth of 38.5% YoY and 10.1% QoQ. In Q4FY23. Some of the key wins have been with our IZO private cloud and our managed services offerings. From product enhancement perspective we created automation of orchestration for our IZO Private Cloud – Platform as Service offering thus reducing time to provisions within minutes. Additionally enhanced Managed Services reporting dashboard (our Information as service offering) for the solutions deployed on our IZO Private Cloud. Our MSS or security business revenues were up 26.6% YoY. Enterprises continue to see merit in securing network transformation using zero trust architecture and we recently started working with one of Europe's largest automobile manufacturers to help them enable secure remote work for their 35,000 global workers more effectively than VPN, deliver secure & direct connection to applications and provide identical user experience from office or home.

Our Collaboration Portfolio grew by 1.8% YoY and declined by 3.6% QoQ. There hav e been some customer specific issues in layer 1 offerings and hence you see a dip in revenues this quarter. That said we continue to benefit from an increasing customer interest in our newer offerings namely Tata Communications GlobalRapideTM, InstaCC and Tata Communications DIGO. DIGO continues to grow in capability as a Customer Interaction Suite, where it focuses to unify all customer interactions. We are seein

g customer wins in the layer 2/3/4 and our efforts are towards maximising scale.

Coming to ou r Next -Gen connectivity offerings revenues increased by 5% QoQ and 10.5% YoY. The key drivers of growth this quarter have been IZO WAN and IZO Private Connect. Our improved offerings on IZO WAN, both in terms of the wide variety of internet connectivity op tions, and price competitiveness helped us drive growth. Our vision for IZO WAN platform is to be the most comprehensive dependable connectivity platform providing a wide range of variety of internet connectivity options from predictable enhanced internet to broadband, to 4G/5G from premises -to-premises and premises -to-cloud a nd in between cloud as well .

To sum up, as a digital ecosystem enabler, we remain committed to building innovative and scalable platforms to empower enterprises. With that, I would like to invite Kabir to give an overview of our financial performance. Kabir.

Kabir Ahmed Shakir

Thank you, Lakshmi. Good afternoon, everyone. I will take this opportunity to take you all through the highlights of our financial performance for the quarter. Before I dive into Q4 numbers it is important we see how FY23 has fared for us as a whole . We ha ve delivered full-year double -digit data revenue growth; highest ever PAT, highest ever PAT margins, highest ever FCF, and full -year EBITDA margins of 24.2% within our range of 23 -25%. ROCE for the full year at 28.3% and is up 290 bps above last year. PAT is up 21.2% YoY and most importantly FCF generation is up 64% YoY – even if were to include tax refunds, they are up 16%. The effective tax rate for the full year was 14.4% versus 26.1% in the previous fiscal. For the full -year net debt is down by 1,009 cr ores and net debt to EBITDA has improved to 1.3x from 1.6x.

EBITDA to cash conversion has improved from 52% in FY22 to 59% in FY23. Not long ago, this used to be in the 20s. I am happy to share that we have demonstrated a meaningful financial turnaround a nd incrementally our focus will be on creating elbow room and capacity for multiyear growth.

Let me now talk about the 4Q numbers, our Consolidated Revenue for the quarter stood at INR 4,569 Crores, improving by 7.2% YoY and 0.9% on a sequential basis. Da ta revenue for the quarter stood at INR 3,670 Crores, improving by 11.2% YoY and by 2.2% on a quarterly basis. The reported revenue numbers this quarter, like the previous quarter, continue to have certain forex benefits accruing from a strengthening dolla r. Our EBITDA margins for the quarter were at 22.6%. Our PAT margins for this quarter stood at 7.1%. Net debt for the quarter stood at INR

5,711 Crores and net debt to EBITDA is now at 1.3x compared to 1.45x previous quarter. The most notable part is that on back of our strong cash flow generation debt has been consistently coming down. Our cash flow generation continues to be healthy, reporting an FCF of INR 631 Crores this quarter, and INR 2539 Crores for FY23. Cash Capex for the quarter stood at INR 400 Crores, though our approved capex is close to INR 600 Crores, and the gap is attributed to delayed deliveries and better payment terms.

Our consolidated EBITDA margins declined 120 bps this quarter to 22.6%. Let me elaborate here a little more on what La kshmi suggested above on the margin trajectory and the bigger picture. If you look at our ROCE improvement, PAT improvement, and revenue growth they are suggesting that we are fundamentally transforming as a company to operate in a higher growth trajectory , and this needs a very different kind of opex -capex structure to fund growth ambitions. Double -digit data revenue growth over the past three quarters is an outcome of investments w

e made, and this was very much planned. Our strategy around the product -to-platform shift and deeper with fewer demanded investments in sales, the platform builds, and capacity building. Full year DPS revenue growth and digital platform revenue growth are the highest in 4 years giving us the confidence that we are on the right tr ack.

This fiscal, we continue to strengthen our foundations for achieving our growth ambitions, through deepening customer engagements and investing in expanding our global sales and product organizations to address market opportunities. I continue to ho ld that if we have the right proposals from the business to fund customer success, we will stay the course and fund those opportunities and even if that implies margins temporarily going down below 23% for short term we will not hesitate. Having said that we will manage margins dynamically, in instances where revenue growth is delayed costs will be pulled. At the same time, we are focused on levers which will sharpen our moats and help us improve our trajectory in the medium term.

Moving to subsidiaries, we see a steady improvement in TCTS. TCTS revenue improved by 2.6% YoY and 2.7% sequentially, coming at INR 342 Crores. EBITDA for TCTS stood at INR 13 Crores for Q4. We feel confident about TCTS going forward. Our Payment business continues to make positi ve shifts as we expand our portfolio under the Franchise model. Revenue for the quarter came in at INR 46 Crores and an EBITDA of INR 21 Crores. As on date, we have added close to ~3300 Franchise ATMs to our portfolio and are working steadily on increasing this further. The massive uptake of digital payments over the last few years had an impact on the transaction count for the ATMs and long-term growth profile. As such the company has considered an impairment of Rs 322.76 Cr in standalone books of TCL Indi a. Since TCSPL financial losses are consolidated while preparing TCL financials, there is no impact on the TCL consolidated financials.

To sum up our holistic delivery across financial KPIs be it strong FCF generation this quarter and fiscal overall, consistent reduction in net debt, continued improvement in PAT for the year and our ability to fund both organic and in organic growth opportunities is laying path to capture the tailwinds and market opportunities which lie ahead. I will now ask Chirag to open the forum for Q&A.

Chirag Jain

The first question is from the line from Sanjesh Jain from ICICI Securities , you may now ask your question.

Sanjesh Jain

The first question on the Order book fron t, we have added close to 2000 employees. And if I can see most of this employee increase has come in the non-standalone , which, means that the efforts are to drive the non-standalone business, which is generally the international revenues. How is this translati ng into a result ant order book and sales funnel? Overall, if you can give us a color on the order book attrition ? and are there given that what we have heard from the company till now? Looks like there are certain pullbacks from the spend side. Are we concerned with the

stand? How are we looking or what is our interaction with the customer ? We were already sitting on an healthy order book, and we're facing supply chain issues. Now that the supply chain has eased , will it be a fair assumption for us to tell that the execution will pick up so revenue recognition may not get impacted because of all these sentimental things, which is impacting the investment on the digital side of it ?

AS Lakshminarayanan

Yeah, I think there are 2 questions, or probably multiple in that. Let me try to answer. I think on the people front, it's not 2000, as you sai

d, we, we have added 1000 for the year. In terms of those additions have been both in India and international and we are seeing the addition coming to fruition in terms of the revenue acceleration, because of the a dditions that we have made in the front end of sales and marketing. I've been able to reach more customers by building relationships and help us o drive and to build the funnel. In terms of the color of t he order booking in the funnel, I think the, f unnel addition last year has been 1 of the best that we have seen . Our order booking is also good.

We are also seeing what you call a s large deals, which is more than a million, a significant jump in the number of these large deals both in India and internationally. So, these are all I see as good positive signs of our engagement with our customers , relevan ce to our customers and how our platforms are making more of an immediate impact in our customer's businesses, so that's the sort of color .

On an international level, so far, in all our discussions with our customers we haven't seen any pullback . Largely I would view in the current macro environment of international w here people are cautious. A lot of our Portfolios lend themselves to a cost-led transformation and we believe that will make an impact . Overall for the last year , if you look at the overall order booking , over 40% of the order book is for our digital platf orms and solutions. So , the overall color of the order booking and the traction we've been seeing so far is quite good. And that is what we have been saying and you've been seeing the result of that in the last 3 quarters, in terms of increased revenue acceleration. And we believe despite the macro cautio n that you attributed to, we think it will continue because the solutions that we are offering can help our customers to cut costs . For supply chain, I had called out as business as usual . The supply chain , In terms of the equipment delivery from many of the vendors are still not what we experience d pre COVID , but I had called out some time ago that we are treating that as business as usual. So that is neither affecting our revenue nor accelerating anything.

And the reason I say that is, many customers have also come to accept that. This is the time taken and we have found already alternate options available for the customers to go ahead, rather than being dependent on 1 provider. I would say that's more as a business thing.

Sanjesh Jain

Second question is on the revenue growth. We have a year guided of a double -digit revenue growth and we are there now. And we also anticipate the mix within data to change 50 :50 between core connec tivity and the digital services which imply that our digital services need to grow by 25% CAGR . Do you think you are confident about this mix change to happen and growth coming in considering the order book and on the ground discussion, you're seeing with your customers ?

AS Lakshminarayanan

Yes, I think, when we launched our strategy, we called out amongst all parameters that we want to hit a double - digit growth. And I always said that while people are not very patient, it takes time to get there . We nee d investments and products and b uilding capability and takes time to do all of that . Now that we are here with our continued investments, I feel quite confident that we can stay the course to execute on that .

Kabir Ahmed Shakir

I'll just add the way in which we should look at is not from CAGR perspective, these are all businesses where, I don't know whether it is going to be in next year or the year after next, where if you get 1 tran sformative deal, then the growth trajectory for that particular year, f or that part of the business will look in 3 digits, as opposed to a steady

state year on year 25% kind of a number. So that is how you should look at this, especially when these are really new age technologies and things that we want to try to unlock . And the 2nd bit that I would also leave it is that we said we want to get double digit growth and we delivered 3 consecutive quarters and full year double digit growth , we want to maintain that moment um. And our next to marker to become a Com Tech player , therefore , having a balance of 50 :50 between our digital services portfolio, and core connectivity . And that is how I would like you to read the ambition and not about whether it's fructifying exact proportions, every quarter, and every year.

Sanjesh Jain

On the margin side. is it fair to now believe that the bulk of the employee cost is now behind us in terms of what we needed to add and realign. And the attrition is also now normalized , is it a fair assumption that the cost pressure whatev er we were supposed to see is largely in Q4 and next year when we deliver double digit revenue growth, the operat ing and leverage will play out. Is that the right way to think on the data side of the business ?

Kabir Ahmed Shakir

The attrition part is I c an safely say it's behind us. You probably hear that in the news as well with multiple IT companies also narrating the same thing. So , that I can definitely say is behind us . In terms of our h iring, we added 900. So in the last year we had about 900 headcounts , and a lot of them are backfilling that we have done . Plus, I would say the net additions of course, have gone in 3 areas - product and engineering side, go to market and also our Service Delivery organization. See, as far as I'm concerned, this is a continuous cycle that we will get into . That's the whole fit to grow model. We have compelling business proposals that we need to fund, we will continue to fund , so I won't say this is behind us and that we will no t do any more hiring. Then we will not grow. Yeah, we will continue to grow and we need to calibrate as to when I am getting the operating leverage of the headcount and the investments that I have made. When I'm seeing that come through, then we take the n ext call of doing the next level of investment so that it gets into that continuous moment um. So that is how I would encourage you to actually look at it.

Sanjesh Jain

I meant for the near term, we have hired, and we would want to stabilize this work, drive some utilization and then go for the next level . For next year atleast we are not going to hire another 900 or 1,000 people , right?

Kabir Ahmed Shakir

I think we've added significant amount of people in our products and platforms and in the markets . The 2 things to look at last year , hiring was done over a period of 1 year. So not all the costs have seen a full-year impact . So there is a f ull year impact and that would come about this year . Where it is necessary we would add people and as you said, you would need to calibrate that on an ongoing basis and the old calibrate that. Because we are carefully managing the business in terms of where we are investing. And what returns do we need to del iver. So, that would be calibrated for sure.

Sanjesh Jain

We guided for 250 to 300 million dollar of capex. I think we are significantly lower than this year. How should we think Capex for next 2 years?

Kabir Ahmed Shakir

Well, my guidance remains t he same, that is our intention to spend and if you see our approved Capex, we are in that zone. This excludes our fibre replacement capex The moment I want to get to 50 :50 between our Digital and Core business, let's set aside the efficiency that we should get in our Capex and operating leverage for a minute.

If you do the work working backwards, you will find that we would need a significant

level of investment to support
that kind of growth ambition that we ha ve, so, I'm targeting that 2 50 to 300 as the number. And the reason why we did not spend, we mentioned before , supply chain deliveries delays plus we some better payment terms, so there

will be a catch up of that. That'll actually come up in the following year. Plus , we would like to get into the zone of spending 250 to 300 Million and additionally on top of that for replacement capex for the next 3 to 4 years

Sanjesh Jain

From a free cash flow perspective. If I see, we are investing more in the operating expenses , we are investing more in the capex. If we need to maintain the cash flow as a percentage of revenue, that means our revenue needs to grow significantly higher than say this 11 or 12%. Else ROCEs will start diluting. I hope this is a fair assumption that when we say that we maintain that 25 to 30% guidance. All this ambition is well backed by the fact that we will be growing the revenue significantly faster than this , will this be a fair assessment ?

Kabir Ahmed Shakir

Yeah, that's absolutely fair. All markers and contours that I have given and which sets our own internal working and governance in the company as well . Yes, our guidance is greater than 25% of ROCEs . We have been operating in that range , we will continue to operate in that range. 23 % -25% is our EBITDA guidance, but if I must kickstart growth, and if I have to invest in a few areas and temporarily for a quarter or 2, it takes me below 23 %, I am not fussed about it because that is be ing spent on the right areas of investment and that i nvestment is not a waste that we are incurring and that I want to be clear. So, if you mix all these things yes, we need a different level of growth trajectory to have these ambitions, but at the same ti me, if these are not fructifying and These are no t free for all 1-time approval to go ahead and spend , these are going to be calibrated. These are going to be milestone based. If you are growing well, you're getting in the right direction then there will b e continued momentum and investment behind it . Where we are going off course, then we will pause and pull back, so that we are not diluting any of the ambition on the financial metrics that we have given.

Chirag Jain

Next question is from Aliasgar Shakir from Motilal Oswal . Please go ahead and ask your question.

Aliasgar Shakir

Yeah, thanks for the opportunity and quite a detailed explanation. I just have a question on the growth of products point of view. So you did give a lot of explanation in terms of your order book, funnel and how the overall trajectory is but, from a growth product, point of view, whether, it's MOVE NetFoundry C PaaS or even Cloud SIM that you mentioned . That you mentioned what is attract ion specifically.

I'm asking this more from the point of view tha t, when I see segments in DPS, there have been few of them fi ring, like CPaaS , which we've been quite positive for the full year as well, as in this quarter, not really done very great. So, from your overall growth engine point of view, what are the products where we have most positive outlook and where we think we can drive growth in FY24 if we have to do double digit growth in our data business ?

AS Lakshminarayanan

Yeah, Ali, I think if you look at the segments, I called out each one of them . Barring collaboration where you have had somewhat of a muted growth. All other segments, in the product portfolio segments that quite well, and within collaboration, GSIP which was sort of a drag a couple of years ago , that is finally stabilized. And the, the new products that we hav e introduced,

like the Global RapideTM is gaining traction. Tata Communications DIGOTM is gaining traction.
So, we are quite confident that across all product portfolios, we should be seeing good traction .

Aliasgar Shakir

And just 1 question for Kabir. You did mention that a lot of these opex investments are very milestone and timeline driven and therefore whatever investment we are doing either opex capex , we will see the benefits of that or else we will stop them . So, in that context, if you would just explain how the operating leverage wil l behave in investment s

in FY24 and FY25 that we have done , what is the trajectory of growth. A t operating level, we should see this margin to recover at some point and what will be the timeline milestone we will look at ?

Kabir Ahmed Shakir

Thanks for that question . Look in the immediate term, this is going to be in the investment phase that we are in what you have seen our opex on staffing costs. We haven't seen the full year impact of that yet because our hirin g add only more back ended in Q3 and Q4 of this year. So you'll see the full year effect of that coming through. As we also outlined, and I mentioned to San jesh, we are doing the investment on staffing , on Head count on 3 aspects, there is product and engineering, and these are folks who are working on my next set of innovations that will actually come through. Then, I have my feet on street and then I have my delivery organization, these are the 3 large buckets in which our investments have gone. The produ ct follow s a cycle of 1 ,3,30. Stage 0 to 1, we will see those products coming to fruition 18 months, 24 months from now. 3 is where we are currently taking from 1 and, going to 3 to 5 customers to see, whether it has legs in multiple other industries in multiple other use case. And 30 is when it gets into the product state.

The 30 is where you'll see operating leverage kicking in because the revenues will come through in FY24 . But for 1 and 3, those will only come through in FY25 a nd beyond . Likewise for the sales organization, also it will take 3 months for any salesperson to come on board. And , go through the readiness program and be ready and take some of the 3 months for them to then start building customer relationships and working on building the funnel and then converting them into an order book. And then we have our own gestation period of when the order book converts to revenue, so that will flow through during the course of FY24 here. All we need is sometimes there are some aspects where you look at output metrics and measure the outcome of the business . In some, we ne ed to look at input metrics and measure the right call for the business . I would say this is the input metrics that we need to do that are we doing the right investments in the right places? And then, do we have governance mechanism internally to see the p rogress of each of them? And that is how I would want to navigate and therefore, you know, in FY24 we are expecting our margins to be at the lower end of the range. Well, that's what I said exactly same time last year for FY23. We were helped by the market shift that we actually had in Voice, which I called out a couple of quarters ago. We had some benefit there on the profitability line, which actually took us to 24.2% otherwise, we would have probably been in the 23 % range . So, we will continue to be in the 23 % range is what I see for the for the next year, but these are in my view, the right investments because we want to now maintain the momentum of a double -digit growth, and we want to launch this to a different trajectory and I'm not going to spell it out for you. You guys can do the numbers. Our am

bition of 50 :50 on digital platform tells you as to where we need to head and therefore, what investments that need to happen and I won't be myopic about 1 quarter 1 year to take a way what opportunities this company has ahead for itself.

Aliasgar Shakir

Should we expect that by FY25 to then start seeing some benefit out of this?

Kabir Ahmed Shakir

I hope so Ali, and in FY25, if we have more places where we need to invest, then we will come and tell you guys, where we are making those investments and why we're making those investments. We talked about MOVETM. I mean, our portfolio has grown over 100 %, Iot over 90%. I mean, these are all markers that tells us that we are in the right direction and we are getting the right design wins for us. If tomorrow our SASE and Security portfolio gives us promise , Media is another exciting place that we are so confident of and that's why we made the Switch acquisition as well . So these are all green shoots that are available and these need support , these need that tender love and care . And we, we have to offer them because they have the ability to scale up to 500/700 Million to a 1 Billion dollar business is on its own in 5 to 7 year 's time.

Chirag Jain
Thank you. So, the next question is from the line from Gautam Rathi from CWC A dvisors . Please go ahead and a sk your question.

Gautam Rathi

I know, people have been asking you regularly about some quantitative color on the order book and that is where again, my 1st question is a request towards that . If at all there is any kind of quantitative color that you could give, towards the order book, like, even in the fact that what is the Order book that we started with in FY23 and, where are we today even on an annual basis that will be very, very helpful for us to actually see the progress, going forward.

AS Lakshminarayanan

I'm sorry to cut you short, but I think the ask is well understood . I think you're asking for lead indicators . Last time around we did giv e some indicators of lag in terms of how we are firing our 1 Million dollar customers, I tried to give you some color on even the 1 Million dollar large deals within the order book, it's significantly improved. And the order booking itself has significantly improved . The reason why I haven't given out the exact numbers is there are a few things that happen in our business . In a traditional connectivity as well as sometimes in the next gen connectivity , there is a churn that happens. That , the customers shift offices, or there is a price churn , that unfortunately nappens and that's something is no t very predictable yet . So I think we are having to balance that. And then the new order booking that adds on t op of it to make up for this, for this ch urn. So, if I give you 1 number , I must then give you another number which is not very well predictable, because that's based on plan discussions and negotiations that we have. The 2nd aspect of it is the color of t he usage business . So, the usage order booking is purely usage based if there is an uptake in usage that revenue goes up, so, even in the order booking , it's very difficult to give a proxy or der book on what that usage needs to be.

We've experimented with the different models internally , contributing a smaller value of order book, attribute almost 0 value to the order book for usage. So these are all things that we are doing so that we get better predictability internally for us to govern . So, I hope I'm giving you a color of the reason why it's not that we don't want to give you the color. The reason is by giving 1 parameter we don't want to mis direct you and confuse .

Gautam Rathi

That's ver

y fair and I understand, you are taking your t ime to be sure that what you share with us is the most relevant information. The only thing is, given something seems to have given you the confidence that it is the time to push the pedal, right? And you are doing that right? Just whatever, if there is an ything quantifiable is what I was trying to understand.

AS Lakshminarayanan

I think qualitatively if I said that I think I mentioned that if you look at our overall funnel and order booking in FY23 , digital portfolio is 40%. So, which was not the case before. So that would give you a feel for the acceleration of the digital portfolio in the order booking and the funnel. The 2nd is what we classify as large deals, which is a 1Million dollar deal in enterprise segment that has seen a significant growth in the deals , and both in India market as well as the international market, and the 3rd is, as we speak to our customers , we get a sense that of our relevance to them is ever more increasing. Because we are not t alking to them anymore, just about connectivity and connecting branches. We are truly discussing with them how the digital fabric can help them in their own journey to build their digital experiences for the customers. So, these are the factors that, I can tell you as to why, our confidence is there.

Gautam Rathi

The PPC and the churn, with respect to that, because those are again two very important parameters that you could associate with relevance. If I were to just take that, if you could give some sense out there and another framework that you've used is 1 ,3,30, if you were to just overlay that framework , just a few examples out th ere would be very, very helpful like, where you kind of testing 1 and 3, and, you're now in the phase where you are saying that, it's more like that we are going to push for in the quarter.

AS Lakshminarayanan

So, no, I think that is number of products for customer is seeing an upward trend, even though I am not tracking that metric by itsel f because even when we had a product penetration of 4 before , I sometimes used to see while the

ratio is 4, but the revenue with the customer was small . Because ther e's no point in doing very small things with 4 products. And that was not very meaningful. We do measure that, but I don't assign too much weightage to that. So I look at more how many customers are at the threshold of a 1 Million dollars and how many 1Mil lion dollars customers do we have and how is that going . We put out that number last year the, and we will put out the number, come the investor day, that we would have in June. You would see the growth in that. So, that's 1 parameter for how we see our relevance to the customer is increasing . In terms of churn that you asked for , I think I included the churn last year. We were able to reduce it through strong actions from the team in the front, supported by all the delivery and assurance functions and we are trying to move that to a more programmatic activity to see how we can engage early with the customers to reduce the churn. But , this is something , it seems to be more of an industry factor that we are caught up in , until we transform ourselves to full y realize our vision of digital fabrics , which is in progress. this churn is going to be there . I hope that answers the question .

Gautam Rathi

So, just the last part, which was the 1 ,3,30, what I meant out there was, just a few examples where, basically, what I'm trying to understand is you've seen a number of initiatives and what I understood was, you wanted some of them to kind of, reach that hygience levels before you really scale it up.

AS Lakshminarayanan

Are the

re visible example yeah, so there are visible example see, the 1 ,3,30 is a very continuing thing. It's not a product at any point in time we'll have several ones because if you look at GlobalRapideTM, you know, we started with, a stage 1. We have now launched the GlobalRapideTM2.0 have enhanced features, so while the GlobalRapideTM itself is in stage 30, the 2.0 is still in stage 1 . GlobalRapideTM has seen a significant growth in terms of number of seats that we won last year, and the number of seats that we are deploying. Similarly, within, the next gen connectivity , we had the IZO WAN and we launched the stage 1 of multiple variants, and that has now reached a stage 30. And we said that our next gen connectivity has seen a good amount of growth. And we are further continuing to expand. So, I think if I were to give a color to you , in the past, we used to say that if a sweet spot of our customers in the international market is any customer having presence in 5 regions and that network requirement is no more than 30% in the domesti c market and 70% of the requirement is in international market. That would be our sweet spot.

Because our true strength was then the international connectivity that we offer, and we were not able to fight against the strong, local incumbents. But today, that ratio has shifted, rather than 30, 70 we just w on a deal, which is 70% regional and 30% international and that was possible because of these 1 ,3,30 approach of introducing new products and taking these to customers in a stage d manner . We do track how much revenues that we are getting from stage 3, moving to stage 30. And last year of the incremental revenues that we showed. A significant part of it came from the products that moved from 1 and 3 to 30.

Chirag Jain

Thank you. So, the next question is from the line from Vinit Manek from Karma C apital . Please go ahead and ask your question.

Vinit Manek

My 1st question for you , just coming to the depreciation part. So , there was 64 to 65 crores of absolute increas e in the depreciation during the quarter. I just wanted clarification that was there any one off d uring the quarter, in terms of depreciation , or this is a sustainable run rate that we will be seeing going forward.

Kabir Ahmed Shakir
No, there was a one time correction that we actually did in the way in which we use to recognize cable life and the residual value of cable life. I know that was about 40 odd Crores where we took that that correction. So, aside from that, I think it's business as usual.

Vinit Manek

Okay, so it was just a particular 40 crore one off during the quart er in terms of the.

Kabir Ahmed Shakir

Yeah, so we used to have, as per the Companies Act, that we used to recognize 5% of the terminal value and depreciate the balance over the life of the cable and then we took a call since we are not getting in that 5% anyway, when we we decommissioned the cable, we made that change for all the past ones, which are finished life , we have taken the hit. And all the ones which have useful life left over , we have a pportion ed that, what the rest of the life of the of the cable, and that therefore you'll see a small change in the future until each end of life. But this 4 0 Crore growth represents the past.

Vinit Manek

So, near term, maybe 2 or 3 quarters, you might still see something like this coming, or it's already done.

Kabir Ahmed Shakir

It's already done, there's nothing more that will come . Whatever will come is going to be marginal, you know, very, very margin al increase insignificant and immaterial.

Chirag Jain

Thank you. So, the next question is from the line from Abhishek S

inghal from Naredi Investment . Please go ahead
and ask your question.

Abhishek Singhal

My 1st, question effective tax rate in FY23 was 14 %. So, what will be the effective tax rate in FY24? And 2nd question, what will be the EBITA margin in FY24 and what kind of growth expectation in topline in FY24?

Kabir Ahmed Shakir

Yeah, I wish we don't give specific numbers as guidance for every quarter or our future years. As we've said, our stated ambition is double digit growth. We have delivered that for the last 3 consecutive quarters and for the full year. And our endeavors to maintain that same momentum going forward.

Our ambition is to stay in the 23 to 25 range and as Ali asked I clarified by FY24 we expect to operate at the low end of the range. For various investment that we are making , and I have nothing further to add other than, you know, please stating and reiterating the s ame ambition that we have given.

Abhishek Singhal

Okay, and the effective tax rate for FY24?

Kabir Ahmed Shakir

The effective tax rate for FY4 will be better than what it has been in the past of 25 -26%. That is because we have net operating losses in international geographies and as international geographies are becoming more and more profitable, we are utilizing those losses plus also recognizing losses plus also recognizing that as deferred tax asset in our books , it's also an asset that we're creating in our balance sheet so you should be able to see that in conjunction and we hope to operate at a good level of ETR. Exact number I, I'm sorry, I'll not be able to give you that.

Abhishek Singhal

What is the 1 time acquisition cost for Switch Enterprises, which was acquired for 486 Crores in December and when will it reflect in profit and loss acc ount statement.

Kabir Ahmed Shakir

So, this has not come in our books, Abhishek as, Lakshmi mentioned in this call, we expect all approvals to come through and integration to start only in the 1st quarter FY24, so we have not paid any of these things yet until the close has happened. There'll be some costs on account of due diligence and other related ancillary costs that we have absorbed in our current financ ials.

Chirag Jain

This brings us to the end of the call. I would request Lakshmi to share his closing comments.

AS Lakshminarayanan

Thank you everyone . I just wanted to sya how pleased we are for where we are today , having achieved double digit growth and all the financial parameters that we have outlined in our strategy. We are very well poised for our journey and the strategy remains the same. And we will continue to execute on the same.

Chirag Jain

Thank you, Lakshmi. This brings us to the end of the call. In case of any queries, please write to investor.relations@tatacommunications.com. The recording will be available on our website in the next 24 hours. You may please disconnect now. Thank you.

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Call: Jul 2023

July 20, 2023, at 02:30 pm IST

Q1 FY202 4
Earnings Call Transcript

MAIN Participants:
AS Lakshminarayanan , Managing Director and Chief Executive Officer
Kabir Ahmed Shakir, Chief Financial Officer
Rajiv Sharma , Head, Invest or Re lations
Chirag Jain , Deputy General Manager, Invest or Relations

Chirag Jain
Good afternoon, everyone, and welcome to the Tata Communications Earnings Conference Call for Q1 FY24. We are joined today by our MD and CEO, Mr. Amur Lakshminarayanan and our CFO, Mr. Kabir Ahmed Shakir, and our head for Investor Relations Mr. Rajiv Sharm a. The results for the quarter ended 30th June 2023 have been announced yesterday and the quarterly data pack is available on our website. I trust you would have had the chance to look through the key highlights. We will commence today's call with comment s from Lakshmi, who will share his thoughts on the business and long -term outlook, followed by Kabir, who will share his views on the financial progress achieved. At the end of the management's remarks, you will have an opportunity to get your queries addr essed. Before we get started, I would like to remind everyone that some of the statements made or discussed on the conference call today may be forward - looking in nature and must be viewed in conjunction with the risk and uncertainties we face. A detailed statement and explanation of these risks are included in our annual filings, which you can locate on our website www.tatacommunications.com. The company does not undertake to update these forward -looking statements publicly.

With that, I would like to invi te Lakshmi to share his views. Over to you, Lakshmi.

AS Lakshminarayanan
Thanks Chirag and Good Afternoon everyone.

I welcome you all to Q1 FY24 Earnings Call. Our financial results are a good reflection of the disciplined execution of our Reimagine strategy. Our data revenue growth momentum continues to improve as we invest in improving our capabilities to enhance our relevance with customers. These investments imply that margins may remai n soft in the short term and despite this we aspire to operate at ROCEs above 25%. Our unique strengths are very much recognized by our customers as we can address both the cost and revenue side outcomes for them, thus increasing our relevance quotie nt on a continuous basis.

Our Q1 reported revenue was INR 4,771 Crores, improving by 10.7% YoY and 4.4% QoQ. Our data business revenues improved by 17.1% YoY and 6.6% sequentially, coming in at INR 3,912 Crores. Digital Portfolio (DPS plus incubation comb ined) revenues stood at 1,415 Crores, growing healthily at 37.5% YoY and 16.6% QoQ. Underlying Data Revenues (these exclude Switch) grew by 14.2% YoY this quarter, highest since FY20 while they improved sequentially by 4%. Underlying Digital Portfolio Reve nue grew by 28.1% YoY , the highest point in the past 12 quarters, and improved by 8.6% QoQ. EBITDA for the quarter was INR 1,024 Crores with 21.5% Margin. PAT was INR 382 Crores. ROCE remains healthy at 26.3%.

Before I discuss the financial results in detail, let me spend some time on the key strategic initiatives this quarter. Just to remind all of you, we announced acquisition of Switch in December 2022, and we are happy to report that we completed the acquisition of Switch in this quarter. Switch will help us a lon g way by expanding our reach to top tier US sporting event venues and gain strong foothold in North America. It will extend our media and entertain

ment
portfolio with live production capabilities. Another equally important event this quarter was us enterin g into a

definitive agreement to acquire Kaleyra Inc, leading global CPaaS player with robust product platform offerings and last reported revenues of USD 339 Mn in CY2022 for an estimated Enterprise value of USD 250 Mn. Kaleyra INC combined with Tata Comm unications DIGO will help us boost our Comm Tech play.

On a separate note, we continue to have a strong focus on sustainability and have made several interventions in the direction of climate change, energy conservation and community development. We are being rec ognized for our efforts in fostering sustainability and community linked initiatives. We are adjudged winners in "The Economic Times Sustainable Organization 2023", Excellence in CSR at CII -ITC Sustainability award, Platinum award in 13th Exceed Occupation al Health & Safety and many more.

Now, let me discuss financial results in a little more detail, particularly our data portfolio.

Let me begin with our core Connectivity business, revenues grew by 8.1% YoY and 1.6% QoQ. We continue to invest in the core capabilities, thus transforming our networks to be intelligent and working on their programmability to cater to the new market needs, particularly on-demand needs. Key drivers for growth this quarter was demand seen in the APAC market.

Now moving to the d igital portfolio business

Our Collaboration Portfolio grew by 13.4% QoQ and 19.4% YoY. Consecutive quarters of double -digit revenue growth accruing in our Collaboration portfolio sets the path for the overall growth momentum to accelerate. The sequential revenue growth seen in our Collab portfolio is the highest in the past 12 quarters. Tata Communications DIGO continues to grow in capability as a Customer Interaction Suite, where it focuses to unify all customer interactions and benefited from addition of new logos and higher traffic revenues. Recently, one of the India's leading Passenger Car Manufacturer has trusted Tata Communications DIGO to transform Broker and Customer experience of its Car Insurance venture. The project covers the CX transformation of a ll the phases of customer journey – Attract, Acquire, Transact and Retain. Tata Communications DIGO won the MEFFYS AWARD 2023 in the "Personal Data & Identity" category for the Best Innovation in the field of authentication. Additionally, InstaCC portfolio grew by very healthy double digit this quarter and more, so we have robust deals in the delivery pipeline as well. InstaCC benefited from increased usage and the addition of new logos in the Middle East and deal wins in the healthcare segment.

Media business reve nues including revenues from Switch were sequentially up by 103.9% and 108.7% YoY. Excluding Switch, media business revenues were up 36.5% QoQ and 39.7% YoY. We are seeing rapid expansion in Japan and Nordic markets with more in region demand for global co ntent. Our Media Edge is acting as a strong technology differentiator for all three segments content transport, processing, and production. With the integration of Switch, both teams are driving synergies by taking up joined up conversations to our strateg ic customers in Europe and the US . The global presence of Tata Communications and strong broadcast experience with production capabilities of Switch has helped us elevate our conversations across customers. We are seeing this translating to a good order pipeli ne, higher ACV deals and possibly better revenue conversions going forward.

Our Next -Gen connectivity offerings revenues increased by 14.9% QoQ and 46.6% YoY. Our unique IZO WAN proposition offers an end-to-end managed predictable and performan

t business grade internet to our customers. This serves as a major catalyst driving our deal wins. With our customers moving to Multi Cloud Interconnect, we see an opportunity to address this growing market opportunity. We will soon be launching the IZO Software defi ned Multi Cloud Connect to provide on -demand, self -serve capability for customers to manage and address their connectivity to cloud, multi -cloud, and between clouds.

Moving to Cloud, Hosting and Security. This portfolio registered a growth of 23.9% YoY a nd has seen some softness on a sequential basis. Enterprises continue to look for seamless integration across multiple clouds with the flexibility to leverage both private and public clouds with better and transparent FinOps to track cloud consumption. Our mult i-cloud management capability with CloudOps, FinOps and SecOps through our TCX Cloud Command places us well to cater to this structural trend. Our MSS business continues to grow at a healthy double digit run rate. Tata Communications Cloud SOC Managed Dete ction and Response platform is well positioned to address market opportunities. We have recently signed a large Cloud SOC contract with a leading life and general insurance group to protect them against cyber -attacks. This is completely a cloud delivered s olution from our platform.

The Incubation Portfolio grew by 27.5% YoY, however on a sequential basis the performance is subdued. MOVE has grown 40% YoY. In our IoT Offerings, after gaining wins in the domestic market, we are now looking at expanding to international geographies.

Our Digital Portfolio has the capability to address holistically the needs of our customers. We will continue to invest & drive relevance with our enterprise customers. With this, I will now request to Kabir share the financial highlights.

Kabir Ahmed Shakir
Thank you, Lakshmi. Good afternoon, everyone. I will take this opportunity to discuss the highligh ts of our financial performance for the quarter. This quarter onwards we are combining DPS and incubation revenues and calling it a digital portfolio. Additionally, we are talking about reported numbers and underlying numbers. Underlying numbers exclude the impact of acquisitions and disposals.
Now let me spend time on financial results and how our Fit to Grow strategy is helping us to accelerate our growth trajectory. We witnessed a quarter of strong growth in our Data Portfolio, both from an underlyi ng as well as consolidated perspective, on the back of a strong execution rigor and deeper engagement with our customers.
Our reported revenue for the quarter stood at INR 4,771 Crores, improving by 10.7% YoY and 4.4% on a sequential basis. The reported revenue numbers this quarter continue to have certain forex benefits accruing from a strengthening dollar. Normalizing for Forex, our Consolidated revenues grew by 6.9% YoY and 4.3% QoQ and the positive impact on consolidated EBITDA margin is seen at 30 bps.
Data revenue for the quarter stood at INR 3,912 Crores, growing at the highest ever since FY20, coming in at 17.1% YoY and 6.6% on a sequential basis. The underlying data revenue growth stood at 14.2% YoY and 4% QoQ. Also, revenue growth for digital portfolio a t 37.5% YoY and 16.6% QoQ is the highest in the past 12 quarters. EBITDA margins for the quarter came in at 21.5% on a reported basis and at 22.1% on an underlying business. Additionally, there is impact on account of acquisition related expenses pertainin g to Kaleyra this quarter which are one -offs in nature. Normalizing for both, the Switch consolidation and M&A related expenses, normalized EBITDA margins are at 23.1%, well within the ambition of 23 -25%. ROCE for the quarter is a

t 26.3% and sequential dec line is again an outcome of Switch integration
and M&A related costs. PAT is up 17.1% QoQ and PAT margins were at 8%. FCF for the quarter is at 184 Crores and this includes the income tax refund of INR 425 Crores. Net debt stood at INR 6,007 crores and net debt to EBITDA at 1.4x. Our debt levels continue to be at a comfortable gearing and well within our ambition.
Cash Capex for the quarter stood at INR 431 Crores and the ramp up is attributed to payments coming up for capex projects committed in the prior year. All our KPIs – ROCE, PAT Margins, Net Debt to EBITDA and revenue growth reflect how we are fundamentally transforming the company to operate in a higher growth trajectory and are funding our growth ambitions in a meticulous manner to maximize value for o ur shareholders.
It is important to take a step back and understand the journey so far, we have a come a long way from a significantly leveraged balance sheet to a situation where we are steering capital allocation for growth. The healthy FCF over the last few years has allowed us to create a solid base to pursue inorganic opportunities and accelerate growth momentum. That said we continue to invest and strengthen our foundation for achieving growth ambitions and investing in our sales and product organiza tion to benefit from the market opportunities. The Digital Portfolio revenue growth gives us confidence that we are on the right track. Our acquisition of The Switch and our definitive agreement with Kaleyra, Inc. will further sharpen our moats and hel p us improve our growth trajectory in the medium term. These strategic interventions will additionally help us penetrate deeper into international markets and accelerate our growth in these geographies.
Moving to subsidiaries, TCTS and TCPSL revenues rema ined flat sequentially. Our Payment business continues to make positive shifts as we expand our portfolio under the Franchise model. As of date, we have added close to ~3800 Franchise ATMs to our portfolio and are working steadily on increasing this furthe r. We also continue to strengthen our governance rigor and agility in TCTSL.
To sum up, our holistic delivery across financial KPIs is laying path to capture the tailwinds and market opportunities which lie ahead. I will now ask Chirag to open the forum fo r Q&A.

Chirag Jain
The first question is from the line of Sanjesh Jain from ICICI Securities. Sanjesh, you have been requested to unmute. Please unmute yourself and ask your question.

Sanjesh Jain
Thank you for taking my questions, I got a few of them . First, Lakshmi, can you help us understand how is the order book and f unnel shaping up? And this quarter has been very strong growth in the data business. Can you also help us understand was there a bunch up of revenue because of the easing of chips or do you believe these growth numbers are sustainable, and you believe that you can further accelerate this? That's my first question.

AS Lakshminarayanan
Yeah, there wasn't anything that bunched up or anything as a result of semiconductor s. I think I have been saying that because of investing in the markets our funnels are improving. I think the o rder books have been steadily increas ing over the course of the last few quarters and some of the deliver ies and conversion were happening, even though it was delayed, because, as I had said semiconductor delays, we re delaying the, some of the deliveries but we were treating them more business as usual and nothing as unusual.

The way we would attribute this qu arter's growth is the result of good order booking , disciplined execution on service delivery and assurance and good engagement with our

customers to reduce churn and other factors. So, that's what we
would say . Going forward , If I look at the fun nel, I think the funnel is still very good . Last quarter, the n umber of deals that we added into our funnel was very healthy , the n umber of new logos that we acquired last quarter again is quite health y. Having said that, the conversion of the funnel in Q1 we noticed that it was longer than what it took 2 quarters ago. So, it's longer but, mostly the response from customers is more about delay and more time to decide rather than stopping anything. So, overall, the demand drivers are pretty much in place, and the demand drivers for most o f our offerings stem from the fact that the customers are moving to cloud , stems from the fact now today many customers are not just happy with just going to one cloud, but they want to be truly on multi cloud , stems from the fact that, you know, people want to examine private cloud a lot more strongly than blindly move into public cloud because that was a trend a while ago. There is a very clear discussion happening with customers on the value of private cloud, customers wanting to leverage the Internet and that does not die in terms of customers wanting to move to the Internet . Similarly , on the customer experience side, for B2C, they want to see a simpler means to have conversations with their consumers and in a more conversion and contextual ma nner, because that's what will help them to deliver a better experience . Again, customers wanting to take the contact centers to cloud for variety of reasons . and that so these are all the demand drivers. And we do not see anything slac kening there at all, in medium term things will pick up again be cause the f unnel looks good.

Sanjesh Jain
Got it got it . On core connectivity side again , we used to talk about the mid-single digit, we are clocking 8% reaching to high single digit, what has changed in the core connectivity?

AS Lakshminarayanan
So, core connectivity also, you know, I think the reason if you look at t he global trend on core connectivity, is that it's a declining trend . We said tha t we w ould l do better for many reasons. One reason we felt was there still a lot of demand for data centers, and data centers are going to grow, and particularly in India and in certain select markets and that's one of the reasons why we said that will be in a low to mid digit growth.

Now, the data centers growth is there, I think, as people invest more on data and perhaps AI there's a lot more of core connectivity requirements are required. And this year as I said, this quarter , there was a lot of demand from APAC, and not just from India. And the second aspect of why we maintain that we will continue to grow there is because of the investment that we are making in the core connectivity as well . Not just making our network mesh, a lot more powerful by giving a lot more diversity to our customers , making the, the core network itself, a lot more programmable

and making it more on demand. So, I think those are all the capabilities that we are investing in. So , these are the reasons why we were saying that it will grow . Now, whether this level of growth that we saw, and this also has some lumpiness in this business because some of these contracts tend to be large , but overall, we are still saying that we it be continue to be in the low to mid digits, single digits. I hope that answered the question.

Sanjesh Jain
Yeah, yeah, thank you. Thanks that answer my question. On the Switch strategy si de. Now that t he acquisition is done, can you help us understand how this acquisition will have a synergy benefit and path toward

s the profitability for this
business.

AS Lakshminarayanan
So, with Switch , you know, I think the rationale was that Switch is a very strong player in North America , comes with a lot of good customer base and infrastructure in that market where they have connected to many venues. The second is they have a strong production capa bility which is a missing piece in the Tata Communication s portfolio, and that augments our product capability. So, it brings with it a geographic expansion for us. It brings with its product capability and fills the gap in our portfolio, that's the rationale . In terms of synergy , we are already, you know, 2 months into close and we are seeing already the results of that where we can take up the joined -up offerings to our customers. And they are seeing very good traction with customers with these joined-up offerings, you know, in North America to Switch customers, we take our Tata Comm offerings and bundle it and take it. And similarly in Europe and other markets when we bring them. Switch production capabilities and bundle it, that are interesting conversations happening. The funnel is looking good as a result of these conversations.

The second aspect of it is the margins that we've talked about. Yes, I think , as we scale , as we work on the other aspects of synergies that we had laid out, these will play out in due course to improve.

Sanjesh Jain
One last from my side . Subsidiaries have been very volatile and struggling. We haven't seen a sustained turnaround . What's the end game for us in both TCTS and TCPS

AS Lakshminarayanan
See, I think, the way we want to look at this business is TCTS is addressing telco markets, they have the core

competency and a very strong domain knowledge of telecom. And that combined with the technology expertise and service expertise they bring ; it is attractive to the telecom companies out there who is investing in fiber to have a lot of legacy technologies and processes and would want to transform . That's the real value proposition of TCTS and you know I think that is still attractive. Maybe there is some softness in the market today, as you would have seen, you know, globally, telcos and others are soft. We would have seen that from the SI results announcement. Many of them are called out . It takes time to convert opportunities and win those d eals. From a profitability point of view , we are turning around , making carefu l selection of bids, and making sure that the mix is more skewed towards international. As we execute on that, it will turn around. That is the s hort, medium -term plan as far as TCTSL is concerned . For TCPSL, we had called out that that company again suffered through a lot o f macro changes imposed by various things , one of that being COVID . We had pivoted that business too, from being a fully company owned company operated model to a franchisee model and that changing to that franchise model is beginning to show results. Albeit, while that part of it is slowing showing results , the other part is yet to fully turn around, and as we completely pivoted to the model that w e want, it will turn profitable.

Sanjesh Jain
Oh, my problem with TCTS is that it's been like 4, 5 years. The business has struggled. We haven't seen any material turnaround. The question is, do we really want to continue? Now we have given half a decade for the business.

AS Lakshminarayanan
I think if there is any other proposal we will come to you, but as of now the managemen t team i s keeping their head down and focus on the execution of th e strategy that has been outlined .

Chirag Jain
Thanks, Sanjesh. Thank you, the next question is from Pra

tap Maliwal from Mount Intra Finance , please go ahead and ask a question.

Pratap Maliwal
I wanted to have better clarity around our C loud and Secur ity business . We have seen some good growth around this subvertical. Is there any one off we had in this particular quarter which will reversely going ahead. Also, had a dou bt is our Cloud Hos ting & Security more India focused .

AS Lakshminarayanan
No, there isn't any one off as such . From an overall demand perspective , as I said, the cloud demands are still solid. Where we take this to market, our cloud offerings are focused on India. Our IZO Private C loud, we have launched specific solutions for the government community cloud, and we are serving very prestigious government institutions without our cloud. Similarly, we have launched a fin cloud that addresses financial services companies that specifically with specific compliances . and other latency requirements . And we have the IZO cloud that is running for other enterprises as well, where we are running variety of workloads on the cloud, and it has scaled very well.

We compete strongly with public cloud players in that space because it's very unique, very differentiated and gives the customers the level of flexibility and cost savings and more predictable cost that the customers are now beginning to look for . So that's largely targeted towards India market now . As far as security is concerned, that's more of a global offering.

We have a variety of offerings in MSS, in security . One is largely about network security, and that is a global offer that we use for customers. The other is Cloud SOC which is essentially to build a SOC customer to deliver managed detection and response capability. Cloud SOC was launched in India a year and a half ago, and it's seen a very rapid growth. And we have taken this capability selective ly to other markets. So, we launched that in the UAE and while we have not officially launched it in the European markets , there are already 2 -3 customers in Europe who are using our cloud SOC capability. So, our security offerings are more global . Our cloud capability, at the moment is largely in India.

Pratap Maliwal
So, in our DPS portfolio of the 4 offerings, which one do we think can really move the needle for us when it comes to our international revenues. Which one are we really looking at for that growth trigger ?

AS Lakshminarayanan
All of them, no favorites , we will be betting on all of them. So, all of them have good potential in the market and, you know, each one of them has a different driver for them, but all of them have very good potential.

Chirag Jain
Thank you, Pratap . The next question is from the line of Mihir Manohar from C arnelian Asset Advisors. Mihir, you have been requested to unmute. Please unmute yourself and ask your question.

Mihir Manohar

Largely wanted to understand, the Kaleyra acquisition that we have made now, given the fact that that is like 2700 to 2800 Crores kind of an addition. Despite acquir ing this business, we are still hopeful of maintaining 2 3% -25% margins from a long-term angle . This question is from a long-term angle, and just wanted to understand if such a large business would get added to Tata Comm Cons ol. What will lead to the release of margins in the balance part of the portfolio ? Just wanted to have an understanding around that what can be the margin release for us to have 2 3 to 25% margins when we are looking at the FY 27 vision ?

Kabir Ahmed Shakir
Kaleyra is a listed company, so I'm sure you can do the mathematics of what the last reported turnover and profitability is., Indeed when we close , it

will have a dilutiv e effect in the immediate term, but our ambition for this business is to operate in the 23 % to 25% range . So, in the medi um to near to medi um term, we hope to get Kaleyra back. The business case already looks at the potential synergies that we will have because of the Kaleyra acquisition plus, the efficiencies that we will actually bring about, you know, as Tata Communication, the complement arities entities that we have from a customer perspective. The ambitions that we have from a product portfolio and capability and feature set, , perspective , when we look at from all these angles, I think there is opportunity for us to get the business back to profitability, get the synergy benefits.

Exactly which year it will turn around I can't say that to you, but yes., our ambition is going to be operating in the 2 3 to 25 range of EBITDA with a short -term margin dilution because of all these acquisitions , Switch and Kaleyra , but we hope to get back to 2 3% -25%.

Chirag Jain
The next questi on is from the line of Ali Asgar Shakir from Motilal Oswal . Ali, you have been requested to unmute. Please unmute yourself and ask your question.

Aliasgar Shakir
Thank you so much for the opportunity and congratulations on a good set of n umbers , especially the digital portfolio, it seems to be doing well this quarte r. Just a little more color if you could share in that portfolio , the Collaborati on and Manage d CPaaS segment. I've seen very decent growth. I think there are a couple of different verticals here within this. We have the SIP Trunking, Tata Communications DIGO and UCC. If you could share some color on about how each one of them is doing or probably what is driving this gro wth and, how would the sustainable trends be going forward? And similarly, the media segment. which as you indicated, even excluding Switch it has done strongly and also some pieces on the Cloud and Security ?

AS Lakshminarayanan
The collaboration portfolio, as I commented earlier , we had pivoted that model from purely being a usage based, GSIP revenues to more of a product and services portfolio by introducing Tata Communications Glo balRapide which we introduced, and I think that helped us to stabilize the degrowth. of purely a usage -based consumption model that we had. As people moved to using more of the applications, like Teams and Zoom and Cisco and others for their collaboration purposes. So, I think the products that we introduced helped us to stem the degrowth and stabilize it . Now what is driving the growth.

And in future, going forward, we believe that Tata Communications GlobalRapide has good potential for it to grow as well. The last 2 quarters, we introduced Tata Communications DIGO in the market last year. And InstaCC while it has been in the market for some time, we have expanded the portfolio which is a CCaaS offering and combined the InstaCC and Tata Com municat ions DIGO what we call it a Customer Interaction Platform, a suite of customer interaction platforms and this has seen good growth an d that is what is fueling growth this quarter and last quarter as well. So, that's what you're seeing in that portfolio, and we believe as we continue to invest in and that's the rationale for also

investing in Kaleyra it will further strengthen our position , the product and presence in various geographies to help us to grow in this market. This is a very fast-growing market. There's a lot of movement happening in the market where people are looking at how to strengthen the customer experience journey fo r enterprises. We think we'll be very uniquely positioned there to continue this forwar

d as we bring the two companies together.

Media itself is growing very well and combined with Switch has good potential. So, I think it's a question of more disciplined execution in the Media. We also, you know, a lot of new products from the digital side , we keep calling the

Media EDGE. Our EDGE solution while we will formally launch EDGE for other horizontals and verticals, EDGE is a solution, which brings the cloud closer to the users. So, that is what edge is designed for and this edge capability that we have develo ped is being used by our media and is taken to market.

And there are many use cases that they are addressing in the world of media, and this is getting very good traction. Because our edge sits right on top of the video network that we have, brings a lot of capabilities , low latency, and a lot more abilities than what a public cloud or a public cloud edge provides at the moment . So that is one of the key drivers for the media . Plus, our deepening engagement with customers is also helping the media growth organically and now with Switch, it will only strengthen that more.

Coming to the Cloud and Security, I think I already answered that question. Cloud is largely focused on India. Our IZO Cloud is a very strong proposition. We do compete with public clouds in that space. We believe the private cloud has a very unique place in the workloads of enterprise customers. It offers them a lot more predictability of costs and lowers the total cost of ownership when you look at a 3-year horizon. It brings a lot more flexibility and we can offer better performance because our cloud in India is distributed in many locations, and therefore are able to offer a much better performance on this. And we today run very prestigious workloads for government organizations, we are running workloads for major enterprises. So, it's a very proven platform that we have.

And that is something that we believe will continue to go forward and drive forward as we bring more a nd more new capabilities for AI ML in it, video objects storage, and other capabilities that we will add to our cloud capabilities . From a security offering , security offerings are more global . In India , we have a little bit more wider offerings, but it is truly a glo bal offering that we have. And that again has shown excellent growth in the past and it's got even greater potential going forward.

Chirag Jai n
The next questi on is from the line of Nishit Rathi from Chanakya Wealth . Nishit , you have been requested to unmute. Please unmute yourself and ask your question.

Nishit Rathi
Just to understand, the employee n umbers seem to have gone up again by 250 employees this quarter. I ass ume there will be some addition because of Switch. Can you just break that up for me please.

AS Lakshminarayanan
Yeah, yeah, you're right. I think the employee count has gone up with Switch as well as some of the offers that we had made towards the fag end of the last year also coming into play. So, yeah, those are the reasons why it's goin g up.

Nishit Rathi
Lakshmi, is it fair to ass ume that 10 0-150 employees would have been added due to Switch? Because that's the n umber we could find on the n et.

AS Laksh mina rayanan

Yeah, I think the precise n umber will be 128.

Nishit Rathi
Any particular reason why Tata Communications MO VE saw this sequential softness . It's been growing really well and it's a product which you've been pretty excited about. So just wanted to understand anything in particular to read .

AS Lakshminarayanan
Nothing particular to read into it. Today the MOVE platform addresses different segments . Of what th

ey're addressing
the MNOs, airlines and yet to be discovered segment , Semiconductor s , which we are really excited about. So, these are different segments. Each of these segments are in sort of different stages of maturity in our 1 ,3, 30 model and as we navigate through , we believe each one of these will scale. So , the softness that we are seeing is only transient.

Having said I want to emphasize this is still in the sort of early stages of discovery of use cases and so on. So, as we win customers from a design win perspective, we will scale them to the next levels.

Nishit Rathi
And is it fair to say that we were a fairly strong player in the auto connectivity, part of it and as the connected cars keep on increasing, you could start seeing much better revenue traction in this portfolio ?

AS Lakshminarayanan
Yeah, I mean, auto is one of the core segments that we are addressing because, as you said, the connected cars are

reality and connected cars is to deliver for the auto players a better visibility of what is going on inside the ca r in terms of understanding how the car performs , give real time feedback to the engineering team. So, all the telemetry data is what they are using. And the second use case is more about, how do I use it for passenger infotainment purposes so that passengers can have better experience riding the car, you know, delivering over their updates as the car s themselves tend to have a lot more of compute capabilities.

They have to be updated on a periodical basis. So , the SOTA updates are going to become more of a feature. So, these are the key drivers of growth for the MOVE platform in that segment.

Nishit Rathi
And we will participate in both Usage and C ore Fee, right?

AS Lakshminarayanan
Yeah absolutely. We will be char ging for the platform and there will be a usage charge as well.

Nishit Rathi
Any update you would like to share on the land parcels . You've acquired two companies you said, you will look to match that with the land.

Kabir Ahmed Shakir
Once we have something, we will announce . All the small, small land parcels that we have on a very transactional basis, we take a call whenever we get the right value for it. The large parcels, a lot of work needs to be done in terms of the title and stuff like that. So as and when we have news, you will get it from us.

Chirag Jain

The next questi on is from the line of Santosh S inha from Emkay Global . Santosh , you have been requested to unmute. Please unmute yourself and ask your question.

Santosh Sinha
I think, regarding the margins, when we look at the underlying EBITDA margins , it's true that 22.1, that is still a decline of around 50 b ps QoQ. So, what has led to this declining margin on an underlying basis and if we look at the margin improvement going forward , which will drive more margin improvement for the compan y, is it Switch or Kaleyra.

Kabir Ah med Shakir
Let me answer the first part. Look as I mentioned, there a re quite a bit of drivers that you need to organically understand for the company, and some of them play in the quarter -on-quarter variance , some of them play in the year-on-year variance. Let me explain the 3 holistic drivers. One is the mixed effect that we have as we drive the digital portfolio harder.

They are currently coming at a lower margin, even though we have margin accretion there at an absolute level. But that's still has the weighted average it will play out as a negative mix, so we need to understand that element structuring. The second , as I said, added people costs, and those coming that's there in the year on year, but not that much in the quart

er on q uarter. This I also explain that this quarter we have spent on the M&A related expenditure, all the due diligence and investment banker fee and strategic advisor fees that we had leading up to the decision that we made to enter into an agreement with Kaleyra . So those are all the things that have impacted us, and we have been clear. Let me reiterate that both on Investor Day and in the last few quarters, we have been transparent with the street , with the investors and the analysts about wha t our outlook on margin and what our approach to margin is . Our ambition is 2 3 to 25. but if there are strategic reasons why we need to depart, we will take that call.

However, our return on capital employed and return on that will b e robust , greater than 25% is what we would like to aim at. And again, when we have some huge investments coming in, if again it dips a little bit here or there, there's a lot of headroom available there. Structurally, , we are a much healthier business, and we continue to retain the focus on the healthy balance sheet. I don't want to kind of speculate on whether it's Switch or Kaleyra . Each of them has their own demand drivers. Each of them has their own positives that they bring to Tata Comm and the synergies have a different gestation period and a different dimension to it.

So, I wouldn't compare, you know, between Switch or Kaleyra . I think all of them are part of my digital portfolio and have a have a very strategic role as they do. So, the mix of what is having a higher net revenue margin, and LoB c osts or what is the capital that each of the business demands that will vary, depending on the nature of the business. So, I wouldn't really take a judgment o f the business on looking at just one KPI in isolation. It needs to be looked at in totality.

Chirag Jain
The next questi on is from the line of Urmil Shah from Ageas Life Insurance . Urmil , you have been requested to unmute. Please unmute yourself and ask your question.

Urmil Shah
First is with regards to o ur strategic roadmap, regarding two acquisitions already been done and Kaleyra being a sizable one, so would it be reasonable to assume from the next 4 to 6 quarters point of view, you will first look at integrating and taking the synergy benefits from it or you still are seeing many opportunities at the marketplace.

And just the second part again on the mar gin in front . While from o ur Outlook, in the medi um term for 23 to 25% margins, the organic business will have to offset the impact of the M&A. So, would it be reasonable to assume that at

least for FY23 and 24 , this is the period when you would continue to invest both in the organic business and more consolidation of M&A and a better margin range would be achievable fr om 25 and beyond.

Kabir Ahmed Shak ir
Let me take both of them. There were many M&A opportunities that we had. So, there is no target, or a goal seek that we have. We have clear operating principle s as to how we look at M&A. We explain ed that in our Investor Day and let me repeat. It must have a strategic fit for us. It needs to create value for Tata Comm and all its stakeholders and therefore we will act responsibly. No w, we knew back then when Lakshmi talked about strategy on a page and called out financial fitness as an important lever.

Because unless and until we got our balance sheet in order, I don't think we would hav e been able to participate in M&A game . And again, we were spectators in the past. Now , we are actively participating . There is a separate engine , separate side of the of the business, which is continuously evaluating these targets and they w

ill bring those targets to
us and we have a governance mechanism where these targets are evaluated and then looked at . Of course , there are many factors that go into play, our ability to acquire , to fund it , our ability to execute and integrate . So, there are a lot more factors that go into the place. So, I can't tell you that for the next few quarters we will not do i t or do it. I don't have a definitive answer. All I can tell you is that M&A plays a very, very strategic and an important role in our growth aspirations and that will continue to be so . As far as EBITDA margins are concerned , I cannot tell you if it going to be FY2 4 or FY25. I don't know if it would be 6 to 9 months or maybe sooner than that we would be able to close the Kaleyra acquisition and integrate that. And as we do that, you can do the mathematics as to what will be the impact on EBITDA, on PAT, for us. It will have a dilutive effect for 1 or 2 years until we get the entire synergy benefits, kicking in and restore Kaleyra back to its growth trajectory and convert that into a profitable business. The existing business, I wouldn't make that assumption that it needs to make up for it. Existing business on its own has its margin drivers , has its own plan on how to improve profitability and how to drive overall success for that portfolio, both top line and margin progression. So that will continue. And just because we have an acquisition doesn't mean someone else needs to overcompensate , that's why we talk about being responsible. Every element of the business needs to its potential and deliver to the best of its pote ntial. So, that's how we will actually manage, and I wouldn't want one to be compensated for the other which indirectly then means that those businesses are then s tarved of the investments that they otherwise deserve. So, that's how I would sum up my response to your question.

Chirag Jain
The next question is from Saurabh Sadhwani from Sahasrar Capital . Please go ahead and ask your question.

Saurabh Sadhwani
So, I just wanted to understand one thing. If for the long term let's say, 4 to 5 years what are our aspirations for revenue and revenue mix?

AS Lakshminarayana n
We said that we want to double our data revenues in four years' time .

Saurabh Sadhwani
The data revenue is still 80% of the portfolio . So, what about the other things?

AS Lakshminarayanan
The thing is only voice . Other than data it is only voice and voice is declining business . When you talked about aspirations , especially aspiration for growth. The aspiration for growth comes from the data business and the data business will double. And within that, the di gital portfolio will have to grow at an even greater pace and that is why we are looking at strengthening all digital portfolios , whether it is connected solutions or connected experiences or

the entire connected di gital infrastructure that we have . And those are the portfolios that we are investing in and strengthening in order to be part of the digital transformation of our customers . In 4 years', time, we said that we want to evolve from not just being a platform player but to become a digital fabric for enterprises . So, these are the aspirations that we have we have laid out which we discussed in the Investor Day, quite extensively.

Saurabh Sadhwani
And also, the data revenue would be at the same percentage as the overall revenue .

AS Lakshminarayan an
It will not, so, as a data revenue grows, then the voice, looking at the current trajectory, the voice is declining. So, I haven't worked out then what percentage will data be. Largely when we talk about the st

rategy, the voice, everybody
knows is a declining b usiness. And data is the business that we are focused on. So, when we talk about our strategy, we are largely focused on the data side.

All our articulation of our strategy is in line with that aspect of how we want to grow the data business. Encourage you probably look at our investor presentation, which is up . Have a look at this, I think probably these are all questions that have been already answered in our presentations .

Chirag Jain
This brings us to the end of the Q&A Session. I would now request Lakshmi to share his closing comments.

AS Lakshminarayanan
It's been truly a very exciting quarter. We call it a pivotal quarter at Tata Communications , the growth in the data growth , in the digital portfolio is phenomenal. The major announcement that we made of completing the switch transaction is truly a landmark event in our media business. The announcement of Kaleyra is another important milestone in this growth journey . So, we are very excited about the future and excited about the fact that we are becoming more and more relevant to the digital transformation of our enterprise customers.

Chirag Jain
Thank you, Lakshmi. This brings us to the end of the call. In case of any queries, please write to investor.relations@tatacommunications.com. T he recording will be available on our website in the next 24 hours. You may disconnect now. Thank you.

Call: Jan 2024

January 18, 2024, at 06:30 pm IST

Q3 FY2024
Earnings Call Transcript

MAIN Participants :
AS Lakshminarayanan , Managing Director and Chief Executive Officer
Kabir Ahmed Shakir, Chief Financial Officer
Rajiv Sharma, Head, Investor Relations
Chirag Jain, Deputy General Manager, Investor Relations

Chirag Jain

Good evening , everyone and welcome to the Tata Communications earnings conference call for Q3 FY 24. We are joined today by our MD and CEO Mr. Amur Lakshminarayan and our CFO. Mr. Kabir Ahmed Shakir and our head for Investor Relations Mr. Rajiv Sharma. The r esults for the quarter ended 31st December 2023 have been announced today afternoon and the quarterly data back is available on our website.

I trust you would have had the chance to look through the key highlights. We will commence today's call with comments from Lakshmi, who will share his thoughts on the business and long -term outlook, followed by Kabir, who will share his views on the financial progress achieved. At the end of the management's remarks, you will have an opportunity to get your queries addressed.

Before we get started, I would like to remind everyone that some of the statements made or discussed on the conference call today may be forward -looking in nature and must be viewed in conjunction with the risk and uncertainties we face. A detailed statement and explanation of these risks are included in our annual fili ngs, which you can locate on our websit e www.tatacommunications.com.

The company does not undertake to update these forward -looking statements publicly.

With that, I would like to invite Lakshmi to share his views. Over to you, Lakshmi.

AS Lakshminarayanan

Welcome to all of you for the 3rd quarter FY24 earnings call . This being the 1st call for the year , want to wish you all a very Happy New Year. We are very pleased to share that our reported revenues grew by 24.4% Y -o-Y, our reported EBITDA is up 5.3% Y-o-Y and 11.7% Q -o-Q and our Adjusted PAT (excluding exceptionals) was up 13.9% Q -o-Q. Further , we are very happy to report that quarterly revenue crosses the INR 5,000 crore mark and our data revenues crossed the INR 4,000 crore mark, coming in at INR 4,618 crore and were up 15.6% Q -o-Q and 28.5% Y-o-Y. Digital services are now 45% of the total data business, in line with our aspiration of 50% and this positions us firmly as a leading Com mTech Player. This is an important milestone from where we started 3 years back.

Our underlying data revenue growth at 6.6% Y -o-Y was affected by macro conditions. Our YTD reported revenue growth was at 15.1% on a consolidated basis. Our YTD reported data revenues were up 20.1% and up by 10.2% from an underlying

perspective. A s
part of our financial disclosures, we are reporting bot h underlying and reported numbers as part of our commitment to the highest
standards of financial disclosure and governance. That said it is important to recognize that Switch and Kaleyra are being ru n as
integrated businesses. For example, Switch and our Media is led by one business leader. We have already moved to a structure for
Kaleyra, DIGO and InstaCC where they are in one Customer Interaction Suite unit and led by one business leader. Customer opportunity will be looked at holistically as opposed to looking at it from an individual product lens.
Coming to Profitability, our efforts have enabled us

to report 11.7% growth in Q -o-Q EBITDA this quarter, and I am encouraged to
share that we have been able to fast track the cost synergies of our Kaleyra acquisition. For Switch the EBITDA losses have n arrowed
down further and we hope to accelerate our path to EBITDA breakeven. This qua rter the EBITDA margins came at 20.1% versus
20.8% previous quarter. The drop in margins is primarily due to the change in revenue mix as the revenue share of digital por tfolio
keeps increasing. On the subsidiary review which I talked about last quarter, we are making good progress and we have mutually
agreed to exit a large contract in TCTS which was not profitable, and we will share more on the review as we progress.
Now coming to our segmental performance. Our Core Connectivity business revenues grew by 4.3% Y -o-Y. To remain relevant and
to be the part ner of choice for our customers, we continue to enhance customer's experience by enabling our customers to consume
our services digitally.
Our Digital Portfolio revenues stood at INR 2,099 crore , growing Strongly at 78.2% Y -o-Y and 44.1% Q -o-Q, aided by consolidation of
the Kaleyra financials. Underlying Digital Revenues grew by 11.4% Y-o-Y this quarter, YTD underlying revenue growth is at 18.3%.
From a YTD perspective except for Incubation , all segments have grown mostly above 20%. Next Gen in particular is up 43.6% YTD
and Collab which was a drag until last financial year is up 10.2% on YTD basis. Our underlying Collaboration Portfolio grew by 4.4%
Y-o-Y and by 3.1% Q -o-Q. The growth is on the back of robust traction in our Customer Interaction Suite which has offset a seasonal

decline in the usage -based revenues this quarter. With the joint capabilities of both Kaleyra and DIGO it helps us to position as a
formidable player. We remain committed to building an intelligent and contextual multichannel communications solution and creating a customer category of CIS to help us scale growth. We recently enabled Singapore Airlines transform the airlines communications and collaboration tools to enhance employee productivity and boost user experience. This new transformative
initiative d elivered on Tata Communications GlobalRapideTM platform will help the airline create new benchmarks in customer
experiences.
Our Next -Gen connectivity offerings revenues declined by 1% Q -o-Q and up by 37.9% Y -o-Y. Our new offerings like Managed WIFI &
IZOTM Multi Cloud Connect, Flex SDWAN and SASE continue to gain solid traction with enterprises. Case in point is JLR where we
further strengthened our partnership by deploying our digital fabric comprising our agile infrastructure, platforms, and mana ged
services, that will help integrate JLR's syste ms, workforce, suppliers, stakeholders, and customers across the globe, delivering a
seamless flow of data to enrich key aspects of the business ecosystem. Our Cloud and Hosted Security revenues improved by 12.5% Y-
o-Y. Our IZOTM Private Cloud, encompassing both IaaS and PaaS, grew well above the teens.
Media business revenues including revenues from Switch were sequentially up by 0.6% Q -o-Q and 110.3% Y -o-Y. Excluding Switch,
media business revenues were up 6.5% Y -o-Y. With the c ombined capabilities of Switch and our MES business , we are very well
positioned to capture incremental opportunities both in global and regional sports video market and with a key focus on incre asing
wallet share from the existing customer base.
Moving to our Incubation portfolio, we witnessed a flat quarter. Muted growth this quarter is on the back of a large customer

implementation we delivered in the same period last year internationally. Our MOVETM business continues to grow as we strengthen
the segments we operate in while exploring newer avenues. We also continue to stabilize international opportunities and design
wins in the IoT segment to propel this portfolio forward.
To summarize, we believe that our global digital fabric is a powerful concept which enterprises, especially in the internatio nal markets are beginning to realize. We are confident about the larger opportunity and with this strong conviction, we will cont inue to
improve and derive value of these organic and inorganic investments and continuously augment our capabilities. With this, I w ill
now request Kabir to share the financial highlights.

Kabir Ahmed Shakir

Thank you, Lakshmi. Good evening, everyone. I will take this opportunity to discuss the highlights of our financial performance for
the quarter.
This has been a historic quarter for us as we surpassed the benchmark of INR 5,000 crore in our consolidated revenues for the first
time ever. Our data revenues continued their healthy growth momentum, despite the macroeconomic uncertainties amid a challenging demand environment. Our reported revenue for the quarter stood at INR 5,633 crore, improving by 24.4% Y -o-Y and
15.6% on a sequential basis. Normalizing for Forex, our Consolidated revenues grew by 22.6% Y-o-Y and 15.1% Q -o-Q. Data revenue
for the quarter stood at INR 4,618 crore, growing at 28.5% Y -o-Y and 15.6% on a sequential basis. The underlying data revenue
growth stood at 6.6% Y -o-Y. Revenue growth for our digital portfolio stood at 78.2% Y -o-Y and 44.1% Q -o-Q, driven by the consolidation of the Kaleyra acquisition.
Moving to margins, our reported EBITDA margins for the quarter came in at 20.1% and underlying EBITDA margins were at 21.7%.
Our core business margins excluding subsidiaries were at 23.6%. Our absolute EBITDA stood at INR 1,134 crore, improving by 11.7%
Q-o-Q and 5.3% Y -o-Y, aided by a strong focus on driving profitable growth from our organic and inorganic investments. I am delighted to share we continue to succeed with our Fit to Grow strategy with Kaleyra turning EBITDA positive, ahead of our expectation s in the first quarter of consolidation itself and Switch too making good progress towards EBITDA breakeven. We believe
there is room to drive more value from both the organic and inorganic investments we have been making and we see multiple lev ers
to achi eve this.
Net debt stood at INR 9,310 crore and net debt to EBITDA at 2.21x, ROCE for the quarter at 21%. Our increased debt levels and

sequential decline in ROCE is driven by Kaleyra acquisition. Cash capex for the quarter stood at INR 630 crore and the ramp -up is
attributed to payments coming up for capex projects committed in the prior year as suggested previously. FCF for the quarter is at
INR 77 crore. These financial KPIs are very much in line with our expectations. PAT for the quarter stood at INR 45 crore driven by
one-off provision of INR 206.6 crore pertaining to the recent apex court judgement regarding the treatment of license fees being
capital in nature and not revenue expenditure for the purpose of computation of taxable income. Though the Company is not a
party to the above judgement, as a matter of prudence the Company has assessed and taken the aforesaid provision.
Moving to subsidiaries, our Payment business today has more than 95% of the current quarterly revenues coming from the Franch ise
model. We have 4600+ Franchise ATMs and only 128 Company owned ATMs, with this reversal being achieved in just 24 months
result ing in the business turning EBITDA positive. TCTSL revenues improved by 10.7% Y -o-Y due to improving customer engagement
and better pricing. We have mutually agreed to exit
a large contract in TCTS which was not profitable, and this will improve overall
business health. Secondly, we have reported revenues from The Campaign Registry – the information hub that allows us to register
messaging campaigns as part of our subsidiaries as it is being separately managed as a subsidiary as well. This is a business

which is
part of o ur recent Kaleyra acquisition.
Over the last few years, we have focused on changing the texture of the business to significantly improve the customer releva nce
quotient and drive sustainable and profitable growth. Our finance strategy of Fit to Compete and Fit to Grow allowed us with the
elbow room to invest in inorganic capabilities to improve strengthen our CommTech positioning. To sum up, we will continue to
invest in building long -term capabilities which will help us cement our moats and our long -term ability to consistently create value
for our shareholders.
I will now ask Chirag to open the forum for Q&A.
Chirag Jain
Thank you, Kabir. We will now open the queue for Q&A. Please raise your hand and ask your question. We will unmute you accordingly. We will wait for a minute for the queue to assemble.
Chirag Jain
The first question is from the line of Sanjesh Jain from ICICI Securities. Sanjesh, you have been requested to unmute. Please unmute
yourself and go ahead and ask your question.
Sanjesh Jain
A couple of questions, first of all congratulations on successful integration and probably a much better performance from the acquisition. So, let me start with that. Can you help us understand what are the synergies benefit? Last quarter Kaleyra was a -5%
EBITDA margin and this quarter we have achieved a positive PAT, which is a significant improvement in the performance of K aleyra .
So, what are the synergy benefit s and number two, what is the underlying growth in Kaleyra for this quarter?
Kabir Ahmed Shakir
Let me take the first part and I will come to the second part in a bit. Let me just say on that integration is complete and we are far
from it. We have just started that journey. So, there are 3 components to any acquisition, the most important part is integration.
We have a project management team in place, which is tracking various milestones in the integration, that is on track. We have
revenue synergies, and we have cost synergies , as Lakshmi mentioned, and I eluded further the cost synergies we have actually fast
tracked it. We had enough window available for us even the Pre close itself to understand what the levers are . Just say, it was a SEC
regulated and NYSE listed company . So, alongside came a lot of costs with that kind of a regulated structure. So obviously we were
going to delist within 10 days of the closing o f October 6th, on October 6th we delisted from NYSE and there were multiple other low
hanging fruits from a cost perspective, which we were quick to take it out. So, I would say that's definitely one lever which we have
fast track ed and therefore we have no w seen that CIS portion of Kaleyra has turned EBITDA positive as a result. We continue to have
the focus, on the business to drive the revenue synergies and of course the Synergy of growth, the combined portfolio of DIGO,

Insta CC and Kaleyra forming part of the new category that we are working called CIS which is going to drive the entire thing and we
are quite energized by that.
AS Lakshminarayanan
Sanjesh , let me add , one quarter would be too soon to call a success. I think, the teams are extremely focused. We are very excited
about the talent that we have of the combined teams. As mentioned, we are going through this with a very disciplined
execution .
So, this whole integration will take time extracting all the cost synergies, driving all the revenue synergies, getting all the p roducts
and platforms together we will further invest in making the product more intelligent by adding AI and other capabilities. So , we have
some ways to go. So, we are very pleased with the beginning that we have made.
Sanjesh Jain
Great and on the revenue growth in Kaleyra for this quarter?
AS Lakshminarayanan

Again , only one quarter , it is too soon to call out any quarterly trends and so on so forth.
Sanjesh Jain
How has been the Switch experience? Because there I can see there is a 25-crore reduction Q-o-Q on the losses last quarter was 37
odd crore and we have brought it down to 12 crores . Is it again, a combination of cost and revenue or it is just, cost as of now because revenue , tends to look like a flattish Q-o-Q where we had a cricket event also in India , I thought that should have benefited
us.
AS Lakshminarayanan
I think the media on the Switch again, we are going to the execution on the cost and the revenue synergies. As you pointed out the
losses are narrowing, and we will soon be breaking even that. From a revenue standpoint, there are multiple things that play for the
media businesses and Switch, we have to invest more on the on the front end, which we will be doing. So, there were some one-off
revenues what they call is occasional use revenue and that was a long tail. We are consciously looking at the long tail to see should
we be having the long tail or focused on. Larger properties and larger contracts and the business is going through that transformation
and aligning to what our Media business has been doing. On Y-o-Y business , overall media revenues , you would see, last year we
had a World Cup, which gave us a boost . Otherwise, there is nothing on the revenue f ront.
Sanjesh Jain
One last question on the acquisition. We have earlier guided for a double digit in margins in Kaleyra is what we are targeting. With
this initial start, do you think that is possible in the next 18 months to 24 months?
AS Lakshminarayanan
I think we mentioned that we want to break even in the short term, and we said in the medium term we want t o achieve double
digit and that's what we will be doing . I think we will execute, and we will let you know the progress. But again, I understand one
quarter is too soon to call out many things. We did say that is our direction of travel, and that is what we would be doing.
Sanjesh Jain
My follow up question, on the core business o r underlying business . We have seen this quarter of material deceleration in the
revenue growt h, 11% growth in digital Vs YTD 18%. If I remove this quarter , we were upwards of 20%. What has led to sudden
deceleration in the growth and how does our order book look like for remainder of this year and next year .

AS Lakshminarayanan
Again, I will take more of a YTD perspective in this. We have been saying that there is a deceleration in digital . One, it is largely
attribute to the macro, I think last quarter also you asked the same question in terms of deceleration, and I answered the same
thing, the macro condition are still not very favourable . So, if you look at other companies in the same domain, I think they followed
the slow down. The positive that I'm going to look at is with our expanded portfolio , our levels of participation in larger opportunities ,
the funnel is therefore healt hy. On the decision making of cust omers, as I called out in last two quarter s, I think it continues to be
longer than normal, those are the conditions that we are in.

Overall given the macro conditions , I think our growth is still very
creditable and we are quite pleased with what we have delivered. Of course, we can be doing more as the conditions improve .
Sanjesh Jain
Any more colour on the order book , how do you see it growing? Because we were growing at dou ble digit earlier . Are we still doing
that? Because, we have invested significantly out on the foot on the street particularly on the international market , product expansion . So, this should have significantly expanded our reach as well as the wallet share. I thought it should help us right now.
AS Lakshminarayanan
It is improving . So, our international growth is quite good. I wouldn't say all the regions in international geographies are firing. I think

certainly there are certain markets which are firing very well, and we are seeing a good double digit, one of the markets is delivered
upwards of 20% and one of them is just shade below 20% . All regions are yet to fire . Those investments will pay dividends and as I
called out, with our expanded portfolio, our levels of conversation and engagement with customers are definitely i mproving .

Sanjesh Jain

One last question probably on the balance sheet side , before I come back in the queue . The cash conversion appears to be quite
weak for last two quarters , that is driving net debt higher than our acquisition cost. Is there anything change that we are seeing in
the cash conversion along with the decision making getting slower in the deal? Are we also seeing a delay ed payment from the
customer side?

Kabir Ahmed Shakir

I am acutely aware of that. There is no cause for concern . We did have in the past a lot of tax refunds that team meticulously went
ahead and then collected. So, after a point that indeed dries up. There is very little left to skim out there. Working capital there were
indeed challenges in the in the previous quarter , not in this quarter. This quarter is better, although we could, we could have done
little more than better than what we should have. Our capex is going up if you recall last year, when our approved capex was higher,
the cash cap ex was actually lower because of delayed deliveries and better payment terms that the supply chain teams had
negotiated. So, all of that catch up is happening in these quarters. Now, where the cash capex is actually higher than the approved
capex. I would say a combination of all these things , which is why we are seeing the impact on the free cash flow.

Chirag Jain

The next question is from the line of Santosh Sinha from Emkay Global. Please go ahead and ask the question.

Santosh Sinha

My first question is regarding our trade receivables. What we have seen is that there has been a marked increase in the trade
receivable to INR 2 billion from INR 1.7 billion in the last quarter from one of the customers. So, what is the plan of the company to
actually recover this receivable and what is the way forward for this? Second question is regarding the slowdown in growth, in terms
of incubation in particular. So, incubation was down 2% Y-o-Y basis , what is the key reason for that?

Kabir Ahmed Shakir

Let me take the receivable question first, there is nothing to worry, it is just a consolidation of Kaleyra, when we actually added the
Kaleyra financials to us. We have obviously added all the P&L item and the balance sheet items as well. The addition of Kaleyra when
you add together, se es the absolute increase in receivables , the days outstanding, which we track as a KPI is completely under
control.

AS Lakshminarayanan

On the integration, I think I mentioned , there is one port
folio, which got affected because of a large contract that we had last year
in the international region in IOT. That project was delivered and that's all bumped up in revenue. So , Q-o-Q basis, we are seeing
that. Other than that, MOVETM, which is a major part of the integration on a YTD basis, we are seeing a good growth.

Santosh Sinha

Next question is regarding core connectivity, there also we have seen some moderation in this quarter, 4.3% Y-o-Y growth versus
7% last year , it is actually a decline of point 0.7% on Q-o-Q. So, what has led to this core connectivity and how we can see this in the
long term.

AS Lakshminarayanan

Core c onnectivity has always been called out in the long term. You know, i t will be in single digit, mid -single digits is what we called
out. I think, last year and a couple of years , there was a lot of investment by the cloud providers, the major cloud providers and
other CSP's which helped to drive the core connectivity. Within our enterprise segment , the core connectivity is still holding up.

4.3% is better than what fo r medium term what we had anticipated the core connectivity to grow at.
Santosh Sinha
One last question, regarding the margin outlook, in the long term. Since this quarter it is better than what we were expecting. How
should we see that in the long term? Overall, the margins going forward , is there a lot of synergy benefit that will come through or
going forward , the synergy benefit will not be as strong as we have seen in this quarter. How should we look at the margin in terms
of long term .
Kabir Ahmed Shakir
Let me remind, our long -term ambition is to stay in the 23 to 25% EBITDA margin ra nge. With the acquisitions that we have done in
Switch and in Kaleyra, mathematically one can do what that impact was. We are slightly , just one quarter, better than what it would
have been because we have accelerated some cost synergies . Having said that, our guidance that in the medium term we will get
back to the 23 -25 range not just EBITDA margin, ROCE, Net Debt and all the financial KPI ranges. We will get back to that steady
state in the medium term and we are absolutely on course to get that. So , I have nothing further to add than reiterate that the only
goalpost for us on a steady state long term basis is the 2 3-25 range.
Chirag Jain
The next question is from Gautam Rathi from Chanakya I nvestments. Gautam, you have been requested to unmute . Please unmute
yourself and go ahead and ask your question.
Gautam Rathi
Wanted to understand a couple of things. Firstly, probing again , I know you've answered a lot on the growth . But if you just go back
last quarter. One of the things you had said was, the slower growth that we saw last quarter was partially because of a slowdown in
order booking that we had seen in the H 2 of last year, and we have seen much better order booking in the first half. So, is it that
some of these orders have been delayed because of the current environment, or how should we read it? Because if my
understanding is right, the orders were in the bag. And it should have given us much better growth. Is it slower execution of those

orders? Or is it churn or what has cause d this slow growth ?
AS Lakshminarayanan
I think I mentioned related to last year, in H1 we had a good order booking , and H2 had slowed down in order booking , slowing
down of the revenues , and subsequently related to H2, we were seeing good funnel and conversion, but it was not at the same level
as of H1 last year , when it was improving. So, I think the conditions are still the same. Our funnel still looks healthy , our funnel

additions and our participation levels are increasing. But I would say the overall order booking has not grown so much that we can
call out special ly. I think it got called out last time, and even this time in my commentary , is that our participation levels are increasing
and improving but the decisions are slower.
Sometimes in the funnel we shelve the opportunities because the customers are taking too long to make a decision. And we are
flushing that out of the funnel and starting all over again, but despite that our funnel looks quite healthy. So that only tells me that
our relevan ce to our customers is increasing, and our participation is increasing, but the conversion is taking time. Having said that
compared to internationally , we have seen growth, which is a good indication for us and relat ive to 2 years ago when we saw what
our digital portfolio over all was doing, I think last year we did well, and we continue to do well this year. So, this is only a reference
point compared to what it was 2 years ago . But looking at our ambition, our ambition is much greater, and we have to do more, and
we want to do more. And as in when the macro condition improves, we will be well positioned to do it.

Gautam Rathi
And this slightly better order booking in H1 versus muted order booking in H2 . I'm just trying to understand are we on a trajectory
where have we hit the bottom in terms of revenue growth, or we could see more pain if the environment remains the way we are
today right? I'm just trying to understand more colour on how should we think of trajectory ? Are we still in uncertain territories or
are we passed the worst phase that is behind us in a way ?
AS Lakshminarayanan
It's, difficult to say, Gautam . I would think I, if you're referring to QoQ growth narrative this quarter, that's why I added the YTD
growth. If you look at YTD growth parameters, they are quite decent. So, I would read more into YTD growth and extrapolate , as
opposed to looking at a QoQ or even a YoY because there are some aberrations in last Q3 to this. So, all those things I would ask you
to look at . If I look at YTD numbers, while the growth is slower, it is still much better than what the market condition is, despite the
market conditions , we are doing that is very creditable , is what I would say .
Gautam Rathi
Sorry to persist on this, but is it fair to estimate that, you know, going forward , expect YTD to continue to happen on a much more
sustainable basis ? Because there is a very sharp deceleration that has happened in the 3 quarters, right . 2 out of 4 growth services
have reported negative QoQ quarter this time. And, and I can understand that this can happen sometimes. But is it the right way to
think about it? YTD Is the right way then we can, we can think of it that way going forward?
AS Lakshminarayanan
I would think, YTD is the right way to look at it. Portfolio of various things we have. Number of things are happen ing. From overall
commentary point of view, you know, we are going to be doubling down on our efforts for marketing and sales and all of that. So,
while at the same time, being prudent on cost and driving all cost s ynergies and even in our organic business, there's a lot of cost
synerg y activities that we've carried out, even this quarter. So, we will manage all of that prudently . But on sales and marketing, we
will be doubling down because we see that we are participating in more opportunities. In fact, in international our presence is so
small that we are not participating in all opportunities that we could be and should be participating , that's because the lack of
footprint , so we have to do more .
Gautam Rathi

And with this JLR deal, if you could, you know, give some colo ur tha t in our mind it looks like this is the 1st digital transformation
deal that you really called out, right? Where you have a new -gen, network services , kind of a win kind of a deal where you are, you're
doing it at a global scale. So, have we won similar deals or there are similar deals in the pipeline that you're looking at? And is our
understanding right that it is 1 of those large transformational deals which could be a big growth driver for us going forward ?
AS Lakshminarayanan
I think there are multiple, multiple large deals that we have, Gautam. Sometimes those deals are largely, I mean over the course of
last year , in one of the major European customers, you know, we have displaced an incumbent , similarly, in APAC , one of the large
banks we displaced an incumbent with our IZOTM internet . I think the reason why we called out the JLR, is you know, while being a
large deal it e ncompasses a larger part of our additional infrastructure , because we already do connected vehicles for them, and
this will entail all the network underlay plus the overlay and the security that goes with that. And therefore, we've called out at this
deal. But there are, I mean, these are the type of deals that we are going to market within the international regions.
Gautam Rathi
And the campaign registry business, which has been a real stand out and a surprise for us. Is this , is it fair to assume that

this is like
a steady state revenue, which could only grow going forward, on a quarterly basis or is there any seasonality that we should be
aware of ?

Kabir Ahmed Shakir

I'll explain this is basically a business, which, I think Kaleyra has done ; they're quite proud of building this business in the U S. So
currently, it's just a US centric business. They are looking at how they want to grow. After a point in time, it is all then led to the
number of campaigns that are then run in that country and the growth is linked to that. But it's a robust business, which validates
and ensures that it reduces spam for both the operators and the end users and the campaign owners, as well . So that they bring
sanctity into the entire network. So, I would they are doing pretty well, and we are tracking them.

Gautam Rathi

We just wanted to understand , this is what we've clocked this quarter. It is more or less a steady state number right and it is not
driven by any specific one offs. It's not like this Q3 is a very strong quarter for them, and you know seasonality and just wanted to
get some colo ur. Because is it fair to assume that 12 0 x 4, is more like an annual revenue for them?

Kabir Ahmed Shakir

Again, one quarter, don't derive anything out of that. But, if I were to say , like any other business, it is driven by usage and the
number of campaigns that are on in that particular quarter. So, I really do not have the underlying data of what were the historical
campaigns that were actually run in this , in that country and how much share we have and therefore, so I would resist from giving
you a very straight answer of x4, that you asked. So, because underlying nature of the business is dependent on t he number of
campaigns its runs. It has a fixed fee and then a variable fee linked into it. That's how the pricing model actually works.

Gautam Rathi

And is it fair to assume that right now it's a US centric business but you will try to take this business to multiple countri es.

Kabir Ahmed Shakir

Look it all has a lot of investment linked to that, so yes one can go and it's not that easy to replicate the same business in other
geographies, because mobile network operators, the ir systems and process are different , regulation is different. So, it's really eas y
to say, other wise a lot of people would have already done it by now, plus it comes with a hug

e investment as well. So, end of the
day, they will stand in line like, many other projects in front of us, and the resource allocation will be done on the ROI that, that

particular business generates . So, I'm not going to slam dunk and say, yes, we want to expand to 5 countries because that decision
has not been taken.

Gautam Rathi

That's very fair. And that's happy to hear that you are going to be looking at it that way. That's great. Just 2 more questions , the one
off that was INR 1 85 crore, is that it , and have accounted for everything? Or is there something more to come in that?
I could not fully understand what exactly it was. So, you know, it just looks like there was some license fee that was, asked for and
you paid for the entire thing along with interest, right? Is that fair?

Kabir Ahmed Shakir

That's not what it is. There was a recent Supreme Court judgment of a large telecom operator that came in October and although it
doesn't pertain to us, we have been prudent to actually take provision . Basically , in a nutshell , the Supreme Court judgment says
that the license fee payable is not revenue in nature for purpose of computation of taxable income and its actually capital in nature
and should be amortised over the license period. So, what it basically does, is it just it's a timing difference. So, instead of , and we
have done it for the past 10 years and prudently taken that provision. So, there's no shortfall of tax , and a small amount of taxes is
because of the difference in the effective tax rate, in the various years that you actually see , but otherwise it's just the interest
component of having, if at all that comes to us then that will be the impact . Going forward until there's a resolution to this ,

there
will be true -up of the interest that will happen. So, to that extent, in subsequent quarter s you will see a true -up of the interest.

Nishit Rathi

The last thing is, right is there any update on the AGR , anything that we should be aware of ? Is there any chance of that liability coming up anytime soon for payment?

Kabir Ahmed Shakir

No, I mean if that comes up for payment , then we wouldn't have recorded into contingent liability . Whatever updates are there in the AGR we are reflecting that in our accounts. If you see in the last 4 to 6 quarters, there has been a lot of activity . The DoT has looked at our numbers . We have represented to them that they were errors on the face of it and that's the reason why you see numbers going a little down.

In fact, this quarter is because the department looked at the obvious errors and revise d their showcase notices. We still maintain our standard. This is not applicable to us. This is sub-judice and therefore whenever it comes up, we will take it, but it is sub-judice at least we did not want to have wrong numbers into the show cause notices and demand notices . So that we've been working on I would say closely , with the DOT to ensure that they put in the right numbers, and we agree the principles they put so that we know what principles we want to contest when this comes up in court.

Nishit Rathi

It's very fair Kabir . Thank you so much. Thank you so much for patient ly answering all our questions. Thank you so much.

Chirag Jain

Thank you. Thanks Gautam . Thanks Nishit . The next question from is from the line of Vinit Manek from Karma Capital. Vinit, you have been requested to unmute, please go ahead, and ask the question.

Vinit Manek

So, thank you. Most of my questions have already been answered but Lakshmi just 1 question to you, regarding AI. So, anything on that development are we doing. And do you e

xpect any material business coming in for us in the next 6 to 12 months based on the

developments? Because we have been going through a few reports and news articles saying that a lot of activities happening on the telecom side of the business also. So, any, any material advantages that we see and are we building on such capabilities?

AS Lakshminarayanan

We are building on capabilities Vinit . I think this was part of our strategy 3 years ago. Starting from training people , where we trained over a 1 ,000 people in the company . We already are seeing AI deployed in some of our processes and products, which we have taken to market, and we also are examining because this whole AI, especially after the ChatGPT/Gen AI has become quite popular with enterprises so we anticipate that this is going to require a lot of computing power, and therefore we will enhance our cloud capabilities. The IZOTM cloud capability that we already have and enhance it with AI capabilities.

Vinit Manek

Okay, got it and this 1 a bookkeeping question to, Kabir , is that we have seen a significant QoQ increase of around absolute INR 50 crore in the interest cost. So, is this something like a peak that that we can expect? Or is it a steady state -run rate that we can expect going forward and is there any one-off forex component or something in the interest cost? Because versus the net debt increase the interest co st seems to be much higher.

Kabir Ahmed Shakir

Well, we have assume d the net debt of Kale yra, as you all know, we paid about USD 100 Mn for the equity and whatever was the debt that we have assumed. And so therefore that impact will come through . At the moment the Kaleyra bond holders had a change of control clause. So, when the change of control happened , 30 days from tha t they could exercise and they exercised , and the entire USD 200 Mn of bond was repaid . We have therefore used our short -term facilities to cover that and hopefully we will recycle that with a more medium to long term instrument. So, what you see as of now, in this quarter is just that addition, and that interest costs as a result of that .

Associated with that , as well is the Fed rates that you actually see , that have been increasing . Even in the last quarter, also the increase has happened. So, therefore the benchmark rate has gone up. We have a certain portion of our debt, which is hedged but there's a certain portion that is actually open, and that's in line with our interest rate management and hedging policy. So, whatever you see is, there is a little bit of residual bit is as a result of th at cost increase .

I can't comment whether that will remain the same or not because of the refinancing that we will do hopefully at a lower cost on the USD 200 Mn plus any other financing requirement that we will have. The cash flow changes that we will do, which may mean we will reduce it. So, our ambition, as I said, is to operate under 2X and hopefully we should get the debt metric faster than the EBITDA and the ROCE metrics. So therefore, if debt comes faster down, then the interest cost also should reflect that. But these are all very dynamic things with a lot of moving parts. So, I can't give you a handle on that on interest cost per se , but those are drivers for the current quarter.

Chirag Jain

The next question is from Arvind Chetty from Dymon Asia Capital . Arvind, you have been requested to unmute , please unmute and you can go ahead and ask a question.

Arvind Chetty

This is more on Kaleyra. Assuming that you've reported Kaleyra revenues in the collaboration and CPaaS vertical , my calculations suggest Kaleyra reven

ues on a YoY basis for this quarter has sort of declined significantly from what they reported in December 22 quarter . Is that a fair calculation?

Kabir Ahmed Shakir

It is not the right way of calculating because what you see it publicly reported, including the Campaign Registry business which we have culled out and reported as part of our segment al performance. So, it would be difficult for you to do an apples -to-apples comparison that way. Our collaboration portfolio includes CIS, other aspects of DIGO and InstaCC as well. So let me assure you, it has not declined.

Arvind Chetty

Thanks, and on the reported basis, in terms of EBITDA margin , since a fair level of integration has been done, is it fair to assume that on reported basis the margins will see sequential improvement from here on.

Kabir Ahmed Shakir

I don't think neither Lakshmi nor I, said the integration is done. We just started on the integration, and we will keep laser focus on doing the integration well. I mean, for me, doing it well is more important and then doing on time and maybe ahead of time is the next thing that we look at . What we have highlighted in this particular quarter is one aspect of the integration , which is the cost synergies that have been fast tracked and therefore we have a line of sigh t and a trajectory on the EBITDA improvement , which we have said that in the near to short term, we will do break even . It just happened this the 1st quarter itself, so we are clear about that.

In the medium term is when we will actually get it to the double -digit EBITDA margin profile, and we will stay focused on that. And the reason why I'm reiterating that is there are investments that need to be made as we do the integration in the product organization , in the infrastructure, and in the platforms that combined portfolios bring . We don't want to rock them off and not achieve the revenue potential and the capability that the entire C IS platform has got . If we myopically get driven only by profitability ,

not to say that there's no focus there. But clearly, we need to balance both of them together.
Chirag Jain
Thanks Arvind the next question is from Vibhor Singhal from Nuvama . Request you to kindly un -mute . Please go ahead and ask the
question.
Vibhor Singhal
Thanks for taking my questions. A couple of questions from my side. One question is for Lakshmi . Many of the IT services vendors
that have reported results this quarter , they have talked about some green shoots appearing in the overall U. S. macro . Your sister
concern mentioned about BFSI work being up. A larger corporate mentioned about green shoots in industry spending . So, I know
there's a huge difference between the kind of clients and the work that we do but when you mentioned that we have growth in this
quarter, and the overall macro environment has been tepid. Are we also seeing some kind of conversations with the clients, which
are kind of hinting towards maybe things improving? Maybe if not in terms of the timeline, but directionally things are moving for
higher tech spends going into CY24.
AS Lakshminarayanan

I think I would definitely say overall , as all macro parameters have shown the US market is definitely in an improved condition . From
our customer and our perspective , we are seeing funnels developing there . And as I said in our case it is very different, right? In
different markets we have to increase our footprint , in the U. S. we have to do more, and which is what we will be doing. But overall,
the commentary that you heard, is accurate , and I would not want to pick out because our international presen

ce in many markets
is fairly small and anything is a big upside for us. So truly speaking, other than the slowness in decision, the macro s shouldn't be
affecting us too much.
Vibhor Singhal
So, apart from the delayed decision -making part, which continues to be at this point of time , may be same as it was a quarter ago.

So other than that, the weak macros shouldn't be too much of a concern for us.
AS Lakshminarayanan
It shouldn’t be.
Vibhor Singhal
Okay, just 1 last question for Kabir . I think you just mentioned about the intertest expense going up because of the short -term loans
that we have taken for the acquisitions. So, I think it's clearly visible in the numbers as well. So, I mean, at this point of time, I mean,
the average cost of debt we see in the report is around 6 .0%-6.3%. What is the target that you're looking at in terms of refinancing?
Where do we eventually want the average cost of debt to hover around on a sustainable basis.
Kabir Ahmed Shakir
If you actually look at, we have a debt equity structure that is that is defined for us and an optimal WACC . And that's the reason why
we talked about, our debt to EBITDA being under 2 X. So that's the optimal WACC level which I would lik e to operate under. I'm
trying to answer the question by giving you the contours of approach rather than pointing that because the context and the numbers,
and this might change and therefore the number might change and that's the reason why it's important that we marr y it to the principle.
So, we are committed to an optimal WACC . I want to stay committed to a n investment grade kind of rating . Therefore, our coverage
and service ratios need to fall within that ambit as well. We have a hedging policy which looks at giving certainty to near term P&L
and therefore hedging a large portion of that. So, currently about, I would say, 60% of us of our current loan books is hedged . And
finally, in terms of refinancing that you actually mentioned when we did the NCD issuance back in August although our

requirement was in U. S dollars , we did borrow INR because there was an arbitrag e that was available in the Indian markets, so we borrowed in Indian market and did a cross currency swap, and the landed cost of that was much cheaper than doing it directly in dollars. So, the Treasury team constantly scans the market , is in constant conversation with our banking partners, to look at the right opportunities where we will actually do. So, that's the reason why, when we did not have certainty, whether the Kaleyra bondholders were indeed end up, all their bonds. So, we just establish ed a line of credit in early December, when the bonds came up for the payment. And now we will examine what is the right structure , right market, right currency for us to be able to do the funding to replace this short term in line with our Treasury policies which I just explained about.

So those are other contours with which we will operate, not just this but I would say there are several other BAU that we have in terms of funding BAU capex , monetization activities that we do , or getting cash flow generated by the business, and everything put together. So that's the whole cash projection and cash analysis with which we review this. Almost I would say on a weekly basis with the dynamic market situation that we have . All of the other things are reviewed almost on a monthly basis.

Vibhor Singhal

Got it , thanks a lot for that very comprehensive answer. Just one small a book -keeping thing. I'm sorry if I missed that, I think you mentioned that all the debt related to the Kaleyra acquisition is in our books already or there is some still pending amount that might come in the next couple of next quarter or so .

Kabir Ahmed Shakir

The entire thing is in our books , so full balance sheet has been consolidated and its balance sheet has been taken. So, the full thing is already reflected in our results .

Vibhor Singhal

Thank You so much . And thanks for taking my questions and wish you all the best . Thank you.

Chirag Jain

In the interest of time, we will have 1 more question as the last question from Sanjesh. Sanjesh, you have been requested to un - mute. Please go ahead and ask your question. We limit this to one question.

Sanjesh Jain

Thanks for taking my question again. One, on the employees' side, I wanted to understand , you did allude Lakshmi in your initial comment that you want to repurpose the employees from both Switch as well as the Kaleyra to cross sell the Tata Communication s product. So is that agreed by the employees and what are the areas of focus for us through those employees to target in the U. S. market . What are the key areas of focus that will they drive that. And will they work along with the TCom team . How will that organization structure work ?

AS Lakshminarayan an

It's probably too early to announce externally the new structure that we put in place . But as I mentioned in my commentary , they are all working under one business leader. So, Switch , for example, is the sales teams are completely integrated. They take the offerings in a joint way; both the teams are working together to bring the power of both companies . Similarly, in Kaleyra , we are looking at the sales teams to operate as one, as opposed to two different teams.

And as we speak the training for the teams have started on the various offerings within the CIS portfolio, for example, InstaCC is a portfolio that Kaleyra does not have. So, the sales teams are being trained on that. And that's what they will take to market . Whether the Kaleyra teams will take the overall Tata Comm offering s; they are not capable of doing that . But they will work in an integrated fashion with our regional teams, to look at what are the common accounts , which of the accounts where T ata Comm is present and vice versa, which is what we called out as sales synergies which w e will start looking at and that activity has already started.

Sanjesh Jain

So, we will have both vertical and horizonta l structure because this appears to be more vertical , while I thought we were

moving
out of vertical to a more horizontal solution. Let's say a kind of an organization structure where there is a change in that, right?
AS Lakshminarayanan
Not really so, even within the Tata Comm portfolio, if you look at, we had what we call as the products -sales specialist. So, if you
look at InstaCC and DIGO , in the markets where we were operating, both in India and APAC, for example, we had a sales specialis t
team , focused only Insta CC and D IGO for instance, right they will work hand in hand with the account teams. Some of these regional
teams because they are the specialists in that portfolio. Now, the account teams are charged with understanding the customer
context and they will position the digital fabric, whether it's the network, whether it's security , with all the portfolio that we have.
But once the opportunities are qualified the sales specialist will go in to support the account teams to take the opportunities forward
and close it. So, in terms of Kaleyra , Kaleyra would be the sales specialist for the CIS portfolio . This is not any different from the
philosophy that we are operating in .
Sanjesh Jain
So that, tha

t that two layers of structure will continue and that's what we are implementing for the new coming companies ?
AS Lakshminarayanan
Yes.
Sanjesh Jain
This also means that in an upcoming year, our employee inflation will be lower than what we had historically. Right? Because, uh,

we are getting the very talented foot on street, through these two acquisition s. Will that be a fair assumption?
AS Lakshminarayanan
If you look at Kaleyra as existing business that has to grow. So, they come with that talent to sell that portfolio of CIS. So, they will
support. Whereas the sales team which covers a larger set of accounts and keeps hunting for new logos, we need to continue to
invest as we grow. So, I don't think this would make up for the future growth .
Sanjesh Jain
Fair thanks Lakshmi for answering all those questions. And again, best of luck for the company for the coming quarters .
Thank you.
Chirag Jain
I'll now request Lakshmi to share this closing comments.
AS Lakshminarayanan
My top of mind is crossing the INR 5,000 crore mark and crossing the INR 4,000 crore mark on the data business is truly a milestone
that we are all very proud of . I think we're very proud of the activities of integration that are going on, and we will execute all of this
in a very disciplined manner to deliver on our ambitions of doubling our revenues and achieving all the other financial KPIs . I think
this sets us up very well.
Chirag Jain
Thank you, Lakshmi . This brings us to the end of the investor call in case of any queries. Please write to
investor.relations@tatacommunications.com in case of any queri es. The recording will be available on the website in the next 24
hours. You may please disconnect now, Thank you.

Call: Apr 2024

April 18, 2024, at 02:30 pm IST
Q4 FY2024
Earnings Call Transcript

MAIN Participants :
AS Lakshminarayanan , Managing Director and Chief Executive Officer
Kabir Ahmed Shakir, Chief Financial Officer
Rajiv Sharma, Head, Investor Relations
Chirag Jain, Deputy General Manager, Investor Relations

Chirag Jain

Good afternoon, everyone and welcome to the Tata Communications earnings conference call for Q4 FY24. We are joined today by our MD and CEO Mr. Amur Lakshminarayan an and our CFO. Mr. Kabir Ahmed Shakir and our head for Investor Relations Mr. Rajiv Sharma. The results for the quarter ended 31st March 2024 have been announced yesterday afternoon and the quarterly data back is available on our website.

I trust you would have had the chance to look through the key highlights. We will commence today's call with comments from Lakshmi, who will share his thoughts on the business and long-term outlook, followed by Kabir, who will share his views on the financial progress achieved. At the end of the management's remarks, you will have an opportunity to get your queries addressed. Before we get started, I would like to remind everyone that some of the comments made or discussed on the conference call today may be forward -looking in nature and must be viewed in conjunction with the risk and uncertainties we face. A detailed statement and explanation of these risks are included in our annual filing s, which you can locate on our website www.tatacommunications.com. The company does not undertake to update these forward -looking statements publicly.

With that, I would like to invite Lakshmi to share his views. Over to you, Lakshmi.

AS Lakshminarayanan

Welcome to Q4 FY24 Earnings Call. FY24 has been a milestone year for the company as overall revenues surpassed the 20,000 crore mark and data revenues the 17,000 crore mark. I am happy to share that our reported 4QFY24 data revenue were up 26.9% YoY for and grew 21.9% on a full year basis. Incremental data revenues for this fiscal year were at INR3,085 crore of which Core contributed 18.5% and digital 81.5%.

Our 4Q FY24 EBITDA is up 2.1% YoY and full year EBITDA was lower by 2%. Our full year EBITDA margins were at 20.2% and 4QFY24 EBITDA margins were at 18.6%. Our Core EBITDA (excluding subsidiaries and the impact of acquisitions) for the year is at 23.7% wh ich is well within our ambition range of 23 -25%. Coming to the margins and dip we see this year, there are five factors which have affected and I have talked about these before, these are, our organic investments in people and platform, both in the markets and building the platform, our M&A related expenses this year, consolidation of acquisitions which are loss -making, a drag from subsidiaries and a change in mix revenue to digital. Let me share that we have improvement plans in place across all these para meters that we would see from cost of trajectory from margin side as well as the investment on the growth side. We remain confident about doubling of data revenues by FY27 and we are aware that we need to grow 15% -20% every year in order to make this happe n. While I had called out that our reported Data revenues grew by 21.9% on a full year basis, our underlying data revenue growth for the full year was at 8.8%, tad lower than 10% in FY23 affected by macro conditions. In this context let me talk about our orde r book and funnel. While f

unnel continues to be robust, order book has been flattish for the past few quarters and I had call them out before. There are two parts to this order book, Enterprise which is large focus of majority team members of sales and the OTT/SP segments. Enterprise order book continues to be robust; both India and International enterprise revenues have witnessed a positive growth momentum and grown double digit. Our India enterprise revenues grew by 12.6% and our international enterprise revenues grew by 10.5%, with some of the international regions growing more than 20%. However, the other part of order book which accrues from OTTs/Hyper -scalers and the Service Providers has been lumpy in the last couple of quarters.

An equally important aspect is with the CIS portfolio getting larger, a good part of our revenues are now usage revenues, and they don’t reflect in the Order Book. As such two aspects that you need to make note of, first that business model is moving towar ds an element of usage and usage revenues will be cyclical in nature. I want to re -emphasize that Switch and Kaleyra are being run as integrated businesses with our CIS unit and Switch with our media unit and I

mentioned before they are all led by one lead er-age as an integrated business. Customer opportunity is being looked at holistically as opposed to looking at it from an individual product lens. Moreover, new business opportunities are being taken up by Kaleyra as it is our go to platform for our CIS a mbitions going forward and this started happening even after some of DIGO opportunity is done on Kaleyra paper in the last quarter as well. Incrementally the health of

the overall business will not only be governed by order book, but it will be a combination of order book and usage.
Coming to our Digital Portfolio performance. Our Q4 Digital Portfolio revenues stood at INR2,082 crore, growing strongly at 71.6% YoY. For the full year, the Digital Portfolio grew by 55.4% on a reported basis and by 14.7% on an underlying basis. Our Digital Portfolio have grown at 2 -year CAGR of 37%and all parts of the portfolio have delivered with Next Gen growing at a CAGR of 30%, Cloud at 21%, Collab & CIS at 40%, Media at 64% over the last 2 years. Media excluding Switch has grown at a CAGR of 21%. Our Collaboration and CIS portfolio excluding Kaleyra has a 2 -year CAGR of 5%. This is a complete reversal of a declining trend this business faced till FY22.
A couple of thoughts on our medium -term aspirations. We remain confident about our data growth ambitions as it continues to be driven by our expanded portfolio of capabilities as well as our increasing customer relevance. Our acquisitions and organic capab ilities have made our digital fabric more relevant to enterprises today as we help them solve challenges with their cloud strategies and simplifying their network transformations. There has been slowness in decision making which has hurt growth but with ou r expanded portfolio we are very well prepared to benefit as macro starts improving. Our medium -term structural drivers continue to be our India market leadership, our expanding scale in international markets, our increasing customer relevance and our new product rollouts including AI cloud. One of the other growth catalysts for us has been the acquisition of new logos and in FY24 the new logo revenues were up 90% YoY, albeit a smaller base testifying our increasing relevance across domains.
To summarize, we believe that our global digital fabric is a powerful concept which enterprises, especially in the international markets are beginning to realize. With our network fabric, cloud fabric, customer interaction fabric and IoT fabric

we are addr essing a large number of problems that enterprises are faced with and our digital fabric is coming out as a reliable, agile and resilient solution to them. We are confident about the larger opportunity and with this strong conviction, we will continue to i mprove and derive value of these investments and continuously augment our capabilities.
With this I now request Kabir to share financial highlights.
Kabir Ahmed Shakir
Thank you, Lakshmi. Good afternoon, everyone.
To begin with, FY24 has been an eventful year for us. The year saw the Fit to Compete and the Fit to Grow pillars of our Financial Strategy come to life. Our focus on driving profitable growth, strengthening our balance sheet laid the foundation to enable us to complete 3 acquisitions in a single year while investing incrementally in our organic capabilities. Some of these inorganic and organic investments were solely on the back of internal cash accruals. We are encouraged by the early success we witness a s the integration of Switch with our Media business; and Kaleyra with DIGO is progressing well ahead of anticipated timelines. Our financial KPIs have departed because of strategic actions we have taken, that said their performance is in line with our expe ctations. As we harvest revenue and cost synergies from these investments, we will see these indicators come back to their ambition range over the medium term.
FY24 was a historic year as we delivered the highest growth in our Data Portfolio, coming in at 21.9%, and crossing the 17,000 Crore mark for the first time ever. Our FY24 underlying data revenues grew by 8.8% on a reported currency basis. The reported rev enue numbers this year continue to have certain forex benefits accruing from a strengthening dollar. Normalizing for Forex, our underlying data revenues grew by 6.6% YoY and the positive impact on consolidated EBITDA margin is seen at 20 bps. Our reported EBITDA came in at 20.2% this year on the back of investments in our organic and inorganic capabilities. Our Core EBITDA (excluding subsidiaries and the impact of acquisitions) for the full year is at 23.7%, which is well within our ambition range of 23 -25%. Our ROCE came in at 18.8% driven by the impact of a rolling 12 -month average of our EBIT performance, which has an element of dilution from our inorganic investments over the last 6 months and increased capital allocation for organic opportunities. The R OCE numbers will witness a further dilution over the next 2 quarters as the full impact of Kaleyra gets baked in.
Going forward as we benefit from the synergies from our acquisitions and begin realizing operating leverage from our

organic investments, our profitability will improve further. On the KPIs it will be fair to say that the first improvement you will see is on leverage, and this quarter there is a marginal improvement. This will be followed by improvement in ROCE, and EBIT DA margins. Our focus continues to be on creating elbow room and capacity for multiyear growth as we have to be ready to participate in new opportunities including AI cloud, multi cloud connectivity and CloudLyte.
Now coming to our quarterly performance. Our Consolidated Revenue for the quarter stood at INR5,692 crore , improving by 24.6% YoY and 1% on a sequential basis. Data revenue for the quarter stood at INR4,656 crore , improving by 26.9% YoY and by 0.8% on a quarterly basis. Our EBITDA margins for the quarter were at 18.6%. Our PAT margins for this quarter stood at 5.6%. We have provisioned for a deferred tax asset this quarter amount to INR186 crore on account of an assessed recoverability of the past tax losse s, as we redomiciled our international business

from Bermuda to
Switzerland. Our cash from operations for this year was INR2,829 crore and FCF for the full year was INR747 crore .
Net debt for the quarter stood at INR9,126 crore and net debt to EBITDA is now at 2.16x. Cash Capex for the quarter stood at INR435 crore , though our approved capex is close to INR1,131 crore largely driven by our commitment to invest in new opportunities and technologies underpinning our consistent focus on investing for growth.
Moving to subsidiaries. TCTS revenue improved by 9.1% on a full -year basis. Our Payment business is now a 98% Franchise
Model, which has helped improving the business margins over the last couple of quarters. This quarter the margins came in at 13.2% again st 9.4% last quarter.
Our energies on a continuous basis are oriented towards driving the right capital allocation across the organization with an eye on return for every penny invested. With a robust capital governance framework in place, we are investing in the right opportun ities to help us stay ahead of an ever disruptive technology curve. Our investments today are helping us participate in megatrends such as the AI, Cloud, and enhanced collaboration experiences. At the same time, we are also optimizing resources through an ongoing strategic review of our businesses and subsidiaries. We are confident that these levers will sharpen our moats and help us improve our margins trajectory in the medium term and deliver the right value to our customers and shareholders.
I will now ask Chirag to open the forum for Q&A.
Chirag Jain
We will wait for a minute for the queue to assemble. The first question is from the line of Sanjesh Jain from ICICI Securities. Sanjesh, you have been requested to unmute. Please unmute yourself and go ahead and ask your question.
Chirag Jain
Sanjesh you have been requested to unmute. Please go ahead and ask your question. We are unable to hear you.
Sanjesh Jain
Chirag, can you hear me please?
Chirag Jain
Yes, please go ahead .
Sanjesh Jain
Sorry there was some technical problem. Good afternoon , everyone.
AS Lakshminarayanan
Good afternoon Sanjesh, go ahead. Not sure if your connection is bad. We can’t hear you. Why don’t we take the next one and come back?

Chirag Jain
Next question is from the line of Balaji Subramania n from I IFL Securities. Balaji, you have been requested to unmute. Please go ahead and ask your question.
Balaji Subramanian
Am I audible?
Chirag Jain
Yes, Balaji, you're audible. Please go ahead.
Balaji Subramanian
Good afternoon and thanks for taking my question.
My first one would be a bit on the housekeeping side. If I look at the EBITDA performance of Switch and Kaleyra , there seems to be a INR110 crore negative swing , quarter on quarter. So , could you share some light on what exactly resulted in this? Is it some kind of one -time severance cost or one -time restructuring cost or something? And how should one look at it going forward? That would be my first question.
The second question is more on the collaboration and CPaaS portfolio. So , one can see that on an organic basis, your quarterly revenue in this part of the business has been between INR380 and INR430 crore for the last few quarters. And why is it kind of stuck at that level? And the other related question would be on CPaaS itself. Globally, if you look at CPaaS, the revenue growth seems to be coming off, be it the likes of Twilio or be it the likes of Tanla and Route Mobile . So what are the new capabilities that you think will become key in terms of driving growth going forward? Thank you.
AS Lakshminarayanan
Balaji, I think maybe the first question, Kabir , you want to take

the EBITDA?
Kabir Ahmed Shakir
Let me then answer the first question, Balaji. I think it is both a combination of Switch and Kaleyra , which has resulted in the swing. But let me take Kaleyra because that is probably a significant portion of the swing that we talked about. That is as a result of about three, four elements. And none of them, let me state upfront, is a cause for worry.
The first is, I think, once we start integrating Kaleyra and you see a full four quarter go through, then I think the intimacy on understanding the seasonality of the business will be a lot better for all of us. Q3 is indeed always a good quarter with a lot of festivals and a lot of activity, you know, happenin g for that kind of a business. So therefore, I would say the seasonality indeed has an impact on the net revenue margin. And that was one contributor in Q4 that it was lower than last quarter. The sec ond contributor is, I would say, as we are integrating, we are harmonizing our policies on multiple things, on accruals, on recognition of costs, on PDD and expected credit loss. All of those policies, harmonization that we do in line with Tata Com, which is, I would say, the second reason for that shift.

Finally, I would say there have been some, one of f legal expenses that we have provisioned for, and that is not uncommon in a large US listed public company takeover. So , which has actually come through in the second quarter. I would say these are the three large reasons. Restructuring, since you mentioned it, let me clarify. There is a little bit of restructuring there, but we have taken it below the line as exceptional items, and it is not impacting the EBITDA numbers. I hope that that clarifies.

AS Lakshminarayanan

On the second part of the question, you had two parts to the second question on the collaboration and CPaaS. You said the organic is stuck between a range and not growing. One of the, the whole collaboration business itself has multiple colors to it. It has got, it's the traditional G SIP. We had Cisco Power Solution. The other one was the Microsoft Team Solution that we have, and we had newly launched another product called Jamvee . So, these are the main ones. And there, I think the G SIP revenue with the sw itch to apps had seen a decline post -COVID and was continuing to decline. It got stabilized with our introduction of the Global Rapid e, which we combined all of these into a platform business and more into a fixed revenue business as opposed to dependent on usage, and that's stabilized, but has not grown well.

So, I think there are many factors, but I think we are looking at launching with Microsoft a product in India, and we'll be a partner to launch that. So that will hopefully give some fillip to that business. The other part is the collaboration in CPaaS. We have reported last year, the DIGO, which we launched had, you know, in percentage terms, grown very well. But this year, right from the Kaleyra acquisition, the DIGO business teams and the Kaleyra business team started working immediately upon close. And some of the deals in the pipeline that would have happened on DIGO has happened now on the Kaleyra . So it's difficult to split the organic numbers in a sense. So , these are some of the reasons. We are aware of the collaboration, the Global Rapid portfolio has had ups and downs, and we are ongoing process to revitalize that portfolio.

On the CPaaS, your question and observation that the growth is coming off with many global players, and you're right. I think the global players, they publicly stated that they want to focus more on profitability. I think purely being on the SMS side was a race to the bottom.

And I think, in my view, there is some sense prevail there to see and bring focus back to profitability. And in that sense, many players have focused more on profitability than growth. The way we are looking at our business is more as an interaction business, a combination of SMS, programmable voice, emails, multiple channels. And we are also building layers of software on top of these channels to bring more orchestration and intelligence on that. So , we will be continuing to invest to build these new capabilities. It's our view that enterprises, in the way they inter act with consumers, are fragmented today across multiple channels. And we have an opportunity to position a more converged and intelligent platform that orchestrate across multiple channels. So that is where we will invest. And that is where we believe will be new opportunities, besides the channel expansions from SMS to WhatsApp and others. We will focus on both dimensions, increasing the channels and also enhancing the platform.

Balaji Subramanian

Okay, I had a quick follow -up for Kabir. So you did call off some one -off legal expenses.
So could you please quantify that? And also, on the seasonality front, one can see that, at least at the gross revenue level that you have reported, that doesn't seem to be the case. There has been a QOQ growth. I do know that part of it is because the acq uisition was consolidated maybe only for 85, 86 days a quarter. But at least at the revenue level, things don't seem to have come off materially.

Kabir Ahmed Shakir

The legal expenses so far are shy of a million dollars, which is what we have actually provisioned as of now. And all the other things, there's a lot that you need to lift under the hood , to understand the revenues NR mix, Balaji. So, it may not be visible for you. So , it's quite visible. Yes, you're absolutely right. It's a usage business. So 80, 85 days was indeed one of the elements which get in there. But I would say when you look at it, NR mix is indeed proving an element , that's also a sizable portion of it.

Chirag Jain

Thank you, Balaji. The next question is from the line of Mr. Mayur Magar from Aegon Life. Mayur, you have been requested to unmute.

Chirag Jain

Please go ahead and ask your question. I think Mayur is unable to join the queue. The next question is from the line of Sanjesh Jain from ICICI Securities. Sanjesh, you have been requested to unmute. Please unmute yourself and go ahead and ask your question. Sanjesh, please go ahead. Sanjesh, we still see a technical issue at your end.

Kabir Ahmed Shakir

Do you want to disconnect and log back again, Sanjesh?

Chirag Jain

The next question is from the line of Mr. Vibhor Singhal from Nuvama Wealth. Vibhor, you have been requested to unmute yourself. Please go ahead and ask your question.
Vibhor Singhal
I hope I'm audible.
Chirag Jain
Yes, Vibhor, please go ahead.
Vibhor Singhal
Yeah, thanks. Thanks for taking my question. So , a couple of questions, one on the growth part and one on the finance part for Kabir.
So, Lakshmi, on the growth part, just wanted to pick your brain on two things. How do you see the cloud business shaping up? I think this year was not a great year, not just for us, I think, but mostly the overall IT services vendors as well in terms of cloud adoption and deals also kind of going slow on the macro front. So how do you see that playing out in FY25? Any green shoots in pockets where you could probably highlight or what is your outlook for that segment, let's say, in this year? Secondly, on th e CPaaS side, just wanted to understand, I think, I mean, post -COVID, of course, during COVID, of course, we saw a v

ery sharp pickup in this industry overall for all the players, which has kind of died
down right now.
What is the pricing environment in this domain like? Is there still cutthroat competition, which is continuously creating a pressure on the pricing in this segment? Or as you mentioned, as more and more players are focusing on profitability, is there any s cope of stabilization of prices or maybe an uptick because of new platforms coming in? If you can answer these two questions, I'll probably have a couple of follow -ups for Kabir.
AS Lakshminarayanan
Thank you, Vibhor . On the cloud side, we are largely focused on India, while we do have some customers that we serve internationally. On the, our view of the cloud adoption today is not complete. I think there are many still on -prem users that are, and we are trying to position our cloud as a purpose -built cloud that is multi -tenanted, which has the flexibility and offers all the benefit s of a private cloud to the customers. And we say that over a three -year period, our TCO will be much better than any public cloud player. It's been, you know, it's achieved a reasonable scale. Where we are operating fairly , national , mission -critical applications on our cloud. So , it's proven in space, the technology and our engineering capabilities and services.
What we are doing to sort of boost the growth, one is the macro that you called out that is there, but from our side, we are preparing to strengthen our industry cloud, where we have a government community cloud, we have a financial services cloud, which i s compliant with RBI. So , we are strengthening these areas. And similarly, our Kubernetes and analytics cloud capability and the storage capability.

So, these are all the things that we are investing and strengthening and repurposing the teams in a way that they can take this to market more effectively. So , we are using this period where there has been slowness to organize ourselves and preparing for the future. But the potential is still large because not everyone has moved to the cloud.
The second aspect of this is, you know, some of the workloads that cannot move to the cloud for various reasons, because they need to be on -prem, because they don't want to incur a large amount of network backhauling costs and the latency associated with t aking to some place and bringing it back. Or, you know, they cannot afford a failure in an application, not being able to be accessed because there is a network failure or a failure on the cloud side. We are keeping all of them on -prem. So, the classic cas es in point are manufacturing, for example, some of the manufacturing execution systems. Many people have it on -prem. Some of the store systems are on -prem. So, there we are launching our Edge product to make sure that these workloads can operate at the Edge. So that is something that we are preparing ourselves . We've already launched it in our media business , and we'll be launching it for other segments soon.
Many customers are in the early stage one usage of these products. So that is how we are preparing ourselves for the upcoming cloud wave. And of course, the AI cloud will be another game changer on its own. So, this is how we are preparing our business for cloud and Edge. On the question of CPaaS , you're right. I think there are, I didn't mention, I think people are, it's public information , that some of the major players announced that they wanted to focus on margins.
Internationally, we are seeing that play out. But India market is, as you say, is still, I think you used the word cutthroat and you won't be too incorrect with that statement. So , our positioning in this needs

to be, as I called out, to expand
to channels other than SMS and vertically expand to software layers above the channels to bring more orchestration, to bring more intelligence to interactions.
Vibhor Singhal
Got it. That was really helpful. Just a quick follow -up on the cloud question that I had.
So typically , we have seen that in any of these technology adoptions, be it cloud or analytics or basically RIMS before that, Indian enterprises tend to basically adopt a new technology with a lag of at least two to three years. It's historically been the case. Do we s ee that playing out in the case of cloud as well? Are the Indian enterprise at least, I mean, at some years behind their global counterparts in terms of cloud adoption or let's say in terms of moving to public cloud vis -a-vis the private cloud that they are kind of focusing at this point of time?

AS Lakshminarayanan
I haven't seen the data, but clearly yes, there has been a lag, but in a way that lag is good as well because internationally what we are seeing, people who move to public cloud are now having second thoughts because the costs of public cloud have gone up. It is easy to get in, but there are other costs that hit them as they grow. So , I think that should be an opportunity for us to address that properly in the Indian market.
Vibhor Singhal
Sounds good.
Thanks, Lakshmi. Thanks for answering my questions. Kabir, just a quick two questions.
One is you mentioned that the cost, the legal expense cost that has been provisioned up till now is around $1 million yet. So are there any more expenses that we are expecting in the coming quarters or are we done with most of them?
And secondly, last quar ter we spoke about basically getting our interest cost down by refinancing of some of the bonds or expensive debt that we have on our balance sheet. Any progress on that? Or if you could give maybe some kind of a timeline when we are looking to maybe execu te that?

Kabir Ahmed Shakir
Two things. I mean, look, legal, I can only tell you what I know. I mean, if something comes up, you know, I hope it doesn't, but if something comes up in future, then it comes up. So , I can't speculate that for now, Vibhor. So, these are, I mean, all of them are in public domain. I mean, there's nothing that which is not privy to all you guys. I'm sure you've searched out, you'll know what are the things that are there from Kaleyra , whether it's the warrant holders or otherwise, which are in there, which we need to defend, which we will.
On the refinancing part, yes, we will be doing it. It will be imminent, you know, anytime soon. And once that is there to be, you know, declared, we will, you know, come out. We are looking at, we've already, I mean, signed or rather, you know, with the consortium bankers in terms of when we will do, and we will execute in the next couple of weeks. And when that time is there to announce, we will announce that, you know, as well . And you're absolutely right.
It will be refinanced, you know, at a rate which is, which will be, you know, more attractive than what we did the lines of credit when the $ 200 million refinancing we had to do for the bond repayments that we did in end of November for the Kaleyra bond holders.
Vibhor Singhal
Got it, got it. That's great to hear.
Just last thing, I'm assuming the guidance for FY27 in terms of doubling our data revenue, margins, ROCE and leverage, they all remain intact.
Kabir Ahmed Shakir
Absolutely, they all remain intact. As I mentioned in my speech, we will get the debt to the leverage ratio much faster.
In fact, we made a marginal improvement. Last quarter was 2.2X, 2.21 X. This quarter is 2.

16X. I mean, in FY25, it will
come under 2X. So that's not an issue.
ROCE is not at bottomed out because it's a 12 month trailing, that's the formula. So , you will have two more quarters where you will see a little bit of a deterioration in ROCE and then it will start coming up. So , that will happen the following year and EBITDA will be the last one to come back to the range of 23 to 25 %, completely committed on all three parameters as it stands today.
Vibhor Singhal
And the growth as well, doubling of data revenues.
Kabir Ahmed Shakir
101%, yes. That's the main and the most important one. Completely committed. You know, Lakshmi made it very, very clear.
We remain confident of the opportunity we have. We remain committed to doubling our data business.
Vibhor Singhal
Got it, got it. Thank you so much. Thanks a lot, guys. I wish you all the best.
Chirag Jain
Thanks, Vibhor. The next question is from Sanjesh Jain from IC ICI Securities.
Sanjesh, you have been requested to unmute. Please unmute yourself. Go ahead and ask your question.

Yes, Sanjesh, please go ahead.
Sanjesh Jain
Yeah, can you hear me now?
Chirag Jain
Yes, Sanjesh.
Sanjesh Jain
Thank you. Thanks for taking my question. I got a few of them. Lakshmi, first on the digital piece as itself, it appears

that the entire segment has significantly slowed down and now we are at a 5% YOY growth. Two quarter s back, we were at 24% growth. There's a material shift in the growth rate, what we were looking at. And we were hoping for an acceleration with a solid funnel and the order book we have today. How does it look for FY25? Where do you think FY25, we will end up with whatever order book funnel we have t oday? Are we confident of delivering the 20% plus growth next year with the order book and funnel and the visibility we have today on this business?

AS Lakshminarayanan

Yeah, so Sanjesh, on the digital, I have been calling out on the order book. We have said that our funnel is good, but the order booking is slow. That is what I had called out. And I'm still in my commentary. There is slowness in decision - making. The only thing that was contrasted with saying that in our enterprise side of the business, we grew close to 13% in India and a good double digit in international markets. Despite macro conditions that enterprise business in the international markets face. On the g oing forward basis, I think there are a few things that we have to keep in mind. It's not as though macro conditions have suddenly improved . If anything in the US, with inflation and possibility of interest rates not coming down, there is going to be more caution and the other geopolitical conflicts that are there. So, the caution is going to be in the air. So, I think there is no doubt.

I think the bigger picture that I see in all my interactions with the customer is, are we ? The proposition that we are making to customers , is that appealing to customers ? Are we now able to engage at senior levels with customers where they see the traction? I think clearly yes. Our awareness in the international markets is still very low. And we have to increase that awareness. And with increasing footprint of sales, we have, the standalone is not enough. Our participation levels will increase as the macro conditions ease. And then the opportunity for us, is the need still there for customers to transform the network? Are we still relevant in that space? We are very relevan t, especially with our new products of cloud networking. There is even more relevance.

Sanjesh Jain

Okay, that's fair. That's fair, Lakshmi. Just stripping out digital a little bit more.

Within the four sub -segment s,

where are you more confident? Is that next -gen connectivity? Are we more confident or cloud hosting and security? Because these are the two lines, as you articulate, looks to be much more on the stronger footing than the remaining two. Will that understa nding be fair?

AS Lakshminarayanan

I think next -gen connectivity, clearly, we have seen the growth. And even there, as you called out, the momentum of growth in the last two quarters has come down. The characteristics of next -gen connectivity is the time period from order booking to turn up of the revenue is a bit longer. Because we have to implement the network, implementing SD - WAN across multiple sites to take time. So , the time taken. But if you ask, that's a large portfolio and that growing will help us to shift the needle. So , we are clea rly focused there. The cloud and security is also large, but the cloud is largely in India. Security is a mixture of India and international. And we are doubling our focus in the international

markets by taking some of our cloud SOC opportunities there. So that is a critical opportunity.

The third is the interaction fabric, because we have invested in Kaleyra . We see a lot of excitement from customers, because Kaleyra has a powerful platform. Combined with the brand of Tata Comm. , there is a lot more confidence in using the platform. So, we see a lot of opportunity with customers. And as I said, we are going to be further investing in the platform. Besides realizing all the cost synergies that we see, we are going to invest in the platform to build out the software layers for orchestratio n and intelligence. So that is our third. The fourth is IoT Fabric. And Sanjesh I don't want to call out any particular segment to say, you know, they could be focusing more and less same . All four are equally focused. They are run by separate teams. And we are allocating. Thank you Sanj esh.

Sanjesh Jain

Sorry, I think there is some gap in between. There were blanks, but I got the broader message. The next question on the India business, Lakshmi, that looks like , India business has significantly deteriorated or decelerated to 5% kind of a growth. I hear that there is an increased competitive intensity in the Indian market. Do you believe next year could be a fierce competitive year and India market may struggle to grow? Do you see that scenario panning out?

AS Lakshminarayanan

I have called out India. We have grown 13%. So I don't know that. Revenue into enterprise market. The enterprise.

Sanjesh Jain

So 13% is only for the enterprise, Lakshmi, I guess. Overall, India piece has grown only 5.8%.

AS Lakshminarayanan

Yeah, so that's why I did call out the service provider and the OTT segment there. In the OTT segment, we put large hyperscalers and others into that segment. And then I think the context is these people had invested in a lot of capacity during COVID and post -COVID. And there was some moderation , and it should pick up again with them investing in more data centers. It should come back up again. So , I think that's more of cyclical nature . But the focus on enterprise is the top-most focus and we are very happy with the 13% growth. I think we can do more with our expanded portfolio and we'll be pushing for accelerating that further.

Sanjesh Jain

Got it, got it, got it. I got couple of questions. Sorry for you. I'm pulling it a little bit more. But on Kaleyra and Switch, what has been our Y OY growth for us because we don't have a comparable number for last year. Can you help us understand how have we been growing on those both businesses?

Kabir Ahmed Shakir
You know, Sanjesh, let me chip in here. You know, although we

call out underlying in data revenue at 8.8% and
including acquisition so much. If I have to be honest, you know, about it and this Lakshmi alluded in his qualitative description, we are running this business as an integrated business. So let's say Kaleyra , right? We are stripping out, you know, all of Kaleyra 's, you know, numbers as acquisition and reporting the balance as underlying, which is a little unfair. Why? Because we had a DIGO funnel, which before the acquisition, and now we are looking at which is the best way, you know, to serve our customer. And in majority of the cases, we are going , as Lakshmi has pointed out, we are going with the Kaleyra paper, right? We are selling that product. So, and the same with Switch as well, right? We are going in a combined way together. And even from a structure point of view, we have one common leader for these businesses who are looking at these products as one integrated offering, you know, to the customer. So , after a point in time, we are like splitting hair, you know, to then say, you know, what will be separately this growth without that and stuff like that. I mean, I am still reporting it for better governance and transparency to the street because one of them, you know, came to us with money having been paid to acquire that capability.

So, 12 months, for hopefully Switch, you know, that problem will stop in May. It will have completed the 12 months and we will get into a completely regular, you know, way of reporting growth. And it will take six more months for Kaleyra . And in Q3 of FY25 onwards, then you will see all that completely normalized. So it is a little difficult, you know, for us to peel that out.
Sanjesh Jain
No, no, got it Kabir. My only intention of asking that question was to understand with Kaleyra in place, because that is a heavy portfolio, will the 20 percent growth become a difficult if Kaleyra does not grow by 20 percent?
AS Lakshminarayanan
Life is not easy, Sanjesh.
Sanjesh Jain
No, no, because we are just hearing that globally the CPaaS business is going bit of slow growth .
AS Lakshminarayanan
So, I think the market, see, we can only look at, keep an eye on the future. My belief is that, you know, the B2C players, their interactions with the consumers are not going to decrease. There is going to be more channel diversity. That is what is going to happen. SMS will decrease today, 99 percent of the interactions or 95 percent of the interactions are all on SMS channels. That will diversify into other channels. And as I said, we will, we have already diversified into other channels.
We will further diversify with other capabilities. And we have to build out the stack on top, which is where more value added offerings will be there for customers. And that will also help us to deliver better margins in the platform. So that is what we need to do. So in the long run, you know, I don't believe the interactions with consumers are going to be reduced in any form or shape. It is only going to be increasing. Only the channel diversity is going to happen.
Sanjesh Jain
No, fair enough . Just one last question from my side. We are today at 18.6 percent margin. The ambition is to be in 23 to 25 percent range. Can you help us understand the bridge, what is going to try or what are the levers for the margin we are looking? Because the mix is only going to deteriorate towards more digital in terms of margin profile. I understand ROC E profile will improve. But what are the levers are we looking where we already have few tracks on the margin?
Kabir Ahmed Shakir
I will take that, Sanjesh. Sanjesh, we are confident we will get back to the 23 to 25.

Multiple moving parts within that.
First and, you know, foremost, you should see a good improvement in FY25 itself. So , these are all not back -ended to FY27. So you will see that already, you know, next year, you know, a little bit of an improvement as Lakshmi, called out. We did spend money on M&A, not just the impact of the acquisitions, but also cost that was actually spent on due diligence and, you know, fe es and stuf f like that. So those elements will come off, which are not going to be there. Second, we have obviously spent a lot of money in terms of our organic, you know, investments in the 0, 1, 3 stage. Those should give me operating leverage, you know, as well. And that should come back because I'm not going to continue to spend money on them. You know, I will be looking for growth and revenue, you know, coming in from there. So , the NR margin should directly flow into, you know, into LOB and into EBITDA. So that's, I would say, the second lever. And the third one is, you've seen, you know, we've, you know, done some strategic review, took a call, a hard call on one of our subsidiaries, TCTS, on getting out of an onerous contract. Our TCPSL business is, you know, is doing well already. We've, you know, moved the profitability needle up, you know, significantly. Likewise, there are

other elements also, which we will, you know, be more sharper focus sed and sweat it out. So , I would say multiple such levers that we will, you know, play into the picture and bring that entire thing.

Sanjesh Jain
Got it. Do you see net profit margin improving or you think it will be below the net profit, the leverage will be more for us?
Kabir Ahmed Shakir
Sorry, you want to say net margin?
Sanjesh Jain
Net revenue margin.
Kabir Ahmed Shakir
See, net revenue margin, you know, your, that's your point is right. Net revenue margin will have the dilutive impact of the change in mix as we drive digital portfolio harder, right? Because they come at a lower net revenue margin compared to the core connectivity busines s. So there, there's going to be headwind. And the way in which we are managing is that inter -tower, inter -business headwinds, you know, the businesses themselves need to take care of. Inter-company, you know, within the company level, what headwind is the re is what should get offset by the operating, leverage.
But as we mentioned earlier as well, we have a glide path for each of them. Now the glide path is whether it is organic operating leverage or whether it is cost synergies coming in from the M&A or revenue synergies then flowing in, you know, into margin. Y ou know, I think all of those levers are there by product category and we haven't broken it down, you know, to a more granular level by drivers as well. And that is what, you know, the governance that we follow to get them to the destination margin.
Sanjesh Jain
Fair enough. That's great. Thanks for answering all my questions. Best of luck for the coming quarters. Thank you, Sanjesh.
Kabir Ahmed Shakir
Thank you, Sanjesh. This is from the line of Mayank Babla from Enam AMC. Mayank, you have been requested to unmute yourself. Please go ahead and ask your question.
Mayank Babla
Yeah. Hi. Am I audible?
Chirag Jain
Yes, Mayank. Please go ahead.
Mayank Babla
Thank you for taking my question. So , a while back you had announced, you know, Tata Com m.'s partnership with NVIDIA. I was wondering if you could give us some detail about this partnership, you know, the nature of it and the scope or potential it has for us.

AS Lakshminarayanan
Thank you. I won't be able to give a lot of details at this stage, Mayank. What we are doing is, you know, there is a solid partnership that is emerging. We are working very closely on the various aspects of the architecture and the build -out. And we'll be preparing ourselves for launch during this year. And there's a lot of good interactions that happen in terms of, you know, the use cases and very many things.
So as far as our ambition is concerned for AI Cloud, we believe AI has a huge potential. And in India, particularly with the launch of our AI Cloud, we will be able to help and move the needle. The government has announced, you know, a huge commitment to u se AI as well. A lot of startups and enterprises, they have to go through the maturity curve or from the hype that is there today to actual use cases and training with their data, get more data discipline and make use of all of these. So there is a big pot ential. And we think that even the AI Cloud, even though it will be built in India and launched in India, there is a potential for even international customers to use this in due course. So, we are quite excited about the opportunity and we are working very diligently in going through all the details, making sure the launch is successful.
Mayank Babla
Sure, sure. Thank you so much and best of luck.
Chirag Jain
Thanks, Mayank . The next question is from the line of Mr. Gautam Rat hi from Chanakya Wealth. Gautam, you have been requested to unmute yourself. Please go ahead and ask your question.
Nishit Rathi
This is Nishit Rathi from Chanakya Wealth.
Lakshmi, I think I missed the number, but you said that you added of the number of new logos you added, you gave a percentage. Could you just just help us understand that that the number was something like 90 percent?
AS Lakshminarayanan
Correct. I know I talked about the revenue growth in new logos is a 90 percent. Now, there are there are a few things we have done, you know, from the sales teams. We had brought about a team that focuses purely on going after the new logo and that has helped us in a way. And that focus helped us in acquiring new logo. And secondly, is the quality of the new logo that we get as well in terms of what revenues we get. So that's been a change that we did last year in terms of how our sales teams got organized. And that is what I was reporting. And I think the one thing we have to

keep in mind is, you know, it's starting off from a fairly low base, but it's delivered good result s as a result of the focus that our sales team has brought about.

Nishit Rathi

And luckily, if I understand it right, what you're basically telling us is that the most structural part of the business, which is your enterprise business is seeing decent traction and is growing well, though you would want it to g row faster. But it is the more cyclical part of the business, which is kind of right now a bit more impacted. Is that is that understanding right? And how and historically, when you've seen you must have seen many of these cycles, how much time does it take for it to come back and can it come back pretty strongly whenever it does when the cycle is correct?

AS Lakshminarayanan

I think your observation is your observation is very spot on. I think the enterprise business, both in India and internationally, is quite good. And as you called out, it's not as fast as we would like it to be, but it's still seen good growth. The growth got pulled down largely from our OTT and the service provider segment. I wouldn't call them

cyclical, but what has happened, especially with the OTT segment is as I mentioned earlier, I think there was a lot of capacity that they had built. And also last year, they focused more on that build out of data centers and others. And therefore, the growth on the network side didn't happen for us as much as the previous years. So , and also the OTT business in some parts, we also had you know, the messaging business, which had some cyclicity . The other part of the question is also if you look at our portfo lio, the next gen connectivity had very good growth. The cloud and security also had double -digit, even though it's not as much as in the past. The collaboration, as was observed earlier, has been static and there are many moving parts in that we sort of revitalize that portfolio with a very combined Global Rapide, which is a G -SIP, a Cisco and a Microsoft , that are moving parts in that business that happens. And we were prepared for that business to be of a lower growth, which is why we started investing in Digo at that time.

And therefore, we focus more on the customer interaction side on the Global Rapide side. We believe the growth will come back. We've also invested and launched in a product called Jamvee . They're all in very early stages, so they should come back. So each of these portfolio has a different rhythm within our company. Some of them are affected by the macro as well. So it's a combination of factors. But as I called out the four fabrics in the company, we will continue to invest in all the four fabrics. The big chunk of focus needs to be in the international market, which is where there is a lot more of headroom for growth purely by the size of the market. But the international markets also have strong incumbents , and we are looking to replace the incumbents to the power of the offer that we have and the capabilities that we bring to the table. And we are seeing that steadily happen . Clearly with our brand as I said, the awareness levels are very low.

I mean, interestingly, in one of the products we did a test , and the awareness levels are low. And I think we need to improve our awareness levels. Despite our investments to increase the sales headcount and the strength there, it's nowhere sufficient to reach the full aspirational potential. And therefore, we will be increasing our marketing spend. We will have to continue to spend on the sales and increasing the capacity of the sales and gearing our teams to do more larger deals, which means that they do take time to shape, they do take time to close. So , we will have to get used to all of these cycles, but the opportunities are there.

Nishit Rathi

Sure. And Lakshmi, I just wanted to understand, is it possible that there are certain deals that have been won, which are because of the slowness in the market are taking time to scale up or is there certain pressure on the usage side? I'm just trying to u nderstand, you know, see, there are two ways that the revenue comes back, right? One way is you win new deals and they will show up in the subsequent quarters eventually, right? And the other thing is there are certain parts of it, you know, we are lapping certain quarters where certain parts of the portfolio started slowing down a couple of quarters back and, you know, once they come into the base, the base impact will come out of it. Or the third is, you know, that the usage or certain deals start scaling up.

So I'm just trying to understand if you could give some sort of color as to how should we think about it? The drivers of growth for maybe specifically FY25.

AS Lakshminarayanan

So FY25, you know, largely the focus and the drivers of growth would be the next -gen connectivity, whatever we booked the orders last year, as we start to deliver, the revenues will come. Hopefully, you know, the order booking will improve as the conditions improve because parts of what we book in -yea

r, gets realized in the year itself, especially
if the order booking happens in Q1 and Q2. So we are hoping that conditions will improve and we can do that. In the usage side of the business, you know, it's more about, you know, acquiring new logos, going to the existing logos to diversify the channels beyond SMS. And we are seeing, as I said, you know, with Kaleyra particularly, with Kaleyra and Tata Comm. now working together, the leadership is in place and the motions of how we take it to market is falling into place. So with that, we will see some acceleration. We are acquiring customers, but i t is also a factor of how these customers actually ramp up and put their traffic to our platform. So there are a couple of dependencies to it, but we'll have to work through those factors. I think there was a question on the cloud. I did mention, you know, there was a, as everybody else, we also saw a slowing down, but we were still at a good double di git on the cloud and security

portfolio. And as things improve, we believe that should accelerate. So, you know, the way, that is how I would see how it will shape up. And I did say that the order booking had slowed down, which will have an impact.
But we also have, you know, a lot of organic business growth possible in the usage side from Kaleyra , the Switch integration, which brings the occasional use, the number of events that we do in the media is increasing, and that should help us as well. So different portfolios will have different cycles. And we are monitoring . How it pans out immediately in the quarter or something is difficult to say. But as I said, you know, we are very cognizant of the fact that we need to deliver at least a 15 to 20% grow th in order to realize our ambition that we stated out. And we are very, very focused on delivering on that ambition.
Nishit Rathi
No, I think, which is very fair, the question, and I think to some extent, if I understand it, right, you're saying that in a quarter or two, you don't know, but for the full year, there are enough and more levers for you to kind of deliver the 15 to 20% g rowth, despite the slowness in the macro and the last couple of quarters that we've seen you feel that that is a doable task from what you see today, right? How it pans out eventually, it's a different matter. But we just wanted to understand from where w e are in terms of orders, which we booked and the slowness that you've seen, is it?
AS Lakshminarayanan
You know, if your question is, do I have 100% visibility to deliver what I'm saying? The answer is no. If it was there, then I'll probably be on vacation tomorrow onwards, right? So no, that's not the case. We have still a lot of work to be done in order to, because in year order booking is as important as the orders booked last year. Some of these conversion do take time. You know, all I'm saying is from a qualitative perspective, you know, we would, the kind of conversations, I just had a trip to the UK last week. The conversations have all been very good. The customers still want to engage. You know, I was just telling, and one of the customers did tell us that changing the network is, you know, is touching live wire. They have applications running today and changing anything, they have to do it very cautiously, right? So it's not like in the application world where I can build a new application and put a new application. So, this is somewhat different. So, you know, we understand the mechanics that customers go through. But all I'm calling out is the opportunity exists.
Obviously we have to get into the consideration set, which we are now increasingly getting into, and then we have to win and close

it. The confidence level of the growth comes from the fact that the inorganic acquisitions will start to play this year. At le ast we will see the benefit of those coming through. And that is why I'm saying that this year is critical for us to ensure that these go -to-market motions of both Switch and Kaleyra , we get it right, and we bring the full year benefit of the acquisitions to play. And organically, you know, we should go to more enterprise customers to pitch ourselves in the international market. So those are the colors that I can give you in how we are seeing the picture.
Nishit Rathi
That's very fair. Just two more questions. One is on the IoT / MOVE portfolio, right? You know, it's a portfolio, you know, there was a JLR announcement also that you put out that the partnership getting more strong out there.
And, you know, and autos have started to do well. So that's one portfolio. How should we think about it, you know, given that you had an early leadership in that platform? It's been, it's at least optically, it looks like a fairly disappoin ting year in tha t in that portfolio there. Any light on that portfolio, particularly the IoT / MOVE portfolio?
AS Lakshminarayanan
Yeah, I think the, you know, in the whole, I think we club it all into incubation and give the numbers to you there.
MOVE by itself has delivered a double -digit growth, but nowhere near the expectations we ourselves have of that business. So , we have to do a lot more. I think the key levers for that business is to strengthen our position in the auto OEM world. You know, we have won a few in India, but in the international markets, we need to expand beyond JLR.
So that is very critical for us to achieve. The other ones in the, in helping the MVNOs to launch and the airlines, you

know, they are sort of going on as normal. So, the big needle shift will come from the, OEM business, which is what we need to work towards. The second aspect of the portfolio is about the IoT business. I think the IoT business, we had a big fillip as a result of a major deal in the international market last year.
And the replication of that is what we need to work on for that business to grow. We are also expanding the capability there with a lot of video analytics combined with our Edge. That's a new product that we are taking to market. So, I think that is still in the, in the early phases of, shall I say, you know, getting the offerings right and pivoting the busin ess from one to another, right? So that is what we are doing in that business. And we'll keep a very close watch on that to see how we, how we deliver the growth.
Nishit Rathi
And then the last question is, is on the balance sheet side, we see, we see a big increase in the current liabilities line item. Some of it could be explained, I think, by, by a big increase in current taxes. And there seem to be some other current liabilities which have increased. Kabir can you just help us understand what this could be? How should we think about this?
Kabir Ahmed Shakir
Three, four elements, Nishit. One, I mean, the absolute increase is also because of the impact of acquisitions. So , when

they came in, you just add them together. About rather INR250 odd crore is, is just on account of the impact of acquisitions. If I take that aside and then look at BAU business, I think there are three components to it vis -a-vis last year. The first one is we are in a continuous mode in terms of balance sheet cleanup. So past balances on vendor recourse and stuff like that, which have been cleaned up. So therefore that, you know, cleanup, you know, has removed, of course, the credit, but from a working capital point of vi

ew, it has the opposite effect. We've had some
increase in prepaid expenses that are all growth related. They are deal specific, you know, but that's another chunky, you know, item that we had. So those are, you know, two big elements from that perspective. And, you know, those are the ones which are impacting, our working capital numbers. The last one was we did create this new entity, NovaMesh, which you are aware of. As we actually transitioned it, we had put a pause to the billing and the collections of it in March until we get the new GST registrations .

Nishit Rathi

Does that mean that some of the revenues in the month of March are unbilled and stand in unearned revenues in your revenue?

Kabir Ahmed Shakir

Yeah, that's correct. And also there is a reclassification of long term borrowings, you know, to short term when you see the, you know, the period, the moment it is less than one year, they get reclassified as well.

Nishit Rathi

That's very helpful. Thank you so much. Thank you, Nishit. Thank you, Gautam. In the interest of time, we will proceed towards closing the call. Before we close the call, I would request Lakshmi to share his closing comments.

AS Lakshminarayanan

Yes, thank you all. I think we, I mentioned there are critical things that we need to do for the year ahead. Our number one focus is to make sure that the Switch and Kaleyra acquisitions are well integrated in the business. The process is, you know, very strongly on and in the portfolios of Network Fabric and Cloud and Edge and the Interaction Fabric and the IoT Fabric, you know, we want to keep a sharp focus to make sure that they can deliver. I think we called out on all th e levers available for us for th e growth in the margins . And we look forward to executing on those levers. I think the biggest excitement for me is, as we talk to the customers the engagement at senior levels and the increasing

relevance of Tata Comm. to them is the most encouraging sign to us. And we’ll have to capitalize on that to get into their consideration set and participate in their opportunities and then win those deals. So, I think those are the factors that I would be focus ing on.

Chirag Jain

Thank you, Lakshmi. Thank you, Kabir. This brings us to the end of the management call. In case of any queries please write in to investor.relations@tatacommunications.com . The recording will be available on the website in the next 24 hours. You may please disconnect now. Thank you.

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Call: Jul 2024

July 19, 2024, at 02:30 pm IST

Q1 FY202 5
Earnings Call Transcript

MAIN Participants :
AS Lakshminarayanan , Managing Director and Chief Executive Officer
Kabir Ahmed Shakir, Chief Financial Officer
Rajiv Sharma, Head, Investor Relations
Sudeshna Patnaik , Deputy General Manager, Investor Relations

Sudeshna Patnaik

Good afternoon, everyone, and a very warm welcome to you all. Thank you for participating in the Q1 FY'25 Earnings Call for Tata Communications. We are joined today by our MD and CEO, Mr. Amur Lakshminarayanan ; our CFO. Mr. Kabir Ahmed Shakir; and our Head of Investor Relations, Mr. Rajiv Sharma.

The results for the quarter ended 30th June, 2024 have been announced yesterday and the quarterly data pack is available on our website for your reference. We will begin today's call with opening remarks from Lakshmi on the business performance and outlook , followed by remarks from Kabir on the company's financial performance. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the management remarks.

Before we begin, I would like to remind everyone that some of the statements made in today's call may be forward - looking in nature and are subject to risks and uncertainties. A detailed statement of these uncertainties is included in our annual filing on our company website. The company does not undertake to update these forward -looking statements publicly.

With that, I would like to invite Lakshmi to share his views. Thank you and over to you Lakshmi, for your opening remarks.

AS Lakshminarayanan

Thanks, Sudeshna. Good afternoon , all, and welcome to the Q1 FY25 earnings call. I'm happy to share that our consolidated revenues grew by 18.1% Y-o-Y and our EBITDA is up 9.8% Y-o-Y. Our PAT is higher by 3.6% Q-o-Q. This quarter, Switch completes 12 months of acquisition. And with DIGO and Kaleyra operating as a single unit, we are discontinuing providing financials as underlying and reported and moving back to only reported numbers.

Our EBITDA margins came in at 20%, an improvement of 140 bps Q-o-Q. Consolidated EBITDA is up 6.4% Q-o-Q and 9.8% Y-o-Y. Consolidated EBITDA margins improved by 140 bps Q-o-Q, largely driven by improvement in data EBITDA margins, which improved by 90 bps to 19.3%.The improvement of NR margins and early gains from strategic review of subsidiaries have helped us achieve margin improvements. Our core margins, excluding subsidiaries and Kaleyra, were at 23.3%, well within our ambition range of 23% to 25%. Our efforts will be to keep the EBI TDA margins at 20% for rest of the year and improve from thereon.

Overall, data revenues grew at 20% Y-o-Y and 0.8% Q-o-Q. Core Connectivity accounts for 54% of data revenues and Digital Services account for rest at 46% and are very much in line with our stated ambition. Core Connectivity revenues this quarter were affected by cable cuts in Red Sea.

Before I deep dive into Digital Services, let me talk about order book and funnel. Our funnel continues to be robust. Our funnel comprises of 59% of digital platforms and services and 41% of core connectivity services . This quarter, our win rates have seen a healthy jump for India operations and improved marginally for International segment.

Our order book, which has been flattish for the past few quarters has seen a very good growth this quarter, largely driven by a couple of large deal wins. That said, macro challenges continue to exist. While opportunities exist in the market, decision making at enterprise level is slower resulting in longer lead times. Order book from OTT and SPs segments continued to be lumpy in the last couple of quarters. Separately, let me remind you that with the CIS becoming a large part of our digital portfolio, a go od part of the revenues is usage revenues and they aren't reflected in the order book.

To sum up, we are very encouraged by our step up in the order book, win rates and our funnel looking good.

Coming to the digital portfolio performance, this quarter, our revenues came in at INR 2,144 crore , up by 51.5% Y-o-Y. Sequential revenue growth improved from a negative 0.8% in the previous quarter to 2.9% this quarter. Overall, the DPS portfolio growth has been broad based. There is a marginal decline in CIS, primarily driven by seasonality and muted growth in the global CPaaS market. We are pleased to report that our incubation business revenues were up 20.4% Q-o-Q. One specific highlight has been our MO VE platform which has grown 4x over the last years driven by good traction in the MVNO, MNO and auto OEM segments. Embedded Connectivity segment is in its early days.

We are constantly adapting and realigning to market changes and trends in line with the same , we have done a reclassification of our SASE business. Earlier, SD -WAN was part of Next Gen and Secured Service Edge (SSE) was part of the Cloud & Security in our reporting. With SD -WAN and SSE converging under SASE and SASE being an overlay security product, we are now including SASE under Cloud & Security. This aligns with our internal structure and review processes as well . We have provided re-casted number s for the last 8 quarters. Cloud hosting and security revenues increased by 4.2% Q-o-Q and Next Gen revenues are flat due to the aforesaid reclassification and also some customer specific issues and delays. I expect this to pick up from the next quarter.

A significant win in this quarter that I want to highlight is in the BFSI space. This deal is the largest ever enterprise deal that we have won. To add some more colour on this deal size, the ACV is nearly 4x of our earlier largest enterprise deal. We are working with the customer for S OC modernisation. The S OC will be built on the pillars of maximum automation and minimum disruption. What helped us stand out in this deal was our deep understanding of the customer, a demonstrated skill set of automation capabilities using our in -house IPs, threat intelligence and other use cases, our operating model , that brought agility to meet the bank's business needs. This win reflects how being a B2B specialist is a deep moat for us and helps us differentiate ourselves from competition.

Media business revenues grew 9.2% Q-o-Q. The ICC T20 World Cup in Americas and Caribbean was a coming together of Tata Comm and Switch capabilities. Our global delivery integrated with Switch local operations support was a value proposition that resonated well with the team at Star and ICC and they could appreciate the combined strength that we could offer in comparison to other providers.

We remain confident about our data growth ambitions as it continues to be driven by our expanded portfolio of capabilities as well as our increasing customer relevance. Our strategy and focused execution towards increasing customer relevance and expanding to multiple buying centres within the organisation is boding well. Our acquisitions and organic capabilities have made our digital fabric more relevant to enterprises today and as we help them to solve cha

llenges with their cloud strategies, helping them t o deliver better customer experience and simplifying their network transformations.

We believe that our global digital fabric is a powerful concept with which our enterprises, particularly in the international markets, are beginning to realise. With our digital fabric, we are addressing numerous issues that businesses are facing. We are c onfident about the larger opportunity and with this strong conviction we will continue to improve and derive value from investments and continuously augment our capabilities.

With that, I'll request Kabir to share the financial highlights.

Kabir Ahmed Shakir

Lakshmi, thank you. Good afternoon, everyone. I'll discuss the highlights of our financial performance for the quarter. The first quarter of FY25 directionally offers a positive start to the new fiscal year with two aspects proving to be formidable. First is the sequential improvement in EBITDA margins and second is the improvement in data growth, particularly digital services. Getting both together, which is data growth and margins on the upward trajectory is exactly what we need to deliver on a consistent basis. With our investments in growth, we are well poised to grow despite a challenging macro and remain confident about doubling data revenues by FY27. I would like to bring to your attention that TCL standalone financials are not comparable with earl ier quarters due to the creation of the new entity Novamesh.

Our consolidated revenues for the quarter stood at INR 5,633 crore , improving by 18.1% Y-o-Y and declining by 1% on a sequential basis. Data revenues for the quarter stood at INR 4,694 crore , improving by 20% Y-o-Y and by 0.8% on a quarterly basis. Digital services revenues improved 2.9% sequentially and were up 51.5% Y-o-Y. Almost each fabric has contributed to the growth of the digital services. Net revenue margins have been steady given our focus on operating leverage drivers.

Our EBITDA margins for the quarter were at 20% and as Lakshmi said, our efforts will be to stay in that range of 20% for the rest of the year, delivering a consistent improvement over prior year. We benefited from an improvement in NR margins, cost savings from termination of loss-making contract in TCTS and one -off reversal in employee costs this quarter. Going forward, as we benefit from synergies from acquisitions and begin realising operating leverage from our organic investments, we see us meeting our EBITDA margin aspiration of 23% - 25%. Our focus continues to be on creating elbow room and capacity for multi -year growth as we ready to participate in new opportunities including AI

cloud. PAT for the quarter stood at INR 333 crore and PAT margins were at 5.9%. Our PAT was up marginally by 3.6% Q-o-Q and lower by 12.8% Y-o-Y. PAT benefited positively from an exceptional gain worth INR 84 crore this year. Based on recent developments, there is a gain of INR 186 crore from the reversal of provision we took in 3rd quarter of FY24 towards interest on tax of variable license fee based on the Honourable Supreme Court of India's judgment. This is negated to the extent of INR 103 crore by a provision taken for impairment pertaining to investment in assets held for sale.

Free cash flow for the quarter was negative INR 385 crore , primarily driven by an increase in working capital. This increase in working capital is driven by our new entity Novamesh as it stabilises itself and an advance payment pertaining to a strategic deal in digital services. Net debt for the quarter stood at INR 9,611 crore and net debt to EBITDA is now at 2.2x. Cash CAPEX for the quarter stood at INR 541 crore tho

ugh our approved CAPEX is close to INR
706 crore .

ROCE came in at 17.5%, a decline of 130 bps Q-o-Q as capital employed has increased due to nine months of Kaleyra acquisition. The ROCE numbers will witness a further dilution in the next quarter as the full impact of Kaleyra gets baked in before it starts to improve.

Moving to subsidiaries. TCTS revenues declined by 17.9% Y-o-Y due to the termination of a large loss making contract which we had called out earlier. The profitability of the business improved because of this termination. From a base of FY24, the current full -year impact of termination on consolidated financials wou ld be 250 bps of negative impact on growth, but a 70 bps of positive impact on EBITDA. Our payment business is now completely on a franchisee model and we have been PBT positive for the last 7 consecutive months and the business has reported a healthy double -digit EBITDA margin of 10.4% this quarter.

Driving capital allocation across the organisation with an eye on return for every penny invested continues to be our focus area. With a robust capital governance framework, we are investing in the right opportunities to help us stay ahead of a disruptive technology curve. Our investments today are helping us participate in megatrends such as the AI, Cloud and enhance d collaboration experiences. At the same time, we are also optimising resources through our ongoing review, a strategic review of our business es and subsidiaries. We are confident that these levers will enhance our moats and help us continue to improve our profitability and provide the best value to our shareholders.

I will now ask Sudeshna to open the forum for Q&A.

Sudeshna Patnaik

Thanks Kabir. We'll wait for a minute for the question queue to assemble. The first question is from the line of Sanjesh Jain from ICICI Securities. Sanjesh, you have been requested to unmute yourselves. Please ask your question.

Sanjesh Jain

Hi, thanks for the opportunity and it's good to see a margin improvement to 20%. First question on the margin, can you help us with the bridge because operating leverage clearly was not there in this quarter. So it should have come from the synergy benefit from the Kaleyra, Switch, some one -off costs we booked related to acquisition in previous quarter, product mix and one -off in the employee costs.

Can you help us understand what all contribution did each of these elements had, and when you said 20% is sustainable for rest of the year despite ongoing investment, what is that make s you confident that these margins are sustainable? It's more operating leverage or you think there is more synergy benefit which is yet to come?

Kabir Ahmed Shakir

I'll start off with that, Sanjesh. Firstly, I mean as I explained in my commentary as well, there are a little bit of a one-off costs on employee costs which contributed in but let me take the easy ones out first. The impact on TCTS, the loss-making contract which I called out for the full -year is at 70 bps, for this quarter is only 10 bps. So the benefit we had was only small of 10 bps.

When I mentioned operating leverage drivers, I had also spoken about this in the previous quarters, that we have a

glide path for every tower as to what their destination portfolio is and what are the drivers that will take them to the destination margin for each of them. I'm confident that a lot of those drivers are kicking in and this is getting reviewed by the business and we are very, very dil igent about that.

So looking at the progress of that is what I had actually called out, that the operating leverage drivers are kicking in. And that gives us the confid

ence that we will be able to deliver the margins for the rest of the year, deliver a consistent improvement over last year. If we need to get to 23-25% EBITDA in the medium term, very clearly, it's not going to all come in in the final year. There is going to be an organic move towards this.

So there were certain costs that were spent in the prior year. Hopefully, from where I sit today, I don't see those costs coming back in. I don't know, a new acquisition , spend on DD that might change, but as of now, I don't see any of them. So I'm confident that we will be able to maintain that at 20%. Likewise, all other growth that we are expecting and therefore, as a result of that, that operating leverage kicking in is also somethi ng which is actually factored in, which gives us the confidence that we will able to get to 20% for the rest of the year.

Sanjesh Jain

It appears, Kabir, that we can actually do more than 20%. Will that be a fair assumption if revenue growth kicks in as we are anticipating?

Kabir Ahmed Shakir

Well, if that happens, that's good, but let's be cautious with what we see on our forecast as of now. That's our endeavour as of now.

Sanjesh Jain

Got it. Great. Now switching to the revenue, where I think we are yet to see the kind of positive surprise. Lakshmi, you said in last quarter that there was a very healthy order book in the enterprise business. Well, this quarter had a decline of 5.6% Q-o-Q and again on Y-o-Y basis. If we adjust to the acquisition, the growth appears not so exciting. The same again goes for India, YoY growth of only 2.5%. While we were very confident on these two segments, while these two segments still doesn't look like ar e firing, like what we thought.

AS Lakshminarayanan

Sanjesh, I'm not sure if I said anything about the order book in the last quarter. I've been saying that last few quarters it has been flattish. In fact, in the investor ’s day, I said we only had a marginal growth of 2% or something, is what I said.

Sanjesh Jain

Correct. Correct.

AS Lakshminarayanan

This quarter I called out that we had a healthy jump in our order books. This quarter did not see a decline. This quarter saw a very healthy jump on the order book, even though it's on the back of couple of large orders. One of the orders, we can start to realise revenues, some parts of it this year. But the other order, I think we actually published that it's World Athletics and World Athletics, the first event is in Tokyo next year, so it's an order booked this year.

There might be some revenues coming in, but the larger parts is from next year onwards. The order book, we are very pleased about the order booking that we have this quarter. I wouldn't call it momentum because again, as I said, is it back of two or three deals. But the funnel is looking good, our engagements are good. We just have to continue to execute regardless of what the macro conditions are.

Sanjesh Jain

Again, Lakshmi, touching upon even last year when in analyst meet you said that order book sales funnel growth was

upwards of 100%, while order book was just 3% growth. You did try to explain in the call, but still that conversion is looking very painful for us, or much slower than probably what we had thought. Any discussion there which highlights that things can improve materially?

AS Lakshminarayanan

Sanjesh, I'm not sure if I ever said our funnel was 100% improvement.

Sanjesh Jain

No, you had that slide in the analyst meet.

AS Lakshminarayanan

100%?

Sanjesh Jain

Yeah. I think it's for digital services, if I'm right.

AS Lakshminarayanan

Yeah. Anyway, I think Rajiv an

d team will clarify this point. I continue to maintain that the funnel is looking good. I'm
not sure, the conversion has been slow, Sanjesh, there's no doubt about it. This quarter, again, I repeat, what I said has been very good and very healthy. I think one of the other characte ristics of the orders, particularly when it comes to the network, is the fact that largely enterprises have a cycle of three, four years before they touch it. It's not like applications and other things. If they have 100 applications, they can outsource 50 at any time and keep the rest or decide. So these comes in various cycles. That is one.

Second is in infrastructure, it is, I said in the investors meeting, it's like touching live wire and if it isn't broken, don 't fix it is another attitude when it comes to these. There are multitudes of factors that go into why there are delays besides the macro conditions. But all I would say is that the funnel is healthy. We are increasing our engagement with our customers, particularly the G50 customers, which largely used to be India centric. Now we are expanding our relationships with them across the g lobe. So these are all good indicators of our engagement with the enterprise segment.

Sanjesh Jain

Great. Any comment on India, Lakshmi? That would be my last question.

AS Lakshminarayanan

No, again, India is healthy. I mean, this quarter is a blip due to the one -off we had in Q1 of last year, but I wouldn't read anything to, India is still quite strong funnel and we will end up strong.

Sanjesh Jain

Got it. Thanks for patiently answering all those questions and best of luck.

Kabir Ahmed Shakir

Also, I'll just remind Sanjesh and all others as well, our TCL standalone numbers are not comparable because of the split we've done with some businesses into Novamesh. So we need to be a bit careful reading those numbers.

Sanjesh Jain

No, no. I am reading from our data pack sheet where we segregate between India and international.

Sudeshna Patnaik

Thank you, Sanjesh. The next question is from the line of Vibhor Singhal from Nuvama. Vibhor, please unmute your line and ask your question.

Vibhor Singhal

Thanks for taking my question. So , a couple of questions from my side. One is on the growth part. So Lakshmi, again any colour on the CPaaS business, which you mentioned that there was global headwinds and seasonality in the business in this quarter. But what is the outlook for this sector in the near future? I know, I mean, over the medium to long -term, I think they're excited about this space. But what would this be, let's say, in the near -term, in the next 2-3 quarters, given the global focus on profitability. And how do we see this goin g, let's say in FY25?

AS Lakshminarayanan

Short answer is we will grow. I think there are customers that we are acquiring and since it's a usage business, it depends on how the usage picks up. But we are winning deals in Kaleyra, which will help us to grow despite the overall CPaaS market being mu ted globally. So we will end up growing.

Vibhor Singhal

Right. Any specific domains where we are kind of targeting market share gain or anything that you could probably throw light upon?

AS Lakshminarayanan

Any specific regions or what was your question?

Vibhor Singhal

Let's say, I mean, in terms of WhatsApp or let's say any other domains. What I meant is that we are looking for?

AS Lakshminarayanan

Yeah, so , the Kaleyra platform, bulk of the revenues is in SMS. So that is what is in Stage 30 as we call it. And that is where we are actively going to market. The other channels of voice, WhatsApp, RCS and email

, we have reached
what we call a Stage 1. So the pro ducts are built out, the MVPs are used by now some anchor customers and it will take some time to move to Stage 3 and 30. So the large part of the revenues will come from the SMS channel even though we are acquiring channel customers on the other one. But the scale will happen through the SMS.

Vibhor Singhal

Got it. And just a small clarification now that we moved the SD -WAN part from Next Gen connectivity to the Cloud & Security bucket. If I remember correctly, the Cloud & Security bucket used to be predominantly India business. Would the same hold true also or a good amount of SD -WAN business was outside India and hence Cloud & Security would now be kind of more, I mean, would include more of global revenue than just being purely Indian?

AS Lakshminarayanan

Yeah. In Cloud & Security, all of the SD -WAN, SASE and largely the other aspects of security is all global. Our I ZO private cloud is India focused. In security portfolio, we have a SOC and a cloud SOC offering that is largely for India. Even though in cloud S OC we have acquired now some international customers which again I would say is in Stage 1 and not rolled out to all the geographies yet.

Vibhor Singhal

Got it. Sure, that's helpful. Just one question for Kabir. Kabir, you mentioned that I mean, solid performance on the margins this quarter. So you mentioned that we are looking to remain at that 20% level margins for the remaining part of the year. Does that mean, I mean, the margins will stabilise at this level or you meant that probably there would still be some margin expansion through the remaining quarters?

Kabir Ahmed Shakir

Well, I mean, we are expecting to grow our margins towards 23 %-25%. So you should see an organic inch up in that, but it will be in that range. I'm hoping that this will not go below 20%. So we were at 18.6%, if you remember last quarter. We increased it up because our ambition, as we said, is to get back there and the sooner we get is what is important. So there are multiple levers that we're going to do organically driving all the operating leverage drivers . I mentioned before , strategic review of subsidia ries that we are talking about , we have done one of them already and we will continue the review for the rest . Plus the cost synergies that we need to get. So there are a lot of levers and a lot of balls in the air, Vibhor, if I may, which gives me the confidence that we should not go below 20%.

Vibhor Singhal

Right. But if I were to just maybe probe a bit further. Don't want the number. But directionally, should we be able to improve margins from the 20% levels in the remaining 3 quarters of the year?

Kabir Ahmed Shakir

I would say yes.

Vibhor Singhal

Got it.

AS Lakshminarayanan

So just to elaborate on the CPaaS, even though I said that SMS is where we anticipate bulk of the growth this year, that is based on some of the , and I did mention that we are acquiring customers and we focused on some of the larger deals there. But also we are equally focused on margins. So it doesn't mean the SMS growth will come at a margin dilutive.

So in the Kaleyra, we're very happy about the integration efforts on platform engineering and the product roadmaps. Our focus will be to derive all the benefits of the synergies on cost and so on. But already the synergies on go -to market is playing out. W e have acquired some large deals and that is what gives us the confidence that we can grow and grow profitably.

Sudeshna Patnaik

Thank you, Vibhor. I would like to remind that interested participants may click on the raise hand

button to join the
Q&A queue. The next question is from the line of Prateek Dugar. Prateek, I request you to please identify your firm name. Prateek, you hav e been unmuted. Please go ahead.

Prateek Dugar

I'm from Intelsense and first of all, I'd like to congratulate the management for the good set of numbers. And I had two questions. First question is a bit contextual. I just wanted to understand our total addressable market for the SASE based offerings because with some lar ge companies in the U.S. like Palo Alto had signed 8 figure deals in the past. And we also had a partnership with Fortinet wherein Fortinet has in its PPT, given projections about the entire security, networking and the unified SASE market, they are expect ing it to be a $208 billion kind of a market by 2027. Are we actually working anything in this domain? I mean, do we have any offerings in this domain?

AS Lakshminarayanan

Yeah, Prateek, we have 2 offerings in this domain. One is what we call as a hybrid SASE. Even today, very large enterprises are looking to see how to bring together a best -of-breed solution, which means that they might take an SD-WAN from a Versa or a Cisco and bring the SSE and o ther security solutions from players like Palo Alto or Zscaler

in India and certain countries .
and so on. And that is what we call as the best -of-breed solution. And that is an offering that we have already reached Stage 30. We have implemented fairly large -scale solutions globally for customers.

The new offering that we have launched is what we call as a Unified SASE, which is a single vendor and a single pass SASE as they call. And that we have launched in partnership with Versa. And that's a global launch that we did. And we've already got a cou ple of customers signed up and that in our opinion would be large towards the mid -tier customers in the international markets. So that is where these two will fit. We have created a special team that has a GTM responsibility for this. So we are very active ly focused on this market.

Prateek Dugar

Okay, thank you. And the other question was like in our last concall we had mentioned about replacing incumbents and some certain challenges that you were facing regards to the awareness levels about our solutions. If you could just give any progress on that front and share some of the name of the incumbents or give a flavour about the total addressable market in that area?

AS Lakshminarayanan

Yeah, I have to give you a very detailed answer for that. I think the incumbents are dependent on the geographies that we compete in, but largely the global players when it comes to the network modernisation of underlay as well as the overlay implementing either hybrid or unified SASEs, we see the major players being NTT, Orange, Verizon and the usual susp ects in that space. So those are the big competitors globally.

As I said, we have a challenger position in the international markets and relatively a small presence compared to them. But we are very confident because we have something very unique in our underlay called our IZO WAN proposition where we are able to offer very high performing network with SLAs on Internet and so on.

And similarly on the overlay part of SD -WAN and SASE, we have a great experience and being a very B2B focused company, we bring the best of both the network, we bring the best of tooling and technologies and some of the IPs we have created there and bring some of the service capabilities that these large organisations require. And that is what we think will be a winning mix in the market.

Sudeshna Patnaik

Thank you, ladies and gentlemen. This brings us to the end of the Q&A session. I would reque

st Lakshmi to please
share his closing remarks.

AS Lakshminarayanan

Thank you, Sudeshna. I think I would sum up the quarter as a very robust execution. We have seen an uptick in EBITDA from 18.6% to 20%. We have seen , from a decelerating Q4 in digital and data revenues to an uptick again. Y-o-Y, it's been an excellent acceleration. Across the digital portfolios, most portfolios have kicked in, be it MOVE or in the Cloud & Security portfolio. And of course, with CIS aided through the inorganic route.

The other portfolio of Next Gen connectivity, as I said was a blip and will pick up in the coming quarters. So overall, we feel very confident about the products in the portfolio and our engagement in the market, and we'll continue to execute on the strategy. Thank you.

Sudeshna Patnaik

Thank you, Lakshmi. Thank you, Kabir. This brings us to the end of the management call. In case of any queries please write in to investor.relations@tatacommunications.com . The recording will be available on the website in the next 24 hours. You may disconnect now. Thank you.

Call: Oct 2024

October 17, 2024, at 07:00 pm IST
Q2 FY202 5
Earnings Call Transcript

MAIN Participants :

A.S. Lakshminarayanan , Managing Director and Chief Executive Officer
Kabir Ahmed Shakir, Chief Financial Officer
Rajiv Sharma, Vice President and Head, Investor Relations
Sudeshna Patnaik , Deputy General Manager, Investor Relations

Sudeshna Patnaik

Good evening, everyone, and a warm welcome to you all. Thank you for participating in the Q2 FY25 Earnings Call for Tata Communications. My name is Sudeshna Patnaik, and I'll be your host for the call. We are joined today by our MD and CEO, Mr. Amur Lakshminarayanan; our CFO, Mr. Kabir Ahmed Shakir; and our Head of Investor Relations, Mr. Rajiv Sharma .

The results for the quarter ended 30th September 2024 have been announced today and the quarterly data pack is available on our website. We will begin today's call with opening remarks from Lakshmi on the business performance and outlook, followed by Kabir on the company's financial performance. All participant lines will be muted for the duration of the call. There will be an opportunity for you to ask questions after the management remarks.

Some of the statements made in today's call may be forward -looking in nature and are subject to risks and uncertainties. The company does not undertake to update these forward -looking statements publicly.

With that, I would like to invite Lakshmi to share his views. Thank you, and over to you, Lakshmi.

AS Lakshminarayanan

Thank you, Sudeshna. Welcome to the Q2 FY25 earnings call. I am very pleased to share that this quarter we have delivered a good revenue growth driven by our digital portfolio.

Our consolidated revenues grew 18.4% YoY and 2.4% QoQ. Data revenues were up 21% YoY and 3% QoQ. Digital revenues grew 52.4% YoY and 3.6% QoQ. Core connectivity growth is muted at 3% YoY and accounts for 54% of our data revenues this quarter. Digital services account for the rest, 46%.

Our EBITDA margins came in at 19.4% and our PAT grew by 3% YoY and came in at Rs. 227 crore . Muted growth in core connectivity, combined with the expenses due to Red Sea and other cable cut related costs dragged our margins this quarter. That said, Red Sea cable is largely repaired and starting Q3, the revenue drag due to these cuts will be behind us. Consolidated EBITDA improved 10% YoY. However, it was down marginally by 0.6% QoQ.

Our net debt -to-EBITDA ratio stands at 2.37 x. I would like to apprise you of the progress we are making on the asset monetisation side . We have submitted for shareholder approval, the sale of the land parcel in Ambattur Chennai. This is in line with our strategy to enhance shareholder value by unlocking non -core assets.

On the order book and funnel side, our funnel continues to be robust. Although the funnel addition has remained subdued in H1, we have witnessed an improvement in our win rate across all the regions. The improvement in win rate in H1 can be attributed to t he large deals that have come in this year. On the back of this improving win rates our order book in Q2 has increased by upwards of 25% YoY. The growth in order book is driven across all segments in India and international, except the service provider seg ment. Our international region has registered the highest quarterly order booking in the last 5 years.

Our core connectivity order book is driven by hyperscalers and OTTs. Our core c

onnectivity revenues came in at Rs.
2,613 crore and grew by 2.5% QoQ and 3% YoY.

India's data centre industry is rapidly expanding, and we continue to be the market leaders in data centre to data centre connectivity space. We have signed major deals with hyperscalers for multi -year network build and capacity upgrade.

For instance, for one particular hyperscaler, we are building the long -haul dedicated network, connecting their data centres across different states. The deal is large and complex and its scale of operation in terms of the size with a multi -million -dollar TCV. Spread over a period of 10 years, the revenue for this deal will start coming from FY26.

We continue to expand our fibre network infrastructure in the country. We have a strong network presence in Tier 1 and Tier 2 towns and serve large enterprise needs. The rising prominence of Tier 3 and Tier 4 towns is creating new pockets of growth. We hav e been deepening our capillarity of our network in these areas to further augment our leadership in the enterprise data network market.

Coming to the digital portfolio performance. This quarter, our revenues came in at Rs. 2,221 crore and 3.6% QoQ and 52.4% YoY, this growth is broad -based.

We are pleased to report that our incubation business, which is our IoT fabric, and it has grown in revenues by 33.8% QoQ and 58% YoY. The key highlight has been MOVE platform, which benefited from robust usage growth coming from addition of new vehicles. Further, there was an increase in our platform revenues as there was a rise in SOTA campaigns. We deepened our relationship with our ex isting customers by signing them on for enhanced platform proposition, particularly our intelligent connectivity solution s.

Our collaboration and managed CPaaS portfolio, which is our interaction fabric, grew by 6.6% QoQ and 174.2% YoY. The Media business has seen a QoQ decline of 14.2% on the back of the sports calendar and large one -offs in Q1 like the T20 World Cup and Olympics, which we had in Q1.

Cloud and Security revenues are flat this quarter. The segment continues to see improving traction within the BFSI space particularly. The pipeline of deals in this segment is healthy. We are encouraged by the opportunities in this segment, and the deals t hat we have signed in Q1 and Q2.

The next -gen connectivity, which is our network fabric, grew by 4.5% QoQ and 7.7% YoY. The three pillars of next -gen connectivity services, namely the managed Wi-Fi, IZO hybrid WAN and I ZO Multicloud Connect are addressing the enterprise customers' end -to-end network transformation needs to connect the end users and enterprise to the applications in the cloud.

Our digital fabric continues to resonate well with our customers. We now have industry analyst recognition across all the four fabrics, reflecting our strong value proposition. You may refer to our Q2 press release for more details on the same. Our solid v alue proposition, coupled with our long -standing relationships with large enterprises gives us the conviction to profit from the market opportunity.

With that, I'll now request Kabir to share the financial highlights.

Kabir Ahmed Shakir

Lakshmi, thank you. Hello, everyone. Let me walk you through our financial performance for the quarter. The Q2 FY25 revenue growth driven by data and digital portfolio came in at Rs. 5,767 crore , consolidated growth of 18.4% YoY and 2.4% QoQ. Data revenue for the quarter came in at Rs. 4,834 crores , a growth of 21% YoY and 3% QoQ.

Digital services revenue for the quarter came in at Rs. 2,221 crores , a growth of 52.4% YoY and 3.6% QoQ. Emphasising that business fundamentals continue to be
strong. The most heartening part of our digital businesses is
that we are incubating new businesses to drive long -term sustainable growth.

As Lakshmi mentioned, we have put forth for shareholder approval the proposal for land parcel sale in Ambattur. The estimated range for final sale consideration is expected to be between Rs. 750 crore – Rs. 850 crores . This action is in line with our strategy to monetise non -core assets.

Let me add that we are taking multiple strategic measures, which will start benefiting us in the quarters to come. These include strategic review of non -core assets, an assessment of their monetisation opportunities, strategic evaluation of pockets which may not offer longer -term leverage and strategic review of subsidiaries, which we had suggested earlier. And we are making good progress there. These measures will allow us to reposition our assets to drive longer -term value creation and maximise resources to invest behind our growth.

Additionally, another set of measures are being pursued towards simplification, be it on the process side or the cost structure to ensure that our company is competitive for future opportunities. To drive all these measures, some of the costs will be upfro nt and are being incurred now. And over the next couple of quarters, we believe that with these strategic measures, combined with the right capital allocation, and a robust governance framework, we are well placed to accelerate growth and maximise sharehol der value.

Our EBITDA margins for the quarter were at 19.4%. We'll continue to make efforts to stay in the range of 20% for the consolidated full -year FY25. Our interest costs were higher this quarter, driven by an increase in short -term borrowings and the change in mix as there was an increase in INR borrowings. On the tax component, there are two

highlights. First, there was a one -off tax payout of Rs. 113 crores as we accelerate our process of streamlining and aligning various entities in various geographies to enable longer -term beneficial outcomes. The second being, we assessed the certainty of utilising the past capital losses and recognise a deferred tax asse t of Rs. 84 crores for the quarter and the period ended September 30, 2024. Our PAT was up by 3% YoY.

FCF for the quarter was negative Rs. 194 crores , significantly better than the previous quarter, and the drag was primarily driven by increase in working capital. Net debt for the quarter stood at Rs. 10,483 crore and net debt -to-EBITDA is at 2.37x. With our land monetisation stated above, we see our leverage ratios improving meaningfully over the next couple of quarters. Cash Capex for the quarter stood at Rs. 447 crores . ROCE came in at 16.4, a decline of 110 basis points QoQ. As of this quarter, the full impact of Kaleyra has been picked.

Moving to subsidiaries. TCTS revenues declined by 26.4% YoY. EBITDA margins came in at 12% and EBITDA improved by 36.3% QoQ. Our payment business reported a healthy double -digit EBITDA margin of 11.2% this quarter. As you already know, the business is completely on the franchisee model.

Let me now ask Sudeshna to open the forum for Q&A.

Sudheshna Patnaik

Thanks, Kabir. We'll wait for a minute for the question queue to assemble. Interested participants may click on raise hand icon at the bottom of the page on Webex application to join the Q&A.

The first question is from the line of Sanjesh Jain from ICICI Securities. Sanjesh, you have been requested to unmute yourself. Please proceed with your question.

Sanjesh Jain

Good evening. Hi, thanks for this opportunity. A couple of questions. First, Lakshmi, you have said in your o

pening
remarks that we have signed multiple hyperscaler and OTT contract s, and you particularly mentioned about 1 multi -million 10 -year contract, which you are connecting the various data centre of an hyperscaler, I hope so. Because it's a 10-year scale, so what kind of growth can this deal bring to us from an opportunity standpoint? That is number one.

And number two, because we need to now also lay out the network in Tier 3 and Tier 4, so what is the incremental investment does this deal require us to do , additionally probably?

A.S. Lakshminarayanan

Yes. Sanjesh, first of all, the hyperscaler deal, this kind of build we have been doing for some time for many hyperscalers. As we said, some of these were passed because they had built capacity post -COVID, they all spent money on the back of increasing traffic after the COVID. And then there was a period of utilisation of that capacity, and now we believe there is more demand, and these opportunities have come up.

So that is one example of the deal is what we highlighted in this call today. But we have been doing these data centre to data centre connectivity for multiple customers, whether it's enterprise or the hyperscalers. I don't want to break out the revenue of what it means because we don't give that break up.

The second question that you asked was on the Tier 2, 3 expansions of capillarity in what it means by Capex . We have been actually steadily increasing our capillarity in those spaces, and we are doing it very scientifically. We've analysed all the pin codes where there are demands, and we have identified those clusters, and we are expanding our network in those spaces. So, this is not a big one -time exercise. We've been steadily doing it over the past four years, and we will continue to do so in order to ma ke sure that we can address the opportunities of enterprises moving to the Tier 3, 4 cities in India.

Sanjesh Jain

That's clear. That means the $300 million, $350 million of Capex , what we speak also includes the Capex for laying out fibre in the Tier 3 and Tier 4 cities? That's right.

A.S. Lakshminarayanan

That's right. That's what we have been doing, yeah.

Sanjesh Jain

Got it. Lakshmi, second question on the core connectivity. Even last quarter, we said that the Red Sea and other cable cuts has hurt us. Is this completely behind us with the cable getting completely repai red? And the 5%, 6% growth what we have been speaking of that should be back from Q3 onwards?

A.S. Lakshminarayanan

No, I don't want to comment immediately on the Q3. To your first question, whether it is behind us, yes, it is behind us. I think the last of the cable cuts was repaired. And we will now look for how to start utilising that capacity more meaningfully.

Sanjesh Jain

Got it. But we are not seeing any issue from the demand side or any higher pricing erosion, none of those issues which can otherwise impact revenue is visible, right?

A.S. Lakshminarayanan

No, no. The demand side has been steady. So just to remind you, we have been saying that the core connectivity as a business globally is in a declining trend in the market , right?

Sanjesh Jain

Correct.

A.S. Lakshminarayanan

In that market. We had called out in our strategy that we will be in the low -to-mid single digit growth. There was demand and also the fact that the customers trust us to deliver because these are all very critical connections to data centres across the globe. They value the kind of services that we provide. We have been able to garner more market share out of this and deliver a higher growth compared to the market.

So, we don't see any

issue in the market as such. But the overall market is having the colour, which I just painted, I don't think that would change in the short to medium term.

Sanjesh Jain

Got it. And this hyperscaler contract that we mentioned, that will be part of the core connectivity, right?

A.S. Lakshminarayanan

Yes, yeah.

Sanjesh Jain

The second question on the digital side of the business. If I look at the net revenue, the growth for this quarter is

1.4% QoQ and on the gross side, it is 3.6%. We are still hitting only 15% growth, and the ambition was to touch 25%. Is this the demand side issue? Or it's just that the order book and the sales funnel conversion has been slow, but the discussion s are encouraging. Where is that gap versus what we were targeting and what we are delivering today?

A.S. Lakshminarayanan

I think we have set ourselves a highly ambitious target. There's no doubt about it, and we are going after it. But the macro conditions and the challenges that arise are something that we don't factor in when we create ambitions. And I don't want to do that. So, setting that apart, our ambition continues to be that. And you're right in your observation that 6% translates to the number that you said, but our ambition remains the ambition, and we are gunning for it.

From the demand side, we are very, very happy to see that the order booking has improved, and we have been calling out that there is slowness, and you can see not just from our commentary, I think that's been true for everybody else in the markets. But we are calling out the increased order booking, because I was always of the opinion that as you continue to improve your funnel and work your way through, something will come out of the funnel at some point in time, and that this last two quarters has proven to be the case.

But the market conditions are still the same. I think the conversion of the decision -making time has not improved in any significant way. But as it may, we can't change the conditions. What we are focused on is continuing to invest in our fabric products, continui ng to engage with our customers. That coupled with what we said on increas ing our sales footprint and we did that and that is delivering an improved order book.

And some of this, I've also been saying that as you increase the sales footprint, it takes time for the new sales team to understand the propositions, build relationships and make an impact in the market. So, I'm quite pleased with the outcome that we have had. And for this to continue, we have to continue to invest in our products and invest in our sector.

Sanjesh Jain

That's fair. Kabir, I got three questions o n bookkeeping very quickly. One, last quarter, you said that you want to achieve 20% EBITDA margin for FY2 5? Do we hold that guidance still true?

Second, is this the only land parcel, which is put in asset held under sale? Or are there a ny more land parcel s we can expect in, say, next 12 months’ time frame? And what is that amount we are looking at?

Number three is on the working capital, a sharp increase in the first half. This is significantly different than what we have seen in the last four years. So, what has changed suddenly in the working capital side of it? Yeah, that's it. Thank you.

Kabir Ahmed Shakir

Thanks, Sanjesh. Look, our ambition is still in the range of 20%. I said range of 20%. We will maintain that ambition of range of 20%. Yes, cable cuts. I mean that's not the only reason, but if I were to filter out, there are multiple noises within that as you would have in any company in any quarter . It did have a dent, and we are a little bit impacted by that.

But our ambition is still in the range of 20% for the full year .

On your second question on land, it is a significant one, and it's a related party deal, so it needs as per the regulations to go to shareholder approval. So, it's in the public domain. I've given you the value of it, although it is there in the shareholder notice as well. I've called it out for easy reference for all of you. This quarter, we also had a small land parcel in Vikhroli that we sold and that is already recognised.

As I told you guys about almost 18 months ago, there was a real estate strategy that was approved by the Board. And the team is constantly working on cleaning all the title issues and all the hindrances that were actually coming in the way of monetisation. Now to go into specifics, we ju st got , after enough follow -up with the local government, we got the patta issued in our name. And unless until you have the patta issued in your name, you can't really get on with the sale process, although we did the valu ation, we did all of those work. So that's the reason why we are today in a stage we're able to do the monetisation for Ambattur. In fact, STT is a current tenant there already, and it makes logical and strategic sense for them to become owner and then that's where we are awaiting shareho lder approval to consummate the transaction.

We have a plan. I can't give you a number because all of those are mired with all these complicated problems. And as and when we unwind each and every one of them and get it ready, we will go on. I mean there is no large thing coming up in the next 12 months. A lot of them are in the Rs. 50 crores to Rs. 70 - Rs. 80 crore kind of a bracket . Some of them we went and there were some technical issues, we had to actually halt. We will restart them. So those

are operational in nature, Sanjesh.

Lastly, coming to working capital, yes, I do recognise that it has gone up. Let me reassure you that the operations are completely under control. Nature of it, about, I would say, year -to-date, about Rs. 500 crores of the receivables of the total Rs. 600 crore that you see, Rs. 500 crores are not due. I mean those are the conditions either in the large deal contracts that we have where we have billed and we recognised revenue, but they are not yet due. So, they're not collectible as such.

So that has contributed to a big portion. Plus, also the flavour of our deals is also changing in a way where we had to accept some of them came with conditions of higher payment terms as well. So that was a conscious business call that we always take between margin and working capital and then do a right trade -off per se.

So that is, I would say, the anomaly of working capital, but nothing I would say is alarming that way. Also, Lakshmi alluded to large contracts that we actually signed. So, when we see the holistic picture of it, a little bit of a cash timing is not something that I would be overly worried about in doing economically the right thing for Tata Comm.

Sanjesh Jain

Very clear. Just one follow -up on the land, what you said. You said that they are already a tenant on that land. That means other income will reduce. Will that be a fair assumption? And if, yes, how much will it dip?

Kabir Ahmed Shakir

That is correct. That's exactly the reason why I set it out even though you didn't ask for it. Look, you will have to look at other income that we actually have. And as I monetise , it will keep coming down.

Sanjesh Jain

Got it. And now that ST Telemedia has announced a very large expansion plan in India worth $3 billion. Is it fair to assume that they will keep requiring this land and we have land

at the very prime locations. These deals can
continue. And number two, what will be our contribution in $3 billion from the equity side of it? Will we maintain this 26% equity stake and all the equity infusion will be funded by Tata Communications to the e xtent of our shares, sorry?

Kabir Ahmed Shakir

Yeah. No firstly, I mean they have an ambitious plan of $3.2 billion, which they have communicated. That is a total outlay over five years. There is a large component that will be funded by debt. So then there is a balance equity portion. As of now, our st ated position, which you have seen in the last few quarters as well, we will continue to maintain the 26% stake in STT.

What we want to do with that stake is a review that we will undertake along with multiple other things that we are doing within the business. That's what I alluded to in the first part of my speech that there is a lot of value in this company to be unlocke d.

So, a lot of costs are getting incurred upfront, which as per accounting get booked in my current cost, but these are all the right actions that we are taking for setting up the company for success, relooking at capital allocation, how we must invest behind growth, I think you should look at it from that larger perspective. We are a company in the digital transformation space. We are servicing the long -term infrastructure and transmission needs for our enterprise customers. We are the digital fabric; these have longer gestation periods.

And if our thinking as a management is not going to be long -term and if we do not take long -term actions, I don't want to get myopic into short term. I'm not saying it as an excuse, Sanjesh, but that is rightly the kind of thinking that Lakshmi drives in t he organisation, and it's absolutely the right thing to do.

Sanjesh Jain

Fair enough. I have taken more than the fair time. But thanks for patiently answering all those questions and best of luck for the coming quarters.

Kabir Ahmed Shakir

Thank you, Sanjesh.

Sudeshna Patnaik

Thank you, Sanjesh. The next question is from the line of Amit Maskara. Amit, I'm requesting you to unmute yourself. Please proceed with your question. Amit, your line is unmute d. Please proceed with your question. Amit, we can't hear you. Please come back in the queue. We'll move to the next question. The next question is from the line of Balaji Subramanian from IIFL. Balaji, we are requesting you to unmute your line. Please proc eed with your question. Balaji, please unmute your line and ask your question.

Balaji Subramanian

Thank you. So, I had three questions. So, the first one was on the revenue aspiration that you had laid out in the analyst meet earlier this year, which was Rs. 28,000 crores of top line by FY27, of which about 60% will be from digital portfolio. So that is basically around Rs. 17,000 crores . If I look at the annualised digital portfolio revenue for Q2, we are somewhere around Rs. 9,000 crores , give or take Rs. 100 crore or Rs. 200 crores . So how should one expect the Rs. 9,000 crore number to move to something like Rs. 17,000 crores in a span of 2.5 years or so? So that is one.

And even though you have stated many times in the past that you would not like to do M&A just for the sake of hitting the revenue aspiration. What are the potential areas you are looking at as far as inorganic opportunities are concerned? And in that case, how do you look to fund it? I do get that you are also exploring multiple monetisation opportunities, but how should one expect the funding to come through? So that would be my first couple of questions. Once I get the response, I will move to the

last qu estion.

A.S. Lakshminarayanan

Yes, Balaji, thank you. I think the aspiration remains intact, as I said in the previous question. And you are right in saying that for us to deliver this kind of a growth, our digital portfolio has to grow at a stronger clip, right? So that is the reason why we chose to invest in all the four fabrics. If you look at our next -gen fabric, next -gen connectivity in the network fabric, we've invested in a new platform called IZO Multi Cloud Connect.

And in the coming quarters, we will be releasing a product which connects within the cloud. So, with the increasing trend of people adopting more multi -cloud, that's an area which is today a small market, that is in a single -digit billion slated to growth in upwards of 20% CAGR in the networking space. So, we've identified such a pocket, and we have invested in our product, and it's in early stage. And we expect this to grow.

So, in many of these areas, that is one example. So, if you look at the interaction fabric today, the bulk of the revenues are coming from SMS, the clear reading of the market and the expectation is that it will diversify from SMS to other channels and also more of AI capability and orchestration across mul tiple channels will become the norm. And those are the areas we're investing in.

So, these are all new areas, and we have placed our bets in a lot of these new areas, all of which are white spaces with good growth potential. So, I think that is one dimension of where we are focused on in order to capture the opportunities. The second dimension is about the markets itself. The international market is a bigger white space as we've been calling out.

And that is a market where we are increasing our footprint. We do have a challenger proposition there. We have to go and replace the incumbents, and that is what we are working on. So, the way we have set out our ambition is based on what we see as the market opportunity, our reading of where the technologies in each of the fabrics will go, and we believe we have placed our bets and investment in all the right places.

To your question on funding, if we chose to do inorganic. I think Kabir talked about the several monetisation opportunities and value unlocking opportunities that we have. And those are the things that we would do. Kabir, do you want to add anything?

Kabir Ahmed Shakir

Yeah. Look, Balaji, I would say we have a lot of growth ambitions both organically and inorganically. To your point on M&A, we have clarified many a times, there are core principles that drive our M&A decisions. It has to be responsible, it has to be strategic, and it has to create value for everyone. The places where we will look at obviously are going to be DPS. Having said that, I am not averse to complementary capacities coming in the core connectivity space.

So, we will actively look at it. We have an active M&A funnel. And as and when that funnel progresses to a level, it will go to the Board and go through the due diligence before it's approved and then it's ready for us to communicate externally as well when w e do such things.

Funding of it, both organic and inorganic, are something we constantly look at and as Lakshmi alluded, there are multiple levers, monetisation opportunities that we will examine. But let me rewind the clock 18 months before. What did we do? We did have an aspiration of M&A, we spruced up, we delivered a very healthy profitability in our business. We brought our net debt down to 1.3x, created the war chest and the capacity. We were operating at a very healthy 2 8% ROCE. And then we went and acquired these thr ee assets.

And our ta

sk is to, of course, integrate and deliver on the synergies and the business case of these assets. And we have given you an indication of when net debt leverage, ROCE and EBITDA margins will come back to our ambition ranges. And when we get back there, I've said multiple times, our objective is not to stay there. Our objective is to use our financial muscle to invest behind growth.

Now what happens between the time we get there and now if there are interesting opportunities, that's why we will look at all these monetisation opportunities. With the robustness of our financial performance, our own headroom on debt capacity has also gon e up. So, if required, we will look at avenues. We've also done theoretical exercise on varying target sizes, what is the right funding instrument that we need to use.

So, depending on the opportunity, depending on the target, I think, Tata Communications today has the right hygiene and a robust balance sheet to tap on to the right capital asset that is required to fund that opportunity. I'll leave it at that, Balaji, I can 't give any further detail than that.

Balaji Subramanian

Thanks, Lakshmi and Kabir for the detailed response. My next question was on the interaction fabric that you had mentioned. So, you did allude to the diversification of enterprises towards non -SMS channels. But based on what I gather from market sources, it does look like even though WhatsApp volumes are on a tear, there have been some renegotiation of terms from WhatsApp's side t owards CPaaS players.

And I do understand that they have taken up the threshold, which needs to be crossed to be eligible for the incentive. And there is chatter that eventually the gross margins in the WhatsApp business will also settle down to something like 15%, 20%, which i s what we see in the domestic SMS market. So how do you kind of reconcile the fact that at the end of the day, something like a channel like an SMS is something which is owned by the telco while WhatsApp as a channel is owned by Meta.

So, considering the typical lack of ownership of these channels by a CPaaS vendor, do you think that that will come in the way of monetisation of CPaaS in the long run? Thank you.

A.S. Lakshminarayanan

Yes. So, we cannot really speculate on what will happen. There are not just these channels. There are voice channels, for example, which we own, and programmable voice is another big opportunity. There are video opportunities. There are RCS opportunities. So, the channels will continue to expand. We cannot also predict on

which channels are going to pick up the most with the customer. So that is one area we do need to develop the products, which we are doing and tak ing it to customers.

The second is, I think the customers also will settle on looking at what are the optimal channels to use in terms of across these channels, which is where our ability to orchestrate across multiple channels, build out those orchestration layers and bring A I to that will be crucial. So, after all, channels will be channels.

Balaji Subramanian

Got it. Thanks a lot, and all the best.

A.S. Lakshminarayanan

Thank you.

Sudeshna Patnaik

Thank you, Balaji. The next question is from the line of Vibhor Singhal from Nuvama. Vibhor, we have requested you to unmute yourself. Please proceed and ask your question.

Vibhor Singhal

Hello, hi. Thanks for taking my question. So, Lakshmi, a couple of questions from my side on the overall growth environment. So, as I think you have been asked by the earlier participants, I think the growth in this quarter was kind of stable, but of course, there's a big gap between what our aspirations

are and what we are delivering at this
point of time. How is the overall macro looking like, especially with respect to the second half of the year? We've seen a lot of IT services vendors talk about the interest rate cut having reinvigorated talks about discretionary spend s. Is that also something that we are also hearing that will be applicable to us as well? But on a broader note, what is the kind of overall growth trajectory that we're looking at for the second half of this year?

A.S. Lakshminarayanan

Yes. I don't want to comment on the immediate quarters. I think we are very encouraged by the order bookings that we have had in the last two quarters. And the second data point that I have is that the time taken to convert these orders actually have been longer as well. As I've been saying, as we put more in the funnel at some point in time, it will come out, right? So, our effort has been to see how do we put a good quality of deals into the funnel, increase our engagement. And those are the things entire ly in our control, and that is what we are focused on.

To the question on macro, there are different readings of it in terms of the geopolitical risks that is even more heightened and in fact, worsened. Yes, the interest rate cuts have been encouraging. So, it's hard to read into some of these. And the second aspect, which I have been highlighting also in the area of network, for example, they are the customers do not replace it just like that, because it's a fairly complex process that they have to go throu gh. And that is an inertia for them to do. So, there i s a lot of work that we are having to do with the customers to switch from incumbents.

And having done that, the time to realise some of these revenues are also longer. So yes, macro plays a role in which case, if they build more applications and if they put more into the cloud, their existing network architecture and infrastructure begins t o crack, and that is when they look to transforming the network.

So, in a sense, that's a relationship between macro . As macro improves more applications, more things moving to cloud, more stress on their legacy network and therefore, the need to transform. So, it's a longer cycle from our perspective. But the good thing is we stay focused on. And the encouraging thing is also we have multiple fabrics, right? So, if hopefully, the discretionary spend goes up, our interaction fabric, I believe will continue to stand to benefit from such a move.

Vibhor Singhal

Right. Thanks for that very detailed answer. But if I were to marry the answer you just gave with the answer to

Sanjesh’s question in the beginning. You mentioned that, of course, there is a macro factor, there's market dynamics when we build aspirations, we of course, don't take market dynamics into account, and we hope for the best. So, what exactly are the market triggers or, let's say, drivers that you are waiting for? We've had an interest rate cut, there is a talk of discretionary spend s which are picking up. What exactly are we waiting for? I mean what are those events or what is that something which you believe is going to drive our revenue growth to our aspirational levels?

A.S. Lakshminarayanan

No. As I said, we're not waiting for anything for happening. So, if you look at each, I think I g ave an elaborate answer. So, when do people undertake network transformation is particularly when they go to cloud, they see that their current network architecture is not able to cope, they've come under cost pressure, and therefore, they look to replace their traditional network with more internet -based architecture.

And as they move to more internet

-based architecture, there is more need for the network security and SASE, which is where again, we have invested. So, I think the trigger would be largely where the enterprises get to a point where as they move their applications to cloud as they have more distributed touchpoints from their users accessing in multiple places, the application performance begins to go down . And as they go to use more Internet, they get more worried about security. And therefore, the network t ransformation, implementing network security -related thing sort of accelerate s. So that's a trigger point as far as that is concerned.

So, in our cloud and security fabric, I've spoken to the security fabric. So, the network security is one. The second is we are seeing a lot of opportunities on implementing a state -of-the-art SOC for customers. And that is what we announced as a deal last quarter, for example. And there are multiple such opportunities where , the threat landscape is increasing. So, in a couple of these deals that we are implementing, it's a complex implementation , integrating over 20 different OEM technologies to deliver an d we are enabling it through threat intel from our network and bringing AI capabilities to that, right? So that is another trigger event for that portfolio.

And of course, in the cloud, we are strengthening our infrastructure as a service as well as the platform. We expect to announce some relaunch of these products in this coming year. And we are investing in AI cloud, which is in a very, very early stage. So, these are some of the examples I can talk about for each of the fabric. There are clearly trigger points in each of the fabric, which we believe will drive the growth.

Vibhor Singhal

Right. Sure. I got that Lakshmi. So, I mean, okay, I'll probably just have a couple of more very specific questions. The media revenue saw a very sharp decline in this quarter. Any specific reason for that? I'm sorry, if you have addressed that already. I missed the initial part of your opening comments.

A.S. Lakshminarayanan

Yeah. So no, I did mention that the media is a bit cyclical, based on the sports calendar, a lot of our media revenues comes from our coverage of live sporting events, right? So, we are the leaders in a lot of global sporting events like the Formula One and others. Last quarter, the T20 match in the U.S. and the Caribbean. And we also had Olympics. So, all of that were in the last quarter. So, depending on the sports calendar, it has a bit of cyclicity.

Vibhor Singhal

Got it. Sure. That's helpful. Just last question for Kabir. So, Kabir, this quarter margins, I suppose, were impacted because of the maintenance expenditure in the core connectivity segment. But excluding for that, are we looking at a trajectory in which we are looking to expand margins every quarter, especially in th e digital space, as we should now be starting to reap the benefits of integration of both Kaleyra and Switch. Is that understanding, correct? And is that also what we can also build in, let's s ay, for the next year as well.

Kabir Ahmed Shakir

Well, look, what I've said we want to get back to our ambition of 23% to 25%, and that will come in two years' time. This year, I've said we will be in the range of 20%. That's where we would like to be . To get 0.5% here and there is not the point, but that is the range we will get back in.

On your point, I will not say only for Kaleyra, but all for the entire digital products itself, we have a glide path. We have mentioned this that we have a glide path, and there are multiple drivers, and the drivers differ from product category to product category. And those

are tracked in terms of margin expansion.

So absolutely, yes, we want to be able to drive faster, better growth in DPS and also profitable growth. So therefore, even that profitable trajectory needs to go up. Even from the current levels when we drive faster growth, we have a headwind because of t he mix effect on our margin profile. Despite that, our ambition is to stay in the 23% to 25%.

Vibhor Singhal

Got it, Kabir. That was really helpful. Thank you, guys . Thanks a lot for taking my questions.

Kabir Ahmed Shakir

Thank you, Vibhor.

Sudeshna Patnaik

Thanks, Vibhor. The next question is from Vinit Manek from Karma Capital. Vinit, we request you to unmute yourself and ask your question.

Vinit Manek

Just one question for Lakshmi. So, Lakshmi, not specifically on the numbers, but we have seen a good growth Q -o-Q for this quarter and with a lot of revenue coming back on our core connectivity and good order book growth that we have seen for the last two quarters. So, can we expect a better second half versus the first half revenues ? Or any comments on that?

A.S. Lakshminarayanan

So Vinit, I sort of gave a colour to some of these order books, while I cannot give specific guidance. I've also given a colour on the order book that some of the orders I think I mentioned about the large hyperscaler network build. I mean that will come a lmost towards the second half of FY26. Some of our network deals we have booked the order ; the revenues will take longer to come . But there are certain portfolios where booking the order to conversion is faster. So, the various portfolios have different co lours. While we know how it's going to translate, we don't want to break that out and give a guidance for the H2 based on this.

Vinit Manek

Got it. And two bookkeeping questions for Kabir. So, Kabir, any sense on the kind of usage of the cash that we're going to do from the divestment that we had announced? So, will it be more towards the debt repayment or it will be required for some accelerated investments on the AI cloud or the GPUs that we will be doing mostly in the second half?

Kabir Ahmed Shakir

Yeah. I would have liked if you did not call it bookkeeping questions. Finance in Tata Comm is quite strategic, and we add value to the business in a fundamental way. So, yeah, bookkeeping is what we do to earn our salary, but we are here to drive business forward.

Yes, we look at source of funds and use of funds. We have a strategic plan that drives our actions. We have our ambitions to be the digital fabric for our enterprise customers. And we have Rs. 28,000 crores as our Northstar in FY27. We have digital portfolio that we want to drive as an acceleration. So those are all our guiding factors.

And yes, each and every opportunity will be evaluated based on the ROI that it needs to deliver. So, we are measuring from a very careful angle of driving profitable growth, yet delivering the ROCE that we want to do. And maintain a certain healthy debt -to-equity ratio and leverage. So, there are multiple places from where this is optimised. So, I would say we will look at every element, both in the P&L and in the balance sheet and sweat each and every piece of asset that we have towards driving profitable growth.

If you had probably been exposed to the finance strategy. There is a big pillar called Fit to Grow and the Fit to Grow is not just a conceptual model. It's a strategic planning model backed with multiple scenarios that the team updates on a monthly basis, which guides us in terms of the resource allocation for the business, both for organic and inorganic activity.

Vinit Manek

Got

it. And can you just repeat the onetime expenses that were there in the interest cost of Rs. 193 crore this quarter. And could this be the peak absolute interest cost for us, because we have already hit the threshold of the debt-to-EBITDA ratio that we had on the aspiration side, or so can we say that this is the peak interest cost ?

Kabir Ahmed Shakir

Firstly, it's sort of onetime cost, that's my interest cost bill for the quarter, Rs. 193 crores . Well, you tell me that the Central Bank of India and the U.S. will not increase rates. I will give you the guarantee that that is the peak. Look, we have hedging that we do, we have an interest rate management policy that we actually run. In this particu lar quarter, the costs have gone up because of increase in short -term borrowings and a mix of INR versus dollar debt. So that is the reason. I'm sorry, I can't give you guarantees whether we have reached the peak or not, because I do not control interest rates.

Vinit Manek

Okay. But how much was that? Can you quantify that for the quarter?

Kabir Ahmed Shakir

It's very marginal. Our weighted average cost of debt is still lower than the previous quarter. It's only the absolute that's gone up, because of the mix between the short -term borrowings that we have taken in India. So, it's a few crores here and there.

Vinit Manek

Got it. Thank you. Thank you for answering all the questions.

Sudeshna Patnaik

Thanks, Vinit. The next question is Priyank Parekh from Abakkus Asset Managers. Priyank, please go ahead and ask your question.

Priyank Parekh

Yes. Just wanted to understand from the perspective of that we have multiple segments. And within the digital

portfolio, we have five segments. So, when we are projecting the growth for next three years, I want to understand how correlated these segments are? Are they quite heavily driven by certain levers, or they are completely diversified?

A.S. Lakshminarayanan

You mean if in each of the segments, yeah. I don't think there is much of correlations. There might be some correlation between the network fabric, and for example, the cloud and security fabric. I think I answered in the last call, as people do network transformation and tend to use more of Internet. There's going to be more need for a different security architecture in the network th rough SASE and other new technologies, which is linked to the network transformation that takes place. So that is one linkage.

But otherwise, I don't think there are huge number of linkages between an interaction fabric and the network fabric or an IoT fabric. And also, we find that the buying personas within enterprise for many of these are somewhat different. Even within the network fabric, the person who looks at network and t ypically, the people who have been looking at network security have been different.

And as it begins to converge, we are also seeing that there are changes in how the enterprises are making the decisions. So, there are certain convergence like the LAN and the WAN, the WAN and the security. But truly, there are different personas taking decisions, and there are different drivers. There are not many more links that I can think of.

Priyank Parekh

Okay. And when we are speaking that Rs. 280 billion of the revenue in next few years, which segment you are really seeing driving that growth within the digital?

A.S. Lakshminarayanan

No, all the fabrics. I think I have elaborated before, the network fabric, the cloud security, the interaction, IoT, the media, all of them have potential, and all of them can grow at a very healthy double -digit.

Priyank Parekh

Okay. Ok

ay. Got it. And just the last one question for understanding, when we're saying that this land sale will impact our other income, that is the real estate income that we are reporting, right?

Kabir Ahmed Shakir

Sorry, if you repeat that again, please? I missed you.

Priyank Parekh

So, when we are saying that this land sale will impact our other incomes, that is the real estate income that we are talking about.

Kabir Ahmed Shakir

Yes, that is correct.

Priyank Parekh

Okay, understood. Yeah, thank you.

Sudeshna Patnaik

Thanks, Priyank. The next question is from Gautam Rathi. Gautam, please unmute yourself and ask your question.

Nishit Rathi

Hello, hi, this is Nishit, can you hear me?

Kabir Ahmed Shakir

Hi, Nishit.

Nishit Rathi

Hi, great. So just a couple of questions, you called out the best international order book in the last five years. Can you give some colour as to what is driving this? I know you gave a very detailed explanation with respect to some of the network transfor mation deals and how long it takes to kind of get some of those. Are we seeing some of those also in that kind of order book? Or this order book is without some of those network transformation deals?

A.S. Lakshminarayanan

No, no. I think the order book, again, as I mentioned, is across all the fabrics. But having said that, in some of the usage -based areas like the interaction fabric, we don't really include that in the order book because that is purely usage based, unless we have a firm commitment, we don't include that in the or der book. But the order book colour that I gave is across all the four fabrics.

Nishit Rathi

Anything incrementally that has changed, Lakshmi, one thing you called out is increased sales productivity. You're basically saying that your funnel had increased so much that something had to convert because you had put more manpower behind it. But is the re anything incrementally that you're seeing? Are you starting to win deals differently? Any other kind of colour would be very, very helpful?

A.S. Lakshminarayanan

I think it's early to call. I mean, obviously, the win rates have improved, which is simply a function of how much we are winning compared to how much get s dropped because the customer is not simply taking it forward or they choose to stay with the incumbent, those kinds of scenarios . So, the win rates improvement is encouraging.

Yes. Other than that, no, it's a factor of gaining the confidence with the customers because especially in all of these digital infrastructure areas, they are very, very core and fundamental to the enterprise. It is not that if something goes wrong in an a rea, they could easily replace it. It takes time. So, they are a lot more conservative. So that's the reason why it takes time. It takes time to develop the trust, and there is a long engagement cycle that goes behind that.

But in terms of colour, I don't think I can add any more colour to that. Yes, there are instances where we have won against certain incumbents consistently. But other than that, I can't give you any further colour.

Nishit Rathi

See, I just wanted to call out what I understand. And just if you could help me understand that, right? The way I'm thinking about it is that it's a long sales cycle and you guys have been add ing for the last maybe 18, 20 months, adding more and more salespeople, which means that you've been adding to the funnel, but because of the long sales cycle, it takes time. And now you are starting to see fruit of some of those deals come through, though th e market is still not improved, which is kind of showing up in your subd

ued funnel, right?

So, it is more gradual, but there is a possibility that as incrementally both your productivity of the sales improves as you keep adding more products and the market improves, this could accelerate, right? Is that the way you are seeing it? Or is there anythi ng different?

A.S. Lakshminarayanan

That is our plan.

Nishit Rathi

Perfect. So that is one. And just the subdued funnel in the context of increased salespeople, so have things got even worse on the macro side because your salespeople are getting more productive, which means that even with the macro being soft, you should have actually seen the funnel growing, right?

A.S. Lakshminarayanan

So, I think you should read that in context with the conversions as well, right? So, we have got deals which means that we have fruitful conversion of the funnel and when you convert, then it gets out of the funnel. So, we have to replenish the funnel, right? So, what I'm saying is the funnel is remaining constant, which is why we said the funnel is still robust. But in terms of the pace of new additions, that had somewhat slowed down because, rightfully so, the teams are also focused on closing some of them.

Nishit Rathi

Okay. So, the staff, okay, he's occupied there. And just is there any update on the NVIDIA partnership because Q3 is when we were expecting back to go live. Any kind of colour you want to give on that? How do we see that starting? What kind of revenue impact should we see from Q4, Q1 onwards?

A.S. Lakshminarayanan

No, it's close to the period that you said Q3. So please wait for the launch.

Nishit Rathi

Fair enough. And just the media side, I understand the seasonality on a QoQ basis. What I'm not able to fully understand on a YoY basis given the kind of commentary that we were hearing with Switch and the kind of opportunities that were opening up there, are these again work -in-progress? What is happening out there, if any, kind of understanding there?

A.S. Lakshminarayanan

Yeah. I think we are closing deals. But some of the seasonality is not a yearly seasonality, Olympics doesn't come every year. The ICC T20 doesn't happen every year, right? So, some seasonalities are annual seasonalities, which reflect in the quarterly things like the Formula 1 race begins and ends in certain seasons. But some of the other events are not a yearly calendar one. So that's what I referred.

No, I think the integration with Switch is proceeding at pace. We were impacted somewhat by the Hollywood strikes last year, and things are beginning to pick up again. So, we're quite pleased with the revenue opportunities through the Switch integration, particularly on the production side because it does expand our capability beyond just the transmission side that we were in before.

Nishit Rathi

That's fair. Kabir, you spoke about a lot of the cost getting booked upfront and a lot of investment being made. Can you just help us understand maybe a few examples for us to kind of just get a better understanding of this?

Kabir Ahmed Shakir

Nishit, there a lot of them are there already in the public domain. We've, for example, been preparing ourselves to play really well in the acquisition game. We are reorganising our subsidiaries. Now TC UK is a direct subsidiary of India. That's there in the regulatory filings . It's there in the public domain. So that's from an M&A perspective that we are competitive to be able to do that. Then there are other projects in preparatory stage for any monetisation

opportunities that we may get, which are not yet approved by the Board.

So, I'm not privy to share any, these are preparatory works. When it happens and when it reaches and when the Board approves, then this will be the reason for public disclosure. Until then, I can only tell you that as we're poised for growth, and a lot of you have been asking the question on use of funds and how will we do it. So, you've looked at all of them and say, how can we do that in a tax -efficient and a least cost ly way. And our structure, if that was coming in the way, we are trying to simplify that s tructure. That's the best level of information I can provide. I can't provide any more detail than that.

Nishit Rathi

That's very fair, Kabir. The employee cost also is this normal increment or the Rs. 50 crores increase QoQ? Just can you help us understand, is there anything out there that we need to understand? Did you add more, what was that?

Kabir Ahmed Shakir

No. It happens every Q2. If you look at it historically, so we accrue for a certain SIP cost and for the full year of the previous year, that gets paid out in the first quarter. And when there are excess provisions then they get reversed. So therefore, you're comparing against the base effect, that's why it looks increased, but it's not any increased increment. It's not an increment cycle. Q2 is not our increment cycle. So, it's not increment cycle, not any extra hires. So that is not contributing for it. Q1 had some reversals and Q2 is more normalised, and this is how you should be seeing this.

Nishit Rathi

Okay. And this Rs. 86 crores , which has been included in revenue, what exactly is it? Is it like a debtors or provision made, which has been reversed? Is that understanding , right?

Kabir Ahmed Shakir

No, it's not. Look, it's BAU for us. These are excess customer credits that we had, which would have otherwise given to customers on renewals and stuff like that and negotiations turn up better. So, it's normally a very BAU activity that happens every quarter, every year because sometimes renewal happens and you go and close the discussions two months, three months later on. And so, you obviously take a view that you may end up giving so much as a discount, but you get better than that.

The reason why we've called out this time is because it's an aged customer credit, which is greater than five years. And therefore, just as part of good governance, we said since it's an aged credit and not within the year, we've called that out. But other wise, these are regular BAU stuff.

Nishit Rathi

Understood. And just one last thing on the working capital side. The inventory number seems to be very high. And also, is there any impact of Kaleyra in our working capital because it's a kind of business where you have to give advances upfront. So, can you just help us understand the inventory and Kaleyra?

Kabir Ahmed Shakir

Inventory is deal -specific, Nishit. So, there's one large deal where we've procured the inventory, but we are unable to bill the customer because of the RFP condition that we have to stitch a solution and then only we can do it. So, we have procured it for that particular purpose. Most of our inventories are for customer orders. We don't have an inventory policy. We don't stock inventory per se. So, this is directly linked to one large deal.

Nishit Rathi

And Kaleyra, is there an impact of Kaleyra on our increased working capital because you need to give advances to the telcos and stuff like that?

Kabir Ahme

d Shakir

No. There is one specific deal in Kaleyra, where there was an advance payment that had to be given, which is factored in. As I responded earlier to Sanjesh, also, I would say this is BAU, and we have taken an economic call in totality per se.

Nishit Rathi

No, this is very helpful. Just one last request, Kabir, whenever you think it's right, it's very interesting what you spoke about the core and the noncore and you guys have a very detailed plan towards that, whenever you guys can share maybe whatever you c an share in that context for us to kind of take a long -term view on that business, because I believe it could have a very material impact because you have a lot of capital coming out and costs getting saved, which will then be used to reinvest for further growth, right?

And if you could share that plan with us at any point of time, it will be very, very helpful. It's a request from our side, you can consider whatever best you can.

Kabir Ahmed Shakir

It's not about request. Sorry, Nishit, let's not be irresponsible with that comment. We are a public listed company regulated by financial markets and SEBI. There are very clear laid out disclosure requirements. When proposals of this nature go to the Boar d, Board approve s, we are under obligation to report to the market. This is not a request. So please don't consider it. We, as a management, are obligated, and we will absolutely do everything in compliance with the law and to the strict levels of corporat e governance. So don't even have an iota of doubt on that.

Nishit Rathi

No, no, I agree with that. I'm not saying what happens. I'm saying what is the way forward, what is strategic, what is not strategic? What kind of amounts are you looking at saving ?

Kabir Ahmed Shakir

That's what I'm trying to say, Nishit. The moment I say this is an asset that I want to dispose, I'm obligated to call it as asset held for sale and put it in my account. So, until that review has happened, until the Board has approved it, we cannot do it, and I can't be flippant with those remarks.

Nishit Rathi

Understood. Got it. Understood. Fair enough. Thanks a lot, Lakshmi and Kabir. Really helpful.

Sudeshna Patnaik

Thank you, Nishit. We will take the last question, and this is from the line of Amit Maskara from Sephira. Amit, please unmute yourself and ask your question. Amit, please proceed with your question. Amit, we still can't hear you. We will request you to pl ease reach out to the IR team, and we'll help address your question.

With that, we come to the end of the Q&A session. Thank you, ladies and gentlemen. I will now request Lakshmi to please share his closing comments.

A.S. Lakshminarayanan

Thank you all. I think it's been a good interaction. I think we covered a lot of ground. Very pleased with the quarter in terms of the growth, both in the top line and in the EBITDA and PAT. Also pleased with the order booking in the first two quarters tha t we have had. We commit to stay focused on executing on our strategy. Thank you.

Sudeshna Patnaik

Thank you, Lakshmi. Thank you, Kabir. This brings us to the end of the management call. In case of any queries please write in to investor.relations@tatacommunications.com . The recording will be available on the website in the next 24 hours. You may disconnect now. Thank you.

Call: Jan 2025

January 22 , 2025, at 04:30 pm IST
Q3 FY202 5
Earnings Call Transcript

Main Participants :
AS Lakshminarayanan , Managing Director and Chief Executive Officer
Kabir Ahmed Shakir, Chief Financial Officer
Rajiv Sharma, Vice President, Head, Investor Relations
Sudeshna Patnaik , Deputy General Manager, Investor Relations

Sudeshna Patnaik

Good evening, everyone, and a warm welcome to you all. Thank you for participating in the Q 3 FY2025 Earnings Call for Tata Communications. My name is Sudeshna Patnaik, and I'll be your host for the call. We are joined today by our MD and CEO, Mr. Amur Lakshminarayanan; our CFO, Mr. Kabir Ahmed Shakir; and our Head of Investor Relations, Mr. Rajiv Sharma .

The results for the quarter ended 3 1st December 2024 have been announced today and the quarterly data pack is available on our website. We will begin today's call with opening remarks from Lakshmi on the business performance and outlook, followed by Kabir on the company's financial performance. All par ticipant lines will be muted for the duration of the call. There will be an opportunity for you to ask questions after the management remarks.

Some of the statements made in today's call may be forward -looking in nature and are subject to risks and uncertainties. The company does not undertake to update these forward -looking statements publicly.

With that, I would like to invite Lakshmi to share his views. Thank you, and over to you, Lakshmi.

AS Lakshminarayanan

Thank you, Sudeshna. We're pleased with our results for the third quarter, with continued growth in digital revenues coupled with improvement in EBITDA margins and free cash flows. Our strategic measures pertaining to the review of noncore assets and subsidiaries are yielding positive outcomes. We are on track with repositioning our assets to drive long-term value creation. In Q3, we entered into a share purchase agreement with TSI India for sale of our entire stake in TCPSL.

Similarly, Net foundry, our fully owned subsidiary, requires additional investments to support its growth ambition and achieve its long -term potential. We are considering avenues to infuse external capital, which may result in us no longer being a controlling entity, whil e we continue to retain a stake in that business.

Coming to our financial performance, consolidated revenues came in at INR 5,798 crore and grew by 2.9% YoY, and 0.5% QoQ. Our EBITDA margins came in at 20.4%, improved QoQ by 100 bps. And our PAT came in at INR 256.6 crore , up 12.9% QoQ. FCF came in at INR 841 crore versus a negative FCF of INR 194 crore in Q2. Please note that Q3 numbers do not include TCPSL and Net foundry.

Data revenues came in at INR 4,903 crore and were up 6.2% YoY and 1.4% Q -o-Q.

Core connectivity revenues came in at INR 2,590 crore , a growth of 2.8% YoY and lower by 0.9% QoQ.

Internationally, cable cuts were an issue in the previous quarters that we had called out. The repairs were completed in October. The later part of the quarter was about winning back the customers . In India, we continue to be market leaders in data center to data center connectivity and are investing further to sharpen our services with dedicated metro builds.

On the order book and funnel side, our funnel continues to be robust. Large deal funnel addition has increased by 50% YoY, giving us the confidence that we are delivering on our strategy and b

eing relevant to our customers. Our
order book in H1 had benefited from marquee large deals. The YTD order book growth is healthy double digit, and early signs suggest that 4Q is likely to be robust in revenue growth.

To throw some light on the deals in Q3, in India we are seeing increased traction in hosted SASE, internationally we continue to add new logos in the form of national champions. In UK and Ireland, we bagged orders from the top retail bank and a global reta il chain to transform the digital landscape. In the Americas, we started working with the world's large st manufacturer of construction equipment to support their operations overseas. Additionally, we are seeing more wins from existing customers in line with our strategy of going “deeper with fewer ” each year .

Coming to our digital portfolio performance, this quarter, our revenues came in at INR 2,313 crore at 10.2% YoY growth and 4.1% QoQ, this growth is broad -based.

Our collaboration and managed C PaaS portfolio, which is our interaction fabric, reported a robust growth of 11.7%

YoY and 5.7% QoQ. In Q3, we launched Kaleyra.AI to help enterprises uncomplicate their communications with their customers through workflows and templates powered by AI. We expect the adoption to start kicking in in a few quarters.

Next-gen connectivity, which is our network fabric, grew 9.2% YoY, and 14.4% QoQ. Customers shifting to cloud, shifting to Internet and adoption of AI are the key growth drivers for our network fabric, and we are capturing this opportunity through our IZO Hybrid WAN service, IZO multi -cloud connect service, both of which witnessed rob ust growth.

Cloud and security fabric grew by 12.5% YoY and 4.1% QoQ, driven primarily by our security portfolio. GPU -as-a-Service is already available in the market. Our AI Studio launch will come later this quarter.

Our incubation services, which is IoT Fabric, witnessed a growth of 23.1% YoY and a decline of 20.9% QoQ. In the top line, there is an impact on account of discontinued operations. In the previous quarter, our MOVE platform had seen an uptick driven by the SOTA campaigns by OEM s. These campaigns are periodic in nature. Having said that, we have extended our partnership with JLR, JLR's upcoming medium -sized SUV built on the new electric vehicle modular architecture will be leveraging Tata Communications ' MOVE platform.

Our media portfolio witnessed 2% YoY decline, an increase of 6.7% QoQ. We signed a multimillion dollar deal with a LATAM -based media tech company. As a media cloud and edge technology partner, we will help them transform from a linear traditional channel format to a digital platform.

To sum up, in a not so conducive environment, we have delivered strong execution as reflected in our digital data growth, combined with expanded margins and increased cash flow. We will continue to invest in our products as we see our relevance with cu stomers is growing.

With that, I now request Kabir to share the key financial highlights.

Kabir Ahmed Shakir

Thank you, Lakshmi. The Q3 FY25 revenue growth driven by data came in at INR 5,798 crore , consolidated revenue growth of 2.9% YoY and 0.5% QoQ. The top line had certain Forex benefits accruing from its strengthening dollar. Normalizing for the same, the revenue growth is at 1.8% YoY and 0.2% QoQ. Data revenue for the quarter came in at INR 4,903 crore , a growth of 6.2% YoY and 1.4% QoQ. The digital revenues for the quarter came in at INR 2,313 crore , a growth of 10.2% YoY and 4.1% QoQ.

Last quarter, we emphasized multiple strategic measures, which will start benefiting us in the quarters to come. And I'm pleased to share tha

t we are making good progress. We announced the monetization of land parcel in the previous
quarter and necessary shareholder approvals are in place. Similarly, TSI purchase of entire stake in TCPSL will help us lower leverage, boost margin profile and PAT in the coming days. As Lakshmi highlighted earlier during the call, we are considering potential avenues of scaling Netfoundry by infusing ext ernal capital. This is another positive outcome of our strategic review of subsidiaries and will help strengthen and sharpen our focus on core and aid margins. Let me add that our strategic review of subsidiaries has not merely been restricted to monetization of assets. We've been working towards making TCTS more profitable and the impact on our profitability is already visible. TCTS EBITDA

margins have improved by about 800 bps YoY. PAT for TCTS has significantly improved from negative INR 42 crore in FY24 to INR 40 crore till Q3 FY25. This has been outcome of our move to come out of a large loss -making contract.

Our measures towards simplifications continue as we undertake restructuring of the current layered corporate structure. TC Netherlands and TC UK have been identified as the preferred holding companies for potential acquisition overseas, and steps are being taken to realign them as direct subsidiaries of TC India. This simplification will help the company to be more efficient and opportunistic in pursuing any potential opportunities when they come by.

All the aforesaid measures are sharply improving the organization's ability to focus on the core and making us future ready, and at the same time freeing up resources to fuel our next phase of growth. With our land and noncore monetization stated above, we see our leverage ratios improving meaningfully over the next couple of quarters. Executing all the aforesaid measures was never easy as implementation required upfront costs and may have created a perception of inefficiency. T hese decisions position the company for long -term success and operational excellence.

Our EBITDA came in at INR 1,181 crore , up 4.1% YoY and 5.7% QoQ. Our EBITDA margins for the quarter were at 20.4% . Albeit negative, the EBITDA margin of our digital portfolio continues to witness an improving trend. PAT for the quarter came in at INR 256.6 crore , up 12.9% QoQ. FCF for the quarter was at INR 841 crore after being negative in the previous two quarters. This is the highest FCF we have reported in the last 10 quarters. We were able to address working capital concerns this quarter, even though collection in some pockets of SAARC region has been challenging in the recent past, driven by geopolitical factors . Cash CapEx for the quarter stood at INR 486 crore . ROCE came in at 16%, a decline of 40 bps QoQ. Net debt for the quarter stood at INR 10,468 crore , and net debt -to-EBITDA is 2.34x., Both net debt and ROCE are impacted by Forex . Net debt is higher by INR 200-odd crore and ROCE higher by 20 bps because of the Forex impact.

TCPSL and Netfoundry are part of discontinued operations and therefore they are not part of the reported financials. As such, the top line for Q3 is lower by INR 36 crore . EBITDA margins have been positively impacted by 40 bps and the improvement in PAT margin is seen at INR 20.7 crore . Net debt is higher by INR 267 crore due to non -inclusion of cash from TCPSL.

To sum up, our actions around repurposing our balance sheet combined with continuous investments in new capabilities position us well to participate in future growth opportunities.

I will now ask Sudeshna to open the forum for Q&A .

Sudeshna Patnaik

Thanks, Kabir. We'll wait for a minute for t

he question queue to assemble. Interested participants may click on raise hand icon at the bottom of the page on Webex application to join the Q&A.

The first question is from the line of Balaji Subramanian . Balaji, you have been requested to unmute yourself. Please unmute and proceed with your question .

Balaji Subramanian

Hi, good afternoon. Hi, Lakshmi, thanks for taking my question. My question would be on the demand environment. We have seen especially now with the Trump administration coming in , in some of the IT services companies at least are talking about an improvement in discretionary spending , from the next quarter or so. So are you also seeing some sort of a similar tailwind on the demand front? That would be my first question.

My second question would be on your FY27 revenue target, the data and the digital portfolio , revenue target. So now that we are just about a little over two years away from that time line. How do you see yourself achieving those targets? And then what is the visibility and how should one think about it?

Amur Lakshminarayanan

Yeah. So, thanks, Balaji. I think the first question on demand, I think, you referred to about the Trump administration coming in as well as the commentaries from the SIs. First of all, I think I had made the point before the demand cycles of what you hear and see from the SIs are not directly related to us as we are in a digital infrastructure business. And to make that point, even in both our quarter one and quarter two, we highlighted that our order booking has gone up both in Q1 and Q2, right? So even b efore that, I was saying that our funnel was robust. It was a matter of closing them and we are very pleased to have closed some of those in Q1 and Q2.

In Q3, our funnel additions have been robust, but closures is normal, I would say, like the previous years and not the increase that we had seen in Q1 and Q2. So our demand cycles are somewhat different to this, that's the first point I would make. Because in the biggest portfolio, both on the core connectivity as well as the next -gen connectivity portfolios, largely these are driven by the customers' adoption of cloud, they don't want to touch that infrastructure until something is broken. So the movements and the drivers of why customers go towards transforming are slightly different to what the SIs would say.

And I'm elaborating the point to just make sure that we can't directly correlate the two environments. Having said

that, we are very pleased in this year 's, particularly about our ACV performance. Q3 has come back to the normal. Our funnel is still pretty good in terms of additions. New deals into the funnel were good in Q3. And as we are looking at more larger and larger deals, our closure is taking time. I think that's more a function of us getting into a larger deal as opposed to necessarily the macro conditions, what I would say. So those are the main elements from what we see and how we see the demand environment to be.

To your question on FY27, I mean, as we said when we put out our ambition that we wanted to double our revenues, it is an ambition. That ambition was really underpinned by what we believe the enterprises were needing. And we still believe that those customers are, will have the n eed to transform the network, will need a fabric that seamlessly integrates across network, cloud, security and all of these. And therefore we are continuing to invest in that direction, and we are seeing good traction. Now whether we hit that number i n two years is difficult to call out , it is, again, subject to many conditions in the macro. Even this year, for example, we anticipated a s

oft macro and
demand environment . But I have confidence that we are moving in the right direction. We are investing in the right product set, and we are participating in opportunities to move us forward.

Balaji Subramanian

Thanks Lakshmi. That was useful. And what is the timeline by which you should be close to achieving your medium - term EBITDA margin target? If I do some rough math, it does appear that the annual loss that you are making in the digital portfolio piece, I do know that you have mentioned in the past that one can't kind of look at our digital portfolio and core connectivity in separation. But if I look at it, it does appear that the annual EBITDA loss there has stood a tune of INR 400 crore , INR 500 crore at least. So when can one expect these investments to normalize and make a decent maybe high single digits or early teens kind of EBITDA margins? I'm just talking about the digital portfolio piece.

Kabir Ahmed Shakir

Yeah. Balaji, let me take that question. I mentioned before, so I'll reiterate it. Every business within the digital portfolio has their destination margin. They are in the lines that you have already mentioned. So they may vary from one business to anothe r. And the second bit is that they have a glide path of getting there. And there are drivers identified how we'll get. Some of them will be with volume and operating leverage kicking in. Some of them will be when they actually scale up and then we are able to get into multiple geographies. Some of them because of the cost-saving measures that we need to actually put, and some of them will be mix el ement.

So there are multiple drivers for each of the businesses that we are actually tracking. So that's what we have in the medium term, they should get to their destination portfolio. But having said that, I mean, in the digital portfolio, let's be open minded that we may have to pivot and repivot ourselves depending on how the environment and how the customer demands are unfolding in front of us. And we need to be agile enough to be relevant to our customers, especially in the digital portfolio. So therefore, I'd like to, yes, have my eye on what the destination margin is and what the glide part should be, but at the same time be flexible, that I stay relevant to the customers depending on the changing demand scenarios.

So with that, I would say, we are continuing in our overall margin ambition of getting back to the 23 % to 25 % range. As we said, we will get to the net debt -to-EBITDA ratio this year, ROCE next year and EBITDA the year after, that's what we had mentioned. We continue to maintain that except for net debt -to-EBITDA which may slip by a bit, especially because of the high Forex volatility that we have actually seen in the last four, six weeks, and we are all aware of what's happening to the dollar. As a result of that, the ratios do have changed.

Fundamentals of the business haven't changed anything, so it may slip by a quarter or so, both on the debt and on the ROCE line. Plus the corporate action that we have taken, for example payment solutions, on its own, that's the right thing to do for the b usiness, but that means INR 267 crore of cash is gone, and therefore, net debt has gone up. Those are mathematics, Balaji. They don't change the fundamentals of the business or the value creating action that we are doing , each of them to get this business robust. So we are still committed to that and I'm really not worried if it changes by a quarter here or there because of macro conditions or external variables.

Balaji Subramanian

Thanks, Kabir, for the elaborate answer and all the best.

Kabir Ahmed Shakir

Yeah, thank you.

Sudeshna Patnaik

Thank you, Balaji. The next question is from Sanjesh Jain. Sanjesh, you have been requested to unmute. Please ask your question.

Sanjesh Jain

First, on the digital services, now that the Kaleyra is in the base, the growth of 10% appears to be significantly slower. What is really stopping us, because underlying driver really hasn't changed much, whether cloud adoption network transformation? I ca n understand slowdown in the CPaaS, but rest of the businesses, the fundamental really hasn't changed. So what is dragging us behind in the growth for the digital services? And what really will it take us for it to accelerate over 20%, 25%, which was the g oal set for the organization?

Amur Lakshminarayanan

Yeah. So Sanjesh, firstly, you're right, the interaction business is a fairly substantial part of the digital portfolio now. And the interaction fabric on YoY basis has grown 11.7%, which we believe for that category of business is quite good because there has been a general slowdown on SMS and others. The drivers for that business to further grow will come when the adoption of other channels compared to SMS starts to acquire scale. So that is one driver. The second driver is essentially move it to a platform in terms of more AI -based orchestration and so on and that is what we are investing in. So that will happen in sequence. As the adoption of that happens, the interaction business growth and margins will begin to improve.

In the remainder of the digital portfolio, the next -gen connectivity has grown well. But for that, the order conversion takes much longer because when there is a large international network transformation, it does take time. Either because it's like customers say it's live wire, and we are touching the live wire for them, we have to be careful and they are ultra careful. And second is also they want to do that re gion by region, and it takes time to deliver, and therefore, recognize the revenue . So that is the kind of sequence that we have to go through.

So we see traction. The conversion to the revenue does take time. And I called out in the next -gen connectivity, we have grown well. And we are further investing in the new drivers, which are the cloud connectivity portfolio, which is very early stage in t he market. The overall market is still only $1 billion globally. In that market, and that is seeing a very healthy growth, but that number growth, even if it is a 30%, 40% growth, is not going to shift the needle on the overall digital portfolio. So you're not able to really appreciate the growth in that portfolio.

If you look at our cloud and security portfolio, cloud is largely in India. Yes, we've had somewhat of a lower growth there. I would put that both to market, as well as the customer specific churn that we had in that business, but the security business has grown quite well and we had called out winning some large deals in the first half of the year, and we will see some of it panning out as soon as next quarter. So I think the drivers are exactly the same. I think we are investing in the right areas and we expect that we would gain more traction as we go along.

Sanjesh Jain

Thanks, Lakshmi. That's fairly elaborate. But considering where we are today sitting on the order book and sales funnel, how does FY26 look for us? Do you see these challenges continuing and difficulty as an organization to accelerate the growth?

Amur Lakshminarayanan

As you know we don't give guidance. But the only indicators I would say there are certain tailwinds, which is our acceptance in the market of our products and platform, the growth in the funnel that I called out and the increased order booking that we did in the first half of the year. And we hope that it will pick up in Q4 again. Q3 came back to

more normative levels. So these are the tailwinds we see.

And similarly, on the headwind side, we do have headwinds particularly when it comes to the connectivity business, there is price erosion. There are churns that happens. And this year, we suffered from cable cuts, which was a substantial pull -down in terms of the numbers that you would have had. So there are some headwinds and tailwinds. So it's difficult to call out what FY26 would be. And beyond these indicators, we don't want to give any guidance as such.

Sanjesh Jain

No, that's fair. That's fair. Just one follow -up question, we have done a lot of investment, whether it's product portfolio, foot on the street, putting up a huge investment on the employee cost and all, are we satisfied with the progress that we thought when we started these investments in terms of how we are moving today?

Amur Lakshminarayanan

Yes. I think the clear reflection is the increased the order book that we reported in first half would not have happened if we had not invested in expanding both our product portfolio as well as investing in the right type of sales resource in the markets. Now the question is in order for us to g row and further accelerate, we believe, despite our international business has grown quite well even this quarter and this year, year -to-date has grown, but in order for us to grow in the international markets, our footprint and coverage needs to substantially increase even more , right?

And that we are taking very measured steps rather than incurring all costs upfront because we are having to balance the costs incurred how long will a person take to become productive and the results that they deliver. So these are more measured steps to t ake. But clearly, our presence would have to increase even more in order to grow faster.

Sanjesh Jain

Fair enough. Lakshmi, just one on the cloud, we were very bullish on the cloud part of the business. We have announced certain new products as well, and that we are taking international unlike the existing cloud business, which is more India specific. When should we see acceleration in the order win on that part of the business?

Amur Lakshminarayanan

On the cloud, we did not say we are doing international, Sanjesh. Cloud has always been India. We do have some cloud presence internationally, but we have not really scaled that or invested further in the international side. We do have some customers that we support. What you perhaps are referring to is the CloudLyte, which is part of of our Edge portfolio? And the biggest proof point of the Edge, that it works is our media cloud business, right? So the media cloud, even the large LatAm deal that we announced, we will use our Edge portfolio, specifically tuned for media, for that transformation of that business. So it is seeing traction. Currently, the only major use case is media that we have. So we will look at other use cases for manufacturing and retail, and then we could scale that in those markets.

Sanjesh Jain

And then AI Cloud, there also we were started investing, right?

Amur Lakshminarayanan

Yeah, yeah. AI cloud is where we have been investing. I think we were very pleased. We said that we will have it ready this quarter. Earlier last week, we announced GPU -as-a-Service for general availability for customers. The AI Studio, which is the platfo rm capability on top of the GPU, is something that we will launch later this quarter.

Sanjesh Jain

But traction in those will take some time before we see more order bookings coming in from these services, right?

Amur Lakshminarayanan

Yeah. Particularly on the enterprise side, people are still going to be in the experimental and learning mode, and then they have to graduate to adoption and scaling. So that will take time. There is a class of customers, who would want to invest in model buildin g and so on. Those would be the first set of customers where we would expect more scale usage.

Sanjesh Jain

Got it. Does this rupee depreciation, a sharp rupee help depreciation become more competitive in the international market?

Kabir Ahmed Shakir

Let me take that. Not really because our price is always dollar -denominated. Our cost, our O&M are also dollar -denominated. So they do have a bit of time lag, and therefore, you see the reporting stuff. So on the top line, we this time had a bit of a benef it on Forex , but on the cost line, on the EBITDA line, it was very marginal. It had a little bit of a severe impact on the net debt line, right. But then the after a point in time, they normalized, Sanjesh.

Sanjesh Jain

Got it. Kabir, last question on the land sale, which we were trying to do worth INR 800 crore to INR 1,000 crore . When is that expected to close and cash flow to come in?

Kabir Ahmed Shakir

Yeah, it's INR 850 crore to be precise is the gross amount. The shareholder approval is in place. All others condition precedents that are required are already, everything is completed. So we hope to do that deal in this quarter, and the monies will come in this quarter. I mean, yeah, we have recognized the DTF for that in the current Q3 already. So you'll see the money is coming in, in Q4.

Sanjesh Jain

So just one follow -up squeezing in for on that. Now that there is a huge demand for data center in India, should we see more land sale coming up, say, in FY26?

Kabir Ahmed Shakir

Sorry, what is data center got to do with land sale? I didn't see the connection, Sanjesh. But anyway, I would say we have an asset monetization plan. And I said, it's small, small here and there which we have been selling for the last two years. This was the one big one, which had title issues associated with it. It took us almost literally 18 to 24 months to sort it out, and we were in a position to then sell it.

There are a couple of other parcels which are on our radar now. And as and when the title and other regulatory issues and like classification and all those things are cleared, then we will get into the discovery mode. Some of them may be amenable for data centers, but some of them are probably very prime properties in the middle of cities, which may have better monetization , end use case. So that is left to the buyer who want to buy. We will do a discovery and try and get the best price for our shareholders .

Sanjesh Jain

Got it. Got it. And my only reason to connect it with the data center was that there was a classification issue on a significant part of the surplus land. And hence, the data center demand meets that classification issue and that was the reason .

Kabir Ahmed Shakir

We're going to put that up. And if there is a data center provider who is able to give us the value better than somebody who wants to build residences or malls, I'm completely independent of what it is. We will go for the highest value.

in India and certain countries .

Sanjesh Jain

That's fair.

Sudeshna Patnaik

The next question is from Vibhor Singhal . Vibhor, you have been requested to unmute yourself. Please proceed with your question.

Vibhor Singhal

Yeah. Thanks for taking my questions and congrats on a descent performance. So Lakshmi, my questio

n was mainly
on the commentary by the IT services companies that have happened in this quarter. I mean starting from the TCS at the beginning of the quarter, I think almost all companies are talking about kind of a renew ed environment, demand environment in the U.S. and the developer net discretionary spends coming back and green shoots in various basically domains.

So where are we in that entire scheme of things? I mean are we also seeing some of our clients or prospective clients talking positive about those things? Does any of that rub -off effect have on any of our segment verticals, which could help us take our gr owth to higher levels than what we are reporting today?

Amur Lakshminarayanan

Vibhor, I think, I sort of clarified that making that commentary to our business may not be relatable for various reasons because we are not in the application space. A large part of our portfolio is still network even if it is core connectivity and next -gen connectivity put together, is still a very large part of our group. And in this portfolio , the demand drivers clearly are as there are more migrations to the cloud as people want to move more to the Internet. And now with AI, the data is going to become even more important as to how they manage and store and utilize all of these. The demand fo r network transformation is definitely going to be there.

Having said that, how it translates is something that we have witnessed in the last two, three years is it's really like a live wire, people take very conservative approach in touching that and transforming that, and that will still continue. I think the o nly positivity I see is as people build more applications, there is going to be more data being transported and therefore the network would have to transform. When it would happen is not a direct correlation.

Second data point is even before others started making positive commentaries we said that our H1 order book, we said was much, much better than the previous years . So I'm just making that point to say that it's not directly co - relatable. The only area where we think the discretionary spend will benefit is one in our interaction business, because some of the marketing campaigns and others are discretionary, and that could go up and that could have a direct impact to our interaction business, and that is where we are further strengthening with our Kaleyra.AI product that we launched.

And the second area of the discretionary is more on the IoT Fabric, right. Again, that also depends on more discretionary budgets is what I would say. The rest of the fabrics are more fundamental and is not directly related to the environment that was described.

Vibhor Singhal

Got it. Got it. That was really helpful. So if I take it, let's say, I mean, the cloud business is predominantly India . Cloud adoption India is probably going to take place whenever it does with a lag, that's different. Well, next -gen you mentioned its network and will probably happens with a lag in some time. For the CPaaS business, I mean, to be honest, a very decent growt h in this quarter. How do you see this growth playing out? I mean, what could be the triggers that could further up this number to, let 's say, a mid -teen kind of a growth number on a YoY basis? Are we seeing more adoption of new technologies in which we have offerings for clients? I mean, some color on that would be really useful.

Amur Lakshminarayanan

Yeah. No, we have diversified the channels to voice , RCS, in some markets we have launched in the WhatsApp . So we would make more channel diversity available in many markets during the course of the year and that would be one of the triggers for growth. The second trigger is, of course, the platform that we are building on top of the channels, right, in terms of m ore intelligent orchestration and all of that. And that would be the second trigger.

And we are at the moment in very sort of earl y stages in terms of pushing that into the market. So we believe that, that will gain traction. And we will report on how that traction goes and how that growth we see because those will be the key drivers for the future growth. The SMS, they can take marke t share from other places, but it's still the overall SMS market is not growing as much as it used to. And also from a margin perspective, that is not a great driver of margins if you stay in SMS alone.

Vibhor Singhal

Got it. Got it. That's really helpful , Lakshmi. My last question is for Kabir. Well, Kabir, in terms of the margin profile, I mean, we are gradually expanding our margins on at the console level. But if I do the back calculation, I think, as I think one of the participants also asked, our dig ital margins still appear to be in the red. I know you don't give separate guidances for the s eparate divisions. But what will it take for our digital margins, let's say, to become profitable and get into that green territory? I mean the growth, to be honest, this quarter, we have grown almost 10% on a YoY basis in the digital portfolio. I mean do you need that growth to go up to a much higher level? Or do you think there is some base effect that will come into play or are we very close to that, and that irrespective of the growth numbers at some point in time, we should be able to reach that? Any color on that would be really helpful.

Kabir Ahmed Shakir

It's growth, growth, growth. I can't focus more on digital portfolio. Our biggest focus of the entire top management is driving growth. So we do not want to starve the business of the investments that it needs. So therefore, if we need to pivot and repivot , sometimes we challenge our business models and say, should we do it differently and we learn from it and adapt. We will continue to do that. Even in digital portfolio, just because you don't have the scale doesn't mean that you will not add feature sets. So you have to be relevant from your offering as well.

So it is not about saying, okay, I have invested already in the past. So let me pause and not invest further in product capability. So therefore, like Lakshmi mentioned, we've launched Kaleyra.io this quarter. I mean that is essential. Just because I've la unched Kaleyra.io, will I be able to take my price up? Suddenly, I don't know. Hopefully, we can. But that helps me stay relevant in the pace. So see our own ambition is that this part of the portfolio should g row significantly higher than what we have gro wn this quarter.

I mean obvious reasons, and I want to still feel happy about this growth, given the context and given the relative market situation and overall demand that we have seen in the last two quarters. But having said that, our ambition, whether it's from the FY27 that we talked about or even otherwise, that it needs has to be growth. And when that growth operates at that particular level, you can do the math yourself because a large element of the costs are fixed in nature. So automatically the EBITDA profile wil l improve. So therefore, for that to take short -term myopic decisions, it's very easy to cut investments, but I think we should purpose our energies as an organization in driving growth.

Vibhor Singhal

Just to dwell a bit on that more, Kabir. Does that also mean that in terms of, let's say, margin expansion for individual, let's say, CPaaS or media or the cloud vertical, the main and probably the only lever that we have for margin expansion is growth and the other operating levers in terms of cost optimization and all, they have largely been exhausted?

Kabir Ahmed Shakir

No, I'm not saying that.

Amur Lakshminarayanan

No, we still have the cost levers available in those businesses, Vibhor. I think we are going to work on some of those levers, especially some of the digital businesses, which operate more internationally, some of the businesses where we had done acquisiti ons. So if you go to the EBITDA, after we did the acquisition, we used to say that if you look at our core business, including what we defined as a core as including the digital portfolio pre -acquisition, right, Switch and Kaleyra, we said our margins were at around 23%, right.

We say that is still the case. Our margins of our core minus the acquired entities are still at the 23% despite the investments we made in business in cloud and security, in IoT and other areas. So we believe that even in those portfolios, we have levers available. So for example, in the cloud business, everybody knows that the whole market was hit by an increase of cost on VMware . So we are balancing. So there are levers available in each of those businesses for us to further optimize and we are working on those. On top of that, the revenue growth will truly bring the operating leverage on top of it. So we will be operating on bot h aspects of driving efficiencies in this business while securing and protecting the investments that we need to make, at the same time in order to drive growth.

Sudeshna Patnaik

The next question is from Hitesh . Hitesh, you have been requested to umute. Please proceed with your questions.

Hitesh

This cable cut thing, your other things being equal, should we see the impact, revenue increase impact in Q4? I assume this has been sorted by October. Other things being equal, should we see the revenue increase in Q4?

Amur Lakshminarayanan

Yeah. No, I think I mentioned in my commentary that we are in the process of winning back some of the customers from the cable cut. Then we have to get that traffic back and then the revenues would come. So we don't want to directly correlate to that. But having said that, overall, the core connectivity revenues this year is muted compared to the previous years, owing to the cuts that we suffered. And hopefully, that will come back to the previous levels.

Now the only caveat that I would add in this situation is, overall, the core connectivity internationally, the core connectivity as a market , is a declining market. And in that declining market, we have been growing and taking more market share. So while compared to the previous years where we had growth the core connectivity by 6%, it's come down to between 2% and 3%. We think it can go up, bu t it depends on how the markets will play out.

Hitesh

Just sort of trying to understand better. If I've understood correctly, our success rate or conversion run rate has come off in Q3 versus what was seen in the last two quarters or versus what was seen in H1. So is that correct? Is the understanding correct ?

Amur Lakshminarayanan

Sorry, before you go to the second question, I just want to clarify, I did n’t get the first question. What did you mean by in Q3, something has come off? Can you explain it?

Hitesh

A conversion run rate or a success run rate .

Amur Lakshminarayanan

In the order book do you mean, yeah.

Hitesh

Yes, yes.

Amur Lakshminarayanan

Okay. Yeah.

Hitesh

The success ratio come off in Q3 versus H1?

Amur Lakshminarayanan

N

o, no, the win rates have not really come off. It doesn't mean that in Q3, we lost something and so on. There are some deals that are sort of overflowing into Q4, but our funnel continues to be quite good. I mean in terms of order booking, we cannot be th at precise on a QoQ basis. So I don't see the quarter three order booking coming more to the FY24 levels is what I said is not indicative of our ability to win our conversion ratios or a win rate has come down. In fact, our win rates are still pretty good, has gone up. It's just some of the delays in some of the deals rolling over to the next quarter is what I would say.

Hitesh

So the cycle has elongated slightly.

Amur Lakshminarayanan

Yeah, cycle. I mean, it's marginally gone up. It's not very material compared to the last quarters from what we have on an average, when I look at the large deals, we used to be at seven months, now it's 7.4 months. So it is not as though it's elongated. But in some of these things, if a deal runs over rather than closing on December 15, they closed it on January 15th, I wouldn't read too much to into it.

Hitesh

And when we've got this, when you say we've got a double -digit order book growth versus last year, when does it show up in revenue?

Amur Lakshminarayanan

Yeah. That's a more complex question to answer, because many of these have different conversion time to revenues. But I did say some of the deals, which are more in the area of the cloud and security that we announced in Q1 and Q2, we should start seeing t hat in Q4. Some of the network deals will take longer to fructify. If it is in the core connectivity, for example, we're doing a dedicated build that might take almost 12 to 18 months to show up, right, as revenues.

Hitesh

Okay. Okay. And just for a better understanding, of the order wins that we have, what proportion would be in India and what proportion would be outside India?

Amur Lakshminarayanan

I don't have that handily with me. And that is not a data point that we also have given on before. So I don't want to start something new.

Sudeshna Patnaik

The next question is from Dayanand Mittal. Dayanand, you have been requested to unmute yourself. Please proceed

with your questions.

Dayanand Mittal

Okay. Just one question. What are the key factors that's driving margin expansion? And where do you see margins over next few quarters? Thanks.

Kabir Ahmed Shakir

Yeah. I mean I don't want to give any specific guidance on margin per se. Our ambition is 23 -25%, we were at 23 to 25%, and we came down as a result of acquisitions. So there are a combination of multiple things that we are doing. One, each of those acquisition assets need to deliver on their business cases, which have built in synergies and margin expansion on their own. Our own core business needs to also grow and we need to have mixed benefits there and operating leverage to kick in. So that is another d river. But there are also going to be BAU of inflation and headwinds that we will face, and we need to mitigate that and then continue to grow. So that I would say it's a mixed bag of multiple things that we are looking at on an ongoing basis. And our ambi tion is, in two years time, we get back to the 23 to 25 % using a multitude of these levers that will play out.

Sudeshna Patnaik

The next question is from Riddhesh Gandhi. Riddhesh, you have been requested to unmute yourself. Please proceed with your question.

Riddhesh Gandhi

In the U. S. the Lumen ’s technology will benefit a lot from just the overall positioning as a sort of provider backbone of AI. And I understand that we don't have as strong

a network in the States. But do we see potentially this being an opportunity in India and some of our other markets ac tually where we are strong?

Amur Lakshminarayanan

Yeah. Riddhesh, I think even in today's commentary, I mentioned that we are a market leader in DC to DC connectivity in India, right? Internationally the core connectivity has been on the decline, and we have been growing. So we have been doing relatively well with focused investments and capabilities and delivering a network that is reliable for the DC to DC connectivity and for large enterprises who require large pipes, both nationally and internationally, right. So that is the business that has been grow ing for us 6%, 7%.

While we had initially said that it would be in mid -single digits or low single digits, based on how the overall market growth or degrowth was happening in the international markets. So that's just to give you a perspective. So definitely, AI and Lumen has seen that on the back of large investments by hyperscalers for AI cloud in the U.S., Lumen has benefited through the large order bookings there. And that is precisely what we have been doing in our core connectivity as well.

Riddhesh Gandhi

Got it. And then just to understand on your commentary on your FY27 aspirations, which you spoke about, is it that now it's sort of looking difficult or it is still on target, may slip by a quarter or two?

Amur Lakshminarayanan

No. I think I've been saying that, that is an aspiration that we set for ourselves based on which we were going to invest in products and increase our relevance. I think we are still continuing to do that. The traction and the feedback from the customers i n the market is very positive on the digital fabric. So we'll have to continue to stay the course on that. Now when it will actually transpire, it depends on several factors that I've outlined and those need to play out.

Riddhesh Gandhi

Got it. And just to understand from the time in which we sort of set this aspiration and now, because I'm sure you guys would have done a lot of thinking into putting that aspiration out there as well. Actually, I mean, what has sort of, like, not played out as you had expected to for us to achieve the aspiration?

Amur Lakshminarayanan

One is clearly the macro condition. The geopolitical uncertainties and the demand environment has gone down all over the place, and that is something that we cannot anticipate for.

Riddhesh Gandhi

But which area of the macro uncertainty? I mean, which area has been impacted by the macro uncertainty per se?

Amur Lakshminarayanan

What do you mean by which area?

Riddhesh Gandhi

No. As in, you're saying that the reason why the things which have changed is the macro uncertainty. But how is the macro uncertainty going to materially move the needle with regards to us potentially achieving what we were looking at?

Amur Lakshminarayanan

That depends on the spend environment, right? So the customer spends more on applications, there's going to be more need for data. As customers spend more on applications there are going to be more data island, so the networks have to transform. So it has a bearing on how our customers would see us and would buy from people like us.

Riddhesh Gandhi

Got it. But the IT spending angle of the things stuff hasn't been reduced. Then in turn, the application would continue in turn sort of we would also continue, and we haven't seen that happening in IT services. So just wanted to understand the reason we're seeing this year.

Amur Lakshminarayanan

But even in the IT, there's been a slowdown overall, right. It's no longe

r in the big double digits that people we are talking about.

Riddhesh Gandhi

And so in the event that let's say, with regards to our aspiration, is it just ultimately a question of maybe a quarter or two? Or it could take an extra kind of a year or two to reach the aspirations? Or how recent will this aspiration be, given what we know today?

Amur Lakshminarayanan

Yeah, I'll come back to that. We'll come back. I think we have an investors meeting coming up later on during the year, and we will have a better sense by then. We have another quarter to go.

Riddhesh Gandhi

All right, thank you.

Amur Lakshminarayanan

Because it is too early to call it quits.

Riddhesh Gandhi

Got it. So we're still aiming for it and hoping for it? That's it. Okay.

Amur Lakshminarayanan

Absolutely, yeah.

Sudeshna Patnaik

The next question is from Nishit Rathi. Nishit, please unmute yourself and ask your question.

Nishit Rathi

How should we think about this quarter, right? Because it's after four quarters that we've seen very strong, broad - based QoQ growth in the digital portfolio. So I know almost 6% Q -o-Q growth and across the portfolio on the digital side, barring the incubation piece, right. So is that the right way to look at it? Or should we look at it more on a Y -o-Y basis? Because the last th ree quarters are in the base and this growth has come in a seasonally weak quarter, and you're saying the full benefit of the orders that you've won in H1, have not yet kind of transpired, right? So I'm just trying to understand what is the right way to think about it? And is it unfair on my part to kind of think that what you've delivered in Q3 should kind of sustain or kind of improv e going forward on a sequential basis?

Amur Lakshminarayanan

I think the way to look at this quarter is the overall digital growth as you mentioned in the current environment is quite good, the YoY growth as well as the QoQ growth. I've also called out the individual portfolios, and we've had good growth on the next -gen connectivity, on the cloud and security as said, albeit more on the security side rather than the cloud side. Our interaction fabric has grown double digit o n a Y-o-Y basis.

Even our IoT fabric, while there's a QoQ decrease, YoY there has been a good increase in that business as well. So I think on the digital side, definitely, it's been a good quarter. Some of the orders that we won in H1 and H2 would have got reflected in this quarter itself. But next quarter, some of the larger deals that we booked, the translation of that, we would start seeing in the next quarter is what I mentioned.

Nishit Rathi

Yes. So in that context, because the YoY numbers have a very big bearing of the last three quarters, which were subdued. And if I annualize the growth that you have delivered in this quarter and annulizartion wrong is the question I'm asking you? Is there anything abnormal in this quarter, which you believe may not continue going forward? Because the order books are there, our relevance is increasing, the market is there. What should lead to that not happening going forward?

Amur Lakshminarayanan

So, I think see, the annualizing doesn't really work, the reason being, I think I mentioned the tailwinds I've been talking about, right, the order booking, the funnel being good and so on and so forth. The headwind really , especially on the network, including the next -gen connectivity, is still a very large part of our business, close to about 60% is on the core and the next -gen connectivity put together. That business particularly is subject to price erosions and churn, an d customers

, especially if you take an IT customer or a BPO customer of ours in India, if they lose a customer, the n that network connectivity goes, right? So there are network terminations that happen. But a large factor is also the network price erosions that happen. Those are the headwinds that we have to worry about, and that's the headwind that we constantly battl e. So the reason why I'm giving you that explanation is in this business, annualizing the quarterly revenue and extrapolating on that is not the right way to look at.

Nishit Rathi

No, no, I fully agree with you. It may not be the right way. I'm just saying in context that we lost a month with cable cut, the currency is in our favor and the fact that we booked very strong orders in H1. So I'm just trying to understand the caution, where is that caution coming from.

Amur Lakshminarayanan

There is no caution. I mean I'm just giving you both plus and the minus side. The plus side is clearly the orders booked. Last year, we saw a lot of DC -DC growth in India. We are the market leaders. As and when more comes, we will capitalize on those in all other portfolio, I think we are investing in the right places to be able to grow. The caution , along with that positive, I'm also saying what the headwinds normally are. That's what I'm bringing both the pluses and minuses , to be clear.

Nishit Rathi

No, absolutely. Got it. Okay. And can you just also help me understand how should we think about , if data localization were to happen, what are the parts of the businesses that could be positively impacted? Or what are the possible impacts that could be there on our business?

Amur Lakshminarayanan

No. Clearly, the cloud business will benefit. If there is more of a mandate to localize.

Nishit Rathi

Okay. And the connectivity side?

Amur Lakshminarayanan

Yeah, there is a cloud growth and there is more data centers in India, then the connectivity also will benefit from that.

Nishit Rathi

Understood. And last quarter, you called out that your international order book was at all time 5-year high, right, order booking, I think, if I'm not mistaken. Has that trend continued because you called out some very interesting deals that you won the international bank, the international retailer and some very interesting customers, so has that momentum continued? Are you seeing increased traction in that piece out there?

Amur Lakshminarayanan

Yeah. I think the international funnel is quite healthy. And year -to-date, the order booking also has been healthy. I think the thing is in the international regions , those regions are still relatively small for us. So even if those regions grow at 25%, or year -to-date, I've seen most of the regions have grown at a very healthy double digit, in terms of how it shifts the needle for us overall , is still a question. But in terms of the traction that we see, we surely see traction in all the markets.

Nishit Rathi

So are there some international regions? Because if you are seeing 25% , international is, if I'm not mistaken, around 40% of our business, right? So if that is growing at a very healthy pace, are there some international markets which are seeing headwinds?

Amur Lakshminarayanan

The international is also in two parts, one is the enterprise and also we have in international, we had the service providers and we have the OTT business as we call, right? So all of that is international. So the international

enterprise is doing well. The OTT, after a lull, has picked up. So that would be the broad commentary on the international side.

Nishit Rathi

And lastly, are there any plans to invest in cables again because a lot of cables are starting to near end of life, are there any plans to kind of invest in cables?

Amur Lakshminarayanan

Yeah. We have been investing regularly on the cable side, right? Whether we may not invest directly as a consortium partner or build by ourselves, but we are investing through IRUs. So we are continuously investing and monitoring the capacity requirements of our business. And in fact, in the last few four, five years, our capacity has gone up quite high. So there is a constant investment that we are doing on cable systems.

Sudeshna Patnaik

Given the constraint on time, we will end the question -and-answer session now. With that, I will request Lakshmi to please share his closing comments.

Amur Lakshminarayanan

Yeah. Thank you all. I think we are very, very pleased with the digital growth. The overall international growth has been a good all round performance. Our performance on EBITDA has been quite good. And also the EBITDA to cash flow conversion is also very good. S o we're very pleased with the overall in the quarter. Thank you.

Sudeshna Patnaik

Thank you, Lakshmi. Thank you, Kabir. This brings us to the end of the management call. In case of any queries please write in to investor.relations@tatacommunications.com . The recording will be available on the website in the next 24 hours. You may please disconnect now. Thank you.

Call: Apr 2025

April 23, 2025, at 12:30 pm IST

Q4 & FY202 5
Earnings Call Transcript

Corporate Participants :
AS Lakshminarayanan , Managing Director and Chief Executive Officer
Kabir Ahmed Shakir, Chief Financial Officer
Rajiv Sharma, Vice President and Head Investor Relations
Sudeshna Patnaik , Deputy General Manager, Investor Relations

Sudeshna Patnaik

Good afternoon , everyone, and a warm welcome to you all. Thank you for participating in the Q4 & full -year FY2025 Earnings Call for Tata Communications. My name is Sudeshna Patnaik, and I'll be your host for the call. We are joined today by our MD and CEO, Mr. Amur Lakshminarayanan; our CFO, Mr. Kabir Ahmed Shakir; and our Head of Investor Relations, Mr. Rajiv Sharma .

The results for the quarter and the fiscal year ended 31st March 2025 have been announced and the data pack is available on our website. We will begin today's call with opening remarks from Lakshmi on the business performance and outlook followed by Kabir on the company's financial performance. All participant lines will be muted for the duration of the call. There will be an opportunity for you to ask questions after the management remarks.

Some of the statements made in today's call may be forward -looking in nature and are subject to risks and uncertainties. The company does not undertake to update these forward -looking statements publicly.

With that, I would like to invite Lakshmi to share his views. Thank you, and over to you, Lakshmi.

AS Lakshminarayanan

Thank you, Sudeshna. Let me begin with the overall year , FY25. Our digital revenues grew by 29.5%, and we sustained the growth momentum over the last two years now. We've had a good YoY growth in enterprise market segment in both India and international. India Enterprise grew by 8.7% YoY, and international enterprise grew upwards of 20% on a YoY basis.

Despite the macro uncertainties the world faces today and potential delays in the enterprise decision -making, our differentiated digital fabric, which is a full stack of infrastructure, infrastructure software and the services on top of that continues to i ncrease our relevance with our customers and positions us well for FY26 and beyond.

Our full -year consolidated revenues came in at Rs. 23,109 crores, growing at 11.2% YoY. Data revenues came in at Rs. 19,513 crores, growing by 13.7% YoY.

Full-year EBITDA margins were at 19.8%. However, FY25 core business EBITDA margins which excludes the subsidiaries and the recent acquisitions, held steady at 23.3%, a marginal decline of 40 bps YoY, but have largely held steady.

This decline is due to increased provisions pertaining to some pockets in the South region. In the acquired businesses, which are currently dilutive to the margins, the cost synergy programs are well underway, and I'll ask Kabir to elaborate this in more detail later in his comment ary.

Moving on to our quarterly performance. Data revenue in Q4 came in at Rs. 5,096 crores, up 3.9% QoQ and 9.6% YoY.

On the order book front, we had called out a good H1 last year that our order book has substantially increased relative to the previous years, but it had come back to more normal levels in the second half of the year. We see a good H1 order book growth that we had playing out in our revenues in Q4. On the funnel front, our funnel continues to be healthy with a good representation of large deal

s.

These large deals are also well diversified across India and international, and we are winning multi -fabric deals. For example, in the APAC region, we won a large deal with an integrated healthcare solutions provider. This deal cuts across multiple fabrics of network and also the cloud and security fabric with a complete SASE stack implementation. We won another deal in the European market and in the European market, we are a challenger. In this network fabric deal with the high -tech telecom manufacturer, i s to modernise their traditional setup to a more flexible Internet - based architecture that ensures agility, SLA compliance, proactive monitoring and also supports their cost reduction goals.

Core connectivity reported a revenue growth of 2.5% this quarter and 3.2% YoY. We are leaders in the DC-to-DC connectivity segment, and we continue to benefit from a steady demand for dedicated metro network builds in India. Our core business is strategically positioned to capitalise on substantial infrastructure investments in AI, which are currently underway and are expected to only accelerate in the future.

Our digital portfolio revenue came in at Rs. 2,440 crores, growing at 5.5% QoQ and 17.5% YoY. Our Interaction Fabric,

which is the collaboration and managed CPaaS portfolio declined by -2.9% QoQ and grew by 8.8% YoY. The QoQ decline is attributable to a temporary customer -specific issue and to seasonality of the CIS business in Q4. During the year, we expanded the channels to programmable voice, video, RCS and WhatsApp. We continue to invest in channel orchestration and also the customer journey led orchestration to make the interactions more intelligent through Kaleyra.ai.

Next-gen connectivity, which is part of our network fabric, grew by 3.9% QoQ and 23.6% YoY. This fiscal year, we closed multiple strategic wins where IZO Hybrid WAN enables large -scale network transformation. Our IZO Multi - Cloud Connect has demonstrated robust growth since its launch and in the last three years, the revenue CAGR has been upwards of 50%. With our Multi -Cloud Connect, we had landmark wins across verticals, including BFSI, automotive and airlines.

Our Cloud and Security Fabric grew by 18.9% QoQ and 28.8% YoY. The growth was primarily driven by a large deal that we announced earlier this year. Our security offerings have seen a healthy order bookings driven again by the BFSI verticals. We launched Tata Communications Vayu, which is our next -generation cloud fabric. The Tata Communications Vayu addresses the growing challenges of rising cloud costs, multi -cloud complexities and AI infrastructure demands that places on the enterprises. Com pared to large cloud providers, Tata Communications Vayu Cloud reduces the cost up to 25%.

Our IoT fabric, which is our incubation portfolio grew by 17.7% QoQ and 57.4% YoY. Sequential revenue growth is driven by new vehicle additions on the platform. Data usage on our MOVE platform increased significantly in FY25, and I see this as an encouraging sign with our approach to drive platform growth in this fabric.

Our Media portfolio witnessed a growth of 13.9% QoQ and also 13.9% YoY. We won a marquee deal with a Middle East broadcaster for transforming their broadcast network.

To sum up, this fiscal year reflected solid operational performance alongside meaningful progress in strengthening our digital fabric proposition, marked by an addition of AI cloud and capability augmentation on the interaction and the network fabrics as w ell.

With that, I'll now request Kabir to share the key financial highlights .

Kabir Ahmed Shakir

Thank you, Lakshmi , and good afternoon, everyone. Before we d

ive into Q4 financials, let me take a moment to
reflect on the year gone by. FY25 was truly a milestone year. We made remarkable progress on multiple strategic interventions that we had outlined in FY24 like the disposal of TCPSL, a large land parcel monetisation, action on Netfoundry, and improvement in the profitability of TCTS. At the heart of these interventions is one underlying theme shifting focus away from non -core businesses that was tyin g our balance sheet and management time. With these interventions, we have freed up the capacity allowing us to multiply resources to capture growth for our data business. Our balance sheet is shaping well with improvement in gearing ratio this year and in line with our ambitions.

The Q4 FY25 revenue growth came in at Rs. 5,990Cr, growth of 3.3% QoQ and 6.1% YoY. The topline has certain forex benefits accruing from a strengthening dollar. Normalizing for the same, the revenue growth is at 2.3% QoQ and 4.1% YoY. Data revenue for the quarter came in at Rs. 5,096 Cr, growth of 3.9% QoQ and 9.6% YoY. Digital revenues for the quarter came in at Rs. 2,440 Cr, growth of 5.5% QoQ and 17.5% YoY.

EBITDA for the quarter came in at Rs. 1,122 Crore, lower by 5% QoQ and up by 4.3% YoY. Our EBITDA margins for the quarter were at 18.7%. EBITDA margin was impacted by a couple of factors , there was a temporary customer specific issue as Lakshmi has already pointed out. We also had some spillover costs from cable repairs. In Q4 we invested in marketing and launched our Vayu Cloud.

Full year EBITDA margins were at 19.8%, 100 bps lower on a YoY basis. One of the reasons for lower margins this year is increased provisions pertaining to some pockets of SAARC region; as they remain impacted by geopolitical factors. Full year impact beca use of this was about 50 bps. Additionally, as Lakshmi pointed out , our core EBITDA margins came in 23.3% for the full year, and that has been fairly stable for us. We had suggested earlier that the subsidiaries and the recent acquisitions have been a drag on our margins. We have taken actions on the subsidiaries, and it is

reflecting in higher margins this year. On the acquisitions, we are executing the cost synergy programs. While Kaleyra is 18 months in and Switch is 24 months in , both are approaching the inflection point and we expect the synergies to play out in the com ing quarters.

PAT for the quarter came in at Rs. 761 Crore, up 196.5% QoQ and 114.8% YoY. PAT this quarter has benefited from exceptional items to the tune of Rs. 578 Cr. This includes profits received from the sale of land. Full year PAT is at Rs. 1,625 crore, up 44.7% YoY, this is for continuing business. For the full consolidated business, PAT came in at Rs. 1,836 Cr.

FCF for the full year was at Rs. 306 Cr, FCF for the quarter was Rs. 66 Crores lower because of higher cash capex for the quarter at Rs. 730 Crores. Our full -year cash capex is at Rs. 2 ,206 Cr.

This quarter we received proceeds from TCPSL and land sale and that helped us reduce our Net debt to Rs. 9,377 Cr. Net debt/ EBITDA stands at 2.06x. As we had mentioned earlier, net debt -to-EBITDA ratio will be the first to start coming within our desired range, ROCE will be next followed by EBITDA margin.

ROCE came in at 15.9%, a decline of 10 bps QoQ and decline of 284 bps YoY. Our ROCE is based on 12 -month rolling numbers. The recent net debt reduction and gradual improvement in profitability will help ROCE positively going forward.

On the subsidiaries, TCTS revenue growth came in at 15.4% QoQ. EBITDA margin improved to 11.8% improvement of 342 bps QoQ. TCR revenue grew by 6% QoQ and EBITDA margin came in at 72.7% .

I

will now ask Sudeshna to open the forum for question -and-answers .

Sudeshna Patnaik

Thanks, Kabir. We'll wait for a minute for the question queue to assemble. Interested participants may click on raise hand icon at the bottom of the page on Webex application to join the Q&A.

The first question is from the line of Sanjesh Jain. Sanjesh, you have been requested to unmute yourself. Please unmute and ask your question .

Sanjesh Jain

Hey, hi. Good afternoon all. Thanks for taking my question. My first question is on order book. Lakshmi, you mentioned that first half was strong. Second half was more normalised. When you say normalised, we are still growing at high -single digit to early teens or it has really been muted in the second half? And we were expecting some deal wins to flow through. Is the decision -making getting even more delayed because of all this tariff uncertainty and all? And have you seen customers developing cold feet on already announced deals wins? What has been the reaction because of this tariff things, which is playing out in U.S.? And how do you see order book going into FY26?

A.S. Lakshminarayanan

Sanjesh, the order book in H1 was good. It's been some of the highest compared to the previous years that we had seen. For the overall year, if we look at the order book, the ACV that we booked, it was in good high double -digit number is overall growth that we saw. In H2, it had come back to the normal , H1 had a few large deals we had called out, a few of them in the markets with an OTT player , we had called out the World Athletics, we had called out a large BFSI deal and there were a few others. We didn't see the same extent of deals coming in H2. It had come to the normal levels is what I would say. But overall, we had a good growth for the year .

If I look at the colour of the funnel and how it is panning out, whether the cancellations, we didn't see any cancellations as such. We had a few deals that we were hoping to close in Q4. They are rolling forward to Q1, and we expect to close those. We did n't get any negative sense from the customers that there would be any reactions as a result of the tariff war. So we don't really see an immediate impact on the order book.

The funnel, as I said, the overall funnel additions have been good even in the last quarter. Our overall funnel still is quite healthy. The number of large deals in the funnel is proportion -wise, it's the same. The number of large deals addition in Q4 had come down. While the overall funnel growth has been there. So I don't think with all these, we can really call out something that the customers are either reacting and making decisions while we do see a cautionary approach, at least in the language. We'll have to wait and watch to see what happens.

Sanjesh Jain

Got it. And for the full year, when you say, Lakshmi, double -digit, it is above teens, right?

A.S. Lakshminarayanan

Yeah.

Sanjesh Jain

Got it. Very, very clear. Second question is on the net revenue. Though our total revenue is healthy in the digital services and even in the core connectivity data as a whole, but the translation to the net revenue has been quite weak or inferior in this q uarter, while mix hasn't been favourable because the CPaaS revenue has declined sequentially which has a higher direct cost. What has led to the deterioration in the translation from the gross revenue to the net revenue, in fact, it should have improved?

A.S. Lakshminarayanan

Yeah, there are a couple of factors, maybe Kabir can take this.

Kabir Ahmed Shakir

Sanjesh, when I actually called out for the full year as a whole, we did have SAARC as

has one of the things where
the impact was about 50 bps. We had already highlighted that situation. So we are seeing how the geopolitical thing is anyway evolving in that space. So we had to take some tough calls there and terminate some certain customers also. So that was definitely one. And as Lakshmi pointed out, there was one customer -specific issue, which impacted. It's temporary in nature. We had a fixed cost deal and the revenue, that was a fixed commitment and the revenue, which we were expecting did not come through. And so it's a very, very specific in -quarter thing. I don't expect that to repeat. Those were a couple of things and then also, again, we had alluded to all of you guys, 3 of our cable systems had gone down. This has never happened before in this year. And it took us al so longer due to the conflict that we had in those geographies for the ships to even go and repair those systems. It took longer, which impacted both our growth in core connectivity, which has been softer than what it used to be in the good low to mid -single-digit kind of thing. It's been in the low single digit thing this quarter if you actually see core connectivity. So when that comes with a high NR margin profile and EBITDA as well, has a drag on the in-quarter numbers. Now all of this is behind us. And then I alluded to that we invested in marketing in one of our product launches as well. Acutely aware

of the things that led to this, plus the conscious investment that we are also making for the future. Those were the one-off things that I would say that impacted us in Q4.

Sanjesh Jain

Thanks. But Kabir, most of this cost, I think are below direct cost, right, what we have talked about .

Kabir Ahmed Shakir

No, they are not. They are not. Like, for example, the customer -specific deal was a direct cost issue, because the fixed commitment was there at the direct cost level and the revenue did not come. So that one directly impacts direct cost and therefore, NR.

Sanjesh Jain

Okay. But what led to the digital services having such an inferior conversion, while we have grown 5.5% sequentially, while on the net revenue, it's a decline of 0.5%?

Kabir Ahmed Shakir

Yeah. So that's, as I mentioned, it is direct cost. It is in the Interaction business in the CIS business, which is part of this deal.

Sanjesh Jain

Got it. And do you expect these things should get resolved in Q1 and Q1 should have a much normalised net revenue margin?

Kabir Ahmed Shakir

Exactly. This is a onetime in Q4, a specific deal, a specific customer, a specific instance. So don't worry about it. That has no drag in the future.

Sanjesh Jain

And Kabir, what is the bridge for you to grow from this 20% EBITDA margin level to more 23 %-25%, where we aspire to be?

Kabir Ahmed Shakir

We will talk more detail of that, the Investor Day is not far away, Sanjesh. We'll talk about our ambition of 23 %-25% still stays . I mean that's an ambition. It still stays. We announced that two years ago . We exactly know as Lakshmi talked about, the reason why we separated out the core business to say is that is static. So we have made investments very, very clearly due to acquisition. It's been a drag, and those need to come back up.

Second, we made investments organically to drive innovations as well. They need to give us a return by getting the right revenue and having the operating leverage. And then, there are, I would say, BAU stuff, which I will not offer justification, but that is an explanation that is the one which is shaping us. So we will come back.

Sanjesh Jain

Are we committed to 23 %-25%?

Kabir Ahmed Shakir

Yes,

we are committed to 23 %-25%, because for this business structurally, what should be the kind of growth rate that should deliver. Therefore, what CAPEX does it actually needs to sustain that kind of a growth, and that should come at what ROCE and what margin profile. This has been very carefully thought through, and I do not want to change that because nothing structurally and fundamentally has changed. Yes, the mix will change of our business moving away from core connectivity into digital. But once they scale up, they should give us the same EBIT or PAT, but when we shift that, we are a couple of years away to even get to shifting the marker on margin, but ROCE remains intact. Therefore, structurally, nothing has changed. It's only, I would say, timing issues. It's only external environment, uncertainties, volatilities, customer decision -making delays and deal -specific things, right? Sometimes we get this a good order book, which resulted in a very good Q4, right, that we had in our revenue as a result of the good order book in H1. So those things, we will ride the wa ve as it comes. So I am not terribly worried about it. These are just the timing issues, and we will ride them.

Sanjesh Jain

And then on these acquisitions, first few quarters went very well. Now it's already 18 to 24 months in the acquisition. Are we happy, satisfied with how those acquisitions have turned up or you think the turnaround has been slightly more challenging than w hat we thought at the time of acquisition?

A.S. Lakshminarayanan

No. Sanjesh, I think, we're very happy with the acquisitions and the capabilities we acquired. If you look at Switch, the capabilities on production are extremely good. We are winning deals on the back of such capabilities. We announced a win with World At hletics, for example, and some of the deal wins in LATAM that we talked about will include some of the production capabilities in due course, as we transform, so these are capabilities that are good capabilities to have.

On the cost side, synergy execution, while it was being done, we were hit with something that we couldn't anticipate. So that's where you see the margins did not kick in as quickly as we anticipated. But that is on The Switch side. Similarly, on the Kaleyr a, I think the capabilities are very good. Again, we are cutting down on a few areas which had low margins, bringing a bit more discipline into how we manage some of the tail accounts and so on and so forth. So that should help improve the margins in the n ormal terms. And we also said we need to invest in the software layers about these for the channel orchestration expansion of channels. So those investments are also going on. So you're right to say that some of the results are not visible, but the short a nswer for, if we are happy with these acquisitions, absolutely, yes.

Sanjesh Jain

Got it. One last question from my side, Lakshmi. Going into FY26, where are we very confident on winning order book, revenue transition and acceleration to come in within our digital portfolio?

A.S. Lakshminarayanan

We see across all the fabrics, the opportunities are good. Because I'm visualising the customers today are faced with 2 challenges. One is the uncertainty on the macro side and what they should do about it, which they also don't have control, and they are watching and waiting to see what will happen. On the other side, the customers are seeing that they are going to the hyperconnected ecosystem, where AI and other technologies are going to disrupt in the future, and they have to make investments to prepare themselves. And that is where you will see the opportunities. Now, whether one on the macro will weigh down the other, we don't know yet. And I think, I commented on it earlier, the customers today are waiting and watching. There has been no knee jerk reactions that we're seeing to cancel things or anything. But the opportunity we see is that the customers would have to invest to make themselves more relevant for the future. And that is where all the products that we have launched have absolute relevan ce to these customers.

Sanjesh Jain

Got it. From the funnel side, which is the segment which is showing maximum growth for us?

A.S. Lakshminarayanan

Both India and international. And funnel, we haven't analysed by industry segment, because that is not how we look at our business. So both India and international side, we have seen good funnels.

Sanjesh Jain

Got it, Thanks Lakshmi, thanks Kabir for answering all those questions and best of luck for the coming quarters.

A.S. Lakshminarayanan

Thank you.

Sudeshna Patnaik

Thank you, Sanjesh. The next question is from the line of Vibhor Singhal. Vibhor, you have been requested to unmute yourself. Please proceed with your question.

Vibhor Singhal

Thanks, Kabir. Thanks, Lakshmi. Lakshmi, a very solid performance in the cloud business in this quarter. I think this has come after multiple quarters of kind of modest growth in this vertical. We've discussed it before that basically, I mean, the cloud bu siness is predominantly India business. So basically, do you think this cloud business at this point of time is kind of turning the corner and we could probably be at an inflection point where we could see some incremental growth, strong growth in accelera tion in this vertical? Any colour on this, that would be very helpful.

A.S. Lakshminarayanan

Yeah. This is both the cloud and Security Fabric is what we put together and call out the numbers. And right, it's the cloud has been somewhat static, and we are seeing some uplift from some of the deals we announced in the first half of last year. And as we execute on that, we are seeing the results in this product.

Our funnel, both on the cloud and security is quite robust. And in fact, we are further strengthening our security commitments on both the threat management side. We have been doing good banking sector deals. We are going after some of the local government and other opportunities in that area. And in the network security, we have a very solid proposition now with putting together all the capabilities of what we have in the Edge, the security, the firewall and all those capabilities. We think that will have a lot more legs in the international markets. So as we strengthen that portfolio and continue to invest in these portfolios, both the cloud and security has good upside potential in the future.

Vibhor Singhal

Got it. That was helpful. So is it fair to say that the growth in this vertical and the positive outlook that we are talking about is more driven by our own efforts and our own capabilities rather than something changing on the macro front or let's say, ou r overall cloud adoption demand front, that enterprises are becoming more amenable to the idea of moving on to the cloud platform? Any visible change in the broader macro level? Are you seeing anything on that front? Or is it more of micro driven?

A.S. Lakshminarayanan

Yes. No, I don't see. I think, I commented on at macro level, we don't see anything either way to talk about at this current point in time. We think, this situation is changing very quickly. At this point in time, we don't have anything to talk about on th e macro side.

Vibhor Singhal

Got it. That was really helpfu

l . On the flip side, I think the CPaaS business had a QoQ decline in this quarter. Any exceptional thing that we're talking about there? And what is the outlook that we're looking for the CPaaS business for FY26, given that FY25 was a year in which almost all CPaaS players were chasing profitability, maybe not focusing so much on growth? Do you see that trend to continue or maybe growth taking precedence?

A.S. Lakshminarayanan

No, that trend will continue. I did mention that we are looking carefully at all the low -margin deals and cutting of that out. And this quarter, Kabir explained there was a customer -specific issue, because of which we had to take both hit on the top line and the bottom line, for specific issue. But otherwise, our strategy in CIS is that we are going to expand our channels beyond the SMS, which has become a commodity and look at expanding in the layers above with the software platform capabilities is where we are investing and focusing.

Vibhor Singhal

Got it. Thank you for that. Just one last question on the demand front, then I'll probably have a couple of questions for Kabir as well. A lot of our , obviously, the technology peers, I mean, especially the ISPs have been talking about an elevated level of uncertainty, because of the tariff situation. Now I know you've mentioned this in the past that at our size, there's not too much of coupling with th e macro levels. But any basically headwinds that you are seeing or challenges that you're seeing at this p oint of time? At this point of time, I know things are quite volatile and can

change in a matter of weeks from here. But at this point of time in your conversations in the deal flows, any, let's say, delay in deal closures or, let's say, a delay in execution of an awarded deal, anything that we are seeing or any conversations that we're seeing at this point of time? Or i s it BAU at this point of time?

A.S. Lakshminarayanan

Yes. I think, I mentioned this, we are not directly impacted. We anticipate indirect implications for us when customers make cautionary efforts. We see caution, but we haven't seen any major reactions of cancellations or anything. I did say that a few deals have got rolled over to Q1. I don't attribute that to the macro condition is just a matter of delays in specific delays from customers. But it is a situation that we will continue to watch carefully. It has to be, and the customers are cautious, and they are all worried. But as I said, they are also wanting to see, while they have to be cautious on this front, they're also worried about the future that they are getting into the hyperconnected world where technology is going to play a major role and AI is going to play a major role. And therefore, how to balance these two considerations is what they are looking at. So there will be investments in that area, albeit in a smaller way. But the answer is, we haven't seen any direct implications, but there is cer tainly caution in the air.

Vibhor Singhal

Got it. Sure. Thank you. Thanks for that. Kabir, just two questions from my side. You mentioned in the remarks that ex of Kaleyra and Switch our margins for the core business are already north of 23%. And you would be looking to, let's say, and Kaleyra and Switch are probably at an inflection point, as you mentioned. So what would typically be the margin levers for companies like that? I mean, I know that in technology space when an Indian company, it has to acquire a company outside India, the typical marg in levers are you offshore a lot of work, lot of the local people are replaced by people in India, which gives a boost to the margins. What could typically be t

he margin levers here for
companies like Kaleyra and Switch?

Kabir Ahmed Shakir

I think the cost synergies from what you have mentioned, that were done right in the very first couple of quarters itself. Where we are seeing the benefit is as, for example, on media when Lakshmi answered the previous question, it has just enhanced our ca pabilities and helps us for better deal wins. Let's take the World Athletic deal that we announced earlier in the year. I think the merge r of our transmission capability, our global network coupled with the production capabilities has made us a better suit or to win that particular deal. So I would say both these assets were acquired for us not to just strip away cost, but to add capabilities, add to our global presence and become more relevant to our customers.I'm looking at these to give me operating lever age through that. In CIS in specific, right, again, I'm probably repeating what Lakshmi said , we want to move away from A2P bulk SMS, which is more commoditised . Layer two, layer three orchestration and that's why we called it CIS, you're not calling in CP aaS. We're calling a Customer Interaction Suite and we are not flippant with the choice of words, but it has deep meaning, because we are able to, therefore, orchestrate a full customer's journey, omnichannel, make it contextual, make it programmable, make it agile to someone and then introduce AI into each of them. So when you look at some of them, our demos are there in our websites. As to how this comes to life, that is when we will be able to command a slightly higher premium margin for those layers whe n customers start adopting them. So for me, the levers are that you get more volume, therefore, we don't add more cost to operating leverage. You also get more high calorie volumes, which is more profitable, because of this suite of offerings that we do. A nd these are the, I would say, the two main and good sources of our revenue to get us to the margin profile that we want.

Vibhor Singhal

Got it. So fair to say that the World Athletic deal would probably be a margin accretive deal and could probably be a higher margin deals than the other deals that we would have done before?

A.S. Lakshminarayanan

This is over a five year deal. And over a five year deal, we are doing a massive transformation for them. And the transformation will involve using our production capabilities. Year one, we will continue to, if there is a transition, we will continue to use the current setup and manage that. So over a 5 year period, this is a very good deal. It brings in all the capabilities that we have to deliver. We don't want to comment on year specific and individual deal as

such. But overall, it is a transformation deal, which will give us good margins in the full course .

Vibhor Singhal

Got it. Thanks for that Lakshmi and Kabir. Kabir just my last question on the debt front. So this quarter, of course, I mean, last two quarters, we've had a good amount of cash flows from the land sale and TCPL divestment, and we saw the net debt coming do wn. What is the way going forward? I mean, we issued a commercial paper, I think, yesterday at around 6.5%. So what is the objective of that? And how are you looking at the debt number moving over the next 2 years?

Kabir Ahmed Shakir

Yes, I stick to what I had mentioned before. Our ambition is to bring the debt down to under 2x and operate at the WACC optimal debt situation. We had earlier indicated and that had we got our growth and our profitability as what our ambition was, our debt would have been under 2x already, but we are almost there, right? So we'll get to under 2x in the next one or

two quarters. So I'm not terribly worried about that.

I won't link the commercial paper thing. I mean, a lot of people in the media also asked me this question earlier today. See, once we decide on what is the optimal debt structure, then the debt structure is made up between long term and short term. And the n, the short term is commercial paper, because I ride the market depending on my working capital and my cash flow needs. The short -term funds are, therefore, matched with short -term liabilities as well. And therefore, we keep rotating this commercial paper because they are of a short -term nature, 30, 60, 90 -day kind of a tenure. And that's what we do. It's BAU for me. I wouldn't link that with it, because then that is the flexibility given to the treasury team as to how efficiently they can source capital for us. At a strategic level and from your vantage point, I mean, you should look at our debt on a BAU basis being u nder 2x, which is our stated ambition, sans any big activity that we may do for maybe another acquisition or maybe another monetisation parce l or anything that we do that will take it down or up. Like, for example, for a large part of the time before we did the acquisition, our net Debt-to-EBITDA went down to as low as 1.3x. That was a war chest that we were actually building so that we can invest back in. So I wouldn't be married to just 2x and stay at 2x. If cash flows then come in and we don't have an avenue to invest in, that will come down. And we then build the war chest for the right avenue when it comes to invest back both organically an d inorganically is what we will use and therefore, stay under 2x.

Vibhor Singhal

So to take it from there, let's assume, we are at around 2.06x. I mean we are at 2.06x net Debt-to-EBITDA and given that our EBITDA is only going to increase. As you said, in the next couple of quarters, we might actually come below that targeted range that we're talking about. Now if that is the optimal debt level that you're talking about, and we are going to generate free cash flow every quarter. So are we going to hold that to the cash reserves to maybe plan for some acquisition at point of time or in t he interim, we could see the dividend also increasing?

Kabir Ahmed Shakir

Well, see, we have announced dividend in line with our dividend policy. Our dividend policy is 30% to 50% of consolidated profits. This dividend is about 3 8.8% is what the Board has announced. So it may look I mean, high and that's because of the exceptional gains that we actually got, and we have no higher PAT. So it's not like I said, we've declared anything bumper. We have declared in line with policy. It is not that we will, when we get extra FCF, we're going to give it away in dividend. That is not the intention. The Board will continue to remain within the p olicy and we will, therefore, like how we have said in the past, we will build this warchest for fundi ng growth, both organically and inorganically.

Vibhor Singhal

Got it. Just one last one bit from my side. I know I've said last multiple times. Just on the guidance for FY27. Now for the 4 -point guidance, I think you've clarified that ROCE margins and probably the debt levels will definitely come through. On the grow th part, I think the Rs. 28,000 crores number for the data revenue looks to be quite steep from the current levels. So are we maintaining that guidance? Are we basically talking of it more as an aspiration? Do you see it spilling over? What is our final po int of view as we end FY25?

Kabir Ahmed Shakir

I mean, I'm sure Lakshmi will want to chip in. First, I want to clarify, this is not a guidance. I've said it p

lenty of
times. This is our ambition. Does it goes to doubling our data business? 100%, yes. Yes, when we announced it 2 years ago, it was a different set of business environment at that point in time, different set of environment that we are facing, and we are navigating that through.

The Investor Day less than two months away, I think we'll talk a little bit more in detail at that point in time as to what the ambition, the ambition and how we will bring that to life. And therefore, I wouldn't worry about that aspect. So I don't know if Lakshmi wants to add anything further.

A.S. Lakshminarayanan

Nothing. You answered.

Vibhor Singhal

Sure, great. Thank you so much. Thanks for taking my question guys and wish you all the best.

A.S. Lakshminarayanan

Thank you, good luck.

Sudeshna Patnaik

Thank you, Vibhor. The next question is from Sumangal Nevatia. Sumangal, you have been requested to unmute yourself. Please unmute and ask your question.

Sumangal Nevatia

I have a couple of quick questions. First, on the Red Sea cable cut issue. In last quarter, we mentioned that we are in the process of winning back customers and some lost business. Can you give some update? Have you normalised in fourth quarter? Or should we see some further low base benefit in coming quarters flowing?

A.S. Lakshminarayanan

So we said the Red Sea cable cuts, we said we are over that, and the repairs are done. And we are in the process of going back to the customers. So there is nothing specifically we want to comment in the quarter.

Sumangal Nevatia

Understood. Second, I mean, we've seen some good progress on the overall strategic corporate measures and on land monetisation. In the coming years, I mean, is it fine to assume that a large part of heavy lifting has been done as far as monetisation is con cerned? Or we should expect something to continue on an ongoing basis?

Kabir Ahmed Shakir

Well, at an overall level, this is ongoing. I mean, the strategic review that we will do of both non -core and also, I would say, core because end of the day, every business needs to perform for its growth, margin and return aspirations that we have set for that business. So yes, there will be more of that review that happens. And as and when we find an answer to it, and we get the approval from the Board, then we will come and disclose that for you. That also holds good for monetisation of the land parcels. Two years ago, when we came out and then told all of you that we have a real estate strategy that's approved by the Board, and we are working towards that. We've been monetising a few land parcels here and there. Outside of this land parcel, I mean, we also sold something in the beginning of the year a Vikhroli property. There are a couple more smaller properties like that, which is and will and that will continue to happen. We have some large land parcels in the N orth. And even this Chennai land parcel to ok us a little over 2.5 years to get through all the paperwork and title clearances and approvals. And like, for example, I mean there was a shareholder approval that we've taken because the buyer was a related party. So it took us just 4-5 months just to go through even that last hurdle. So all of this will take time. So we do have a road map. We do have a plan and some more large land parcels are yet to come. The timing of it, I will not be able to give you a finality to it, because actuall y, I don't know. And as to how they will unveil at that point in time, and we will, therefore realise the value. The last thing that I would say is on each of them, I've very clearly articulated that it is the best intent of

the management to match the inf lows and the outflows. I would like even to clarify to an earlier point that Vibhor asked. The idea is not to monetise this and dividend it out. Dividend will be done because that is BAU, and we need to maintain our dividend policy and give consistency to the market. That's what we will do. And all of this, we will try to match to the internal needs of the company to support growth organically and inorganically. That's how you should look at it.

Sumangal Nevatia

Got it. That's very clear. Just one last question. I mean, with respect to the cost synergies which you are expecting to kind of play out for all the acquisitions, we're expecting, I mean a good inflection point. Did we share that it's about to be in the c oming quarter or it's more of a medium -term target or kind of ambition or guidance we are looking at?

Kabir Ahmed Shakir

This will gradually start playing out and as I said, this is about driving the right revenue synergies on the top line and building that in while rightsizing the organisation is a continuous thing. It is not just I would say for the businesses that have been acquired, even for other businesses also. We are going through exactly the same principle. So the rightsizing and being competitive to the market from a P&L perspective, is something ongoing that we will do. So you will see that gradually coming through.

Sumangal Nevatia

Got it. Thank you and all the best.

Kabir Ahmed Shakir

Yeah, thank you.

Sudeshna Patnaik

Thank you, Sumangal. The next question is from Balaji Subramanian. Balaji, you have been requested to unmute yourself, please proceed with your question.

Balaji Subramanian

DC to DC connectivity large deal that you had signed earlier in FY25, so is it right to say that the revenue contribution from that is yet to begin? And whenever it starts contributing, we could see a step jump in revenue? And a related question would be that, that would be part of next -gen connectivity or core connectivit y?

A.S. Lakshminarayanan

That will be part of core connectivity, and we will see the revenues coming in to more towards a later part of this year.

Balaji Subramanian

Okay. So okay. So it's fair to say that it's more of a 2H FY26 event?

A.S. Lakshminarayanan

Yes.

Balaji Subramanian

And this would also have a margin profile similar to core connectivity or it would be similar to the revenue in businesses?

A.S. Lakshminarayanan

It's core connectivity.

Balaji Subramanian

Right. So that means, effectively, the core connectivity revenue will see a sharper jump compared to the 3% -5% that you have always guided for, right?

A.S. Lakshminarayanan

We take all of these into account, and we say that the number 3% -5%.

Balaji Subramanian

All right. Got it. And just a clarification on the margins for this quarter. So the net revenue to gross revenue ratio deterioration that we have seen, you did mention in passing that there were a number of issues. And is it fair to assume that most of the drop which we saw from 3Q to 4Q, that was because of all these one -off factors mentioned? And going forward, it should be similar to 3Q levels? The question I'm trying to ask is, it is not the case that the cybersecurity deal that you have won comes with inherently lower margins, right? That is not the case, I presume.

Kabir Ahmed Shakir

Let me answer, because the answer lies in the middle. Is it a temporary one customer issue? Yes. We have said that and that happened in the interaction business, and that is the one which actually resulted into Q4. Are the DPS margins inherently lower

than my overall margins and my vis -a-vis my core connectivity margins? Absolutely, yes. But that's been factored in our ambition to say that they will have a negative mix. But despite that, they should be able to get countered by operating leverage at an overa ll level as well. So the answer is yes to both, Balaji. Yes, it was a onetime thing in Q4 and for CIS that NR margins should come back to the normality levels at the Q3 of that level while coming into Q1. And the answer is also yes for the cloud and security, the thing that you mentioned.

Balaji Subramanian

Right. Got it. My final question would be on your thoughts on the data centre associate. So what is the plan there? Would you like to exit the stake there completely? Or would you look at consolidating by taking the stake up? Just wanted to get your though ts on the way forward there, especially since I know the data centre business has seen a fair bit of rising competitive intensity in the last 12 - 18 months.

Kabir Ahmed Shakir

We hold a 26% stake in STT and our position is that we will maintain that stake. So whenever there is any capital raise that's come from STT, our management is absolutely supportive of it and we will continue to maintain our 26% stake. If there is any decision to do increase or decrease or exit is something that the Board will take a dec ision on and whenever we take the position, then we will communicate to the market. But as of now, there is no such proposal in front of the Board. There is no such discussion. We continue to be committed to our 26% stake, and we continue to support STT in their venture.

Balaji Subramanian

Okay, got it. Thank you and all the best.

Sudeshna Patnaik

Thank you. That brings us to the end of the Q&A session. We are running out of time here. So I would thank all the participants on the call. With that, I would request Lakshmi to please share his closing remarks.

A.S. Lakshminarayanan

Thank you. Thank you all. It's been a very good quarter in terms of the QoQ growth, in terms of our overall growth for the year has been very good . We were in FY23 at Rs. 4,500 odd crores in digital revenues, today we are at Rs. 9,100 revenues, getting close to 50% which is a marke r that we said that we would need to touch when we talk about our margin strategy. As Kabir outlined, the margin profiles, there is a programme, there is a plan and we will ensure that we can execute to that. We'll get to the ambition levels of 23% - 25%. But overall, I think the sentiment, the comments, the internal energy, the investments we are doing are all very high. We're very happy about it.

Sudeshna Patnaik

Thank you, Lakshmi. Thank you, Kabir. This brings us to the end of the management call. In case of any queries please write in to investor.relations@tatacommunications.com . Thank you for joining the call, and you may disconnect your lines now. Have a good day .

Call: Jun 2025

For more information, visit us at www.tatacommunications.com

June 10, 2025, at 4:00 pm IST
Institutional Investors &
Analysts Day 202 5
Transcript

Key Speakers :

Mr. Amur S. Lakshminarayanan , Managing Director & CEO

Mr. Sumeet Walia, Chief Sales and Marketing Officer

Mr. Kabir Ahmed Shakir , Chief Financial Officer

Mr. Rajiv Sharma, Vice President and Head of Investor Relations

Mr. Gurvinder Samra , Vice President, Global Head - Marketing

Mr. Rajat Gopal , Vice President, Global Network Services

Mr. Rajesh Chandran , Vice President, CIS

Ms. Sudeshna Patnaik, DGM, Investor Relations

For more information, visit us at www.tatacommunications.com

Sudeshna Patnaik

Good afternoon everyone. It's a pleasure to welcome you all to Tata Communications ' Annual Institutional Investor s and Analyst s Day. On behalf of the entire leadership team, I want to thank each one of you for joining us today. We are grateful for your time, your continued interest and trust and keen engagement in a company's journey. Before we begin , a couple of housekeeping announcements, kindly ensure that your mobile phones are switched to silent mode. We request you to refrain from taking any pictures or recording the session. The entire recording of the event, along with any presentation material that is put on display today, will be uploaded to our website post the event completion. Today's presentation may contain forward looking statements. These ar e subject to various risks and uncertainties and we encourage you to review the Safe Harbor Statement on display on the screen right now. It will also be part of our presentation material when we upload it to our website. This meet is an important one for our commitment to transparency and stakeholder engagement. We are looking forward to a meaningful and engaging conversation today. With that, I would like to request Mr. Raj iv Sharma, our Head of Investor Relations, to give a brief address and set the stage for today's session.

Thank you.

Rajiv Sharma

Welcome all. Last time I thank ed you for coming down to Santa Cruz. This time you can thank us for hosting you in BKC, which becomes more convenient. And, I want to thank you , to the point Sudeshna mention ed that it's not only about making it today, but the continuous engagement we have, you know, around meetings, conferences, the questions, the inputs we get. All that really helps. And thank you so much for that and keep that coming. Couple of you are attending it for the first time and asking me about the digital fabric. While we have a lot to cover in the session today. But your question was very interesting that how do we see the digital fabric? I thought I would share a small story to begin with.

The eagle is 40 years of age. The eagle faces a life and death choice. Its beak is bent. Feathers are heavy. It cannot hunt. And what it does is , it retreats to a mountaintop. Breaks off its own beak. Sheds its feathers. And a new eagle emerges. After a very painful renewal process, which can live for another 30 years. This story is so contextual in the context of enterprises today. When you look at the S &P 500 life span of corporates coming down from 60 years to 20, and even furthermore. And survival, let alone leadership, demands innovation. And this is not just about digital. It's about transformation at the core. Shedding legacy models, rebuilding speed, intelligence and resilience. Now that's, you know, that is what is, the best way to imagine the digital fabric, w

hich is a new skin of modern enterprise.
Protecting from shocks, allowing you to adapt to new weathers and sensing in real time. Not visible like muscle bone, but essential, like skin. And even for the digital natives, the eagle's lesson is what got you here will not get you there. So the next phase of growth is not only about scale, but also about re -architecting resilience. You can imagine that digital fabric as a new skin for modern enterprise, which is just not an I.T. layer, but a strategic differentiator. With this, may I welcome our MD and CEO Lakshmi for our keynote address. Thank you.

AS Lakshminarayanan

Good afternoon. And, let me add my welcome to all of you. Thank you for being here today. What I'm going to cover today is, as Rajiv outlined, of course, we're going to talk about numbers. When we look at the performance over the last few years. But I want to go a little bit beyond the numbers. The story behind the numbers, the transformation that we'v e been going through to shift our capabilities on the sales side, to shift our capabilities on the product side, the cultural transformation that the company has been going through to really become, a Commtech company, truly become ourselves a digital comp any, so that we can become the digital fabric for the enterprises.

I will cover a little bit about our point of view on a hyper connected ecosystem. This is something that we coined 2-3 years ago. I think it's hugely relevant and even more relevant in the world of AI and in that context of hyperconnected ecosystem, which is where our customers are situated today, what are the challenges they face and how the digital fabric responds to th at challenges and aid s them in their transformation journey. And in doing so, how are we increasing the aperture for Tata Communications and for our customers to do more for them to benefit more from what we have to offer. Also, we will cover some of the i nvestments that we've been making, some of the recent launches and what it means to us and our customers. What are the white spaces that we are able to address through that? And Sumeet will then follow , talking in more detail and color about our relevance to these customers through case studies and examples and how reputation is growing in the market. And Kabir will then address the

numbers and also going beyond that to see what capacities we have and w e are creating in order to create more value for ourselves, our customers and for our shareholders. That is what we are going to cover today.

In terms of the numbers. We have raised our data revenues CAGR of over 11% and overall revenue by about 7.8%. The color of this revenue, the mix has really shifted from 29% being digital revenue to today, 47%. So , what it also means is our digital revenues, which were around Rs. 3,000 crore in FY21, stands today a little over Rs. 9,000 crore in FY25. So that's a significant jump in the digital revenues that we have seen. All of this has happened through both organic investments and some inorganic investments and resulting in, and Kabir will talk more in detail , our trajectories on EBITDA and ROCE as it stands today. And we are very confident of recovering all these trajectories and recovering the growth path as well. And we will talk about what we are doing in order to shift these trajectories.

Also, a little bit more color as we talk about this, there are significant headwinds that we have been addressing much of it and we've been talking about it, but I thought we will put it all in one slide. If you look at, especially on the connectivity side , there has been, a price erosion and churn anywhere between 10 %-15%, which is

the bulk of the
revenue. And that is one of the, you know, one of the holes we need to cover in order to add more incremental revenues. The second major was more an industrywide disruption, with the advent of cloud communications or UCaaS applications, that came about G SIP revenue that was almost 30% of our overall digital revenues is nearly halved. So again, this year we have seen the the bottom of it. But that is a significant headwind that we have been facing. And the third is the value migration from the the MPLS , the VPN, the private circuits that we've been having with the customers. Overall, industry has seen a decline of about 4%. And in that market, we have managed to mig rate all of those customers to our hybrid WAN story, which is more of internet, and we have been doing that migration. But as we do that, MPLS was price d more and internet was price d less. So i t's a sort of cannibalization that we ourselves had to do for our customers. And that was another headwind, if you will, that we had to address. But in doing so, we strengthened some of it. And we are happy that we've been adding more customers for hybrid WAN. And that's how we've been able to, you know, stem the decline purely in the MPLS . So these are some of the headwinds that we have been encountering. I mean, all of it is something, you know, we have spoken about, but to put them all in context of how much of these headwinds creates a hole and a decline in your top line. And on top of that, you have to create incremental revenue to show growth. On top of it is, a lot of paddling that goes on underneath, which is not often that visible to all of you. Again, if I had to put that in the context of how the B2B players globally have been doing, we all know most of the global B2B players have been either stagnant or, have shown decline in the revenues. We have posted a decent double digit growth in that context and in the context of the headwinds and other things that I talked about in the previous slides. And this is just not in the core connectivity, as you would see in some of the

digital portfolio, t he next gen connectivity through to other fabrics, the growth has been anywhere fro m 19% -45% in, in the digital portfolio. So the data revenues incrementally, we've added is Rs. 7,000 crore. And purely in the digital platform, we have had significant incremental revenues.

Our relevance with our customers is increasing. This is something that we have been very passionate about because purely selling one portfolio and the connectivity we were more like a utility play. And now with the combined story that we take to our customers of a digital fabric , we are very confident that our relevance is increasing, not just by the fact that anecdotally that we hear from our customers that, you know, we are able to me et the C IO CEO, we are able to meet the CMO, we are able to meet multipl e CXOs in the organizations where we have something of relevance to them. But also there is data now to show that our relevance is increasing, and some of it through some of these evidences where if you look at F Y21, the number of million dollar customers was 212, increased to 290 this year. But more importantly, if you see that 10 million plus customers, that has doubled in the last 4 years, the customers that we had were 14 and today they are at 30. Last year we added 16 customers to the Million Dollar Cl ub. So that is a very powerful testimony to the fact that we've been talking about deeper with fewer. We talked about our sales capabilities shift in terms of how we are organizing ourselves as a customer success group, with one owner of the account and al l the towers coming together to provide the fabric solutions . As the organization we are putting much more focus on large customer base and large customers, rather than going after the the smaller ones and creating a bigger tail. And that is a shift that w e made. And t

hat shift is quite hard to make in terms of, you know,
there's a significant capability shift. I think in some of the conversations, I didn't mention most of our regional heads in the international have all been changed in the last 4 or 5 year s, with a lot more focus on people with the ability and the background to sell a more complex solutions. And those are the changes that we made. And even the solutions in terms of significant capabilities, shift in the sales and solutions teams. And you se e the result of that. The second big thing, which is again gratifying to note in the shift, is the NPS scores. As we diversified our portfolio, one of the concerns would have been that the these are new portfolios and therefore the the score might fall because of new things that might be hiccups in the new services, introductions to the customers. On the contrary, our NPS scores with all these customers have only grown. And that's again another testimony to the execution of the

strategy on the ‘Deeper with Fewer’. And the very recent NPS survey that we conducted cites 3 reasons. The top three reasons of, choosing Tata C omm, the service excellence, the technical competence, and the expertise that we bring to solve customer's problems and the global coverage that we deliver. Focusing on these are the top three reasons our customers say that as to why they select us. Our NPS scores remain in the top quartile. We are proud of that fact. The number of analysts like Gartner and others who are covering us has increased mul tifold. Now, again, if you look at how many analysts covered us to today . It's dramatic growth, the number of analysts who cover us and the number of analysts who position us in the leadership position is also increasing every year. In increasing relevance , we opened the customer experience center . And today we showcase the art of possible for our customers and the number of visits th ere has increased, not just customers from India, but international customers coming to see what we have to offer and all of that. I mean, those things don't result in a sale or a deal immediately, but those help in positioning us as a relevant player for them. All of these are helping us to increas e our relevance. And I said that one of the first marke rs in our transformation journey is, are we increasing our relevance in a internally, we say, what is the relevance quotient to our customers? And I don't know, sometime ago, internally at least, I used to put that if you look at a score of 1 to 10, you would see the relevance quot ient of consulting firms like McKinsey and BCG had 8 or 9, but those are normally short -lived. They come in for a strategy project, they execute them, they exit. If you look at large SIs, their scores would be anywhere between 6 and 8, if you will, depending on whether they do long term projects, they manage more . And typically, the telco we found was the relevance quotient was, you know, at three or four because it's very transactional in the way they dealt with players like us . And I said that quotient is something that we need to increase. While we did not have a measure internally for this question, we used this language of increasing the relevance quotient. I'm happy to see that some of that is not only changing anecdotally , but also now in number terms, we can prove and show that our relevance is increasing in the market.

Let me talk about the context where our enterprises are operating today. We coined this Hyperconnected ecosystem as a phrase, a while ago. We also said, and we defined what a hyperconnected ecosystem is like because, the connected ecosystem has always been existing in the market

place. We all know, and I have given examples of how
insurers have, contracts with repair shops. We know how airlines have contracts with hotels and other things. And the connected ecosystem existed. But what is different in a hyper connected ecosystem is that that is always real time. Everything is happening on a real time basis. It is always on anywhere on. It is all the time connected. Now, you see that in many examples that, that they can see it seamlessly collaborative, not just between people to people and things to things and people to things, but today we are we know that there are AI agents within an enterprise which needs to seamlessly collaborate. The architecture for agent ic AI needs to be quite different from our traditional architecture of how applications that are architected . Not just within an enterprise, that these agent ic AIs function but also have agents sitting outside the enterprises now collaborating with the agents within the

organization. That, in my mind, is truly a hyper connected world where the enterprises are moving towards. And in that scenario. The complexity o f the digital infrastructure, the need for them to be able to make it secure or make it a lot more easier to consume, make it lot more performant, and trustworthy that they can trust, you know, not just from a security point of view, but it's also that, you know, from data privacy protection. All of that to happen will become increasingly complex, and expensive. And that infrastructure, unless it is transformed, they will not be able to move into this hyperconnected ecosystem and deliver everything that the ir customers are going to expect them to deliver. And in that world, we are saying that what are the expectations that these enterprises have in this hyperconnected ecosystem world is that they still need to be able to grow seamlessly and in a borderless fashion. They need to be able to innovate and deliver much better experiences to their consumers. Of course, productivity and efficiency will be a big, big play on how they do that. With all this complexity growing. And that is not a trivial problem to solv e in terms of the vendor sprawl that they have, in terms of the number of regulatory compliance issues that they have to deal with. Business agility is going to be a problem that we know, in some of our banking customers have told us that they can build on applications. They launched those applications in the market, but very soon they had to pull it back because those applications were not performing. Why they don't perform is not because the application didn't perform well, but it's because the complexiti es of the underlying infrastructure , the API gateway s and a number of layers of digital infrastructure that they have to pass through, and every layer has to be performing and very often they don't even know which layer is not performing. This has happened many times. And that brings a problem with business agility, right ? It is not about agile development of application. It is about business agility. And again, digital infrastructure will have a huge role to play in ensuring that there is business agility. And finally, managing risk. These are the five outcomes our customers are expecting to be delivered through a digital infrastructure. And that is where our answer is to say, here is a digital fabric that seeks to solve some of these problems for you in this hyperconnected ecosystem world today. Again, you're happy to see that the digital fabric is increasing relevance with our customers, and you will see the data points later on in some of the case studies and data points that, Sumeet will give more of as to how the million dollar customers are opting for more t han one fabric from Tata Com munications.

Let me also talk a little bit about the capabilities shift. As I said, one is in the terms of how the sales engagements, how deep we are going into that, how we are doing workshops with the customers, how we are bringing them to our customer experience center , how we are painting the picture of the digital fabric to them and how we are making ourselves more relevant. The second is the shift in the product itself from purely being an infrastructure play of offering a network, which is a core network enabled by IP and voice and data on the layers on top. We have built the infrastructure software on top of it, and there are many examples of how in every fabric we have built those infrastructures software. And combined with that, a bundled managed services that sits on top of this infrastructure. And that is what all the three layers become a fabric, or and that is what we talk about. And when some of 2 or more of these individual fabrics are, then we can orchestrate them across these fabrics. It becomes even more powerful. So that is the capability shift that we have been doing. A lot of investments have gone, and some of which we will see again through examples. And, and some of our product managers are here. And as part of Sumeet's presentations you will hear some of more examples of these. This is a significant shift that we've been doing in the company.

Now, this is again, a slide that I have presented before in terms of how we see , how our fabric will be consumed by the enterprises applications through a simple set of APIs, the image of Tata Communications, whether it's a tower or a router or a wire, is no longer our imagery of Tata Com is more about API software led, and that is how, we are presenting ourselves. And some of these new launches are shown in this slide for each of the fabrics of the Unified cloud network , we will talk about that, the V ayu cloud that we've launched with the AI cloud, the studio, the Kaleyra .AI, which is layer on top of the channels that we are building and in IoT fabric similarly. So some of these are recently launched or some of it is going to be launched in the coming quarters. For example, the I ZO multi -cloud network , MCN, will be launched soon. And more interestingly, the digital fabric tool is an end-to-end orchestration tool which is aiming to orchestrate across all of these domains. And this is the tool which we believe will be a significant disruptor in the market, where it seeks to simplify the operations of all this digital infrastructure for our customers . It will deliver the discoverability. Many times our customers don't know what they have in their own landscape. So discoverability becomes an important thing on what are the, you know, what do they have in their infrastructure portfolio, the manageability of that, and finally, the security. The reason we are saying security is very often there are security lapses that happen because of inconsistent application of a policy, it's not as though they do not have a firewall. They don't have something. The policy that is configured in these firewalls is inconsistent and therefore they are open to security lapses. What this tool aims to do is make sure that, the security is uniform. A nd that is why we are saying that. And this tool, our vision is to become the ERP in the digital fabric. And again, this is a tool that we are piloting now with few customers. And that is a significant interest in the market in this. So these are some of the new things that we are launching or about to launch. I'll show you a brief video as well eventually. What as to what it does. But very quickly in some of these areas, a unif ied cloud network. Rajat is the product manager. He will talk about that later. But the problem we are solving in the cloud as as people go to cloud, the cloud connection and conne

cting between the clouds is becoming extremely complex. I was told that an engineer has to go through 30 steps to connect one application from one cloud to another application, another cloud, and if you multiply that by number of regions and number of applications, the complexity increases multifold. That's the kind of complexity that they have to deal with. We have an offering that will simplify this dramati cally and it solves many other problems. We'll talk about that more and, later. But the kind of white space it opens up for us is that the currently the whole multi cloud connect is is a 3-3.5 billion market. And that is set to grow at 30% in the next few years. It is a small market today it's a new market. Since we launched our IZO MCC, we have clocked $10 million of revenues in this. But this is something that we are betting on as a white space that this product will address. Similarly SASE. You know, we have had SDW AN, we have SSC and other things. We do go to the market with the hybrid SASE story. And we also have an offering in the market for a unified hosted SASE that we have partnered with an OEM to take that to the market. This again solves the problem of application performance, security and resilient in a compliant network. So it is about connect, protect and simplify. That is what it aims to do with the SASE offering. And t hat is something that has been growing very well for us. And that is again, a big market to go after within the network and security fabric. The third is the interaction fabric. One white space that we will address is growing beyond the SMS to non-SMS channels. And that is itself a market opportunity to go after more voice , Programable voice , RCS and other channels. And on top of that, the launch Kaleyra.AI, again Rajesh from the product is here. He will cover a little bit more about that. So really the pro blem that we are solving for the customer here is fragmented journeys, fragmented data and no one place to bring it all together, where we can make use of the data to deliver a more intelligent and converged contextual conversations to be able to provide value either in the front of the cycle where the customer is trying to acquire new customers, or in the back end of the cycle in terms of providing better care for the customers that is in after sales service . In both ends , the customers have a problem today and that is what it seeks to solve. And that, again, is, incremental market. This is not the not the traditional CPaaS, CCaas layer alone the incremental market that it can address is another $10 billion. And that is where we are

investing in that area. And finally, the AI cloud, which we recently launched with the V ayu cloud. Again, the problem that we seek to solve as a unified proposition that we are able to deliver through our cloud offering that addresses the cost and the complexity of a hyperscaler to be able to have the knowledge that the enterprises possesses as a sovereign knowledge and an enterprise knowledge to keep for themselves. So one of the things that we talk about is if you look at most of the L LMs and open models that are out in the market, they have all the knowledge that the internet has to offer today. And so they have 99% of the world's knowledge available on the internet has already been modeled. And some of these, but less than 2% of an enter prise's knowledge is captured anywhere and that is the opportunity of having your own intelligent L LMs yourself rather than putting that out in the world. And that is what we will have to go after to see how we can recreate some of these for enterprise customers. And finally, as I said, the digital fabric tool that ad

dresses the discoverability and the man ageability and security problem is something that recently we have launched. It's in stage one we are beta testing that with a few customers, and that is a big market. And that opens purely as a platform play for us where we can sit on top of somebody else's digital infrastructure. We don't have to be providing the network and every thing for them, they can still sit on top of it. That also opens a services play that we have not been addressing so far in the market. So, these are incremental white space that we can address through some of these investments that we've been making.

We see the video and I'll come back .

"For years enterprise infrastructure mirrored its ORG charts fragmented domain bound and disconnected. IT speaks and workloads and SLA's OT and up times and systems , IoT in sensors, security in surface area. Each team chasing their own metrics while drift, delay and risk compound. But the enterprise has already shifted customers , employees , machines are all part of one continuous flow. What is needed now is not another system or dashboard, but a unifying foundation that connects, secures and orchestrates the enterprise as one . Tata Communications Digital Fabric is that foundation, a transformational layer that adapts to how modern enterprises operate and evolve. It integrates connectivity, cloud, edge, security, and customer interaction layers into one intelligent mesh.

The digital fabric is driven by a platform that enables real time coordination, continuous trust, and shared visibility across every digital touchpoint. A defect is detected at the edge, the infrastructure responds, rerouting traffic, triggering alerts, up dating systems, and securing new connections instantly. It supports zero touch retail, autonomous logistics, smart health care and intelligent energy. Because infrastructure shouldn't limit what's possible. As you scale, automate and evolve, the digital fa bric moves with you guided by AI and ML that learn, adapt and anticipate what's next. When everything must move together, this is the intelligent infrastructure that keeps it flowing."

Yes. So, the whole thing is the idea is to bring all the domains and see how we integrate and uncomplicate and innovate for our customers. That is the mission that we are on . The other point, as I said, the digital fabric is just not in one industry. We are now seeing ourselves that our services are very well diversified across multiple industry segments be it IT and enabled services, BFSI, automobiles and manufacturing , the new content players, as well as the hyperscalers, which we classify as OTT segments and the media segments. So, these are segments where we are very well diversified. And if you look at them , the BFSI as the case in point, revenues in BFSI in the last 4 years have grown 1.9x. And if I look at the million -dollar customers within BFSI that's grown more than 2x. 23% of our BFSI customers are MD C or million -dollar customers. So we still have 75% plus customers who are not giving us $1 million customers. But that's the opportunity , that we have to make them all $1 million. And some of the work that they've been doing with many of these customers is going deep into each of the fabrics, and it spans across multiple areas. And we are doing work on the obviously, on the network side, some of the global banks, we are now connecting them globally, delivering SDW AN and SASE type of solutions. For some of these customers , we are delivering, an interaction fabric . So we have a fairly diversified portfolio. Also we are able to sell to th ese BFSI customers. And as you see, the growth over the last 4 years in India, APAC, Americas, Europe has been quite healthy.

Similarly, if I look at the media , we announced this deal some time ago in terms of, a DTH operator in Latin America. So we are completely modernizing th eir broadcast n

etwork. They have operations across multiple countries in LATAM
and California, Brazil, Argentina, Colombia. And we are shifting away from that traditional broadcast workflow to the cloud. So that is the transformation that we are doing for them.

And similarly, if you look at, you know, that is a case in point where we don't have any footprint in LATAM , but we are still called into that deal working through an SI, that is how we got an introduction, to this. And now, you know, we've been able to establish the relationship and sell a large contract for that.

The white space here is not about us entering a new country. The white space here is about most of our media revenues, even today comes from the sporting federations of Formula One and Formula E and ATP and so on and the engagement is mostly through Sporting Federation. We have been working with the broadcasters and DTH players before, but this is the first big deal that we have done. So that opens a big white space for us to go after other such DTH players and broadcasters where that broadcast infrastructure needs to be transformed. So that's the main point that I wanted to make. The second point is about, you know, the SWITCH capability that we have, one of the main capabilities in SWITCH , besides bringing, the North American ecosystem and the customer base to us is also production capability. And we completely renovated it in a place called Victory Studios. We built a new studio there, and one of the marquee customers is Netflix. Netflix, as you all know, streams that they hardly do their own live production. They are now venturing into producing something on their own, and we are partnering with them. Or they chose us as a partner to use our studios and the technologies to produce some of these events. And the first one is Pop the Balloon , which is a live show in the US.

Now, talking a little bit about these investments, how are we executing? Where is our focus and what is our ambition ? From an execution perspective, there is a relentless focus on execution in terms of product excellence, sales, and marketing excellence. These are things that we have talked about before. Embedding AI you know, the point I didn't mention before is in every new product that we talk about, not just Kaleyra .AI, but even in the, in the MCN product, there will be elements of AI in terms of how we are able to create the topology and automatically show to the customers and say, here is a topology that you can choose at a click of a button. So there is going to be AI embedded in every portfolio that we are working on . Deeper with Fewer, there is a much, much bigger upside that I talked about how, you know, from 14 customers in $10 million customers, we move to 30 . There is a much bigger white space that they can go after by still doing better in the Deeper with Fewer. Similarly, with new logos, we can accelerate the new logo journey and also accelerate the journey of moving the new logos to $1 million customers and continue to focus relentlessly on delivering the best NPS that we can for our customers so that we continu e to score high on technical competence, service excellence, and all those parameters for our customers . Strategic projects, which are somewhat inte rnal, some of that, you know, to develop on the fabric tooling that I talked about and bundle the services, this they feel can truly be a big disruptor . Internally we are still in the process of simplifying the Telco processes, which are siloed, and some of the legacy processes we are revamping a lot of them and simplifying them to improve efficiency, improve the turnaround time, automate. And that's lean2leap

project. And AI projects,
similarly, not just embedding in product. How do we use AI for internal efficiency. So these are some of the projects that we are focused on. And finally, about the culture. I can't emphasize that enough. We talked about shifting behaviors with our DRIVE ahead. We focused on six behaviors in the company that we needed to change , If you have to truly become a digital company, and these are some things, and now developing the leadership through a program of leadership wave where there is more participatory involvement from various levels of leadership and changing the company. So these are some of the focuses of our execution .

About the environment , we see that the environment today has certain tailwinds and certain headwinds that we face. The tailwinds are all you know, from a technology perspective, AI is becoming the central point of many of the customer conversations on what they have to do. And how they have to invest, how they look at the data, how they need to secure it, how they build that intelligence. There is a surge in in the data center, data center connectivity, not just in India but across the world. Private cloud we believe we will have a place as people look at how do I look at the right workloads that can be put on the private cloud, as opposed to being on the hyperscalers . Security is complex and its com plexity is only increasing, and that has to be addressed from an experience standpoint is just the channel noise to many channels. How do you orchestrate across channels? How do I get a unified journey orchestration for our customers, where I can understand what the intent of the customer was and how do we really become people used to say the segment, the one with agent I, it is possible to do a segment of one. I can assign one agent for every, every customer. So that is now possible with the agent AI to do. And that space is going to be fundamentally transforming. And how do we invest that. So these are some of the tailwinds that we see in the customers. I believe firmly that they will be investing in these are as. Some of the headwinds that we face at the same time are some of the macro headwinds that we see today because of the conflicts, because of the trade and other issues, some of the regulatory complexity, and fundamentally, when it when we lead through a network transformation. Still, the, the network is the last bastion of change, as one of the customers said that. And I like that phrase because that is something that I've been that's been, a bug that's been sort of bugging me for a long time. Why is it that despite all of this, the customers wouldn't change? And that's because as a customer, one customer said it's a live wire. Another customer said the network is the last bastion of change. We do that, but th ey have to change and even these customers are talking to us. So but that is some those are the some of the headwinds that we face. We still are very, very confident about our trajectory, the transformation path that we have set ourselves on, the relevance that we have, the investments that we are making is going to put us and is putting us on the right path, in

the right space for the customers, and that we think will deliver our ambitions might be delayed by a few quarters, and that is something that we are still marching towards.

Finally, you know, in our reimagine strategy, we talked about many things, but sustainability at the core of what we do, as much as AI, our focus on people, planet and community continues. We are on our way, on our commitment to be, you know, carbon net neutral by 2030 and net zero by 2035. And we are tracking all these parameters. I do

n't
have the time to take you through the story, but the story is a fascinating story of how we worked with an NGO to renovate and rejuvenate a lake that was nearly dead and polluted in, in Chennai. It is a fascinating story and one of the innovations that we did is creating what we call a blue green center. That blue green center today brings a lot of students and communities to educate them on, you know, how they have to take care of it. And that is now progressing, and the government of Tamil Nadu now has taken this blue green center concept, and they want to take it to multiple regions. IIT Madras is interested in that and Theosophical Society in Chennai wants to take the blue green concept and implemented that as well. So let us show and talk to you about the impact that not only make for our customers, but the impact that we are making on society .

Thank you. And with that, I will invite Sumeet.

Sumeet Walia

Thanks, Lakshmi . Good afternoon, I hope that you know, as Lakshmi set the tone, what I will try and cover is to take you through the progress that we have been making on market and customer journeys. We will share with you some of our successes, some of our learning, some of our challenges, and things we are doing in the markets in which we operate and the learnings that we are getting from those markets as well.

I'll also be joined in this presentation by my other colleagues Gurvinder , Rajesh, and Rajat. And we will call them in as we progress through this presentation. But I wanted to start with, you know, as Lakshmi called out certain areas on where we think our successes have started to amplify a little bit more and where our relevance, reputation, and revenue are starting to become more visible to us. And it's reaffirming, if you will, you know, the commitment we've made to ourselves and the journey that we are on, as well as our success markers. So if you look at our revenue, we called out earlier that from our digital platforms and services, we've had a 25% growth in our DPS revenue in the last 4 years. And if you take one portfolio, which is our G SIP portfolio, where we've been facing headwinds, as Lakshmi called out earlier, and you normalize for that, our DPS revenue growth over the last 4 years has actually been close to 33 %-35%. So there's been, you know, a focused and successful growth that we've been abl e to achieve in digital platforms and services.

I think our overall incremental revenue of the Rs. 7,000 crore that we've been able to achieve, nearly 3/4th of that incremental growth of Rs. 7,000 crore , is coming from our digital services. Our focus on driving relevance to our customers and staying close to the journeys that the customers are looking at is getting rewarded in terms of the incremental revenues, and keep in mind that this is not at the cost of our core services or our core conn ectivity. Our core connectivity continues to grow and outgrow the market growth. In terms of the overall percentage growth you would have seen, Lakshmi called out many of the large B2B companies and the headwinds that they are facing or the growth that they are displaying. We are growing much ahead of them, even on our core connectivity. So while you know that, that envelope expands, our focus on our digital platforms is continuing to become a real champion of our future . And our large customers and if I take just one sliver of our large customers, which is the 10 mil lion-plus customers, that is growing at a very healthy 14% CAGR. So these are customers where we have already started to enjoy a larger share of their wallet, we are starting to become more relevant, and our ability to participate and influence those customer journeys is allowing us to grow at a very healthy percentage with these, with these customers. The second attribute really is around the, you know, the rele vance Right ? And if you were to look at the relevance as me

asured and we continue to focus on $1 million customers with our Deeper with Fewer strategy and their intent, as we had called out earlier, is clear. We want to become meaningful and influential players with the choice of customers that we want to participate with. We do not want to create a long tail of customers . So our focus on driving our million -dollar customers is where a large part of our sales effort, the sales momentum, is driven . And if you want to look at that we had internally, you know, we called out that we want to get at least 50 -50. That is 50% of our revenues from our million -dollar customers should come from our digital services.

I'm glad to report that today, over 53% of our customers have more than 50% of their revenue coming from our digital services. So that journey is, you know, giving us good momentum, to drive a greater amount of stickiness with our customers, we have been and we've been commenting on this in the past as well. Being focusing on multiyear deals

and larger tickets, Today, 60% of the order book is coming from multi -year deals. So by its definition, multi -year deals you kind of correlate to longer term visible revenue streams for us. And the fact that we have been able to get a 2x growth on our large deals is that our ticket sizes are increasing, and our ability to win a larger share of the wallet is also demonstrated. Also noteworthy is 70% or 2/3rd of our 5 million $ plus customers in our million -dollar club have more than 3 fabric s. So we are participating across the portfolio which we are able to bring to the customers. So we are not just participating in one tower or in one fabric, but we are able to participate and bring to those customer conversations the power of the entire digital fabric. So really, our relevance and our quality of our revenue with these customers is meaningfully changing. And lastly, and this makes the biggest impact to us, and that's the reason why we get a seat on the table when we engage our customers is around reputati on. And as reputation as measured by 2 things one, NPS, we have spoken about our NPS growth. If you want to see our NPS journey over the last 4-5 years, our NPS journey, at least to me, I feel exceedingly proud of this is, you know, we had a score which was in the low 50s five years back. Today our score is in the 80s. So the journey of, you know, how customers perceive us, how we are able to engag e our customers and NPS ultimately is a measure of referenceability . And are you able to reference and are you willing to reference Tata Communication s as the, as the ultimate, you know, measure of referenceability and NPS so that that score, I think, is giving us tremendous amount of, you know, tailwind that is allowing us to participate in our customers much more meaningfully and give the confidence t o our customers. That is also getting very actively supported by how we are getting perceived in the analyst community . The analyst community, not the financial analysts that I have in front of me, but the, you know, the industry watchers , if you will. And these industry watchers really, you know, track not just Tata Communications , but they track all the cohort of companies in the space that we operate today.
We have over 20 analysts who record and place us in the leadership quadrant in which we participate and that's up to 2x from where we were 3 years back. And much of this is a reason we get a seat on the table, especially with our international customers, where I may not be especially in new logos, where I've yet to earn my credibility and the trust of the customer. So they are dependent on the analyst reports to understand, what is

the strength of Tata
Communications and what do they bring to the table. These 2 attributes are a very strong sense of the reputation that we are building, with our customers and in the community that we operate in.

If I wanted to just shift a little bit of, you know, what we are experiencing in the market and what we are experiencing as trends as we talk to our customers, you know, you cannot not have a conversation with the customer without AI coming into the conver sation. Any technology conversation will always have an AI element coming in over there. But what we are really seeing is customers are moving from being AI, you know , from a readiness perspective of AI or looking at AI readiness to being AI ready. So, the shift is real and we are seeing that in in our conversations with our customers, they are starting to make clearer blueprints of how they want to get their organization AI ready. We are also participating and seeing, early use cases that, you know, some of the enterprises have started to deploy, on various AI use cases, especially around agent ic workflows, where they are starting to see early efficiency gains, and gains are starting to get more visible to them. And this is I think, is, is a more tectonic shift that will play itself out over its multi -decade will shift. What that does for us, clearly, you know, gives us a very strong tailwind because to drive a very strong AI company, you need to have a very strong digital foundation. And our ability to participate and help companies become digitally ready and AI -ready as well are both areas that we actively participate in with our enterprise customers in some sense.

The second is really around supply chain reconfiguration, and this is something that has been spoken about actively in the past. It's not just the geopolitical, you know, forces, if you will, that are driving some of these conversations, but it's also, you know, shall I say, some of the shifting sands that we see across in terms of tariffs, no tariffs, whatever else is happening. I think the China plus one strategy is real. We are seeing that, you know; play out with many of our customers in the US. They ar e looking to create more factories in Asia, including India and that, I think, is becoming a shift that we want to benefit from and participate in wholeheartedly. But I think the shift in the supply chain and the shift in the overall opportunity for reconfiguration of the supply chain are not just limited to manufac turing. We are seeing this even go beyond that. And to take another vantage point view, the one that we are experiencing is these global capability centers that are being set up in India. They al ways existed, but the pace at which newer centers are being set up is increasing as we speak, we expect over 300 centers to be set up every year for the next 3-4 years. So what is roughly about 2 ,000-odd global capability centers will now become close to 4,000 -4,500 in the next 3-4 years. And that gives us a very strong opportunity for participation as well. And the nature of this participation is a broad spectrum, and that's an opportunity and a shift that we are seeing in how, you know, enterprises are lo oking at not just the traditional supply chains, but how they are looking at their beyond manufacturing, how they're looking at their IT supply chain, and how they are looking at their overall service supply chains as well and that's a big opportunity.

The third shift that we are seeing is really, really around cyber security now. Again, not a new conversation and not a new debate that, you know, customers are having. This has been an ongoing boardroom conversation for, for the lo

ngest. We've been participating in, delivering, and benefiting from some of the cyber -related conversations that w e are seeing play out in the market. But I think, you know, the active participation of AI is only increasing the threats. So there have been 4 -5 major shifts that we are seeing. One is the growing number of cyber threats in itself. And that has been, you know, fueled both by, you know, different kinds of cybercrimes. And that's also been fueled by, you know, geopolitics, as you would be fully aware. We are also seeing the compliance issue becoming another driving factor. So even in India, the DPDPA rule, which has just come into play, the GDPR, and D ORA are all putting a lot of extra effort and pressure on organizations to, you know, create and fortify their security and cyber posture. AI is creating a lot more attacks, and we experienced that for ourselves. The phishing, the deep fakes, and the personality or, you know, identity threats that are happening are all real. You've experienced this yourself. All of that is creating a big challenge for enterprises as they look at their overall security pos ture in an AI -ready world or in an AI-enabled world. AI also is into the defense. While AI is creating a problem here, it is also offering a solution. And I think, you know, AI deployment, we are doing that; we are deploying in our own security posture. We are deploying a lot of AI and ML to improve our own threat detection and response, which is improving our overall detection as well as response by the tune of nearly 50%. AI is also driving a lot of changes in that environment. So risk and security are three major areas that we are seeing active participation conversations in the market and in the customers that we operate. But it's a broader trend that we see, also in our customer conversations that we've b een having, given the backdrop of these megatrends that I spoke about or these trends that we are seeing with our customers, the customers' imperatives continue to be focused on 5 major areas. And these imperatives at the backdrop of these trends remain ar ound driving growth and most organizations, no matter what headwinds they're facing while they are watchful of, you know, what is playing out in the macro. I don't think they are nervous about that long -term future, and I think they will continue to benefit from, you know, or invest in areas that they believe will give them the long -term growth. So driving growth, delivering superior customer experience, creating an agile organization, managing these cyber risks, and eventually driving productivity and efficiency are major areas that these organizations are focused on. So their imperatives continue to be built around these 5 major areas. And today, we have at Tata Communications been in conversation with all of our customers, staying close to not only understanding what the future holds for them but also participating in how we can help deliver these imperatives and realize the outcome s that these customers are focused on.

Much of our fabric allows us to participate in a very wholesome manner in delivering these imperatives for our customers, and our fabric is broken down into all its components as well. Whether it's a network fabric, a security fabric, the IoT fabric, the cloud fabric, or the colla boration fabric, solve for one or more of all of these imperatives, or at least address one or more of all these imperatives. And that gives us a very strong ability to participate and a seat at the table in all our customer conversations. And these fabric s and these imperatives don't have a 1 -to-1 correlation. So many of these fabrics solve multiple problems and address multiple parts or multiple imperatives of the 5 major imperatives the organizations are focused on. So a combination of all is allowing us to participate with our customers. And interestingly, you know, we may enter with one fabric, but

we may participate across all the
fabric. So it's a bit of a land and expan d strategy that we are working with. And the power of the digital fabric allows us to participate across all the imperatives that the customers are focused on. If I were to look at, you know, our own case studies, which will demonstrate what I've just spoken about, and I'll invite Gurvinder in a second to come and talk about all of these case studies. But these case studies are really, to my mind, a reflection of our Deeper with Fewer strategy. So what you will hear from Gurvinder is really, a strategy in motion of how our deeper with us is actually playing out. So it's a lived experience in some sense. So we'll talk about 3 customers. The first customer is, you know, India's largest and fastest growing private sector bank. And how we have grown with this, relationship over

the last many years and how today we have earned the right to be the manager of manager's network for this, for this customer. The second one is really around the largest global supply chain company and how we have started with our interaction fabric, solving a unique problem that they were facing. And today, at the cusp of engaging and participating with them across a very large wallet that, you know, they are starting to expose to us. And finally, across our customer in Asia, where we've been able to see right from the get -go, bring the power of the en tire fabric to the customer. So we have participated more as a strategic transformation partner in bringing the entire transformation that the customer didn't really intend for but our participation and the journey that we took the customer through led the m to the outcomes that we wanted them to, you know, benefit from. And Gurvinder will talk about each of these journeys, and I'm hoping that you will understand at the end of the 3 case studies that it's not just our growing relevance that, you know, Lakshmi spoke about, but also the increasing influence that we have with our customers, especially the last, which will give you a sense of how we are able to influence the customer in terms of getting them to an outcome and a future that they may have not fully seen. But then we guide them to that outcome with the power of the portfolio that we have. Gurvinder .

Gurvinder Samra

Thank you, Sumeet . I think before I sort of move forward, I want to dig ress a little bit , just take a minute, to break this flow and ask a question. How many of you know what is Ficus Benghalensis? Without looking up online or, you know, on your phones Can anyone tell me what that is? Let me give you a hint. How many of you have been with show of hands? How many of you have been to the Botanical Gardens in Calcutta? Very close. So yes, that's right. So this is the scientific name of Banyan Tree and I'm just going to tell a small story about it. And I'm deliberately using this example because I think it truly exemplifies the stories that I'm going to talk about a very similar to this.

Banyan tree is truly a unique creation of nature, unlike all other trees that tend to grow very tall, this is the only tree that goes deep, that goes wide. And like the example that I give, for example, when compared to other large trees such as, Giant Sequoias or Redwood trees, or Eucalyptus trees, all of them tend to grow very tall with a single trunk. Where this tree does grow wide and deep and as the branches come out, the aerial roots come down from the branches and they form an interconnected ecosystem of a tree. So actually, in Calcutta, the tree that we're talking about has 3 ,700 aerial roots actually, and the main trunk has already been removed the original trunk

of the tree. So
can you imagine and unlike other trees, that typically spread between 30 -50-60 mts, this spreads at around 500 mts. Imagine a tree spanning across half a kilometer. And I just sort of digressed a little bit to tell the story because, similar to this, I want to tell three things on three case studies: one, how in one fabric we go deep. So I'll talk about network fabric and just pick that in that case study and see how deep we have gone in a customer. Second is the width, much like the canopy spread of the tree. And I'll show how we have entered in the customer from on e fabric and expanded it into other fabrics. And lastly, much like the aerial route that I just mentioned, we have now started winning on the back of multi -fabrics with the new clients . So those are the 3 cases that I'm going to talk about, and I'll keep it as simple as I can without sort of putting too much technical jargon or too many technicalities into it.

The first one, as Sumeet mentioned, is the fastest -growing Indian private bank, and no prizes for guessing which bank it can be. It has about $35 billion -plus in revenues and 30,000 employees. They have close to 7 ,000 branches. They have about 16,000 ATMs and cash recycling machines. And as you also notice, towards the end, they have close to 4,600 APIs that are constantly making calls on the system, out of which some are in retail banking and some in corporate banking. Now, from our vantage point over a pe riod of time, some of the challenges we observed in this client, in this customer, were, of course, that they were growing their branches, expanding into Tier-II and Tier-III cities. The digital ecosystem was really sort of ballooning , digital transactions and UPIs. They had a high focus on customer experience. They wanted to improve it further and obviously, being a bank of this nature and scale, being secure and compliant, and having a scalable infrastructure offer s significant importan ce. So this is the context of the custom er, how big they were and what challenges they're facing now. Basically, our relationship, when it started, can be categorized over a period of 5 years in 3 phases.

The first phase, I'm calling it the "connecting phase," again, for simplification purposes. In this phase, we basically integrated about 800 of their branches. And they were basic products that we offered, private lines , ILL basically connect ing them essentially . At this point in time, we also observed their KPIs , CCaaS , such was somewhat moderate, somewhere in the middle and the digital transactions were about 50 million a day. Now, based on the success and outcome and what we could demonstrate with them, we were invited to do more. So in the next phase, it became all about optimizing from a very basic product. We move to more complex products such as the SD WAN and SASE phase, in which we help them reduce costs by 30%. We did Wi -Fi deployment across branches, and we provided a major upgrade to connect to the new DC architecture. So during this phase, as you see, our revenues, and this is in mid - single -digit dollars millions in x went up to 1.7 x by the middle of this. Finally, the scaling phase, as I would ca ll it, now when we are responsible for managing all of their 7 ,000 branches. We connect and provide strategic core connectivity to their existing and the new upcoming data center. We offer them NOC. We are managers of managers in their state, which means anyone who's providing connectivity anywhere, we still manage them. Essentially, we enable 40% faster rollout of new branches. And we also saw th eir KPIs improve in this journey. CSAT closer to 70 and their digital transactions are closer to 180 million a day. And this I am talking about is just network fabric going deep within the client. I am not even talking about other fabrics and the introduction of other fabrics to the customer and from sort of mid-single -digit mil

lions , we went to 10s of millions within this client . Now this is not the end of it ,
before they also network fabric is now being used in 8 of the top 10 banks in the country. But one would think that maybe we have maxed out on the cli ents. We have hit 10s of millions in revenue, in tens of millions of dollars. But that is not the case. So if you think in terms of core connectivity and network, if whatever we are generating as revenues is x in that client, there are still many areas within the network fabric that we have not yet touched. For example, branch LAN and management of that LAN, which is in the local branches, plus Wi -Fi 6, which are new

technologies that are coming out that enable them to roll out speeds of closer to 10 Gbps on Wi -Fi. The estimate of that would be another 0.3x, then Multi Cloud Connect and Dynamic DC, which is another 0.2x. Then again, quantum security, which is a big concern on the back of quantum computers and algorithms and how they can breach security And SASE 2 .0, which is further optimization of SASE , and more importantly, if you see managed infrastructure services, which is still 1/4th of these services, in the appl ication space that we can talk about, which we can touch. So literally, if we are generating x, there is headroom for growth of another 4x that we have still not touched just within network fabric. And at the bottom sometimes banks or clients will have restrictions to not be able to give more than a 40 %-50% share just to one player. So while here, and that is why I mentioned it can be a restricted wallet share in all other areas, it's an unrestricted wallet share. So the point I am making is within network fabric While within this customer we have hit 10s of millions, there is still room for growth within the network fabric of another 3 x-4x over a period of time. So this truly, to my mind, demonstrates, much like the banyan tree, the power of the depth of how the roots can go and how deep.

Now I will move to the next case study, which is in one of the world's largest logistics players. This case study demonstrates how we entered using one fabric, solved something, built trust, showed performance, moved on, and introduced another fabric and a nother fabric. That's how the width is, in a way. So this customer is one of the largest logistics players. They have 7 million warehousing capacity and 700 global containers and vessels that they have deployed. They are present in 130 countries. So a fair ly large and complex player. The y have about 100,000 large and small SMB customers. Their revenues are about $55 billion. And the challenges, naturally being such a large and wide and complex customer, were that they had complex and siloed infrastructure, which was integrated over a period of time. They had low CSAT, they had multiple vendors, inconsistent SLAs, and high OPEX. So here we went and started the journey with predominantly interaction fabric. So that was our point of entry into this customer. We deployed a global cloud contact center. They had small, broken contact centers around the world. We got an opportunity to integrate all of it and deploy it as a global contact center, which cou ld service 15,000 agents in 122 countries, which was managing close to 7 ,60,000 monthly calls. We help them reduce the related OPEX by 50%. And more importantly, compared to the past, in an integrated manner, the vendor tickets were brought down by 88%. Al so during this period, the CSAT improved phenomenally from something like the 30s to 80s. So this allowed us to build on a lot of trust, showed and demonstrated what all KPIs we can try , based on this success, and we were invited to particip

ate
in doing more within the client . And in the next phase, we introduced network fabric. We got an opportunity as they did an acquisition of the company, which was present in 14 countries. So we get an opportunity to migrate 2 ,000+ devices in these 14 countries, which w e did using a live cockpit, which was very intuitive. They could see in real time how the migration were going on. And also it helped us improve operational efficiency by 80% with zero downtime. And as you see, in a short span of 5 years, the x jumped by 66 x within this customer. And now we are talking about IoT fabric because they are logistics players. They have huge supply chain solutions and terminals and containers. So we have a pilot ing a smart supply chain solution here, which is also a private 5G a nd IoT -based. And we are proposing to increase productivity by 20%.

Similar to the story, we see close to a 160% revenue increase for customers in 4 years with 3+ fabrics. So, as you can see, it is just exemplifying how we entered with one, introduc ed the next fabric and then the next fabric. So that covers the width part. Now I will, and I think a very similar story, JLR, you would have he ard, in the past that we would have presented, we started with IoT fabric, which was an eSIM solution. Then we introduced the ZTNA , which was security fabric. The revenue jumped from 8x t o 8.8x. Then we introduced Network Fabric 15x, then 23x. And this is again from a mid -single -digit million s into 25x over a period of time. This is one of our largest customers. We are extremely proud of it. And there is still room to grow more. It is not that new, maxed out within the customer. We were able to demonstrate the cost of inaction. If they don't act, the opportunity that they were missing to save that was, that allowed us to do a faster transformation, modernization. And now we are a complete n etwork security IoT partner for the customer. So, again, this demonstrates how we can enter from one fabric, go to the next one, and the next one.

Now finally, I will talk about how some of these things are also coming together in another case study. In a very different market. This is one of the largest healthcare service providers in Asia, headquartered in the Philippines. They have $20 billion -plus in revenues, 17 markets, and 12,000 employees. They have, as you see, a very large estate of 22,000 hospitals, 55,000 clinics, and 53,000 pharmacies. So pretty large and complex in the healthcare space. Now, this was completely a new l ogo. We had no relationship, nothing. We're just going, frankly, new into the customer. It had a strong incumbency, but they were not happy with the existing provider who was delivering it. We had limited market access because in the Philippines, we do not have a legal entity, nor do we have feet on the street. So we were just invited to respond to a basic RFI-RFP. So that's how the story started. But we realized that if we go in just and respond to the RFP, we will end up being a very transactional vendor, and that is not what we

wanted. So what we quickly we sort of conducted workshops, and we mapped their future areas of investments and tried to understand what all they are trying to do in other areas. So essentially, we could realize that there are 4 big areas that they are making investments in. One is they're very heavy on innovation. They are planning to invest $50 million over the next 5 years. Second, they have a B2B e -commerce platform. They were planning to invest in that to upgrade and also have what they call it EasyRx platform. And they also wanted to have an easy tracker for blockchain -based traceability, because in healthcare, f

ake drugs are a big concern. Finally, in the cloud, they had big plans of migrating from on -prem to Azure and AWS cloud and data analytics and finally, automation and technology, because, again, they had large warehouses and cold chain expansion. Then what we did was we showed how our digital fabric, maps to all of these, so it maps very nicely to their innovation plan, their interaction fabric maps to their B2B e -commerce platform, cloud and security fabric maps to their cloud investment plans etc. So this helped us to elevate the pitch entirely and we were able to position ourselves as a strategic partner as opposed to a traditional vendor. This allowed us to completely sco pe up the RFP, which was a basic network RFP. And again, without going, if I map the elements of fabrics and what they were doing from the present to what is to be delivered. If I simplify all of it, their current state was ve ry disaggregated and siloed. There were multiple vendors, they had expansion challenges, and there were cost concerns. We simplified all of it in a single unified vendor, which is providing end-to-end visibility, cost transformations, cloud -first network, etc. And this is not, or it is only, one of the largest deals that we did in Asia last year, which is in 10s of millions of dollars in TCV.

Again, the ability to win in a completely new geography where we are very unknown on the back of the power of the fabric was a great success story for us, and we are very proud of it. And finally, the white spaces within this , so not only that, we are still now beginning to have conversations about how we can help them in warehousing cold chains to further deploy interaction fabric on their B2B platform. And similar to this, we are observing that close to 70% of our upcoming large deals are now multi -fabric deals. We are large deals, which are in the 10s of millions and/or million -dollar -plus deals. So, so I think with that I will end, and call me Sumeet and let him sum up what all this means for growth potential within the customer.

Thanks.

Sumeet Walia

You know, like I said, these are lived experiences for us. So I'm hoping that, you know, you've got a sense of the shift that Lakshmi referred to in terms of the sales excellence that we are making, the way we have been able to participate, the way we've b een able to engage and then transform, you know, our customers and their journeys that they have been on, you know, I must admit, is a proof point of, you know, the sales transformation that Lakshmi was referring to. But at the end of the day, this should mean something, right? You know, you heard from Gurvinder all of the 3 case studies, which give you a good sense of, you know, what we are doing and how we are landing, how we are expanding, and how we are deepening all of our journeys. It also is a reflection. And I want to stay with that thought of Deeper with Fewer . But what does this do to our overall market potential, and what does that imply for us from a future perspective? You know, in all three cases, it's a reflection of who the customers are that we work with, which are basically very large companies. Fortune 2000 kind of companies, E T 500, who are large, distributed, and have gotten a lot of, you know, very digitally ambitious in their outlook and in their actual, you know, deliverability. They have got investments in, you know, network infrastructure and cloud security. And these are companies that are, you know, spending roughly in the tune of about $1 billion on their ICT. That's roughly the, you know, customer profile, if you will, that we target. So the 3 case studies that you saw are a reflection of the aggregate universe that we operate in. And I'm trying to sum it up from a context perspective, this is the universe that we operate in.

Now, why is it important to understand this? It is really because, given our ability to engage our customers, give

n the power of what the fabric is now starting to do for us and therefore for our customers, and given the areas that we have been able to par ticipate in, we believe that we can credibly access and participate in our customers' wallets to the tune of anything between 150 -200 Mn of that overall billion -dollar opportunity that every customer would

typically present. And that's the, that's the head room, if you will, for growth for us. Right. And so the Gurvinder also spoke about all of the future w hite spaces that we continue to enjoy with these customers. The aggregation is the headroom that continues to, you know, motivate us and drive us to, you know, greater participation in growth with our customers. And as you, as you think about this, and you, you know, superimpose that with our million -dollar customers, which is our Deeper with Fewer strategy. You know, you saw this chart that Lakshmi called out earlier. I've, you know, called this chart back to give you a greater sense of where our growth is coming from. If you see the $10 million customers, I, Lakshmi, called out, we have grown to 2x in that space.
Look at the NPS journeys that we've been on to achieve both of these together, the Deeper with Fewer strategy,

which is working. It's a lived experience. As you saw, the NPS journey, which is giving us a seat at the table, is giving us, you know, greater fuel for the future, if you will. Annually, as was called out earlier, we add roughly about 15 to 20 million dollar customers every year into our million -dollar club. Of these million -dollar customers, given what I presented on the overall potential, we believe that we can easily participate in and have the opportunity to participate in the customers' growth and, yo u know, get every customer over there to anything from $10-$50 million in terms of, you know, our wallet and our revenue participation that we can do with these customers. Our growth to the million -dollar club is also aided by our new logos and the new customers that we sign. And this is a journey that, you know, that we work with, with our customers, many of our customers, our existing customers that we mined deeper with our Deeper with Fewer, which grow to $1 million as we engage more purposefully with th em. But we also participate with new logos, and some of our logos that we participate with turn into million -dollar customers in roughly about an 18 -month window. So, you know, looking at the stories that you heard, looking at the wallet that we have available to us, the power of what the fabric is doing for us is giving us the confidence of, you know, greater headroom and participation for the future as well.

That said, I must also admit, you know, we are also engag ing with our customers, and we feel excited about this opportunity for growth. But we are also cognizant of the fact that there are factors that are limiting the pace of this growth with our customers. And I thought we should unpack that a little bit for you so that you understand this a little better. You know, Lakshmi spoke about a live wire, and, you know, I'll contextualize that for you. But, you know, the first challenge that we see is around the fragmentation of how we are looking at, you know, the networks and how enterprises are consuming these networks. Many of these networks are regionally owned, and the procurement is therefore regional. So when we go in and we try to help and create a broad er global network transformation, we are confronted with, you know, regional owners, people who have got local partnerships with the regional players. So, you know, covering that journey from a regional to a global transformation takes longer.

So, you
know , the fragmentation of the network and the fragmentation of the network ownership are factors that play into a longer cycle of decisions and a longer cycle of sales to eventually get the customer to drive, you know, transformation and the network transform ation.

The second is on the customer side itself , you know, our digital fabric now allows us to participate in multiple wallets inside the customer environment. While that's good and that exposes us to new buying centers, that's also posing a challenge to us because we are no longer dealing with what we used to historically deal with, which was, you know, the CIO or the CTO organization. We are now dealing with many business units, whether it's the CMO or the CEO, who have different wallets and different buying centers because our fabric lends to and the decision leads to those buying centers as well. Many of those decisions and those budg ets are therefore also siloed. So dealing with these multiple stakeholders, getting the archi tecture back at a unified level, and working through that entire transformation is another layer of complexity that we are starting to experience , as our fabrics are now starting to touch all these buying centers as well. So that's another challenge that we actively see, and we are working to solve it with our customers.

The third year, the third is the one that we spoke about, which is really the livewire mindset. If it's not broken, don't fix it. So, you know, what does this really mean . It is typical of organizations and most, you know, people in similar situations to be reluctant to change. And especially in an environment where you have a live network and a live production environment working for you, you know, the desire to modernize w hile it is all there. But the sense of urgency to modernize is missing. And, and tha t journey to, you know, get the customer to cross the line is the one that we are, you know, facing to be the big hurdle, if you will. You know, Gurvinder spoke about what we did with JLR, where we actually gave them, you know, a point of view on the cost of inaction. We've actually created the full point of view and the white paper that we now talk about and work with our customers around the cost of inaction. And I think that is starting to, you know, get the light bulbs going, if you will. So while there was always recognition, the need and the urgency to do it was something that was not actively felt. And the cost of inaction is, you know, becoming a good lightbulb moment for our customers and the customer universe that we work with.

But I also see, you know, this area around network transformation to be an area where we will only accelerate in the future, not just for us, but in the customer environment because if you truly want to become a digitally ready organization, you truly want to have an AI -enabled organization. The foundation block is the network and therefore, I think a lot of the move to what I will call for will call for a lot of shifts in the way the AI workloads are operating, and that will precipitate the need for a, you know, network transformation as we move ahead as well. And so this is another challenge that we see in terms of the live wire mindset. And lastly, obviously, is the operational readiness. You know, many organizations are confronted with CapEx challenges. They are operating with a lot of tech debt, so, you know, circumventing and, you know, working through these areas are not challenges that are not surmountable,

but I think are areas that, you know, push us back and, you know, work alongside with the customer to justify and build more, you know, strength of the business case

, if you will, to drive those outcomes for our customers.

So if I were to, you know, if I were to put this together, you know, while the opportunity remains strong and the opportunity is clear and present for us, I think the reality of our customer journeys is also showing us that there are factors that are limit ing our pace. As much as we would like to run faster, quicker, harder, and stronger, these realities are ones that we confront every day, and these realities are the ones that we are working with to solve for. So the cost of inaction was an outcome of some of the problems that we saw and why the customers were not moving. And we said, "Let's write a white paper and demonstrate that to the customer." So, so these are areas that I thought we should also cover. But that said, Lakshmi also spoke about the 5 strategic bets that we are taking and investing in to build more capability around. And one of the reasons that I feel we are also benefiting from these strategic bets is because these bets allow us to demonstrate as well as deliver a faster value to our customers. So much of these challenges, you know, come on, what you saw on the previous chart are more linked to when you are dealing with the broader transformative agenda.

These five strategic bets allow us to participate in those individual bets, and those swim lanes independently demonstrate and deliver value quickly. What they also do for us is, obviously, they solve, you know, an enterprise - scale problem that the enterpr ises are facing. But they are also then becoming the wedge and the door opener for us to allow, to allow us to participate across all the other fabrics that we have. So, you know, while we take the transformation route, we are also taking this route of the 5 strategic bets, which will allow us to, you know, operate on a two -speed engine, if you will. It will, you know, ultimately gain the customer's wallet. But coming from two different vantage points. So just to play back those 5 bets that we spoke about, and we invite, you know, Rajat and Rajesh in a second, the first one is on the unified cloud network. You know, we spoke about this. This is most of us, if not all , our enterprises operate in a multi -cloud environment. And that multi -cloud environment then creates, you know, complexities of how the cloud networks are actually all the how cloud networking is working. And most enterprises have never really paid attention to it. So it's highly inefficient, both cost -wise and in terms of the outcomes that it de livers. Our solution, which is what Rajat will talk about, the unified cloud network, really solves for this. The second really is on our cloud fabric, which is our Vayu AI cloud. You know, we did this launch a couple of months back. We are seeing very cle arly how AI workloads are redefining how the data is going to get consumed. So the Vayu AI cloud is actually a purpose -built cloud, which is supporting high -performance, compute -intensive AI applications. So this is, you know, a bet that we are taking and the journey that we are starting to build.

The third is really around interaction fabric. And Rajesh will come and talk about this in a second. But the interaction fabric, or the Kaleyra .AI, as we call it, is really giving us a strategic edge on how the enterprises engage with their customers across multiple digital touch points. And this is, you know, a very powerful imperative that customers are facing, which is driving superior customer experience. So it plays into the customer imperative very strongly and delivers very strong value to the custom er.

The fourth is really around, the SASE offering. And we touched on some of our successes that we are already starting to see in the early phase with some of our customers. And really, the SASE offering very simply combines our network and security as a cloud -native solution for our customers. So it's, you know, it's not

a s iloed approach. It's bringing it
all together. And that's where we think this is going to evolve into. From an outcome perspective We are starting to see early off -take in some, you know, customer conversations and successes as well. And the last one is really a digital fabric tool. And the digital fabric tool really is an end -to-end orchestration SaaS platform, if you will, which is being built by us and offers the customer, you know, end -to-end visibility and manageability. And we'll talk more about this, you know, in the weeks and months ahead and share with you how we are making progress. Lakshmi alluded to that a little bit, but we think the power of what it brings to our customers around observability and around managemen t and control is very, very profound . And, you know, that is something that we will, you know, we are starting to see great currency and acceptance with our customers. And that's a capability that we are actively building as well. But to talk about the 2, which we think are, you know, important for today's conversation, one is around the I ZO cloud network and I invite Rajat to come and speak on this.

Rajat Gopal

Thank you, Sumeet. You know, I'm going to talk about the unified cloud network. Very simple name. But after learning from Gurvinder that the banyan tree is called Ficus Benghalensis And I'm tempted to come up with something more impressive than this. You know, in terms of this, the product and the solution I'm going to talk about is almost, you know, 5 years in the making. And you may wonder why we are talking about it now, and I'll come to

that in a moment. But the reason I say 5 years is because if you go back five years, what really happened is, you know, the whole world was stuck with the Covid pandemic. And it did not only, you know, leave a lasting impact on public health, but it also had a huge impact on how enterprises did business and the technology ecosystem they had. Right. So what happened there was, you know, I've named a few of them. It really accelerated the adoption of the cloud. You know, with all the workforce working remotel y, they wanted, you know, access to those applications anywhere, any time, securely. Right. So you had this move to the cloud. You had this remote work , companies were trying to secure their supply chains and make them more resilient. There was an explosion of IoT data. So all that, you know, was leading to what we can call a decentralized enterprise, right? Your applications were split across multiple clouds, private clouds, and public clouds. Your workforce was everywhere, working fro m homes or different locations. And then these devices were everywhere, right . So all in all, this was, you know, the advent of the era of the distributed enterprise.

What it translated to is a need for a network that allowed, you know, the users and the devices and the things to access those applications, delivering the right kind of performance securely, again, from anywhere, anytime. And a lot of times these enterpri ses figured out, well, we don't have that network in place, right . Which led to performance bottlenecks, inconsistent user experience, you know, and, of course, unpredictable costs. So in terms of the needs of what distributed enterprise needed, you know, and this is why I say it is 5 years in the making, they wanted a network that provides an optimal cost performance. They wanted, you know, a network that is on -demand, ephemeral, and some things they can bring up and down on a need basis , a network that takes them to any cloud, any time; a network that, you know, provides uniform end -to-end security and a network that provides a consistent use

r experience for the applications.

Now, the reason, you know, we were not talking about this a few years back is that there are 2 trend lines need to intersect for us to deliver a compelling solution that meets all these needs. So this is the first, right . The rise of the distributed enterprise, the second one was another trend line, which was the evolution of enterprise networking. So there was a technological trend that was also taking shape. If you go back, you know, for almost a decade, networking was very hardware centric . Go forward. You know, there were these control and software planes, or, sorry, the data planes that were decoupled. The network became software defined . And then if you go on, you know, as cloud networking to ok hold , networking became more cloud native in many cases, software only, and where it is now, and especially as it becomes intelligent, the goal of many enterprises is to have networks that are self -driving and self -healing, which is our focus, and that is delive red by 2 movements. One, the software is eating the network, which has been happening over the last decade. But what is happening now is that AI is eating the software, so you can use AI to deliver and build and implement really intelligent networks, right . So if you combine the previous trend line of the rise of the distributed enterprise and this trend line where AI is, you know, really enabling and can enable the building and implementation of an intelligent network, all this put together, we come up with a unified cloud network .

If you're familiar with the networking space , the people talk about networking in terms of, you know, first mile, last mile, and middle mile. We really wanted to take miles out of networking and we love the concept of zero . Zero miles And it did 2 things. One, we wanted to focus on getting all the users and all the things in a performant manner in a secure manner to the cloud, zero distance, and lowest latency. And then at the same time, we wanted all the applications as they wanted. You know, this is the era of distributed enterprises , but also of distributed applications that run on different clouds and how they can talk to each other. In zero time, we can create a network where you capture the intent of the user in terms of what they want to connect, wherever that lives, and translat e that to a network design automatically, right . So this is again a combination of a network that takes you to the cloud and then also works within and across clouds. And what we've seen about this is that this is not only a good idea but is also good busi ness, roughly translating to an $8 billion market in the next 4 years. And growing at a CAGR of about 30% So it's a good place to be. So that's where we are investing, and that's the solution that we are soon bringing to the market. It enables, you know, a lot of use cases ranging from, if you want to localize and preserve data sovereignty. The solution we are building not only connects things but also can make sure that data that lives in a certain place is isolated and doesn't go out.

Talk about cost optimization in terms of a network where you can visualize the real cost of running at any given time, hybrid clouds, you know, how do you connect private clouds to public clouds or to campus networks, implementing disaster recovery and hig h availability solutions and of course, cross -cloud connectivity doesn't matter whether the applications are running on AWS, Google, Azure, or any private cloud , with a click of a button, they can all communicate with each other. So I just want to, you kno w, in the interest of time, say we are building a solution

that takes user -centric design into consideration based on innovation pillars centered around AI, which optimizes,

automates, and provides the best experience. So think of these as, you know, the pillars of innovation that are the driving force behind the solution and outcomes we achieve with them. This is, number one, much faster time to establish a network , vastly reduce error rate, because now you don't have to learn about the idiosyncrasies of different clouds. How to configure the policies on each cloud we abstracted, and all that happens on a click of a button and a cost efficient right. You get visibili ty into th e real cost of operating the network, and the network itself figures out a way which allows it to operate at the least cost. So that is the unified cloud network for you. Thank you.

Rajesh Chandran

Good evening. I want to talk to you for a moment about the exponential age that we are in. This is an age where convenience trumps loyalty. We're spoiled for choices in terms of goods and services. We can avail ourselves of access to anything and everything when we want . Yet enterprises are struggling to retain their customers. We live in an age where, post -Covid, 50% of all customer engagement is digital and 70% of customers are willing to try self -service during their customer journey. Yet Indians alone spent 53 billio n hours last year on call hold. We live in an age where you can create an IPO prospectus on ChatGPT in a few minutes. Yet CM O's, contact center, BPO heads, CIOs, and CTOs are waiting for their reporting that shows how much they're spending and what they're spending on. They still live on spreadsheet s, and they still live waiting for those dashboards and reports to arrive. 40% of enterprises continue to have data silos. We live in an age of broken customer journeys.

Today, I wish to share with you how we transform these fragmented customer journeys that Lakshmi talked about. The first is really having a unified view of the customer and providing a transformative experience to agents for handling customer conversations. This is powered by a CX ecosystem that has connectivity to CRM, various interaction touchpoints, as well as customer context and history. This ensures that we have fewer handoffs and faster resolution. Wouldn't we all like to have our resolution, our iss ues resolved with the first call, with all the context one touch away .

The second is hyper -personalization. Today, with the advent of a lot of digital interactions What is able to drive hyper -personalized interaction . the segment of one And really be able to target customers when and where they want. What this means for enterprises is improvement in lead conversion. We're already seeing with our campaign automation a 3 %-4% average improvement in lead conversion. So this means, both from an acquiring customer perspective , purchase and a post -purchase journey perspective, they'r e able to better engage with them.

Last but not least, deep analytics and insights for the buyers and the decision makers who are ready to invest more and more in customer experiences. The end result is really our Kaleyra. AI platform, where I meet enterprise grade six. Enterprise -grade six really means something that's trusted, that's reliable, that's secure, and that's scalable. But most importantly, it delivers outcomes to customers. Over 90% of customers that we surveyed believe that a positive customer interaction experience is critical to their business performance. Yet only 38% could deliver that. With the Kaleyra. AI platform, We are delivering on that promise.

In terms of our value proposition and what we bring to the market. I would like to highlight 4 key things. The first and foremost is deep vertical expertise. Sumeet talked about our exposure in BFSI and how we're growing fast in that customer segment. Not surprisingly, a lot of our experience in those verticals comes from working ve

ry closely with
banks, consumer banks, insurance firms, and retail banking and really understanding customers and user journeys end to end, and then crafting the customer interac tion experience that they need. We've gone down to every single level of user journeys, understanding those and then building our product and platform based on that.

The second is domain experience. I would like to go back to the vertical for a second. We also have retail and e -commerce. Some of the largest quick commerce, hyperlocal delivery, and e -commerce customers work with us, and we're able to serve them and scal e them as they grow. Travel and logistics , the aviation industry is the fastest growing both domestically and internationally in India and abroad. And we have a deep understanding of knowledge of working with those customers from the CXO level, down below, and we're able to tap into that opportunity. Domain expertise for us comes to this. One is really understanding what an intelligent ca re is. We've spent a decade working with different partners on contact center solutions, so we really understand the journey of our customers and enterprises and how that is delivering benefits. Today, it is no surprise that that same contact center and back -end automation are being disrupted by AI and we are at the front end of that. Leading that charge to help our enterpri ses figure out how we can help them transform. Conversational commerce , commerce more than ever is changing. It's hyper -personalized. It's hyper -segmented, and it's evolving rapidly. And we're able to, with our knowledge and experience, participate in that, and we're able to help our enterprises kind of unlock the value as we move towards $1 trillion of e -commerce globally.

The third is the innovation. We spoke about V ayu Cloud, and we're kind of pleased to inform you that we are building our AI capabilities on that Vayu cloud and these are domain -specific capabilities. And I list a few. One is what we are seeing, the advent of voice and how it's transforming. 2/3rd of all Google search usage in India is powered by voice. Voice is the fundamental interaction touchpoint, and we're kind of working in that area on how we can build interactions modeled on that. Gen-AI assistants, both for key buyers and decision personas, as well as folks on the ground for making decisions and how we're able to convey the customer interaction journey and the insights from that. How were they able to translate that into metrics on ROI, return on ad spend, and so on and so forth, and then agent ic in customer journeys . These are end -to-end agent ic workflows that basically take in a person's profile, their context, and their past history, and they're able to create a seamless journey end -to-end across d ifferent customer interactions touch point, web, mobile so on and so forth. Combine these on a unified platform. We're able to deliver sustained customer value.

Last but not least, we understand that delivering a positive customer interaction experience means building a robust ecosystem. We're thrilled to partner with some of the leading customer interaction players in the industry, including Genes ys, NICE, AWS marketplace that is the leading B2B SaaS marketplace, Amazon Connect, and Cisco and there are many more. With this, we believe we're able to provide a complete and positive customer interaction experience. Improving positive customer interaction experiences leads to better business performance.

Lakshmi talked about the increased coverage that we have with analysts. We're pleased to inform you that we've moved up in some of these . Recently , on Juniper, we were announced earlier , w

e were a challenger , now we're on
the leader board for forecasts for C CaaS and for CPaas first time we're also on the leaderboard as well. And Gartner, we're in the Gartner Magic Quadrant for CP aaS, and we continue to work on those capabilities that can evolve us. Last but not least, there's a huge white space here delivering enterprise -grade CX with AI. And we believe by 2030 this will be a $20 billion addressable market. This is a huge opportunity, and we can't wait to work with our customers to help them get there. Thank you.

Sumeet Walia

So just to summarize all of what we saw, I mean, I'm hoping it's giving you a good insight into the journeys we are on, what's under the hood, where, you know, strategic bets are being placed, and what's the focus for us in the year but in the years ahead as well. So in summary, to draw back to, you know, our growth ambition, our growth ambition, as you pointed out, you know, states we are focused on delivering that ambition. It may have moved by, you know, a few quarters, but it stays intact. And that's th e motion and notion that, you know, everyone in the organization is focused on delivering. What does that mean from a business, customer, and market perspective , I want to go back to where I started, which is the 3 R's of Relevance, Revenue, and Reputation.

On Revenue, which was the first marker of what we called out, our goal is to ensure that 65% of our overall revenue that we have in our data business will come from our digital portfolio so that's the goal. You're seeing the early shifts that are already happening in our million -dollar customers. The ambition as we get to Rs. 28,000 crore will be to continue to have, you know, much higher growth rates in our digital portfolio, which will lead us to a 65% contribution in our overall data business.

The second is really on $1 million. This is our Deeper with Fewer. This is where all our energy, emotion, and notion are really focused. From a relevance perspective and we believe that in all our million -dollar customers, which is the 290 of them that we have today and the ones that we will acquire in the future, w e will have 3+ fabrics in all our customers. So the power of, you know, what you saw in the case studies and in the stories that we shared with you will translate to our entire universe of millio n-dollar customers, and over 80% of them will have 3+ fabrics. So that's on our relevance and eventually on reputation. In the context of India, we are a market leader. We continue to be a market leader, which we, you know, not only benefit from that position, but that's a position that we take very seriously. And we want to continue to have that leadership position in the future. In our international markets, we are curr ently a market challenger. We believe, as we, you know, pace ourselves to Rs. 28,000 crore. We will create ourselves as an established challenger in all our international markets. So these are the markers of our 3 R’s strategy as we move to, you know, Rs. 28,000 crore with that. Thank you very much, everybody. I want to now invite Kabir to come over and give the closing session.

Kabir Ahmed Shakir

Thank you, Sumeet, and good afternoon and welcome to everyone. I guess I'm standing between you and drinks. So, bear with me for the next 30 minutes as I walk you through our finance elements and of where we have come thus far and what the journey that lies ahead of us is. There will be certain elements of what Lakshmi and Sumeet have mentioned, which I intend to cover again. But I would like to see this from a very different vantage point of finance and analytics and earnings so that, you know, all that we t

alk about of relevance and reputation and every element.
How does that translate, you know, eventually into earnings and into what we believe the future holds for us . Firstly, I don't know if any of you, or some of you, have probably known this. I think you'll be delighted to hear that BCG, which released a report a few months ago, ranked Tata Communications as number one , you know, in terms of TSR returns over the last 5 years amongst all the global, you know, telcos that they, that they actually studied. So I think this is a very proud moment for us that is a testament to the journey that we have gone through, which you all have been, you know, witness to. Let me quantify that. You know, in terms of numbers. But before I do that, let me bring to life, and some of you will have heard, in fact, I meet most of you during the year, and I quite often and passionately talk about our finance strategy and the core of our strategy, which is the fit -to-grow model.

The fit -to-grow model is all about driving profitable growth. It starts with driving profitable growth, which, when you consistently deliver, gives you operational efficiency, fixed cost leverage, margin expansion, waste reduction, and all of that bit, lea ding to sustained profits and cash flow, which we intentionally make a choice to reinvest back into the business organically and inorganically. And that fills to market gaps, portfolio gaps, which then in transit drives the profitable growth. Now, this is not a mere model. As I've explained to you. It is backed by a financial model with multiple scenario planning. And I'm happy to tell you that this is already, you know, allied up in our last 5 year journey. The first two or three years, you did see us delivering double -digit growth. And that led to, you know, margin expansion. We took that margin that profit, that cash flow, and invested it back in buying, you know, assets. Kaleyra, Switch increasing , you know , our CapEx now that has given us that expansion of relevance, as you actually heard in the last 2 presentations. Now they need to know to deliver back. So the circle is almost 2/3rd complete. And you should see that getting full circle in the next, you know, couple of years as they come through. So that's the model that is, you know, working through quite well for us. We did start with driving profitable growth. We did get, you know, increased profits and cash flow. And we have chosen to invest that back. And we will now see them, you know, paying the r eturns for us .

In terms of numbers. Right. In the last five years, we have added over Rs. 21,000 crore of EBITDA. This is 50% higher than what was added 5 years before that and 60% -70% higher than what was added, you know, even 5 years before. So that is the volume, you know, that we talked about the transformation that this company has really gone through in terms of cash flow. The last five years were about Rs. 7,200 odd crore that we have added in terms of free cash flow. Clearly you could see the efficiency in the bal ance sheet already come through. This is 4x the cash flow that we added in the last five years preceding. You know that as well. Not only did we generate that, but where did we, you know, spend it . About Rs. 8,700 crore went into CapEx. We increased, you know, our CapEx the last —I mean, I had mentioned to a lot of you that we want to get into the 300, you know, range, which we got in in FY25. We are steadily increasing, you know, our CapEx. And —I'll talk about the framew ork and how we are investing and what the guiding principles are subsequently. But these are the numbers for you. We spend on M&A, which we had not spent on before in the last five years. So there is no comparison for that. And here I'm not talking about, you know, I mean, dividend as a lever because it's the sources and uses of funds. But since funds have gone in compared to five years ago, when we were paying

Rs. 4 of dividend, we've now been consistently paying Rs.20 – Rs. 21 of dividend. So that's
about 5x, you know, increase. And even in the dividend payout also that we are making, you know, as an organization. So that's the kind of money that we are, you know, reinvesting. And this has given a 6x return to shareholders in the last five years, which is what is evidenced in the external report by BCG that I shared with you, a slide before. So that is, you know, in terms of what we have done, the only two slides of what we have done, you know, and I want to situate ourselves to where the journey is where we have actually come. And the next part we will talk about what will enable, you know, future growth for us in, you know in Tata Communications . The way in which I conceptually look at this and how the leadership discussions happened around Lakshmi 's table is about creating three kinds of capacities, like we want to create the financial capacity, because if you do not have the financial capacity, none of this that we talked about can be enabled. We also need an innovation engine, especially in an industry where the headwinds are there, which Lakshmi talked about in the second slide. Right. If we do not innovate and if we do n ot shift, you know, out of our focus, we will soon become, you know, irrelevant, or we will be victims of churn and price erosion that this industry, you know, is characteristic of. And finally, you know, strategic. And I'm going to bring this to life for each of them that we are doing. And it's a journey. We have covered quite a bit, but there are still, you know, miles to go. And I would like to give you a sneak peek of all that we intend to do .

On the financial part , you know what we have done thus far. Right. We have very clear, sharp focus. I mean, you will find a little bit of a diabolic, you know, message when I, when I stand here and talk about when it comes to innovation, you know, I would like to have my head in the clouds when it comes to financial. You know, I would like to have my feet firmly on the ground and be hard -nosed about driving returns and performance and making businesses accountable, you know, for those deliveries. So very clearly, we have increased our CapEx by almost, you know, 1. 3x what we have been spending before. We a re now our number starts, you know, in the 3 million dollars in numbers. We looked at all our non -core assets and called it out a few quarters ago that we are doing a strategic review of all our assets. Right. We disposed of f our ATM business. We got a good, you know, value for that business, we have started our real estate monetization. I mean, we did that in the past. There were smaller land parcels with that we were doing , one large land parcel that we actually did was Ambattur land parcel very recently , which came up for shareholder approval, you know, as well as due process. So clearly about Rs. 1,400 crore s, you know, we generated in the last year by doing all of those things.

Also, we looked at other investments that we have done. I mean, we did invest in Net foundry with a lot of promise. But I do believe, I think as a management team, we came to a conclusion that it is better off, you know, served by someone else who probably has deep pockets to take it to. It's, you know, to its potential. And that may not be, you know Tata Communications . So that was a very, very courageous decision for us to step back, you know, from Net Foundry. And we did that, and we communicated, you kn ow, as well, plus in TCTS yes we made it , absolutely, you know, a fit and agile machine they have from EBITDA breakeven. They are now getting into double digits, you

know,
EBITDA, very, very characteristic of a services business that should deliver the profitability, it was shadowed by multiple things, you know, some of them by time that went away because when Covid happened and there were certain onerous contracts that came in, we couldn't, you know, offshore them, and we, you know, had the burden of that. But that time took that away. But then there was a large, you know, onerous contract for which, you know, we lost top line there, but it was the right thing to do because it was bleeding and there was no end in sight. You know, for us, with all that done . In the last 18 months, we have done, you know, quite a bit to clean our balance sheet and become agile and fit and nimble. And that is more, you know, to do in terms of driving our financial capacity . On innovation , you know, as I talked about, we need a balance to have a balance of experimentation and exploring, you know, spaces. There are going to be technologies that are going to evolve, and we need to be present there with the right amount of, you know experimentat ion and funding. You know, for each of those technologies, we are in the digital ecosystem space, and we cannot be, oblivious to the advancements that are happening, you know, around us. So we will continue to invest. So you've heard now, 0 -1-3-30 many a t imes, you know, from Lakshmi and, and, and others whom you meet regularly. And we continue to invest, and we have done that in the last 3 years Stepped up our investments in each of them. And then we pick up, you know, each of those things and decide which the ones are where we are going to place our bets and scale up strategically. You heard 2 examples, both from Rajat, and on the unified, you know, cloud network, immense, you know, potential, you know, it has , it's already, you know, a $10 million, you kn ow, business. But it had some private connect legacy as well. So it's closer to 30, you know, as a bit now, but just the MCC and MCN and the unified network itself is a $10 billion business , SASE is growing, you know, quite handsomely. So we are having a clear performance focus as to what revenue , what thresholds we need to cross and how we continue to fund each of those things. Happy to say that the ARR of these businesses is already 30 million in FY 25. We are not counting the ones that have gone to the 3 0 stage at the moment. The Stage 30, you know, for others who have probably not heard this before, is when the product is commercialized and then it's available , more of a GA kind of a product that we excluded.
Because if I had to include all of those, then it's almost closer to, you know, $1900 million. But I'm sticking to all those that are still in the nascent stages of 0, 1, and 3 that have, you know, come to about a 30 million ARR that we see, and we see huge potential off of all of those things going forward as well. So continuing to build our innovation capacity, you know, as a company .

And finally, the 3rd piece is the strategic capacity. I mean, I want to spend a bit of time, on strategic capacity because, as Lakshmi talked about, there's a lot of paddling that is happening under the water. I mean, it's all feel still on top, but there's a huge work that has happened in the last 18 -24 months. As we, you know, spoke about, the first thing that we have done is we do see M&A and inorganic as a very, very strategic and important lever in our growth. If that's the case, is the organization future -ready to tap each of them, we said we will create acquisition vehicles. So I mean, you would have seen SEBI disclosures. UK and Netherlands, where we have made, you know, direct investments. It's nothing. But they were step -down subsidiaries. We made them direct subsidiaries with the intent of them becoming acquisition vehicles. The potential targets we may have in Europe or in the US to ensure that we are tax efficient, you know, when it comes to

acquiring, you know, such targets. So that was what we
actually did. A lot of learnings on buying Kaleyra and SWITCH . We've not done M&A before. So yes, we did have our

share of mistakes that we made and delays that we had in terms of our integration. I think we've learned from, you know, all of them. We now have a playbook, you know, that is ready and available for us to take that forward.

Another thin g that I've mentioned in the positive outcomes, but not on the left side, is what we did with respect to redomiciling our entire subsea cable infrastructure, which was domiciled in Bermuda to Switzerland as BEPs 2.0 started kicking in, there was a possibility that we may lose the NOLs that were actually sitting, you know, in that entity , close to $400 million is what we have preserved by moving, you know, that entity from Bermuda to Switzerland.

When I say, you know, financial capacity is still there, there are all those NOLs that are actually sitting in there, which, when we grow our international business, the ability for us to bring, you know, in a tax -efficient manner is quite high. Even giving the example of our land sale. We are sitting on huge capital losses. So there would be, literally, when we sold it, we got the entire realization, in cash because we were able to utilize the capital losses that were available for us. Clearly, we are building in all of those things and starting to reap ing in the benefits of those capacities, new capabilities added in the digital fabric. I mean, I call it a strategic capacity. I mean, not only confining ourselves to numbers, the fact that we are able to do multi -fabric deals, the fact that we are becoming relevant, you know, with our customers, from a CFO lens, I look at the source of reve nue; I look at the source of profit as a source of revenue. Source of profit is a consistent, repeatable, sus tainable, you know, source. Then that is actually a capacity that we have created. And that's how I look at our digital fabric investment as something that makes us relevant to our customers and makes the renewal cycle a lot more moved away from price and churn, you know, into a lot more value -adding, you know, kind of a conversation. So clearly when you have 3+ fabrics sitting with the customer, the stickiness, you know, increases, and, and therefore your ability to consistently have them, you know, as you r customer also improves significantly. And of course, cable investments. Again, we made an announcement very recently in the public domain. We will continue to invest there because we need to and that's clearly a profitable business. And and we would want to sustain, you know, our, our leadership in that, you know, in that business. And we will continue to invest there as well.

I also want to talk about, you know, why we should focus on capital productivity. If I look at, I mean, traditional telcos, I mean, they've had high EBITDA margins. But their ROCEs have been low. And I mean, this is a financially and mathematically astute crowd. I do not need to explain to you that ROCE is nothing but a product of profit margin and asset productivity and in Tata Communications, when we talk about EBITDA margin, I'm also simultaneously talking about ROCE as well. So we will dynamically do re source allocation on maximizing ROCE , by the right judicial mix of where do we play the margin game and where do we play the asset productivity game, you know. And that answer may vary depending on which businesses we are in and which stage and life cycle of innovation that those businesses, you know, go through. All I want at this stage to give you is that there is a sufficient rigor that's go

ne in, that
continues to be there in every decision -making, whether it's a capital decision or whether it's an, you know, innovation investment decision. Clearly that comes through and the ROCE mindset is embedded, you know, in the organization. What have we done thus far? So when I talked about what is our capital framework? You know, I want to bring this to life so that we break capital into 3 parts and, inorganic aside, the organic capital into 3 parts. That is a sustain ance CapEx, and that sustain ance CapEx is capped. So there is no democracy. It's not that everyone gets, you know, an equal share. Very clearly. It's capped ertain percentage of revenue , we have been historically in the 2% range. Some years we've been at around 1.8 %, some years at 2.1 %. You know, that's the range that we actually operate in. So 2% is the cap that we normally allow a sustain ance CapEx to run through, which is typitypical ly across industries as the norm that's what we play with . A customer success based CapEx , I mean, literally no li mit and no budget. You know, that's something thatwe try and create an envelope from a planning perspective. But these are direct links to growth . So if I need to deliver revenue, to a customer and therefore I need to procure, you know, any piece of equipment that usually gets amortized over the tenure of the contract, then we measure that from a deal profitability and deal cash flow perspective. So theoretically, you know, speaking, there may be an envelope, but otherwise, literally there is no budget beca use we would like to maximize revenue as much as possible.And are not constrained from a funding perspective from a balance sheet. So, that is not a worry for us to, to fund. And then the strategic CapEx comes where we actually really take a call,hether it 's a large cable investment that we are doing or an AI cloud, you know, investment that we are doing. So typically, what you see in the middle, you know, are the kind of investments that we have made which fall into, you know, the strategic bucket, some of them fall into the customer success, you know, as well. But clearly these are the investments that we would like to make for the future.

Some of them do not give returns in the immediate term, li ke Kaleyra.AI we want to invest, you know, in the platform, as Rajesh talked about does it make sense, you know, for us to not just have dum p bulk SMS but really participate in the customer interaction journey and talk the language that the CMO ’s understand and are able to

relate to it, t hat can only happen if you make the right, you know, investments both in terms of CDP and also in terms of the AI, you know, that you want to put on top of it. So very, very clearly, you know, that's something that we will continue to invest in, you know. Has it given me the returns on day one? Absolutely not. Will it give me. We firmly believe so. So, those are the kind of strategic investments that we will make and create our capital allocation and expand this, you know, as we go, having a n eye on returns, of course .

What will this capital capacity creation do? This financial, the strategic, this innovation —all of this is going to increase our earning power and that will result in margin expansion. And I will take you through both of these elements in the next, you know, few charts . Our earnings power is on the rise. I'm trying to culminate. This is what I meant by a little bit of a repetition of what Sumeet and Lakshmi then talked about. I want to bring this to life from a finance angle. How see each of them flowing through in terms of sustained revenue, in terms of customer LTV, in terms of margin expansi

on, and in terms of in terms of customer profitabilit y.

Our relevant strategy, very clearly, is that is that the number of MDC customers, 10 million and 5 million customers, is expanding , we are seeing, you know, improving NPS. We are seeing being relevant. We are seeing invitations boardrooms, and we see a higher share of wallet in each of those customers encouraging sign. It's been going on in the right direction that we want it to be. It has opened up new markets and opportunities we are now addressing local champions. We a wider portfolio , wider SAM and it i s clearly reflected in the large deal wins that we are seeing. This has resulted. This company, probably "transformation is an overused and abused word already b ut I will continue to overuse it because that is exactly what we are going through in Tata Communications .

We are going through a huge, huge transformation and therefore we want to bring this into our DNA , that we are no longer selling products. We have moved from products to platforms and and now to multi -fabric deals. So the platformization the multi -fabric is something that is seen almost in every customer acquisition. You know what we see through our entire journey. And we want to talk about AI in almost anything and everything that we want to do. It is. It is pretty much in every aspect of each of our produ cts. AI is somewhere or other, you know, embedded in and integral to the entire thing. We only brought two products to life for you, but rest assured that it is embedded almost in anything and everything we are doing. So therefore, I clearly see that we are putting the seeds in to see this all reflected in our earnings power. What I want to know is, is, shift the focus where, you know, should we look at, you know, the EBITDA of this company,, and where is it headed. 5 years ago in FY 21, our data business w as only 74%.And that data as business has now grown to 84%. So very, very clearly there is no point after point in time. Slowly this will, you know, grow even more in the non -data part will you not significantly . So very clearly our focus and our strategic direction are all data. So I want us to shift the focus to data.

Last year when we closed the year, we ended with 18.7% data margin. And of which, you know, if I break this down, right, core connectivity was at 43.6% and it generated about Rs. 4,538 crore ; the digital portfolio lost close to about Rs. 900 crore . I mean, you all knew you do the math, you know, on your own that this is a portfolio that has been breaking even, stroke negative. We have spoken about it qualitatively. And when we spoke 2-3 years ago, our data, our digital portfolio as a percentage of data, was small. So there I said, "This is not the time to put our f ocus on profitability." We want it to scale. We wanted to get to the right, you know, level of growth.
So we were looking at input KPIs on growth per se. Now that we've got the digital portfolio quite big 47% and Sumeet concluded, "We are going to get to 65%." We cannot afford to not have an eye on the profitability of this business; the profitability of the business needs to grow up. From Rs. 900 crore loss, we want to get this to a double digit margins and clearly it has 2 milestones, first to get it to break -even and low to mid single digits and then to double digit margin.

What is that play? That play is of Rs. 2,300 crore of EBITDA that we can add in this period. Now don’t as me what the period is. I mean, you know, quickly, I'm sure all of your worksheets and math and CAGR calculations are going through, but I want you to participate in the conceptual journey that we are actually going through, that now that we have acquired and we have grown these businesses, we need to not make them scale to a certain level, after which the profitability issues are coming. Operating lever age should kick in. I mean, many times you've heard me and Lakshmi tal

k about glide path. You know, there is a glide path that is available for each of them where we double -click and see the destination margins. Eventually we want to get all of them. They will not get to the level of 43% that connectivity is in, but they will get to a double -digit margin. And for us as a company, if we want to get out of the industry headwinds that Lakshmi talked about, the only way is when we are bringing in a lot of our v alue additions through the digital portfolio. That's when the multi -fabric thing, you know, comes to life. Therefore, getting them to a sustainable level of double -digit margins of Rs. 2,300 crore is something that will, you know, be a clear focus for us in the next few years.

With that, I also want to talk about it because I mean, this is an analyst , financial analyst community. You also look at the balance sheet, not just the P &L, right? We do have liabilities , there is a contingent AGR liability hanging over our head. There are also, you know, a couple of other liabilities in Canada and in Spain as well, all of which you see in our, you know, I know on a balance sheet, and God forbid, if some of them were to fructify , you know, what would happen, you know, is something that sc enario planning, which we always do, you do it, I do it, as well. But I want to reassure you that we have enough assets, you know, on the other side to far outweigh, you know, the liabilities, even if that were to, you know, fructify. And I hope that if the right side, you know, goes away or anyway, on the left side, we are progressing in terms of real estate monetization and cleaning up our balance sheet and getting, you know, a lot more. It's going to be a very, very, you know, different company in terms of the ROCE's that we can actually generate if we are to put this money back in organic or inorganic, you know, investment into the company to drive growth. I want to give you a view because some of you have asked this question, and I thought it might be pertinent, you know, for you to know. I mean, we did own the data center business, which we divested in 2016. We still hold a 26% stake. Our stated philosophy is that we will continue to invest in every capital raise that STT does. But I'm sure some of you might be covering it as part of your coverage. Also, this particular part of the business, or the industry, I mean, there are multiple reports. One of the reports I took was that this market is going to exceed 4,500 megawatts. But I've seen 5 gigawatts , I've seen 10 gigawatts. I mean, I've seen multiple such reports, but very clearly, whether it is 4.5 or 5 or 10 is not the point. I think the tailwind that is mentioned in the bottom of the slide is something which all of us can relate to . I mean, it is, you see, heightening clouds, as you know, adoption, you see, you know, the explosion in and consumption of data. You see the Gen-AI and you see in India when it comes to data localization as well. Very, very clearly there is value that is actually sitting in there. And what value all of you attribute. I leave that to you. But I clearly have that investment that is sitting in. And we will continue to, you know, invest in it as well. And is something t hat I want to bring to your attention.

Finally, I want to conclude by saying that we will I mean, this is the same chart that you saw in the beginning. Yeah. We remain steadfast in our ambition. We will double our business , albeit a few quarters, you know, here and there our ambition is to have the right balance of EBITDA and ROCE . We want to deliver ,we are not going to go down to single digit, you know, cases. There will be a focus, you know, on ROCE . It'

s come down because of the acquisitions
that we did. But very clearly we have a line of sigh t of bringing that back up to greater than 25%. And, you know, our EBITDA margins should also come back to the 23 %-25% range that we that we spoke about while, you know, doubling our business to Rs. 28,000 crore . With that, I come to the end of my presentation. Sorry. It's been a whirlwind, you know, that I wanted to take you through, but give a good idea of what is the nuts and bolts that's gone behind the strategy is what we wanted to bring to life to you.

Now, with that, let me hand over the stage back to Rajiv.

Question and Answer sessions:

Rajiv Sharma, Head Investor Relations

Okay. We'll start with the Q&A session. Restrict to strategic questions and make the most of senior leadership presence.

Deepti Chaturvedi

Thank you for the presentations. So my first question is for Lakshmi. So when you have a target ambition for Rs. 280 billion of data revenues by FY28. That's about 45% growth from current levels of FY25. Does this still build in any inorganic, you know, targets?

A.S. Lakshminarayanan, MD & CEO

No, I don't think , we don't want to plan based on any inorganic. If it happens, it happens. But the numbers we are looking at is not building in any preconceived notion of what we will do inorganically. It's not that to say that we are not looking at it. We won't look at it. But these are not with any preconceived ideas of having doing something.

Deepti Chaturvedi

So that is quite encouraging because it would be 13 %-14% CAGR , which is the growth that was there this year. And this year had benefit of inorganic. So you're looking at acceleration and growth in revenues from current levels.

A.S. Lakshminarayanan, MD & CEO

True. I don't want to we can spend some time on numbers. But as I said before, the story behind the numbers. See, the investments that we are making intrinsically the is positioning our selves not just to transform ourselves, but to help our customers transform. We are clearly seeing those markers of success. To me, those are the long term success metrics that we are tracking. And whether it happens in a few quarters now and a few quarters away is really not my concern. And so you might be, you can continue to push me on that numbers, whether it'll be a 14% growth, will it happen or is it a 10% growth . I wouldn't want to predict. And, you know, we will push ambitious targets. We will keep, you know, are keeping our heads down. And we are very confident. And all the investments that we're making is in the right directions. And we have the discipline on the execution to do that. That will be thank you.

Deepti Chaturvedi , CLSA

And my next question is for Kabir. So wh ile for FY25 data revenues grew by 14%. Data EBITDA was flat. So again management has an ambition of 23 %-25% margins. But at the fourth quarter margin of 17.5 %. Can we see are we at the bottom.

Kabir Ahmed Shakir, CFO

I mean, I, I mentioned this also earlier. I remember in when I was in Q1, Vibhor asked the same question. You know, I have it reached, you know, the bottom. I mean, I would like to believe, yes, we have reached the bottom. But I also want to reassure that all the actions that are margin dilutive are self management taken actions, each of them. Right. So very clearly we can pull the plug on innovation. Right. Because these are if I were to look at how much of investment in OPEX that we are doing that is not towards current year revenue. We track that. We track how much investment is for this year revenue and how much is for future years revenue. So those are levers that are availa

ble. I
mean, two points are straightaway there for us to take in. Within two quarters we can get back in. But that will be, you know, irresponsible. So if nothi ng changes, yes, that is where, you know, we will get through. But since that statement, a lot has changed in the world as well. I mean, we talked about, what's happening in the geopolitical situation. We are talking about what's happening in the tariff, y ou know, situation as well. So a lot of them mean that sometimes certain deals that we planned for, do not fructify in time and they get delayed by a quarter or so. That is what Lakshmi means about few quarters here. And there is really not a concern because are we having the right conversation? Absolutely, yes. Are we invited in? Absolutely. As if, if we are seeing th is, these headwinds like it is not broken, why fix it? Right. It's important but not urgent. Right now I have something else that is a far mo re urgent, like a tariff, you know, situation. And I need to worry about my supply chain reconfiguration in that stage what we are doing is wanting to be partners with our customers. Tell them that even in this uncertainty, you can rely on us because our p roducts and services are available for both revenue side and cost side outcomes. So we are here, you know, in that journey and therefore, you know, I would like to see, a trajectory of it going up. A short answer to your thing is absolutely. The intent is that we will drive for margin expansion this year.

Deepti Chaturvedi , CLSA

Also, do you expect significant reduction in CapEx because Rs. 3,000 crore was spent in M&A, and that's not foreseen in the next 3 years?

Kabir Ahmed Shakir, CFO

Well, I will keep M&A out completely. M&A is not in our Rs. 28,000 crore . M&A is not, in our BAU CapEx. So if M&A happens, it happens. It has its own framework. It has its own, you know, markers that we need to cross. I mean, there is a Board that our shareholders we need to I mean that, you know, past the scrutiny of all of t hat. So I will keep M&A, you know, out of it on CapEx. Those are the three levers. You know, that I talked about the sustenance cap. That is not going to go up. It will be, you know, 2 % or under 2% customer success based on strategic, honest answer. My intent is I want to invest more CapEx in this company, but have the rigour on ROCE, have the rigour on IRR. And when we have the rigour on ROCE and IRR, it will translate into value creat ion for all of us to our customers first and then automatically to my shareholders. Right. So I want to increase CapEx. I don't want to decrease CapEx.

Deepti Chaturvedi , CLSA

Thank you.

Sanjesh Jain , ICICI Securities

Lakshmi, first question. I got too many. I will club some of them, first on the white space you spoke about, right. The strategic. But we are talking, very interesting market, size for us and good growth. But if I compensate, we look our growth in those segment, they look below the industry growth. I though t we are a challenger. We want to improve our position. But if I compare the growth, we still lag the industry growth in a segment where our market share is small. I thought we would have grown faster. In this segment, we are looking at market share gain, but the numbers is that we have lost market share at least last year. That is the number what do you put up in the presentation. That is one. And number two, the examples we saw, the revenue growth looks super exciting , right. Each of those examples. But when we look at it aggregate for the digital services the number don't show so exciting right. So what is dragging down. Are we losing customer. Are we losing marke

t share in many more customer which means it's
getting drag that overall growth. How should we look at this in this context. The whitespace growth being lower, we are losing market share and there are high growing customer but on an aggregate basis, we are still lucky. That's my first.

A.S. Lakshminarayanan, MD & CEO

I think there are many questions. No, I don't understand where you got the losing the market share.

Sanjesh Jain , ICICI Securities

Know that the slide you show the five things .

A.S. Lakshminarayanan, MD & CEO

5 things are all new ones that you're talking about. The cloud connectivity is new. We just launched. So we are gaining market share that in that, Kaleyra.A I that we talked about is a new one. So I don't know what reference point they're using to say that, SASE is one place where we put the market is growing at 16% , we are growing at 15 %. Other than that area, you know. Okay, I'll give you that. No, I wouldn't say that. We are losing market share. Market is a albeit growing. That is the overall global marke t is growing at 16%. Other than that one element, I don't know whether your interpretation to say that we are we are losing market share is the right ones. And so that is one. The second is, you know, when, you know, one of the things that we have been doi ng extremely well is the focus on the large customers. And that was testament from the, the MDC customers growing, the $10 million customers, growing and so on, where we haven't been able to do enough of is to bring more new logos and the speed at which we are converting those new logos to million dollar customers. And that is a function of more of, the market coverage and the feet on street that is required for us to do that, that we haven't put enough on the markets, but because we wanted to solve this pr oblem first and that we need to address it. And, well, when we are focusing on the large customers, necessarily, which means that the focus on the smaller ones is going away. Right. We had a many of the international customers, which was still a chunky rev enue in aggregate, but we created a digital desk in there to manage as opposed to a feet on the ground to cover them. So those revenues are going away. Third is some of the revenues that we lost in terms of the, in the collaboration space, adjacent space. So I put you all of that to the we are confronted or we were confronted with certain headwinds and some of them are industry headwinds. Some of them are, the dilutions and pricing and so on. So all of that, that is why are losing whereas in the focus segme nt of large customers, we are showing also that we are gaining. So that's the plus and minus that you see. And that is the reason why I said I want to tell the story behind the numbers. I thought I made it very clear because the net net, if you see your an swer is right, we are growing only 11%, whereas you are saying in BFSI you have grown 2x, what is wrong with you? That is why I wanted to give you the color of where we are doing well and overall what the numbers speaks. But the story behind the numbers is what I gave you. You can interpret it the way you want to.

Rajiv Sharma, Head Investor Relations

And Sanjesh just let me add to what Lakshmi said that, in large markets, even in the Indian enterprise market and the DC to DC connectivity, these are two very large markets. We have been gaining market share. We have just launched AI cloud a couple of month s back.

Sanjesh Jain , ICICI Securities

No, I didn't mean we are losing market share, I said that we are despite we being so small, I thought we would have grown significantly faster. Probably market shar

e would have been a wrong word reference.

Rajiv Sharma, Head Investor Relations

Probably that that will pick up because once you build capabilities, it takes time. It doesn't happen that you launch it today and you start growing at the same rate which I incumbent would be. In fact, you will start taking their growth rate with the base effect.

Sanjesh Jain , ICICI Securities

Respect that. My second question on Lakshmi. Again, you mentioned that we are building individual enterprise led LLMs and enterprise, individual enterprise LLMs in our GPU as a service. Today the LLMs are built on the data which is publicly available. You said that we want to build an individualized LLM for the enterprises, right. Is that what I don't know that should it. Right.

A.S. Lakshminarayanan, MD & CEO

No, no you didn't . That is not what I said. I gave you a general point on how, you know, most of the information that is publicly available on the internet has been converted into knowledge in their LLMs because these all these have been, studying the internet and pulling the data of the internet. What is not captured in the model is the individual company's knowledge base. And what I am saying is the enterprises should protect that knowledge base and therefore the need for more private cloud and making sure that they are n ot exposing their data and knowledge to the public, which can then be, commoditized. And that is the point I was making in the context of saying why safeguarding that knowledge is going to be so important for enterprise. And in that context, what is a role that a private cloud can play.

Sanjesh Jain , ICICI Securities

That's interesting. So I have two question on India. One, with the kind of geopolitical risk we had, there was so many cyber attacks. Have we seen increased investment in India or at least inquiries on the cyber security side? Can that be a big driver in t he near term? Now that people are so aware about the risk that, they are looking at, that's number one. Number two, we didn't speak so much about Private Cloud. I thought that was a very big opportunity within India. It's a white space. We have a leadershi p position, but that I think was missing, in our strategic bet.

A.S. Lakshminarayanan, MD & CEO

See, I mean, these are some of the new things that I called out that we are launching. It doesn't mean that the old things are going away. Right. So we have IZO Hybrid WAN. We have, you know, we have talked about the LAN and the WAN convergence as we said. Many of the things are there. So we just called out what we felt are the, the new ones that we are launching where these are strategic bets that we're making. So it doesn't mean the old ones are going away. And on the, cyber security, is something that, I mean, in the last few years we've been calling out, cloud and cyber security and particularly cyber security in India has been growing. But that is a crowded space. So I think I've talked about our, you know, our cyber security, portfolio, we can put that in two parts. One is all of the threat management space, which is what the S OC kind of services that we deliver. That's a quite a crowded space. That is a very contested space, ranging from SIs to Deloittes to EY and all of them are contesting in that spa ce. We are also contesting and we are growing in that space. The other is more about the network security, which is where we are talking about, SASE, more integrated CD N plus, DDoS plus, network security threat intel that we can offer. That is another this is the where we are operating internationally. This is where we are operating in India.

Sanjesh Jain , ICICI Securities

One thing probably we were expecting in the presentation is more color on the order book. More color on the order book at least can help us understand how it has transformed in the last 3 years. Where we stand today, what is the expectation for FY 26? H

ow is the pipeline?

A.S. Lakshminarayanan, MD & CEO

Looks like, this is more a quarterly conversation we can have. You know, you are asking the same question that I'll answer that, you know, in a month's time we will have that. But I think, Sum eet gave you some color on some of the highlights. The order booking and how we are particularly, I think, giving color on the million dollar customers how we are faring. I think that question was already answered. If you need more elaboration, Sum eet can also discuss.

Sanjesh Jain , ICICI Securities

That we got. Yeah. One last to Kabir , you talked about, breaking even in the digital services and reaching, double digit. So we have two levers. One is reducing the direct cost. Second one is the operating leverage in the, fixed cost. Right. What is the interplay betwee n them? What role, or what are the efforts on each of these parameters, in terms of driving the breakeven? And what is the revenue level you think when we will breakeven and what is the revenue level? And an absolute term where you think we c an reach a double digit margin? That's one. Number two, we are doing so much of cable investment now. We have started again. Repair and maintenance remains quite elevated in our panel. It's almost equal to our CapEx. Rs. 1,900 crore . How should that that trend we should see, with, new cable investment, which are, which will require much lower repair and maintenance. And how should it add into the probably a better EBITDA margin increase in the core business? Yeah. Thank you.

Kabir Ahmed Shakir, CFO

I would say on, you know, on digital, I mean, you can do the math. I mean, we really get to around 65%, you know, that shape that, that Sum eet mentioned, you know, in this final slide, and each of them have very, very different, you know, levers. Quite a few of them, I think, have now reached the kind of level that we, that we want in terms of the scale, you know, that they are there, that they should start, you know, delivering the destination margins that we want them to do. Another element, you know, to what you just said, not just leverage. And, alone, but also mix like, for example, in Kaleyra, I think it is it is mix that is something which we will the moment we have, more layer three and layer four services that we start to offer. The margin profile of them, you know, will be, you know, very, very different. So we want to start playing in that as well. And the weighted average should also lead to margin expansion. So I have a very different answer. Y ou know, for you know, each of you know, each of them plus some of them is it's very clearly our ability to, to be a lot more meaningful. Again, give it take an example. We were earlier only talking to sporting federations, you know, from a media perspective, SWITCH, you know, as a capability that is given i s making us now address, wider, you know, audience with the production capability. I mean, I don't think the World Athletic Federation, you know, deal would have happened just if we had been only playing the transmission space. I think our video production and the entire capability of SWITCH coming to life was able to how we were able to get, you know, that, piece come through. So all of this is what will lead to, margin profile. So we have not un - peeled how much is just scale alone because one leads to ano ther, you know, and they are almost, you know, interdependent, as I would say, but clearly for the next three years, what should be the margin targets that CIS should get, what media should get, at every business level has been factored, you know, in as w ell. And, and we are now pushing them to be able to say, how

can you delink volume and, and top line to margin, which means that, that if you are not getting, you know, this to what extent cost can be still, you know, as variable as, as possible so that we continue to deliver the, the margin. So that's the direction that we a re. You know, we are heading into from a digital, you know, portfolio perspective. What I was trying to bring about is it is now not small, right? I mean the time has now come to look a t the focus. This is, I think, the first time we have quantified the digital loss, you know, for you, the moment we quantify it, neck is on the blo ck be held accountable as to what's the progress from the Rs. 900 crore that we have been, you know, losing on it and where we would like to. It is not a Netfoundry. It is not a ATM business where we are saying we want they are not making money. We want to get rid of them. This is something which we knew that they will not make money when we scale, because we hav e spent a lot of fixed costs in getting that scale. And now that we are convinced of the shape of these businesses , mix, operating leverage, operating efficiency, you know, are all the drivers that we look at to get them, you know, back up. What is the next question?

Sanjesh Jain

Repairs and maintenance.

Kabir Ahmed Shakir, CFO

Repair and maintenance. Tricky. You know, subject we've spoken about this before. Also, Sanjesh, a lot of noise, you

know, into it. Look, we've we've gone out of we are getting out of completely the Chinese, you know, carriers as well. And the fact that you are not placing new orders on them, then the cost dynamics on their AMC and their also starts, you know, playing in as well. It will be a few years before we actually see the operating leverage or the benefits start, you know, kicking in, you know, on each of them. In fact, a lot of the investments that we have done, they have all come out of the warranty free, you kno w, zone and now into the AMC bit. So it's a, it's a joint exercise that we have. But there is a focus. I know I do believe that there is value that we can extract, you know, out of that, and some work is, you know, happening there. And once we have quantif ied it, then I'll be able to have more clarity on it.

Rajiv Sharma, Head Investor Relations

And Sanjesh I don't want to you to go too happy. This DPS EBITDA will be an annual disclosure, not a quarterly one.

Balaji , next, please.

Balaji Subramanian

Thanks for the detailed presentation. I appreciate it. So my first question is on the, data revenue aspiration of, Rs. 28,000 crore that you mentioned. You also stated that 1/3rd of the incremental revenue will be driven by strategic bets and capability shifts. So can you just elaborate a bit on, you know, what do you mean by this?

A.S. Lakshminarayanan, MD & CEO

I don't know, I thought the whole day we explained only that. Right. The capability shift is about ones on the sales. How do I get into the accounts deeper ? We talked about the white space that is available in each of the accounts we talked about , if it's x, how is the 4 x addressable because we have expanded portfolio to talk about so that is one capability shift. You know, that is you know, and we also talked about how $1 million customer or a new logo can accelerate. And that is another white space. So if I look at it from a customer segment, there is a lot of white space available. The other we talk about is, you know, on the product side, some of the new products tha t are there and they have ranging from, you know, if it is a multi -cloud connect, we said that is a 8 billion market. And those are all the white space, we call it out. And each of

the se are in the two dimensions. One is in the customer dimensions, the white space available and in the product dimensions. So both dimensions are the strategic bets.

Balaji Subramanian , IIFL

Got it. And my second and last question would be a bit more on the digital portfolio revenue growth. So you did say that about 65% of this of the data revenue will be from digital portfolio. So that means that over the next 3 years, we are almost looking at, doubling the digital portfolio revenue. So again, that's about 23 %-24% CAGR. So, you know, what is the kind of visibility we have on this, especially, you know, considering the somewhat uncertain, macro outlook in the US?

A.S. Lakshminarayanan, MD & CEO

I think it comes back to the same question again, I and I can't answer it any differently Balaji, I think, you know, what we can focus on is, you know, what is the opportunity out there and what capabilities are we building to be able to participate in tho se opportunities , correct ? And we showed the examples through customer case studies and the products that we are investing. The pace at which that will happen is not necessarily an d entirely in our control.

Balaji Subramanian , IIFL

Got it, got it. Thanks.

Rajiv Sharma, Head Investor Relations

Next Vibhor.

Vibhor Singhal , Nuvama Capital

Vibhor here from Nuvama. Lakshmi one question, which I probably want you to pick your brain on the business side. Today and even before we've mentioned a lot about the media business and how we are trying to get into the production part of the business rather than just the infrastructure that we were kind of dealing until, before SWITCH acquisition. Now, pardon my ignorance on the US media landscape, they would be specialist companies who would be doing that in the US or in the developed world. What is our right to win in this world, in this new domain that we are trying to win? I mean, we've always been providing the backend support to the, sports authorities in the new business that we are trying to provide, let's say, leasing out studios or providing that production support does SWITCH have that capability. Does SWITCH already have customers who've they've been catering to that can we scale them up. What would be let's say I mean, some point is as to what would be the difference in, let's say, the ticket s ize of what, deal would be in the production size versus let's say, of infrastructure side. Any color on that would be really helpful to understand. What business are we talking about here?

Sumeet Walia, Chief Sales & Marketing Officer

So you're right, I think , the focus of SWITCH when it was acquired was focused on sports federations largely. And, you know, the US market. The post acquisition we are taking that capability in two ways, right? One is we are taking that capability of what we are doing for the US m arket. But then for the rest of the sporting federations that we have across the world, that one leg of growth that we are, you know, starting to exploit the second leg of growth. As Lakshm i pointed out on the Netflix' 'Pop the Bal loon' that you saw. So that is the facility that we've built in Victory and the capability that we have on remote production. But we are now starting to also build capability across the value chain on remote production. So it's not only the technology of t he facility that we offer, but also the services that we are starting to build around that what that is going to do for us is one, as you point out, going to increase the ticket size , two that is going to increase even the margins on what we would typicall y get on these deals. It's early to quantify and what

that means because we are, you know, just building that muscle. But we are starting to see, you know, at least 2 or 3 more such conversations that we have in the US market and in other markets with this theme of building the remote production technology and the service capability around that to, to improve one, the ticket size and what can the ticket size be? The ticket price can actually go up by at least 3x, is what we have seen early to comment on tha t, you know, as a permanent view. But that's what we are seeing in the deal that we have currently done and the margin profile that will clearly then become more services, kind of margin profile that we will do, rather than just a technology offering margi n profile of the remote production facility.

Vibhor Singhal , Nuvama Capital

But that SWITCH had that capability before the acquisition.

Sumeet Walia, Chief Sales & Marketing Officer

Oh no, that's a that's a muscle and a capability that we are building. So we are bolting on that capability to improve and expand the ticket size and coverability that we have because of the facility that we've built

Vibhor Singhal , Nuvama Capital

Got and got it. So my second question is Kabir, Kabir on the margins front. So, help me understand the landscape that you're talking about. I mean, the path for the margins in context of the acquisitions, we've always maintained that acquisitions will be core part of our strategy. I think at this point of time, you are talking about a 23 %-25% margins by FY 28, assuming there are no more acquisitions in the next three years. But if we make another acquisition, I think most of the acquisitions are margin dilutive because they are in the developed world. Then the margins again fall back to the 17 %-18%. So how do we balance this thing? I mean, I mean as a shareholder we are looking for that 23 %-25% margin range. I mean the acquisitions do provide the growth, but eventually the ROCE and the EBITDA margins keep on getting pushed out if the acquisition, strategy is being executed.

Kabir Ahmed Shakir, CFO

Yeah. So, we were, I think, a very good question. You know, in one of the, quarterly calls I made this very specific, you know, response that as a management, we are very clear about what is the acceptable level of margin drop that we will we are okay to take, so that we will be extremely respo nsible with. So very, very clearly, we do not want to

be able to make an irresponsible acquisition that overbears the weight of it, that we cannot then do basic, you know, funding for our growth engines you know that that we have. So clearly there is a certain sustained momentum on cash flow that we would lik e to have, because those investments on CapEx, on OpEx, on innovation needed to be funded from internal accruals. And I do not want to go and borrow or come back to the shareholder to be able to do that. So when we model it, we will look at what is that th at sizing that we will do and therefore what size of acquisitions will mean, what funding vehicles, how much can be done. When we did SWITCH, I mean, I stood proudly in, you know, representing the entire company's efforts in funding the entire SWITCH throu gh just movement in working capital. I mean, we didn't borrow a cent, but it was a small amount. I mean, you know, $60 million is what we paid, you know, $59.8 million , to be precise, for our $80 million business. All came from that. Kaleyra was a slightly , you know, bigger in our ticket size, but still within our debt capacity. We did not violate any of our covenants you know, from a debt perspective. Even our 2 x range went up to, what, 2.3 x. And now we will come down in the next coupl

e of quarters. You will see them coming down to, you know, to under 2 x. So now imagine if we have a target which is say 2 -3 billion, you know for example, then I do not think that debt alone, you know, would suffice. There has to be a mix of that in equity. Then the moment you bring in, you know, equity into the picture, the amount of rigor, you know, in that will go exponentially, you know, higher as well. Not to say that it's a 200 million, there is no rigor there. There is, of course, rigor, you know, across the board. But we will use the right appropriate, you know, vehicle so that my cash flow and my, my interest burden or anything of that sort does not pull the company down. And we are able to fund, you know, the company for the next 2-3 years . So I will I'm going to stay at that level because each of them have been modelled to be able to say, we can afford to do this, we cannot afford to do this, which means those acquisitions, they need to be pushed away until we get back to 25. And then, you know, I can fund that back, you know, again. But otherwise, you know, any more margin dilutive acquisitions, we need to see the math of whether we be able to afford to do it or not. I will assure you that, you know, I would say the management and the board, you know, look at it very, very responsibly, you know, and that's how we will take the next steps.

Sakshat Goel, ICICI Prudential AMC Ltd.

Thanks for the opportunity. So to the question, basically, my understanding is slightly limited, but what I understood, most of the strategic b ets, which we have talked about, a kind of a value added offerings to our existing offerings. So what kind of pricing delta do we expect our existing customers to pay to justify our investments for these value added offerings? And where are we in terms of n egotiation with the customers, like in converting them? And like if you can just give an idea how much percentag e of customers that are willing to pay, does it make sense?

A.S. Lakshminarayanan, MD & CEO

I didn't fully understand it. Asking about, pricing capability on this.

Sakshat Goel, ICICI Prudential AMC Ltd.

Let's say, Kaleyra.AI or Unified Cloud. Yeah, we already have a cloud hosting service. So what kind of pricing delta we can command, offering a unified cloud over the normal cloud hosting service. What I'm asking incrementally how much will you get a general?

A.S. Lakshminarayanan, MD & CEO

There will be all margin accretive .

Sakshat Goel, ICICI Prudential AMC Ltd.

It's increasing the cost for your customers if they're opting for these.

Kabir Ahmed Shakir, CFO

Do you want me to take it? So, you know, just to explain, I think these are very different services that you are offering. And quite often than not, you're probably talking to a different, part of the customer organization. When Rajesh actually mentioned w hat are the pain points? He talked about a CMO. You know, the CMO is one who's looking at customer acquisition and customer retention. When you are doing just A2P, you're probably talking only to the procurement organization you know, who who's buying, you know, SMS. And now you're saying, I am not just giving

you just a bulk SMS facility. I am orchestrating the entire custom interaction, you know, journey for you. That's why we call it CIS is not a C PaaS or a C CaaS. Calling it know the entire Customer Interaction Suite. So the audience whom we are speaking to are very different. Their pain points are very different. So therefore for them to actually pay that they are not comparing against what currently they are paying to Tata Comm., they are comparing against what problems I am solving f

or them and for that pro blem, the price that they are paying is insignificant. So each of the services, you know, are falling in that category. And that's the reason why we are energized, because we are now the buying centers that we are speaking to and the people that that we ar e speaking to has, has exponentially increased in the value, you know, side, not in the cost.

Rajiv Sharma, Head Investor Relations

We are selling effectiveness of campaigns and ROCE on the campaigns so that gives the pricing element.

Deepti Chaturvedi , CLSA

Yeah. I have one more question for currently about 40 %-50% of our revenues are from overseas. Three, three years from now. Where do you see the mix between India and overseas?

A.S. Lakshminarayanan, MD & CEO

Frankly, we haven't computed like the way the digital mix, you are saying that, you know, when they hit Rs. 28,000 crore will be about 65% digital business. I think it'll be the, the headroom available in the international, is much greater. That is what we've been talking about. So the international will be a bigger part. How much we haven't really modelled because that's no t the way you see a model.

Deepti Chaturvedi , CLSA

You mean international is growing faster than India?

A.S. Lakshminarayanan, MD & CEO

Yes, because they're coming off a small base as well.

Deepti Chaturvedi , CLSA

And in India, do you foresee, more intense competition from the, top operators, particularly as they look to go from mobile operators to being triple play, not just home, particularly for one of the operators, enterprise is already much bigger than your revenue. So in an era where we are getting into 5G private enterprise and maybe in future, so do you think that is one segment which could pose more competition for you, at least in India?

A.S. Lakshminarayanan, MD & CEO

India, I don't know about more competition. It is it is competitive. Right. So we have new players coming into the core connectivity for doing the data centric connections already. Right? So the players or the existing players are also, competing in the in the e nterprise space. Now the fixed wireless access is a questionable, one with the 5G already that are, you know, internationally, it shows that you can gain the initial, have the initial gains, but it's not sustainable because then it gets contested, th e spectrum gets contested, and the performance is not shown to be that good. But, you know, India competition is intensive, no doubt. I mean, even if in the CIS, the interaction space that we offer it is highly, highly competitive. And you would have seen in the, in the AI cloud space, there are more players participating. My only worry is it doesn't get to, a race to the bottom in terms of the pricing and other thing to the earlier question that was asked. So India market is characterized by all of these. The competition is intense. There are pricing pressures that happens. The customers willingness to pay for value is low , definitely. But that's the market we understand and the market understand because the customers then ultimately all said, value the long term relationship. They value the services that we provide. And that is what we hold very dear. And that is why we are saying that, you know, we will hold on to the market leadership, despite all these pressures happening. Thank you.

Sumangal Ne vatia, Kotak Securities

Yeah. Good evening. This is Sumangal from Kotak Securities. My first question is, I just wanted to understand and get some more color between the split between new logos and existing. So if you look at last 4 years where we've grown revenue by Rs. 7,000 crore , is it po

ssible to share what could be the broad split? And then when we are looking at incremental Rs. 9,000 odd crore over the next three years, is there any internal, budget expectation as the existing logos, what could be the, contribution and what new events, we would require to reach our target of Rs. 28,000 crore .

Sumeet Walia, Chief Sales & Marketing Officer

So, you know, like, I presented, for a new logo to meaningfully scale. It takes about 18 months. So when you take, you know, to your 3-4 year view, and keeping in mind the strategy of going deeper with fewer, our focus continues to be to mine and grow our existing accounts much more meaningfully. And that's how you're seeing the growth on our existing accounts as well. So with these two points, if you look at our revenue split, you know, in terms of our incremental revenue, about 75 %-80% of our revenue come s from mining our existing customers and going deeper with them. And about 20% of our revenue comes from new acquisitions and new logo contribution inside them. And as we acquire the logos, then, you know, the logos over there, you know, 18 -24 months period, start gradually going into greater revenue contribution as we start mining them deeper.

Sumangal Ne vatia, Kotak Securities

Got it. I have one question for K abir. So if you look at last two years, we've done a great job in monetization of land parcels and few weak businesses. Do we see this ongoing? Are there more or are we looking at heavy lifting already been done? As far as both land parcels are concerned and f ew businesses where we are not seeing scalability .

Kabir Ahmed Shakir, CFO

It will be an ongoing exercise. So let me split the question in two part , land parcels absolutely, yes. We are on overdrive. I am not a landlord. You know, I do make money. You know, I do get some operating income from rentals.

And for example, this year you will see that Ambattur which was earlier giving me rentals is not going to give me rental. So something will come down so clearly we will start monetizing. There are, you know, 2-3 big land parcels that we have, Chhatarpur and GK, I mean, no points for guessing because it's all there in the public domain. Is something which we will have to go through the bureaucratic hurdles of title deeds and clearances and, you know, classifications and, you know, and all sorts of stuff. The moment that is done and the property is ready, I mean, it took us literally three years. And, you know, I remember when I first came in, I mean, started the exercise on, Ambattur and realized that us being Tata 's, you know, we are governed by our code of conduct and we will only do the right way, even if it takes, you know, five years for me to go through and, and mone tize the property and exactly in the, in the right way. We will have that same r igor for each of those properties, and we will monetize, you know, almost we have a plan in the next few years to monetize, know each of those properties.

The, second, thing , on the review of the businesses. Absolutely. Yes. Both, I would say businesses that we have invested in organically , inorganically it is a continuous review, even this 0 , 1, 3 that you talked about. I mean, it was there, you know, buried in the slides, the sharper focus on performance is very clearly the rigor that Lakshmi and I, when we sit on the governance, look at it is as if it's a startup, right? A series A, you know, wh en will you actually fund? You will fund when they hit an ARR, you know of something, you know of that particular scale. That's when you will you know, you'll give that funding. And we will have that rigor for each of the strategic parts. Yeah. And we talked about, you know, some of them that doesn't mean that everyo ne has gotten a blank che que book so that rigor will be there and we will measure input to start with, not necessarily output KPI is what design wins. What POCs, how many custome

rs, what scalability, what you know, product feature unlocks. You know, how do es it, bolt on. And in that space when we it goes on when we see that okay. There is probably an inorganic acquisition that serves it better by bolting in and getting that capability. We will do that. And that is life as we, you know, as we speak. But if t hey do not scale up, funding will be pulled. And that's what we, we intend to do. And some of the actions that we will take, you know, the organic ones is BAU and they will not be, you know, visible to you. I mean, some of them are material enough then we will call it out, but the inorganic ones will be there in the public domain. The moment board approves such transactions.

Nitin Gandhi, KIFS Trade Capital

Thanks for taking question. As far as the strategic bets are concern. Where do we stand in terms of the capability which we have built today? Auto against, whatever sizes we are available. And where do you think that we need to put more, resources or something so that the addressable market ou t of that space increases significantly for us? And, is there any criteria on something on which we can, share your thoughts? We can really look at how we are heading in each of the strategic bets over the next 2 or 3 years is if some criteria, whether qualitative or quantitative, if you can specify it will be helpful.

A.S. Lakshminarayanan, MD & CEO

Yes. These would evolve , so again what Rajat presented on the unified cloud connect, the M CC and the MCN space, the multi -cloud network. So what we have launched and invested already is how do I connect from site to cloud. And that product is what we called out. And that is already doing, good double digit million ARR from the time that we launc hed. The connecting between the clouds and within the cloud is what they talked about. That product is getting launched in a quarter or so. And the advantage that w e talked ab out. And there are players already doing the multi -cloud connect side to cloud. I've talked about there are Megaport and Equinix who already do that, on the on the within the cloud, there are only a few startups who do that today. But both is not done by anyb ody today. And and that is why we think that we will be unique and in doing both. But if your question is, you know, do we need to continue to invest? Yes. In the roadmap we have, how do we bolt on security? How do we bolt on? All of that wil l continue to happen. So there will be there will have to be continuous investment in product development organically or as Kabir called out, if inorganic helps us to do that, we will have to do that. Now in terms of the markers of success, again, that is what we talked about in terms of stage 1, 3, 30 . We are governing that to say what are the design? And so if MCN is getting launched in, in a quarter or so, the things that we are asking today is, you know, how many customer conversations that we have had, how many customers are showing interest, how many people have you shown demos to? So those are the KPIs that we are internally tracking.

Nitin Gandhi, KIFS Trade Capital

Second question for Sum eet, if not readily, maybe whenever you share color on order book, beyond x years, say 3 or 5 years, what is the order book size and how is it behaving if you can share whenever it fits possible? Thank you very much.

Sumeet Walia, Chief Sales & Marketing Officer

You want it now?

Nitin Gandhi, KIFS Trade Capital

Your c all

A.S. Lakshminarayanan, MD & CEO

No. If I if I may, I think this is like, see the few colors. I think I've, I mentioned this before. If you look at the Kaleyra business and MOVE business, for exampl

e, both of them are heavily usage based businesses, right. And, even though there is a proxy order booking that we have to give credit to the sales, the conversion of that proxy order book to revenues is not really scientific, and it takes some time. We are able to convert in six months. Sometimes it takes us a year or two and we are fine tuning that. So there is a part of th e business where order book may not be the, the real metric in that, in the, in the network fabric, both on the core on the nextgen connectivity as well as in the cloud and security order book gives, a reasonable, lead indicator. And that is what we are me ntioned on the slides. Given these complexities, I didn't want to share some numbers which will only confuse. I think, you know, we have had this conversation, in fact, more robust conversation I have had. But even in the world I come from and they say, we ll, when they give a number or not a book, it's very hard to translate that into it because it includes renewals include many things you can't, but it just I understand it gives people the comfort of a number, and they have been giving that color on that t o say that our order book has grown, which is what I, you know, openly shared. Like in the first, first half of last year, we had a good order booking and then instead in, Q3 and Q4 that had gone back to our, traditional levels based on whatever else is th at that those numbers do not fully include the usage business. So given that complexity, I'm not sure what this will do. Other than invite only more questions.

Rajiv Sharma, Head Investor Relations

In fact, in FY25, we've gone ahead and given some growth numbers for order book on a Y oY basis, half yearly basis. Till FY24, we were not doing so. We are improving in terms of what we can share. You share that digital EBITDA, which will be annual. So thank you. Any last question and I'm sure everybody's hungry.

We will be anyways available on chats one on one chat now. So we'll end this session. Thank you .

Call: Aug 2025

October 15, 2025, at 06:00 pm IST
Q2 FY202 6
Earnings Call Transcript

Main Participants :
AS Lakshminarayanan , Managing Director and Chief Executive Officer
Kabir Ahmed Shakir, Chief Financial Officer
Rajiv Sharma, Vice President and Head, Investor Relations
Sudeshna Patnaik , Deputy General Manager, Investor Relations

Sudeshna Patnaik: Good evening, everyone, and a very warm welcome to you all. Thank you for participating in the Q2 FY26 Earnings Call for Tata Communications. My name is Sudeshna Patnaik, and I'll be your host for the call.

We are joined by our MD and CEO, Mr. Amur Lakshminarayanan; our CFO, Mr. Kabir Ahmed Shakir; and our Head of Investor Relations, Mr. Rajiv Sharma.

The results for the quarter ended 30th September, 2025 have been announced and the data pack is available on our website. We will begin today's call with opening remarks from Lakshmi on the business performance and outlook, followed by Kabir on the company's financial performance.

All participant lines will be muted for the duration of the call. There will be an opportunity for you to ask questions after the management remarks. Some of the statements made in today's call may be forward -looking in nature and are subject to risks and uncertainties. The company does not undertake to update these forward -looking statements publicly.

With that, I would like to invite Lakshmi to share his views. Thank you, and over to you, Lakshmi.

A.S. Lakshminarayanan: Thank you, Sudeshna. Let me begin by welcoming you all to the Q2 FY26 call. Starting with the financial performance for the quarter. Our overall revenues came in at INR 6,100 crore , 2.3% QoQ and 6.5% YoY growth. EBITDA grew by 3.2% QoQ and 3.9% YoY to INR 1,174 crore . EBITDA margin came in at 19.2%, an improvement of 17 basis points QoQ.

Before I dive further into our performance, let me touch on the strategic bets we outlined at the Investor Day. I'm pleased to share that across our strategic bets, we are seeing strong progress both in product and capability build out and early customer t raction. AI plays an important role for us across these products and more so with our strategic portfolio.

We launched our Voice AI platform, which is powered by agentic AI. This will strengthen our Kaleyra AI platform, its value proposition very significantly further. Our next strategic bet, AI Cloud is seeing good customer traction, largely for model training purposes. A standout win this quarter is our engagement with the largest payments player, which we will be leveraging our sovereign cloud for advanced AI use cases.

Additionally, agentic AI running on our own AI Cloud as a combined value proposition is proving to be extremely beneficial to our customers. The Digital Fabric tool, which provides intelligent orchestration across the fabric in both India and international regions is coming out as a valuable differentiator. This Digital Fabric tool, which is one of the strategic bets we called out, gave us a clear edge in securing a large deal with the GST

Appellate Tribunal under the Ministry of Finance.

To sum it up, we are encouraged by the traction that we see in the strategic bets that are in various stages of product evolutions, which is the early stages of stage 0 and 1, and believe that they will contribute at least 10% of incremental digital revenues for this year.

Coming to the order book. Our enterprise order book has seen a double -digit QoQ growth. Overall order book is flat driven by headwinds in the service provider segment. Our funnel continues to be robust with 60% attributable to digital services.

We're making significant progress in our position as "Challengers" in the international markets. The European market, we won a multi -year, multi

-million dollar deal with a
German manufacturer. This is an existing customer for us on the network fabric and we were able to further expand our relationship through our securit y offering.

In APAC, we won a large deal with one of the world's largest mobility players for our interaction fabric. We are seeing some strong new logo additions in the international regions. Our international order book has grown healthy double -digits this quarter.

Coming to more on financial performance pertaining to the data portfolio. Data revenue grew by 0.9% QoQ and 7.3% YoY. Data EBITDA margins were up 144 basis points QoQ.

The Core Connectivity business came in at INR 2,637 crore , a sequential growth of 0.6% QoQ, an increase of 0.9% YoY. We faced subsea cable cuts in the Red Sea area, disrupting internet and data traffic between Asia, Europe, and Middle East regions. While traffic restoration efforts by alternate available routes on our network and sourced from market are underway, we ex pect the impact to continue into Q3 of FY26.

Growth drivers like the data centre connectivity in India continued to see strong demand and help us to mitigate some of these impact of subsea cable cut disruption. While we are leaders in the DC -DC connectivity in India, we are also exploring investing in international DC-DC propositions as well.

Digital revenues came in at INR 2,542 crore , increased by 1.3% QoQ, 14.9% YoY. The growth was broad -based and all parts reported double -digit YoY growth. It is worth highlighting that the Nextgen Connectivity and Media reported closer to 30% YoY growth rate. Cloud Networking, along with IZO hybrid WAN have contributed significantly to the growth in the next-generation connectivity portfolio.

MOVETM and IoT fabric reported a decline, largely due to access pricing revision. That said, the volume growth continues to be robust as number of active SIMs under management increased by 21% YoY. We're making progress with our platform strategy and have signed 2 marquee partnerships with Cisco and BSNL for our new platform.

Cloud and Security Fabric revenues were up 13.1% YoY. We won a deal with a large Indian fund house where we are establishing a dedicated disaster recovery site to ensure compliant and seamless recovery. We will also provide end -to-end managed services across network, data centre and security with SLA back s upport. We are seeing increased traction in security transformation deals, particularly the next -gen SOC and network security. We remain confident of achieving mid - to high teens growth in this segment fo r the year.

Interaction fabric, which is 49% of our digital portfolio revenues, reported 12.9% YoY growth. We are seeing steady uptick in our enterprise revenue. There is also a gradual revenue share shift from SMS to non -SMS, and this shift will help us to monetise the orchestration layer better.

To sum up, we are encouraged by the growth in digital services, growing traction in our strategic bets and increasing relevance in the international markets. All put together is giving us confidence that we are moving in the right direction.

With that, I'll now hand over to Kabir to deep dive in the financial performance for the quarter.

Kabir Ahmed Shakir: Thank you, Lakshmi. Before I start, let me remind that our numbers under discussion today are as per the continuing business reported in our data pack. On our financial performance, Q2 FY26 revenue growth came in at INR 6,100 crore , a growth of 2.3% QoQ and a growth of 6.5% YoY. Normalising for ForEx impact, the revenue growth is up 0.4% QoQ and 2.6% YoY.

Data revenue for the quarter came in at INR 5,179 crore , a growth of 0.9% QoQ and 7.3% YoY. Core Connected revenues came in at INR 2,637 crore , a growth of 0.6% QoQ and 0.9%

YoY

. While Core Connectivity had a better quarter, upsides were impacted by the cable cuts in the Red Sea.

Digital revenues for the quarter came in at INR 2,542 crore , a growth of 1.3% QoQ and 14.9% YoY. Our focus continues to be profitable growth, and this reflects both in our margins and the data EBITDA margins.

Net revenue came in at INR 3,413 crore , a growth of 3.7% QoQ and 2.8% YoY. Overall net margin improved by 75 basis points sequentially to 56%. Happy to highlight that we are seeing healthy improvement in NR margins for our Vayu Cloud portfolio this quarter.

EBITDA for the quarter came in at INR 1,174 crore , up 3.2% QoQ and 3.9% on a YoY basis. Our EBITDA margins for the quarter were 19.2% and improved by 17 basis points QoQ. Data EBITDA came in at INR 964 crore , up 9.4% QoQ. Data EBITDA margins improved to 18.6%, improvement of 144 basis points over Q1.

We've been investing in strategic bets over the last few years, and Lakshmi highlighted the progress we are making in these bets. We are transitioning from capability building phase to monetisation, and we will start seeing the compounding over time. The f act that they will start contributing meaningfully to incremental digital revenues in the coming quarters should accelerate our journey towards profitability. This is exactly the operating leverage we have been mentioning about in the past. We shall now st art seeing this to play out.

PAT for the quarter came in at INR 183 crore , declined by 27% on a YoY basis. Net debt for the quarter stood at INR 11,315 crore . Increase is driven by dividend payments of INR 7 13 crore and also continued investments in STT to maintain our stake. For ex also had an adverse impact on net debt, resulting in an increase of INR 222 crore . Ned debt -to-EBITDA, therefore, stands at 2.45x.

FCF for the quarter came in at INR 216 crore versus a negative FCF in the previous quarter. The increase was driven by improvement in working capital and higher EBITDA. Cash CapEx at INR 506 crore is lower versus Q1 by INR 127 crore . ROCE came in at 15.1%. Our ROCE is based on a 12 -month rolling numbers. ROCE is negatively impacted by For ex and investment in STT, our pursuit towards growth with profitability, and we'll address declining ROCE in the coming quarters.

Coming to subsidiaries and real estate, the revenues for the quarter were up 8.1% YoY. Breaking it further, TCTS revenue came in at INR 264 crore , up 1.4% YoY. TCTS EBITDA for the quarter came in at INR 54 crore and EBITDA margins came in at 20.4%. TCR revenue came in INR 202 crore , up 27.7% YoY, TCR EBITDA at INR 89 crore and an EBITDA margins at 44.1%.

I would conclude by saying that double -digit growth in our data portfolio and our digital portfolio combined with improvement in data EBITDA margins is setting us well to continue our journey towards profitable growth.

Let me now ask Sudeshna to open the forum for Q&A.

Sudeshna Patnaik: Thank you, Kabir. We will wait for a minute for the question queue to assemble. Interested participants may click on the raise hand icon at the centre bottom of the pane on the application.

The first question is from the line of Sanjesh Jain. Sanjesh, you have been requested to unmute yourself. Please proceed with your question. Sanjesh, we can't hear you. We will probably move to the next question.

The next question is from the line of Aditya Suresh. Aditya, please unmute yourself and ask your question.

Aditya Suresh: Yeah. Thank you for the opportunity. I had a few questions. Maybe first starting with the data centre announcements. We've obviously seen at an industry level a slew of announcements, whether it be the hyperscalers or IT companies. You're obviously a leade r in the space from the DC -to-DC connectivity perspective. But even in a zoomed -out manner as a starting point,

could you just help frame the opportunity which you see both in India, and I appreciate that you also made a comment about exploring internation al markets. So maybe if you can just like speak about the opportunity that you see as addressable, and also the roles in itself which you see playing beyond just connectivity? Thank you for that.

A.S. Lakshminarayanan: Sure. Our core premise, our Core Connectivity has been that in India, we saw a growing demand for data centre capacity. We think in the next five years, the data centre capacity will double. And we are very well positioned as a leader in the data centre to data centre connectivity space, because it requires a highly performant, highly reliable, resilient, low - latency capability, both from a technology perspective and also from ability to service these clients extremely well. So that i s how we are seeing the market. And that is the reason why, while globally, the Core Connectivity market has been on a declining trend, we called out that we see would a growth and we are betting on a steady growth in that space. Now AI clearly has given a tailwind in the data centre cap acity space and we want to fully maximise on that opportunity.

Even internationally, not just because of the AI, but many of the large customers are looking at their data centre strategy, looking at their cloud strategy to see what is the hybrid model they want, what do they want to keep on -prem, how much they want to do on private clouds and how much they want to do on the public cloud, so we believe that large enterprises will want a lot of private cloud solutions and consolidate some of the data centre, which is the reason why we are exploring the DC/DC connectivity options to be delivered internationally. We already do that for several large customers and we're exploring how to further strengthen that. So that is one on the Core Connectivity side. The second equation of the AI that you pointed out that a lot of people are investing in data centres, specific ally for AI, the entire Digital Fabric is geared towards that, not just the Core Connectivity which does the DC/DC connectivity. But also in all these places, people are going to be in multi -cloud and they're going to have workloads running in multiple places, they have training in one place, inferencing in another place, which requires multi - cloud connectivity. And that is where we have launched a product for multi -cloud networking. Already we had a site -to-cloud networking product in the market and we are enhancing that with the multi -cloud networking. And we probably will be a very unique player that will offer both site -to-cloud and to network within the cloud. And that is one of the strategic bets. So that will play out very well, as people move to cloud and people start to train and inference with the distributed data.

Secondly, with our AI Cloud, our goal is to build the most efficient AI Cloud for customers. We are one of the very few players, probably only one in India, which have done the liquid cooling. It has shown that, in the last few months that we have actively deployed the GPUs for our customers, very high availability, the power consumption is low, which is why we've been saying that this would be one of the best -performing GPU clouds available in the market. And we are topping that up with the capabilities of AI Studio and agentic AI and so on. So ours will be all -rounded capability that we can offer to enterprises and to leverage the expansion of AI -based opportunities in the market.

Sudeshna Patnaik: Thank you, Lakshmi. Thank you, Aditya for the question. We will move to our next question. Sanjesh, I have tried to unmute you. Please unmute yourself and ask your question.

Sanjesh Jain: Yeah, thanks, Sudeshna. Good evening, Lakshmi and Kabir. I hope you can hear me now. Yeah. A couple of questions from my side. First, on the order book. Lakshmi, a flattish

order book after a good growth in FY 2025. Now what's transpiring here? Again, I thought we have built a decent funnel and we have crossed that journey of a longer decision - making? I thought now the order book growth should come more consistently. Now what suddenly has happened where order book again for the first half has been flattish for us?

A.S. Lakshminarayanan: Sanjesh, our order book is, as we go into larger deals, they are a little bit lumpy in nature. In the last year, we saw good order booking in Q1 and Q2 on the back of some of the larger deals. And we did call out Q3, Q4 was partly macro where we said the o rder book had gone to more of a steady -state situation rather than the increase that we saw in Q1. This year, definitely, the order booking is much better than the H2 of last year. But compared to the Q1, Q2 of last year, it's somewh at low. But again, as I called out in my commentary, the enterprise space order booking is still quite robust. The service provider segment is somewhat static. And the OTT side of the order booking is anyway a bit lumpy. I will not read too much into that. I think we are still seeing good funnel. We are winning large deals in the market growth in India and the international side. Yeah. So I don't think we are very concerned. But for us to increase this even further is where we are looking to see how to even more have coverage in the international markets. We are also exploring ultimate GTM models for some of the newer products with more digital -first model as well as the partnership and distributed methods are all being expl ored. That's the colour on the order book, Sanjesh.

Sanjesh Jain: Got it. To summarise, the first half was high base, so on a high base, we are flattish. We'll hit a more normalised base second half, so we should see an order book growth. And the quality of order book has improved because we are booking more enterprise a nd less of services. Will that be a fair summarisation?

A.S. Lakshminarayanan: Yes. I mean that's true.

Sanjesh Jain: Yeah, thanks. Second, Lakshmi, on the Digital Services. On the back of a nice order book growth in FY 2025, I thought we would cross a 20% growth, but again, a 15% growth YoY on a net revenue, it is significantly lower, 5.7%. I think the growth is coming from CPaaS, so net revenue conversion, obviously, is much inferior. Now that again doesn't show much exciting number. How to read this?

A.S. Lakshminarayanan: No. So even last year, I called out some of the order booking, the time to revenue varies. We did call out a good Q4 on the back of some of the deals that we won in Q1 of last year. And again, I pointed out some of the deals, especially in the media, we sa id it will play out in Q2, especially the World Athletics order that we called out last year itself. And another order, which we called out with a hyperscaler last year will only play out in fag end of this year. So the time to revenue of some of these ord er bookings is quite varied and it's very difficult to give a consistent view of the conversion of revenue and time taken to revenue because it depends on the product portfolio and the customer, which is we have been very explicit about calling this out an d mentioning that. So I don't think I would read much into that conversion and the reason. This quarter, in terms of our overall digital revenues, if you see digital revenues have grown. There have been some delays that has got pushed out to the next quart er. But having said that, the Nextgen Connectivity and the Media has grown 30% YoY. And we see that some of the pushed out ones will play out in H2. So that is how I would look at the conversion from order booking that we talked about to the revenue.

Sanjesh Jain: Again, on the cloud side, Lakshmi within Digital, we are so gung -ho about the cloud, AI Cloud, GP

U as a Service and security. Now the number at 13% growth really doesn't justify the kind of opportunity size and we being so low on the base. What's really ha ppening in the cloud? Why it's not translating , opportunity or potential not translating into a number? Particularly in the cloud, I thought that is a segment which can grow at a much higher clip on a base we are today?

A.S. Lakshminarayanan: Yeah. No, we don't separate out cloud and security. Both portfolios together have grown in the mid -teens YoY. Having said that, it is lower than the growth that we have had in the past, and there are many reasons. I think some of the attrition that we had last year, which I called out a couple of customer -specific things, that has contributed to some of the slowdown. But having said that, our order booking, specifically on the cloud, this quarter has increased YoY in mid -teens, and we see a good pipeline for the next quarter for conversion as well. Specifically, on the AI Cloud, we have won some marquee deals, which is what I called out. I think our performance of GPU and our ability to service that with very high uptime and reliable solution is playing out very well. So these will take some more time. I'm still bullish and gung -ho about the cloud and security. In the security space, we continue to win large SOC deals. We continue to win the network security deals. Internationally, I called out one of our existing customers in Europe where we expanded our security footprint for them. And we are also further investing in the security space. I mean that is one of the strategic bets that we called out. As to how we'll leverage our edge, our own CDN software that we had developed, the DDoS software that we have developed that we deployed for the Olympics earlier this year, combining all of those capabilities is what we are putting together an edge distrib ution platform fo r helping enterprises to deliver better application performance and security, is what we are working on. So this full space, we will continue to invest. We continue to be bullish. There have been some blips for the reasons that I called out, but we are still very bullish about this portfolio.

Sanjesh Jain: That's clear. One, if I can ask in relation to the TCS, which has announced a very large investment in data centre. How at the group level we are looking at the synergy? We have our own stake in STT, TCS coming up with a very large investment in the data c entre. And we have a nice DC -to-DC connectivity and now we are getting more bullish on the services layer, say, private cloud or a GPU as a Service now. Within the group, how do we want to exploit these opportunities with TCS having both pass ive and the application layer? We are in between them. How that synergy going to work and how it's going to benefit Tata Communications in medium to long term? And what's our take on STT stake now that TCS is getting into data centre business?

A.S. Lakshminarayanan: There are several questions in this question, Sanjesh, some of which, which I cannot answer. All of these are independent companies. STT has its own Board. We have, and so does TCS. All I would say is, and as you rightly pointed out, our offering sits very nicely to be able to take advantage of growing data centre capacities in India. As enterprises mature in their AI journey, we believe there is going to be a lot more of AI workloads, not just for training, but also in inferencing. We are well positioned with our full stack, not just for training, but also on the edge inferencing. We have recently won a few deals with our edge cloud in factories for vision analytics, for example. We've even won some of the deals in international marke ts for the edge capabilities. So as we pointed out, we are positioned well. We will collaborate with TCS and others to truly exploit these oppor

tunities.

Sanjesh Jain: But anything we have started working in terms of synergy benefit that can be shared with the public, which you think can transpire in the next 12 to 18 months for us?

A.S. Lakshminarayanan: That's too specific. I think we are continuing with TCS, there is a very strong collaboration in many areas.

Sanjesh Jain: Got it. One for Kabir. Kabir, this TCR EBITDA margin, there is a significant drop sequentially from 75 to 44. What explains that sudden drop in the margin? I thought it's a very steady -state business for us. At least that was the impression we got with the numbers we have shown for last so many quarters.

Kabir Ahmed Shakir: Yeah. I mean thanks for that. Let me explain what has happened in TCR. Since we acquired Kaleyra, TCR as a business has done exceedingly well, both in terms of growth and profitability. This quarter, the management of Tata Comm along with the Board of TCR, we decided to incentivise the management for almost having created a solid business out

of literally nothing. Plus we're also now looking at how we can take TCR, which is predominantly U.S. -based, to more international markets. And therefore, we have crafted an incentive comp structure for the management team which aligns with the growth ambitions that they will a ctually deliver. So this quarter contains a onetime incentive payment to the management. But going forward also, I mean, we have structured in such a way that the management will get compensated on a variable pay basis directly in relation to the value that they will generate for TCR. So in any case, we were not expecting it to continue in the 70s. Any which way with this revised comp structure, the EBITDAs will come down, with onetime hit it is at 44. I would more stabilise this business in the low to mid-50s, is what I actually see th is business on a steady -state basis after taking into account this revised comp structure that we have offered to the management of the company.

Sanjesh Jain: This will shave off almost 2,000 basis points of margin in the TCR?

Kabir Ahmed Shakir: That's true .

Sanjesh Jain: Pretty generous. Yeah, Kabir?

Kabir Ahmed Shakir: Yeah.

A.S. Lakshminarayanan: Are you made a statement, or are you asking a question, Sanjesh?

Sanjesh Jain: No, I was asking a question. It appears to be quite high. So that's how we should think, right? Then what should be the growth rate we should look at, then it should grow at much higher rate.

A.S. Lakshminarayanan: No, we can't comment on the future. But if you look at the past three years, since we acquired Kaleyra, it's grown very, very impressively.

Kabir Ahmed Shakir: In this quarter, if you see 28% growth, is what this business has demonstrated growth. And it's a very niche business and has a potential to replicate that across the globe. It should needs investment as well. So it's not slam -dunk and it is not easy that what has been created. And that's the kind of big target that the management is taking. So therefore, the comp structure is in line with that aggressive ambition that they have.

Sanjesh Jain: That's very clear. But just one last question. I know I have taken a lot of time. Tax rate, Kabir, anything you want to comment on the tax rate and the negative other income?

Kabir Ahmed Shakir: See, the negative other income is because of the cross -currency swap. So I wouldn't pay too much attention. We don't do hedge accounting for, we took an NCD of INR 70 crore in India because that was more beneficial for us to do it, although our requirement was in dollars. We immediately did a swap on both ends. So we are not exposed. So that's just the mark -to-market effect of that. So I mean, I wouldn't worry too much about the other income.

Sanjesh Jain: And tax rate?

Kabir Ahmed Shakir: Tax rate, there has been a di

vidend payout in one entity that we actually did, which is TCR itself. So as a result of that, there was a withholding tax.

Sanjesh Jain: But for the full year, we still maintain the 21% -22% of tax rate?

Kabir Ahmed Shakir: Yeah. We maintain.

Sanjesh Jain: Thanks, Lakshmi. Thanks, Kabir. I think we are into a very exciting journey, and I wish all the best for the team. Thank you.

Kabir Ahmed Shakir: We have been on it for a while, Sanjesh. Thank you.

Sudeshna Patnaik: Thank you, Sanjesh. The next question is from the line of Vibhor Singhal. Vibhor, please unmute yourself and ask your question. Vibhor, we can't hear you.

We will move to the next question in the queue. The next question is from the line of Aditya Suresh. Aditya, please unmute yourself and ask your question.

Aditya Suresh: Thanks. I had a few follow -ups to my earlier questions and also the previous remarks which were made. I was hoping, Lakshmi, Kabir, if you all could kind of maybe revisit your ambitions which you all had articulated at the Analyst Day, so whether that be revenue. Are you feeling more optimistic or are you feeling more confident that we kind of meet these revenue ambitions given the slew of kind of positive announcements we've seen more recently, as kind of Part A?

And Part B is that kind of, as you're kind of chasing these revenue aspirations, how should we think about CapEx intensity and your path towards expanding ROCE towards 25%? Thank you.

A.S. Lakshminarayanan: Yeah. On the growth side, Aditya, we set out a target because we think that there are market opportunities in every domain that we operate in. And so if you look at the network space, people have to redesign the network for all the distributed data, AI, d istributed workflows all of that needs to happen. And I don't want to go through the rationale for each one of them. But we think that some of those transformations are more a question of when rather than if they would do that. And we are beginning to participate in that. And we still have to execute in by expanding our reach in these markets and so on. And some of those strategic bets that we've called out, as I said, we are in the early stages of that, all the five that we called out. And in the initial stages of our taki ng that to market, we are receiving good amount of reception and traction in the market. And that's why we called out, if you see, those five are supposed to contribute 10,000 crore by 2030. These are too early to see , I mean those are the ambitions. Too early to see whether, how and when we will reach those. But all they can say is we are very still gung -ho about all the product opportunities that we laid out in all the fabrics. So we keep our ambition intact. That's what I would say on the revenue side.

Kabir Ahmed Shakir: Yeah. I mean I would, Aditya, just to add on to even to revenue when we came on with the Investor Day and we gave, it's not a target and ambition we want to double, because of all the opportunities that Lakshmi called out. But there we also need to be rea listic of sometimes the headwinds that we get, like the Red sea cable cuts that we've all heard of. Despite that, I would say we're quite happy with our Core Connectivity growth. And if that had not happened, then it would have been a very different kind of a performance in the quarter from Core Connectivity. Equally, I would say on, there was also a question on cloud. On AI Cloud, today, we made the investment, almost close to 1,000 GPUs have already been bought. We've yet to get revenue. I mean very small minor revenues , 200k is what is reflected in the numbers. So far, but we've got a very good funnel. We are seeing good customer traction. So all the input parameters seem to be saying the right story in terms of our investment that we are making. Now the flip side of it i

s that the KPIs don't
catch up with it immediately in that near quarter. So obviously, we don't see, if you do the maths of adding investment, but not having anything on the numerator, will continue to look weak. What time and again remind is our guard rails, which is how we approve investment decisions, how we set annual and strategic plan tar gets are based on doubling business, 23%, 25% margins and greater than 25% ROCE. So in fact, every CapEx decision outside of the strategic CapEx, we are guided by the IRR thresholds in line with our ROCE ambitions. The strategic CapEx like, for example, that we do on AI Cloud or the strategic bets that Lakshmi mentioned, or the inorganic investments that we have made, all of those things have to pay back over a period of time to get the ROCEs back up and running.

Are we confident that they will happen? Absolutely yes. With geopolitical situation, with tariffs, with macro, with things like cable sea cuts, there will be a little bit of volatilities in a quarter here or a quarter there, but we are still married to the ambition that we have outlined on the Investor Day.

Aditya Suresh: Thank you, Kabir for that. If I can just clarify, may ask for one clarification. So our ambitions here in the Vayu AI Cloud, is it fair to say that the CapEx itself is done, which is, as you say, you kind of got to 1,000 GPUs, and now it's about the catch -up and better utilisation driving returns? Or is there still a large kind of CapEx phase you have for us to think about? So I guess the real question is, when you think about CapEx to sales sub -10%, is there a blow out to that number which could happen?

Kabir Ahmed Shakir: On AI Cloud in specific, let me answer this way. We first went ahead saying we will put in 1,000 GPUs to start with and won't worry about revenue. Let's have customers come in, use it, even internal traction as well, of that usage internally on a lot of o ur products and a lot of our use cases that we are working on are all extremely promising. Once I have the 1,000 GPUs utilised fully by paying customers, we will invest more. Look, we are here in the business of driving growth and delive ring our products and services and solutions to our customers. So therefore, now we are not going to not invest if we are having the customer traction. Obviously, we will not invest more GPUs if the first 1,000 are not getting utilised. And that cycle will continue per se. We are looking at 11% to 12% CapEx to sales is what I'm looking at as we see now, and that's the level that will continue in the near term.

Aditya Suresh: Thank you, Kabir. May I ask one more separate question?

Kabir Ahmed Shakir: Go ahead, please. Aditya.

Aditya Suresh: Just on margins, maybe, Kabir, so we're not going to try to, I appreciate that you don't split out the margin for Core Connectivity and the digital portfolio. But just given your disclosures around gross and net revenues and so forth, the broad sense that a t least I was able to land at was that maybe you saw a reduction of losses in the digital portfolio by about 200 to 300 basis points. It's fairly material in this quarter. I'm not sure if you're able to comment on that assessment, point one . But it does seem that there was a reduction and losses in the digital portfolio. Was that scale or was that specific discretionary actions which the company took? And how should we think about that journey to breakeven? Is that a few quarters, a few years? How do you all think about that?

Kabir Ahmed Shakir: Yeah. I think good question, Aditya. I think it's a combination of both, and it varies business to business within the digital portfolio. There is an exceptional item that we have in PAT, and one of the reasons why that PAT dropped as well, that is to rig ht size some of our businesses, including our subsidiary as well from an

operating model perspective. So that is definitely one area. Plus we are also seeing businesses, I would say, getting the scale, although not all of them getting th e level of growth that we would want them to. But they're getting, they're definitely better than what they were last year and in the second half of that. So it is going in the right direction. I would have liked the speed to be a little faster, but it is still going well. So it's a combination of both volume, resulting in operating leverage and us rightsizing our operating model.

Aditya Suresh: Thank you so much. All the best.

Kabir Ahmed Shakir: Thank you.

Sudeshna Patnaik: Thank you, Aditya. The next question is from the line of Vibhor Singhal. Vibhor, please unmute yourself and ask your question.

Vibhor Singhal: Yeah. Hi. Thanks for giving me the opportunity. Two questions from my side. One, Lakshmi, again, sorry to delve a bit more on the data centre thing. So I mean in the TCS conference

call, I think the CEO specifically mentioned about basically the opportunities that are there in the Tata Group ecosystem. So to that extent, I know it will be difficult for you to comment on that. But I mean, at a broader level thing or let's say, at a very preliminary level of these conversations, what are we looking at as our role in this entire thing? Is it just providing the DC -to-DC connectivity that we're talking off? Or there could be a possibility of we taking a stake in that entity as well in term s of maybe having a stake in a data centre? We already have 26% stake in STT or will it be, let's say, partnering with other companies in that as well? Some clarity or some early indicators would be really helpful.

A.S. Lakshminarayanan: No. I can't give clarity when there is no confusion. So to be fair, TCS has made an announcement, which is an entity by itself. And as you rightly pointed out, we are also operating with STT. All I would say regardless, and I'm sorry to repeat what I said. We have a very strong proposition in the data centre connectivity space, and we'll continue to explore all opportunities and exploit all opportunities. We do have a strong cloud proposition and especially with AI Cloud and other capabilities that are ther e. So those are the areas where we would look for collaboration and expand what we do in the market.

Vibhor Singhal: Got it. Sure, Lakshmi. I understand, basically it's in very early stages. But also keeping in mind the entire, I mean, as you mentioned, the data centre capacity which should more than double in the next few years, and the kind of opportunity that we're l ooking at. Is there any basically thought on increasing, decreasing or selling our stake in STT data centre, or nothing on that sort, on the calls on that also at this point of time?

A.S. Lakshminarayanan: No, I can't. There is no such proposal.

Vibhor Singhal: There's no, in either direction.

A.S. Lakshminarayanan: In either direction. Yeah, we are retaining that is what we called out even this quarter, further investments to keep the 26% stake. I mean if there's anything that we would be coming to the market, but.

Vibhor Singhal: Got it. That's really helpful.

Kabir Ahmed Shakir: This quarter, before I just called out in my commentary, we have continue to invest in STT.

Vibhor Singhal: To maintain the stake.

Kabir Ahmed Shakir: I mean I know the questions that Aditya asked on, I know we have an ambition of ROCE. And if we invest in STT, it dilutes our ROCE. But we believe that strategically, that's the right thing to do for us to maintain our stake and it's the investment in the right space. So we're not getting swayed by short -term KPI things, while we are married to what we have said as the right markers for us to run the business, but we will not shy away from taking the right actions, even th

ough in the sho rt term they may be different to the markers that we have told the market.

Vibhor Singhal: Sure, Kabir. Since you mentioned about ROCE, let me basically ask you a question on that. So as you rightly said, these decisions are definitely good for the business from a long -term point of view, while they might be slightly dilutive or, let's say, from a very immediate or temporary point of view. I know we've basically, in FY23 we had given a four point guidance of doubling our r evenue, margins, ROCE and leverage by FY27. Now we know the data revenue doubling will probably happen somewhe re in FY28 now. But are we committed to those other three guidances that we have given in terms of margins, ROCE and leverage? Because this quarter, we saw the leverage also picking up, ROCE is also coming down. And margin pace, as you mentioned, maybe the pace of that pi ckup is not to the best of our liking. It's definitely growing, but maybe it could have done better. In terms of those three things, where are we? And do you think we will still be able to achieve them in FY27?

Kabir Ahmed Shakir: No. We mentioned that our ambition got shifted by a year from a data doubling point of view. The other three elements have their own time line with net debt -to-EBITDA coming to the under 2x range faster, ROCE followed within a year and EBITDA margins a year after. That's what we had said that we are working towards. Again, I will repeat, Vibhor. These are the right contours with which we do a strategic planning for our business. Now there are elements which are sometimes outside our cont rol like the entire external environment in terms of interest rates and For ex, which like, for example, this quarter, we did not expect our net debt went up by INR 222 crore because of the For ex volatility that we've actually seen. We almost touched 90 as well, so we went to whatever 89 .70 or something of that sort so. So we do have those external variables with which we are operating, which has an impact. Plus we are taking certain actions, which we do believe, I don't know if those will give the result to me within the FY27 time frame, if they give me the result within the FY27 t ime frame, we will hit the ball out of the park by that time. But each of the set of the actions, I mean, I would say the STT investment alone is almost 220 basis points of my ROCE, if that was not there per se. So we will not do anything wrong from terms of overall value creation for our shareholders because of these metrics.

Operationally, I mean, the investment decision that we take in our organic investments in the business, they are guided by these thresholds. So we run a business that way. But the corporate actions or anything below the line that we may take that we are ta king in view of a longer -term strategic direction, that's how I would put that in. Short answer is, yes, we are married to it, but if it doesn't happen in a quarter or six months here or there, because of the corporate actions, which we are calling it out and letting the sStreet know well in advance because they are driven not by KPI, but they are driven by the right outcome for our shareholders.

Vibhor Singhal: Got it. Great, thanks Kabir and Lakshmi, thanks for taking my questions. And wish you all the best.

Sudeshna Patnaik: Thank you, Vibhor. The next question is from the line of Sumangal Nevatia. Sumangal, please unmute yourself, introduce yourself and ask your question.

Sumangal Nevatia: Yeah, good evening everyone. This is Sumangal from Kotak Securities. My first question is on the Core Connectivity revenue. Is it possible to give some colour as to what would be the contribution of DC -to-DC business today? And over the medium term, say, next three, four years, how bi g can it become given all the investment plans? And just from an understanding perspective, is there any thumb rule to work with respect to say, every 1 megawatt of DC plan, what sort of spend goes into Core C onnectivity?

A.S. Lakshminarayanan: We don't have a metric like that to give. Also we don't have a metric to break out in our Core Connectivity how much is the DC -DC connectivity. Largely, it would be that, but, we can't break that out. Called out that one of the main drivers for growth in the Core Connectivity space has been, and this is not something new, we called out even three, four years ago, that we were pegging our Core Connectivity to grow in the low to mid - single digits and we d eliver more like 5% plus. That came because of the large DC/ -C connectivities that we were doing. And the AI is only adding that to the tailwind for further growth in the Core Connectivity space.

Sumangal Nevatia: Got it. If I can just ask one more. I mean given all the data centre investments which are being planned in the country and the associated requirements of land parcel, does it, in any way, boost our prospects of land monetisation, which we've been already doing? I mean is there any connect between the two which we should think in the direction of?

Kabir Ahmed Shakir: We are doing that independently anyway, Sumangal. Even this quarter, we had a small parcel of land in Kolkata that we actually sold, so ■85 crore sale, gain on that is about ■77 crore . We've declared it in our results. There are a few big land parcels that we have. And we have plans of monetising them in the next few years. If that happens to be within a group company, that will be within the ambit of related party guidelines. But we wi ll

maximise our value. We maximise that already with Ambattur, which we sold a few quarters ago. And I think the shareholders have positively benefited from the big gain that we actually got from that land parcel. So that is a separate parallel track that is running. And we've d one a tremendous amount of work. I mean each and every land parcel needed work in terms of documentation and other issues that were surrounding it, which is coming in the way of monetisation. So we are working that completely independen t of what it is. And I'm sure with these investments, as Tata Comm, we can only stand to benefit in monetisation of these parcels.

Sumangal Nevatia: Kabir, is it fair to say is the heavy lifting what we've seen last year already done and what lies in future is more of small land parcels or similar sizable opportunities are also there in the portfolio today?

Kabir Ahmed Shakir: No, I have two big land parcels, Sumangal, which are much, much bigger than anywhere else. Our GK land in Delhi and Chhatarpur is another one. So these are the two big land parcels from a value perspective, I have equally much larger one in Dehradun as wel l, but that's value -wise is not big. But value -wise, these two are very, very big, right? So they are not of the order of magnitude that we have seen in the past. Very much higher than that.

Sumangal Nevatia: Got it, got it. Thank you very much and all the best.

A.S. Lakshminarayanan: I think just to add on the data centre space, I said that we have a very strong position of the DC -DC connectivity in India, over 40% market share is what we have. And I also mentioned that we are exploring opportunities of DC/DC connectivity for enterprises internationally as well. So this area, and especially with our investments to make them more sof tware -defined, on -demand products that we are adding to this, all of that will help us to further strengthen this portfolio for us.

Sumangal Nevatia: Understood, thank you. And all the best.

A.S. Lakshminarayanan: Yeah, thank you.

Sudeshna Patnaik: Thank you, Sumangal. The next question is from the line of Mayank Babla. Mayank, please unmute yourself, introduce yourself and ask your

question. Mayank, please unmute yourself and ask your question. Mayank, we can't hear you. We will move to the next question in the queue. The next question is from the line of Sanjesh Jain. Sanjesh, please unmute yourself and ask your question.

Sanjesh Jain: Thanks, Sudeshna . I hope you can hear me. Thanks for taking the follow -up question. Kabir, just one small question. This quarter, and you have been doing this for the last few quarters on the staff optimisation . When should we start seeing this translating into margin benefit, right? Or these are reinvested in terms of getting better resources, which is more aligned to our current strategy? How should we see this staff optimisation? Because even in this quarter, we have booked close to Rs. 1 billion of that cost?

Kabir Ahmed Shakir: Yes. I mean Sanjesh, so you will see at least for this immediate benefit come through in the next few quarters itself. When we in the Investor Day talked about improving our Digital portfolio margin profile, I said it's made up of a few things. We are hold ing our leaders leading these businesses accountable for certain outcomes. Yes, we want growth, I mean, growth, growth and growth is the most important priority. But for some reasons, growths are getting pushed out, we are also saying g et ourselves into a right operating model, so which is then scalable with that particular growth, that we are not carrying the cost too long until the growth actually comes.

So this is going to be a continuous journey. Hopefully not staff costs, not redundancies is not a continuous journey, but a continuous journey of us getting the growth and then investing more and then getting the growth and investing more, right? So this is a rightsizing that we have done for two of our categories, two of our businesses internally within Tata

Comm and for our one of our subsidiaries as well when we exited an onerous contract. That I'm assuming is only one -off and not going to repeat. But in Tata Comm, we will continue to, I would say, invest in people, continue to invest in the strategic bets. And of course, we will scale that up with growth as the market, but we will also rightsize our business as we get along. Short answer, hopefully, in our margin aspirations that we had called out for Digital leading in, this should help in the margin progression in the coming quarters.

Sanjesh Jain: That's clear. Just one follow -up on the margin, Kabir before I end my question. Last year you mentioned that we will at least do a 20% margin, which we did achieve last year. Think we will surpass 20% in this year, because first half, we are slightly below 20%. Do you think we will make up in the second half and we should cross last year's margin profile?

Kabir Ahmed Shakir: Sanjesh, there are a few headwinds which we had not foreseen when that ambition was set. The Red Sea cable cuts, which I would have seen more uptick in terms of potential revenue that we would have got, which would have been good because that comes at a different margin profile, a healthier margin profile. So we've been robbed off that with this, plus the cost associated with the repair of it, not all of which is already reflected in this quarter, which we'll come through as well. So the re is one such headwind.

And I called out the TCR management compensation structure. It's not just the entire margin reset is not only on account of that, but it's also about certain cost elements that we believe will come through from a steady state perspective, both of which wer e not factored in. One is internal, purely internal, and one is external. So we are aiming to have better improvement trajectory on overall margins with data EBITDA margins driving that forward. Whether 20% or not, I can't give you an exact answer there, b ut we are all aiming towards an improvement over last y

ear.

Sanjesh Jain: Fair, Kabir thanks for the answer and again best of luck for future.

Sudeshna Patnaik: Thanks. Thank you, Sanjesh. The next question is from the line of Mayank Babla. Mayank, please unmute yourself, introduce yourself and ask your question.

Mayank Babla: My first question is related to the Interaction fabric and specifically the CPaaS subsegment. This industry has gone through certain disruptions in terms of the whole movement from SMS to WhatsApp. And then I think from 2022 onwards, there was the whole fia sco about fake accounts and SPAM bots, which made clients reluctant. I have a three -part question to this. One is what is driving growth for you in this segment? Second, how should we look at growth for the years ahead? And third is, I think you mentioned that this whole shift from SMS to WhatsApp is benefiting your orchestration layer. I didn't quite understand that. So if you could help me on that, yeah.

A.S. Lakshminarayanan: Yeah, so Mayank, you're right. I think in the CPaaS business, which largely today is SMS, the market growth in SMS is in single digits. We are very happy and pleased to see a 12% growth in this business. Simply leveraging with the platform capabilities that we acqu ired in Kaleyra as well as the larger customer base that Tata Comm has. In terms of our strategy , called out that the growth of SMS, SMS will still continue, but the growth of SMS will not be as high as in the past years. Bu t the other channels, notably programmable voice, RCS, WhatsApp and others will start to pick up, is what we had called out. And as people go to multiple channels, there is a need to orchestrate between these channels. So if we send an SMS and the customer doesn't respond, we will have a fallback channel automatically to our voice to communicate with the customer, or any other channel. So that is what we mean by orchestration. That is one layer of orchestration. But we a re also building a lot more of AI and intelligence through agentic AI and voice AI and journey orchestrations at the top layers, which brings a lot more of context. So when people switch between the channels, the contact centre agent, for example, knows exactly what happened in the communicat ion, the earlier channels, handing over from a voice agent, a human agent to voice AI or other way around.

So all of these involve very intelligent orchestration, which is what we are working on. So that's the direction and investments that we are making.

Mayank Babla: And this rate of growth will be sustainable in the years ahead?

A.S. Lakshminarayanan: That is what we are calling out and that is where we see the markets, that we are very optimistic about exploiting these opportunities.

Mayank Babla: And my last question would be, I know you had given some clarification to Sanjesh earlier, but on the order book. So the first half is that we've seen a flattish order book. Is that purely a function of base effect? Or are there some other headwinds? And s econd, what is giving you the confidence or visibility for that order book revival in H2? Thanks.

A.S. Lakshminarayanan: Yes. As you've said, it's a base effect. In Q1 and Q2 of last year, we had a very good and large order booking that we had. This quarter, order booking is quite decent. It's much above the previous years, but lower than the Q2 of last year. So we don't hav e any major concerns on the order book at all. Our funnel is also very solid. We called out that our order booking in international markets have grown, our enterprise segments have grown. We called out that we can't predict the order booking for H2 because it's a function of many things. But what we are saying is because of the order bookings that we have done and some of the revenues are back ended from those order books, we are saying that, the H2, we should see som

e acceleration. So that is what we calle d out and mentioned.

Mayank Babla: Thank you so much and best of luck.

A.S. Lakshminarayanan: Thank you.

Sudeshna Patnaik: Thank you, Mayank. The last question is from the line of Amit Maskara . Amit, please unmute yourself and ask your questions. Amit, we can't hear you. Please get in touch with the Investor Relations cell and we can get your questions answered. Thank you, everyone. This brings us to the end of the Q&A session. I would request Lakshmi to please share his closing comments.

A.S. Lakshminarayanan: Thank you all. We're very encouraged by growth in our digital business. And as I mentioned, some of the new products that we announced are seeing good reception and traction in the market. We will continue to invest in these areas and exploit the opportuni ties available both in India as well as in the international markets. Thank you.

Sudeshna Patnaik: Thank you, Lakshmi. This brings us to the end of the call. In case of any queries, please write to investor.relations@tatacommunications.com. Thank you for joining the call and you may disconnect your lines now. Thank you.

Call: Jan 2026

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HQ/CS/CL.24B/18353
January 28, 2026
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Mumbai 400 051
SYMBOL: TATACOMMBSE Limited
P.J. Towers, Dalal Street,
Mumbai 400 001
Scrip Code: 500483
Dear Sir / Madam,
Sub: Earnings Call Transcript pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and with reference to our letter no. HQ/CS/CL.24B/18335 dated January 12, 2026 please note that the transcript of the Earnings Call held via webinar on Wednesday, January 21, 2026at 5:30pm ISTregarding the Unaudited Financial Results of the Company for the quarter and nine months ended December 31, 2025 has been uploaded on the website of the Company within the prescribed timeline and can be accessed at the following weblink:
https://www.tatacommunications.com/investors/results/
Kindly take the same on your records.
Thanking you,
Yours faithfully,
For Tata Communications Limited

Zubin Adil Patel
Company Secretary and Compliance Officer

Call: Apr 2026

April 22, 2026, at 06:30 pm IST
Q4 FY202 6
Earnings Call Transcript

Management Participants :
Ganesh Lakshminarayanan , Managing Director and
Chief Executive Officer - Designate
Kabir Ahmed Shakir, Chief Financial Officer
Siddhartha Mundra , Chief Financial Officer - Designate
Rajiv Sharma, VP and Head, Investor Relations
Sudeshna Patnaik , Deputy General Manager, Investor
Relations

Moderator: Ladies and gentlemen, good evening, and welcome to the Tata Communications Limited Q4 FY26 Earnings Conference Call. The results for the quarter ending 31 March, 2026 have been announced, and the data pack is available on our website. Please note all the participant lines will be in a listen -only mode. And this conference is being recorded.

We have with us from the management team, Mr. Ganesh Lakshminarayanan, MD and CEO - Designate , Mr. Kabir Ahmed Shakir, CFO , Mr. Siddhartha Mundra, CFO – Designate , Mr. Rajiv Sharma, Head of Investor Relations and Ms. Sudeshna Patnaik, DGM, Investor Relations.

We will begin the call with opening remarks from Ganesh on the business performance and outlook, followed by Siddhartha on the company's business and financial performance. Post that, we will open the floor for questions for the management. In the event th at the management line drops, we request participants to stay connected while we reconnect them to the meeting.

Some of the statements made in today's call may be forward -looking in nature and are subject to risks and uncertainties. The company does not undertake to update these forward -looking statements publicly.

I now hand the call over to Ganesh. Over to you, sir.

Ganesh Lakshminarayanan: Thanks, Inba. Thank you. Good evening, everybody, and thank you for joining our Q4 and full year FY26 earnings call. This is my first call as CEO and MD of this remarkable organisation. It's a big privilege for me to lead Tata Communications in its next phase of growth.

I would like to start by extending my sincere appreciation for Lakshminarayanan, who is a prior CEO. On behalf of the Board and the entire organisation, I want to thank Lakshmi for his remarkable contribution to this great institution. I also want to thank Kabir for his disciplined execution over the last many years, I wish the best to him in his future endeavours. Kabir is on the call today. I'm very glad he is joining today on the call. Given it is his last earnings call, we have decided that we will defl ect all the tough questions to him, so keep your questions ready.

I'm also pleased to welcome Siddhartha, who will be taking over from Kabir. Rajiv, my Investor Relations Head, is looking at me very anxiously. He and his team have been prepping me and Sid for this call , and one of the questions he wanted me to have an answer was, Ganesh, what's your north star for Tata Communication. So I told him, Rajiv, I'm sure people on the call are smart enough to know that I'm still finding my way around our corporate headquarters in BKC with just 10 days into the job after Lakshmi left. I'm not ready to point to any north star. But however, I told them, I will share three important things. One, the most important one is what am I learning I've been spending my time, it has been about 45 days , I'm spending with the team and the customers. Why I joined Tata Communication and my excitement about the l ong-term future of Tata Communications. In a way, it's my personal investment thesis to stay long on this company. Third, I will also share my views on near to medium term. So let me go through all of these three before we talk about FY26 and Q4.

Over the past few weeks, it's been an exciting time for me. I've been meeting customers across markets, across geographies, engaging closely with our t

eams and spending time
across our businesses. I am learning a lot. One thing I'm very excited about is al l the customers I've met, I've met close to 2 dozen customers so far, they have told me unanimously that Tata Communications is their preferred partner. It reflects in our NPS. Our score is 83, and particularly in the India market, we have an NPS score of 95. It's truly a golden benchmark among the peers in this industry.

The second thing I heard from them is, they want us to work across their digital infrastructure. They are expecting Tata Communications to bring the trusted infrastructure that will get them ready for the AI transformation. What I also see is that we are t ruly uniquely positioned as a global commtech player. As a global commtech player today, we serve more than 50% of the Global Fortune 500 companies. I am told close to 60% of our revenue comes from international markets.

We have a very broad portfolio as a commtech player. Our digital platforms are now for the first time trending more than 50% of our data revenue. I am learning a lot. We're taking care of our customers. We have a broad portfolio. We are truly uniquely posi tioned as a global commtech player.

Let me talk about the second one, which is my long -term excitement about what's happening in the industry. I personally see that there are 2 big trends shaping the future. And I firmly believe that we are uniquely poised to capture those 2 trends.

One, if you look at all of our markets, in markets like India, Indonesia, in the developing markets, we see the customer front end is digitised. When I say customer front end is digitised, we can buy groceries online, we can trade shares online, we can ord er shoes online. But the back end is still yet to be digitised. The supply chain in the factories, the logistics, warehouses. My favourite example is that, during COVID times, we could order pizza online and get it tracked every minute, but we didn't know how where our oxygen cylinders were. I think there is a big opportunity in a lot of these markets where the back end of the country is still need to be digitised. This is a white space where our network, our Cloud, our Edge capabilities will position us st rongly.

The second trend, which is happening is the AI -led transformation. If you look at what's happening in AI, the real ROI of all AI investments, when it comes when the AI is working with enterprise intelligence, enterprise data, and the odd architecture is ev olving very fast. You will know that for AI to work effectively, you need constant training and that training is happening centrally and the inference is moving to the Edge. And this needs an unified infra, it needs an AI -ready connectivity, which is highe r bandwidth, higher speed but also something which will move at expected speed all the time. It also means that compute will be closer to the end customer. To these 2 trends, to power enterprise AI at scale, and digitise the supply chain, our customers will need the unified infra from a trusted partner. That is what Tata Communication is all about.

We are uniquely combining our network backbone, our cloud and security infra and our new Commotion AI -enabled interaction fabric to pull the programmable infra platform, which will power enterprise AI at scale globally. The long -term, these 2 strengths will create demand and with the broad portfolio we have built, we are poised to capture that effectively.

Let me go through this near to medium -term view. We believe, and you all have been here that we have gone to 2 distinct phases in the last 5-6 years. In the first phase of it, we got financially fit. We built a disciplined balance sheet. You've seen those results and we use that balance sheet in the second phase, where invested organically and inorganically to build our digital fabric. We believe we are entering a phase where we will prioritise profitable growth.

As we evaluate the strategic choices, our focus on disciplined capital allocation will continue. As a management team, me and Sid's immediate priority is ensuring continuity in strategy, strengthening the execution momentum and delivering profitable growth. And I'm happy to share that our Q4 and FY26 results are in the right direction.

For the full -year of FY26, data growth came in at 9.4%. Our digital portfolio grew by almost 17%, at 16.7%. The growth momentum was visible across the board for the digital

platforms, but my personal callout is our next -gen connectivity platforms is leading the pack at 24% growth YoY.

On this quarter's performance, I'm sure it will bring smile to all your faces. The data revenue for the quarter was up 6.1% QoQ. The digital portfolio was almost up 10% QoQ at 9.4%, and the core connectivity, again, my favourite, grown by 2.8% QoQ.

As you could see the growth was strong across the portfolio, especially our interaction fabric, both employee interaction and customer interaction did really well. This quarter also, we also saw growing traction in our AI cloud and increasing adoption of ou r commercial AI platform.

On the funnel, it continues to be robust. 70% of the open funnel comes from our digital fabric. I'm also pleased to share that our order booking for the quarter has been healthy double -digit YoY growth. Now our international order book has been particularly strong this quarter.

Let me talk about some of the wins. I think that brings colour to our performance. See, one thing we are very pleased about is network transformation, was a key theme for this quarter, especially our IZO Hybrid WAN has been a big win across regions. We clo sed multiple wins. We displaced incumbents and modernise legacy networks of our customers. Especially, I want to call out 2 notable wins in the U.K. region, one with a global wine major and one with a large automotive services player. I think these wins br ing the best of what we have. We have the global fibre footprint. We have integrated services, and we have a software -defined platform, which is making these wins possible.

I also want to go a little deeper into a few wins, which actually truly brings out the power of the multi -tower portfolio we have built. One example is a leading global bank. They selected us to establish their global capability centre, GCC, in India. It's a true digital fabric win, which included both our Network Fabric and the Interaction Fabric. This proves our ability to enable GCCs with secure, cloud -ready, globally connected network environment.

It also allows seamless collaboration between India hubs and their employees worldwide. And as the GCCs continue to grow in India, it helps us to capitalise on that growth. The second win is we won a multi -million dollar multi -year deal in APAC with a global bank. And this is the exciting product, IZO Multi Cloud. It connects across 4 locations, and MCC provides direct low latency and with the fibre backbone we have, we can provide sub - three millisecond latency to major clouds, and it also lowers the egress cost of our customers. It's a scalable interconnect platform for large multi -cloud environments. Most enterprise customers are working with multiple clouds and this IZO Multi -Cloud Connect is a big value add for our customers.

The third win I want to call out is a large managed secure edge services win for a leading life insurance company. Across 155 locations, we demonstrated the strength of our integrated collaboration offering. We combined a UCaaS platform, devices, network, managed services to deliver a superior user experience and with tangible cost benefits for our customers. These 3 wins, hopefully , shows the power of our portfolio and how is it winning in the market.

Let me close by saying we are truly better positioned to serve global enterprises with a unified infra they're going to need for AI transformation. We are uniquely combining our Network Fabric, our cloud and security fabric and our AI -enabled Interaction F abric into a programmable platform, which will power enterprise AI at scale. In the short to medium - term, we will get stronger with focused growth on profitability and capital discipline.

I will now hand over to Siddhartha to take you through the financial performance in more detail.

Siddhartha Mundra: Thank you, Ganesh. It's a real pleasure to be a part of Tata Communications. Let me start with the full -year performance. The FY26 consolidated revenue came in at INR 24,803 crore , up by 7.3% YoY. Data revenues came in at INR 21,352 crore up 9.4% YoY. The Q4 FY26 consolidated revenue came in at INR 6,554 crore , growing 5.9% QoQ and 9.4% YoY.

The top line has certain forex benefits accruing from a strengthening dollar. Normalising for the same, the revenue growth stood at 3.8% on QoQ and 3.7% on a YoY basis.

Data revenue for the quarter came in at INR 5,684 crore , growing 6.1% QoQ and 11.5% YoY. As we look ahead, we expect the momentum to continue even as we remain mindful of potential near -term headwinds arising from geopolitical developments in West Asia.

FY26 consolidated EBITDA came in at INR 4,822 crore , up 5.5% YoY. EBITDA margins for the full-year were at 19.4%, around 30 bps lower on a YoY basis. The decline in margins were primarily driven by a shift in the data revenue mix.

EBITDA for the quarter came in at INR 1,284 crore , up 4.5% QoQ and 14.4% YoY. Our EBITDA margins for the quarter were at 19.6%, lower by 25 bps QoQ and 86 bps on a YoY basis. Data EBITDA for the quarter came at INR 1,048 crore , up 3.4% QoQ and 17.6% YoY. Data EBITDA margin for the quarter stood at 18.4%, down 47 bps QoQ and up 96 bps YoY. The digital margin in this quarter has shown improvement, and we will continue to monitor to see how these sustain.

FY26 full-year PAT for the continuing business stood at INR 1,044 crore , down 35.8% on a YoY basis. Last year's PAT had profits from sale of assets. Adjusted for this, the FY26 PAT has grown by 8.1% on a YoY basis. PAT for the quarter came in at INR 263 crore , lower by 28% on QoQ and 65% on a YoY basis.

Q4 tax rate is higher, primarily due to tax incidences pertaining to certain one -offs and prior period items in foreign jurisdictions. The FY26 consolidated free cash flow was at INR 1,474 crore , which is almost 4x of the FY25 levels, driven by tax refunds and better working capital management.

FCF for the quarter stood at INR 828 crore , lower on a QoQ basis, primarily because of the tax refunds that came in last quarter. Cash CAPEX for this quarter stood at INR 718 crore . Our FY26 consolidated cash CAPEX is at INR 2,433 crore and remains within our range of 9% - 10% of overall sales.

We ended the year with net debt of INR 9,601 crore , driven lower by better working capital management. The net debt -to-EBITDA stood at 1.99x. ROCE came in at 14.9%, which was up 51 basis points on a QoQ basis. Our ROCE is based on 12 months rolling numbers. On the subsidiaries, the TCTS revenue for the quarter came in at INR 198 crore , up 3.9% on a QoQ basis and down 33% on a YoY basis.

EBITDA margins improved to 23.3%. TCL revenue for the quarter came in at INR 235 crore , up 8.4% QoQ and 30.1% on a YoY basis. EBITDA margin stood at 60.2%. Overall, it was a very satisfactory quarter with robust digital revenue growth, improving ROCE and net debt - to-EBITDA coming down below 2x and digital losses trending downwards.

I will now ask the operator to open the forum for Q&A.

Moderator: Thank you very much sir. Ladies and gentlemen, we will now begin the question -and- answer session.

We will wait for a few seconds until the question queue assembles. We take the first
question from Sanjesh Jain of ICICI Securities. Please go ahead.

Sanjesh Jain: Yes. Good evening. Hopefully, you can hear me.

Ganesh Lakshminarayanan: Yes. Yes, Sanjesh, we can hear you.

Sanjesh Jain: Thanks for the opportunity. Ganesh, you covered a lot of things which I thought I will ask in your opening statement. But one small, probably if you would have dwelt on it, you said you have met over 2 dozen customers, hopefully you have met a customer who is unsatisfied. And what is one complaint or an opportunity or a challenge you are hearing from a customer with TATACOMM need to address probably in the next 1-3 year? And again, what would be your priority for next 1 - 3 years?

Ganesh Lakshminarayanan: On the priority for next 2-3 years, Sanjesh, you have to give me a little bit of time. After I finish 100 days, I will come and talk about FY27. Definitely, we want to come and talk about our long -term priorities immediately after that. I think I'm still learning a lot. I'll come back on the longer -term priorit ies.

The conversations with my customers, what is very encouraging for me is, they are not just talking about connectivity. I'll give you an example of an insurance customer I met. The conversation was around, how can we build AI agents who can operate as relat ionship managers for their field service agents? So there's an expectation that TATACOMM can serve them to scale enterprise AI. And we have all the ingredients to do that.

We have the Commotion platform, which can help them build the voice AI solution. We have the multi -cloud connect platform to make sure that those AI agents can connect with all their enterprise data they need. We have the connectivity platform to make sure that all the insurance branches can make use of those AI agents.

I think the customers want us to say yes, more often, and say, yes, across the digital portfolio. It's very encouraging to hear they're expecting Tata Communications to help them to scale enterprise AI with a broad portfolio we have built.

Customers want us to do more and we need to do a better job of explaining the full portfolio we have built in a truly integrated fashion. I think they're pleasantly suprised that we have all these capabilities. I think our immediate priority is to make sure that we tell the story of the integrated unified infra, which can power enterprise AI.

Sanjesh Jain: That's clear, Ganesh. But you are coming from a global company which has large AI portfolio. Now when you look at Tata Communications, how do you see the preparedness for transition or providing this AI -led services, which you appear to be very confident and excited about. But from a preparedness from an organisation perspective, where are we?

Ganesh Lakshminarayanan: Again, it's too early for me to comment on our readiness. But from what I've learned so far, our sales teams need to be enabled more to tell this integrated story. We need to be able to not just talk about individual towers of our product, how we can deli ver outcomes for them. That is number one.

Second, we really need to make sure that we do a better job of bringing this voice AI and the AI OS, which we are building through Commotion to life, I think that's another important thing we need to do.

Third, they are really looking at us to deliver them the network which will enable them for the centralised training and Edge inferencing. That is going to need a high -bandwidth, high-speed, predictable speed, which we need. I think the IZO DC -to-DC connec tivity product we have launched, we need to make sure that we can serve the global customers.

And finally, we need to really increase the awareness of everything we have built and we are building with more than 300 of Fortune 500 custo mers we serve globally. That is all I

have learned so far. I'll come and share more as we think about it. But I think this opportunity to help enterprise AI scale with the unified infra is an exciting opportunity for all of us.

Sanjesh Jain: That's quite helpful. It appears that you're seeing more gap in the communication than the product itself, right? From whatever I can hear you, it appears that we are doing a lot of things, but customers are clearly not appraised with entire portfolio, se rvices and all.

Ganesh Lakshminarayanan: Both, I would say, is opportunity. But the first thing is to make sure that our story gets out in the right fashion, and the integrated unified infra story gets out to our customers in a better fashion.

Sanjesh Jain: Great. Ganesh, my second question is on the order book. FY25, again was a double -digit growth year for us on order books. FY26, you said we had a good double -digit growth. But when we look at revenue growth, we are barely touching 10%, right? And this is a quarter we came close to that, we were even lower than that.

How should we think about a strong order book, which we built in the past two years and final appears to be good by your commentary. Now when should we be seeing a healthy double -digit growth, probably mid -teens or early teens kind of a growth? Now there is some forex element also. We are looking purely an underlying growth, which appears less than 9%. What is stopping this conversion of order book into equally strong revenue growth?

Ganesh Lakshminarayanan: Sanjesh, I think my immediate priority is to focus on growth and profitability. I have heard from the prior transcripts that our EBITDA growth is flat to low -single -digits, and you would like us to change. I would like to make sure that, in the near to me dium term, we are focusing on improving the quality and durability of the growth.

We want to make sure that the improvement in profitability we have seen because of the digital growth happening at 16.7%, the operating leverage kicking in. The losses on the digital portfolio has come down in Q4. We would like to make sure that the digital portfolio breaks even at the earliest.

We also want to make sure that we balance the portfolio between connectivity products, usage products and digital products. My focus is going to be on growth and profitability to make sure that the digital products breaks even quickly and we focus on improving the absolute EBITDA growth YoY.

Sanjesh Jain: And when you say Ganesh, you want to include the profitability, this is, I hope, with an eye that the investment in the future growth is not compromised, right?

Ganesh Lakshminarayanan: Absolutely. I think what I'm very encouraged to see is that, if you look at Q4, our absolute EBITDA has grown in double -digits. Our digital products have grown at 16.7%. We are seeing the operating leverage kicking in. We have also used this year, the las t year to come out of low margin and onerous contracts. You saw that our EBITDA -to-debt ratio came down below 2 x. And more importantly, across our portfolio, we have some new products which are high on profitability like the multi -cloud connect, the employee interaction, they're all gaining momentum. I think our immediate focus is to get to the right portfolio mix, continue to improve the digital product portfolio profitability, accelerate the high margin products we have, which is m ulti-cloud connect and employee interaction. I am sure that will help us continue to invest on future growth as well.

Moderator: Thank you. We'll move to our next question, that's from Aditya Suresh from Macquarie. Please go ahead.

Aditya Suresh: Yeah, thank you for the opportunity. So, two parts. First on growth, what drove the sequential momentum this quarter? And I guess, is that a position which you think is su

stainable into the full -year for FY27? That's question one.

Question two is on margins. Why was core connectivity margins softer this quarter. Can you just talk to that a little bit? And within the digital portfolio, I appreciate you don't give a breakdown, but which are the elements which are still underperforming for you and some of the steps you're taking, please? Thank you.

Siddhartha Mundra: I'll just comment on the sequential growth in the digital portfolio. So the growth has been broad -based in our digital portfolio. All segments have grown well. From a percentage growth perspective, we have seen some large deal wins happening in the Media business as well as in the MOVE and IoT business, and they have grown north of 20% on a sequential basis.

The other parts of the business have also done well, including some good wins in the collaboration and CIS business. The next -gen connectivity, as Ganesh also pointed out, has been a strong business segment for us. That also continues to do well. So I woul d say the overall growth has been quite broad -based and we see growth coming in from all the segments.

Moderator: Does that answer your question, Mr. Aditya Suresh?

Ganesh Lakshminarayanan : No. I think, there was a part around core connectivity margins.

Siddhartha Mundra: Core connectivity margins, yeah. So the core connectivity margins, they came in from an NR perspective, there was marginally lower compared to last quarter. To our mind, I mean, they are largely in that range of that 80% to 82%. Last quarter was marginally higher, but I think we are broadly operating in this ban d. So I don't think we should read in too much in terms of the minor drop that may have happened in this quarter.

Moderator: Thank you. We move to our next question. Our next question is from Balaji Subramanian of IIFL. Please go ahead.

Balaji Subramanian: Hi, good evening. All the best Ganesh and thanks for the detailed commentary. My first question would be on, you did mention that there will be a continuity of the strategy. Probably, it is too early, but does that mean that the data revenue doubling target which Lakshmi had said, that still holds good? That would be my first questio n.

Ganesh Lakshminarayanan: Thanks Balaji. Thank you very much. It's too early for me to comment on forward -looking numbers, but I sincerely believe that we are uniquely positioned to capture the momentum, which is coming from the AI -driven demand. Our connectivity products, especia lly the next -gen products, which we have launched, you saw that we have gone 24% YoY growth.

Within the digital portfolio, some of the highly profitable products like employee interactions, we continue to see traction. I think what we really want to focus on is in the near to medium term, we want to drive growth and profitability. We want to make sure that YoY, we continue to see healthy EBITDA growth. We will continue to invest in future growth as well. I'm sure it will come. But in the near to medium -term, we want to make sure that we focus on driving profitable growth.

Getting the Digital portfolio to breakeven at the fastest, by really accelerating some of the high profitable products that are resonating in the market like multi -cloud connect, employee interaction, some of those things.

Balaji Subramanian: So that earlier aspiration that was treated as it will be taken in more in an organic manner and not really that hard aspirations that was mentioned. That is something which you will probably look at as you settle more into the role. Is that right? Is that the way to look at it?

Ganesh Lakshminarayanan: I'm not sure I'm ready to state those kind of things. I think we will share more in the Investor Day, and I'll share more as I finish 100 days.

I think all at this point of time, we would like to focus on is the profitable growth we want to see in the nea r to medium term.

As I explained in my speech, the long -term prospects of AI driving demand and with our global GTM, where we serve more than 300 of the Global Fortune 500, 60% of our revenue coming from international markets and the broad portfolio we have built where more than half of the revenue comes from non -connectivity products. I think those are all the foundations we will build on. But in the near to medium term, we want to see that there is healthy growth in our EBITDA.

Balaji Subramanian: My second question would be on, can you throw some light on the potential opportunities from AI data centres and on a related note, whether is there anything to worry about regarding the memory shortage and some of the disruption to logistics that we have seen because of the existing geopolitical situation?

Ganesh Lakshminarayanan: Let me address the geopolitical situation first. I think like all of you, we are also watching this very closely. There are multiple risks, we are assessing. The first one I would say is all of our employees are really safe. That's the first and foremost on the people side. So this is important , I think most of our employees are safe. On the demand side, we are seeing some risks. We have seen some events getting postponed and cancelled like the F1 Race in Bahrain and Saudi Arabia an d the MotoGP Race in Doha to later this year. We are hoping that it's not a cancellation . It will come back s trongly.

On the demand side, that's the impact we are seeing. On the cost side, we are tracking this very closely, both the energy cost and anything to do with the chip -related costs. At this point of time, except for the demand side challenges, we don't see a big issue in the cost side challenges, but we are assessing this every week, every day. And if there is anything material, we'll come back in the next call. But we will make sure that we continue to watch this very closely and make sure that you guys are brief ed in the next call.

Balaji Subramanian: Got it. And my first question on the AI data centre demand?

Ganesh Lakshminarayanan: That's actually an exciting opportunity as well. Every risk as an opportunity as well. If you look at data centre connectivity with the strong global backbone we have, a lot of our customers are today talking to us about offering them a resilient connectivity. If you look at the latest products we have launched, which is IZO DC -to-DC connectivity, it actually provides a resilient network, which also self -provisions itself for any challenges in connectivity and also provisions bandwidth on demand.

The DC -to-DC connectivity globally is a big opportunity. In India, we expect this to be at least $1 billion opportunity by 2030. The number of data centres coming out in India is going to only explode and Tata Communication is uniquely positioned to capture it because we have a pure B2B network, which offers very low latency, highly resilient connectivity across various different cities. We also see that the concentration of DCs are going to move away fr om Mumbai to second tier and third tier cities.

Mumbai itself, we expect 10 to 12 data centres to come up and we expect this to be about 4x increase in the data centre bandwidth need, which will come. And given that we have a true B2B network, we have robust data centre -to-data centre connectivity and more importantly, we have the software platform on the top to do bandwidth on demand, the products like IZO DC -to-DC connectivity. It positions us well to capture this opportunity.

Balaji Subramanian: Thanks. That is very clear. I have a follow -up, but I will come back later in the queue. Thanks and all the best. Thanks.

Moderator: Thank you. We'll take our next question from Vibhor Singhal of Nuvama Equities.

Vibhor Singhal: Hi, thanks for taking my questions. And congratulations and welcome to the Board Ganesh and Siddhartha. And Kabir, wish you all the best in your future endeavours. A couple of questions from my side, one for Ganesh and one bookkeeping question for Siddhar tha.

Ganesh, in your opening remarks, you mentioned that you're seeing these 2 trends. One is that while the front end is digitised, the back end still remains legacy, while there is, of course, the other trend in AI -led transformation. And we at TATACOMM intend to basically capture both these trends and opportunities. If I basicall y dig a little deeper into them, these 2 represent completely different spectrum of applications and uses for enterprises.

One is about the latest new technology development, which is still in very nascent stages and enterprises are still not sure about how we can use that to maximise the benefit. And the other is all about legacy modernisation. So in terms of the capabilities that we have in Tata Communications, do you believe the current setup that you have in terms of the sales engine or the delivery capabilities, we have enough resources at our disposal to be able to capture both ends of the spectrum?

And a related question, where do you see the overlap in these two things with the industry system integrators, the likes of the TCS s and the smaller IT services companies. Would there be a competition that you see with them? And how does that impact our growth prospect that we're talking about over the next, let's say, 3-5 years kind of a journey? Post that, I'll have a follow -up question for Siddhartha, please.

Ganesh Lakshminarayanan: Fantastic question, and I'm excited to talk about it, because I firmly believe in it. First and foremost, we have the GTM. We serve 300 of the global Fortune 500 companies. And if you look at India, we serve all the ET500 companies pretty much everybody. One, we have the GTM and you heard me say that we have the best NPS, right? We have 83% NPS globally and in India, we have almost 95% NPS. The customers trust Tata Communications to provide this important solution.

Let me talk about the first one, which is the back end being digitised. So what do you need for a factory or a supply chain or a warehouse to get digitised? First and foremost, they need to be connected. We have a managed Wi -Fi solution which can really drive full digitisation, seamless connectivity without any dark spots in big factories and warehouses. We also have an integration between the managed Wi -Fi and WAN. It's just not about traffic within the fa ctory, but it's about how they connect to external world as well. So that's the first fundamental backbone and we have that solution.

Second is Edge computing closer to the factory. Most of these solutions are going to need a cloud infrastructure, a sovereign cloud infrastructure which is closer to their factories and warehouses. And if you look at our IZO Vayu Cloud, we have that solution as well. So that's the second thing, I would s ay.

Third is, if you look at manufacturing companies they need a platform where a CIO can get end-to-end visibility of their environment, which provides inventory, configuration, and monitoring. Our ThreadSpan platform brings all of that together. A CIO can confidently look at not only the IT security, but what is called the OT security, which is basically the factory environment and stuff like that.

On top of it, we have a managed services offering, which can make these factories and warehouses easy to consume all this technology. I'm really excited to see that the end -to-end portfolio we have should address the back end digitisation problem I talked about.

Now let me shift to the AI story. I think if you look at true enterprise AI ROI, it's going to come from AI agents working with enterprise data. If you work with Internet dat

a, you get
a little bit of benefit. But if you take a bank, for example, the bigge st ROI for a bank is going to come from an AI agent distribute loans, right? And if you talk about an AI agent deciding how to distribute loan, one, you need to make sure that the AI agent is working

in all the branches, which is the inferencing part. They're getting trained on enterprise data in the central part and to make that happen, you need multiple things.

One, you just need an AI agent platform. We have that on Commotion. You need to make sure that the East -West traffic, which is a training happening centrally, inferencing happening on Edge is going to need a lot of traffic. With predictable speed, we have that important one. It's going to need computing closer to Edge. We can provide that as well with our Vayu Cloud platform. And it is going to need stable branch connectivity, which we can do that as well.

I think driving enterprise AI to scale is going to need a unified infra from a partner like TATACOMM, who's a pure B2B global Comtech player. I think we have that as well. I think what we need to do better is tell the story, get our GTM enable, get our pro ducts stitch together, continue to invest in these parts of our portfolio. I think these 2 trends we can monetise.

Vibhor Singhal: Got it. Thanks for the very detailed answer. Just a follow -up on the second part. In the second strategy, when we're talking about the AI led transformation. The capability to develop these agents, which can basically work on the enterprise data, are we a lready investing into building those agents? Are we kind of investing into building LLMs also? Or are we only looking at using OpenSource LLMs? And also are we also looking to partner with these various LLM providers like, let's say, Anthrop ic, OpenAI, or other such platform companies?

Ganesh Lakshminarayanan: I think, Vibhor, the space is evolving really, really fast. We have invested recently into the Commotion platform. And in my 15 - 20 conversations with the NBFC, with an insurance agent, there's a lot of demand for this voice AI platform. What it points to me though is, well, it's a unique use case to come up with collection agents who are AI agents, relationship manager who are AI a gents, it points to an unified infra demand. It's just not about the AI agent alone. The agent is goi ng to need security. The AI agents need to connect to an enterprise data. The AI agents will be able to connect to a voice infrastructure. I think those are all our strengths, which is our moat, I say.

The Commotion investment gives us a great opportunity to participate in this exciting journey where a real AI agent who works on enterprise data solving enterprise use cases, which delivers real ROI, we have the building blocks to participate in this. But a s I said, it's also a very fast evolving. We will not only work with Commotion, we'll also look to partner with other AI companies on this side. But with the global GTM we have, with the high NPS we have and the trust we have built, I'm expecting that we should be able to capitalise on the enterprise AI as well.

Vibhor Singhal: Perfect. Great to hear that. Just one last question for Siddhartha. Siddhartha, in this quarter, we saw very strong growth. If I look at the consol growth, the Data growth and the Digital growth, these were 9%, 12% and 19% on a YoY basis. Now assuming almost 60% of our revenue is outside India, I would assume a good part of the revenue growth would have come because of the very sharp INR depreciation in this quarter.

Would we be able to kind of strip out the currency benefit from this growth number and provide the individual numbers in a manner similar to constant currency growth or, let's say, in dollar terms or whatever metrics in which we can strip out the impact of the currency movement?

Sid

dhartha Mundra: Yeah. So what you're saying is right. For the quarter, on a YoY basis, we have reported 9% kind of a growth and as a part of my opening commentary also, I had given up some numbers, but I can read that again for you. The overall revenue on a YoY basis, on a flat currency basis, the revenue growth stood at 3.8% and on a QoQ basis, it was also a similar kind of a number of around 3. 7% YoY basis.

Vibhor Singhal: Got it. And would we be able to give a similar number for the Digital growth, the Digital business, which grew by 19%, what would that be in a flat currency environment?

Siddhartha Mundra: Vibhor, we don't provide that data for the other parts of business.

Vibhor Singhal: Fair. I will try to back -calculate, if I can . Thank you so much for taking my questions. I will get back into queue if I have anything more. Thanks.

Moderator: Thank you. We take our next question from Vinit Manek from Karma Capital Advisors. Please go ahead.

Vinit Manek: Yeah. It's good to hear your energetic voice, Ganesh. And you have answered most of my questions. But just one thing from my side that how do you guys now look at STT as a non - core investment for us? Because there has been a development at the global entity, where KKR and Singtel has taken stake. How should we look at this investment from a going - forward basis? Any plans to monetise in the near -term and get the cash out of it, which will help us to reduce the debt or help us that cash to put in the future growth capital? Or do we have plans to further infuse capital to grow that business on a going -forward basis?

Just wanted your views on the same.

Ganesh Lakshminarayanan: Thanks, Vinit. I told that I will deflect the tough question to Kabir. I'll have Kabir answer the STT one.

Kabir Ahmed Shakir: Hi, Vinit, good to hear from you. Maybe you would have missed it out. STT already made a statement, press release, I think a few weeks ago, probably sometime in middle of January, if I'm not wrong, that they are looking for a potential IPO for their India n asset. And of course, this is all subject to the transaction, firstly closing. That transaction is with the regulatory authorities as with any other M&A transactions. Once that gets closed, as I'm sure STT look at those options.

As far as TATACOMM is concerned, we want to ensure that we get the right value for our asset and we are quite delighted with the fact that IPO will probably give the right value discovery for our stake. And closer to time, I'm sure the management will decide in what tranches and how we will monetise that and then take that forward. So that's what w e have done. We have engaged with STT and we have engaged with the new buyer and secured our rights on the monetisation of which IPO is the lead option.

Vinit Manek: Got it. Thank you for the clarification and all the best Kabir for new endeavour.

Moderator: Thank you. Our next question is from Avnish Tiwari of Vaikarya Change LLP. Please go ahead.

Avnish Tiwari: Hi. Wish you really best, Kabir, in your future. And Ganesh, welcome and wish you also best for the journey here. This topic of you working with enterprise in their AI journey, do you need to look at getting some talent, which can help you do this because this seems to be a pretty exciting area, but may require a very different kind of talent to stitch together AI-driven solutions, partner with AI products and firms which you need.

Ganesh Lakshminarayanan: Yes. So absolutely, yes. I think, Avnish, that's a great question. But I'm also excited that we have made an investment in Commotion. We have a very bright set of high talent engineers who are there. I think our fundamental building blocks to capitalise o n this unified infra is there. I think what we really need to do is to use our GTM to build these outcome -based solut

ions using the building blocks.

When I talked about the loan disbursement agent or the collection agent or the relationship agent, it is not about the individual parts of our portfolio, but really stitching that together to make that outcome happen. We do have a strong asset in Commotion . Some of the products we have launched like the dynamic DC -to-DC connectivity, the Multi -Cloud

Connect helps us to make sure that we are getting ready for the network, which is needed for the enterprise AI to scale. With the cloud and security portfolio we have, we have a good engineering team and a set of amazing product managers. We're going to ch allenge them to bring the Edge compute we need.

I think the GTM needs to strengthen the way we tell the story. I think we need to start with customer in, talk about the outcomes we can deliver and gain the customers' trust. I'm very happy to see the number of POCs we are currently doing and the early wi ns we have seen in that space, especially the Multi -Cloud Connect as well as the Commotion AI, we are seeing some good traction.

Avnish Tiwari: I was going one layer up also, let's say, having the people who can go to these enterprises, understand their problems, how can they grow their revenue or save costs and then they figure out a solution whether to requiring your products or maybe stitching together using the outside, knowing all the AI work which is going on, the products out there rather than just focusing on selling own products. I was thinking more fr om, let's say, service layer where you sort of go to enterprise and solve their problem and it may be solved by your products or may be solved by anything else also.

Ganesh Lakshminarayanan: Yes. If you look at our GTM, it's actually multi -tiered, right? We have our account executives who work with these 300 out of the Fortune 500 companies you mentioned in all of India , so that's the first layer. Then we have a second layer who are what we call business development managers and solution specialists who work in these individual towers, right? We have the Network Fabric, we have the Cloud and Security Fabric, and we also have the Interaction Fabric.

On top of it, we have built this ThreadSpan, which is the integrated platform, which brings this Digital Fabric to life for the need of an AI solution. And we're also building services team on top of it, which can help enterprises to manage that infrastruc ture.

We're also investing in what is called a strategic product group, which has got some very high senior resources in each region, which can talk about domain -specific solutions and then bring all these towers together. It's an exciting journey. I think I cou ld leverage the experience I've gotten from my prior companies and bring that GTM to life in Tata Communications as well.

Avnish Tiwari: Great, thank you, Ganesh and wish you very best.

Moderator: Thank you. We take our next question from Balaji Subramanian of IIFL. Please go ahead.

Balaji Subramanian: Thanks for taking my question again. I just had a question on this strong revenue growth that we have seen in collaboration and CPaaS. Is part of it due to Commotion Inc. acquisition, which probably is getting captured here? If that is the case, any sense on the quantification from the same? And the other thing is I was going through Twilio's earnings call, where they have talked about som e price increases that T -Mobile in the U.S. has taken. So is that the reason why the collaboration a nd CPaaS revenue is up so sharply? If that is the case, then are we looking at this rate sustaining forward as in whatever the base we have seen in 4Q FY26? So some colour here would be very helpful.

Ganesh Lakshminarayanan: Let me talk about the collaboration platform. I think the example I gave on a big global bank, see the solution we are offer

ing is very unique. Along with the UCaaS platforms, we offer the capabilities of GCC employees or any global employees to connect fro m a platform like Teams or Webex into mobile numbers and phone numbers directly. I think it's a very unique solution given the growing nature of GCCs in India, given the unique product we have built. And that's the solution along with all the connectivity that GCC is going to need, which has helped us to win big deals. I want to really grow that part, which is the employee interaction suite, which is a very important place. So that's what is driving some of the collaboration growth .

And our CPaaS revenues are up because of volume growth, not price hike, right? Commotion is a very interesting because it's AI enabling all the customer interactions. We talked about how we are using them to set up a collection agent to set up a relationship manager and insurance company. We already see about five customers have signed up for that platform play. I wouldn't say that it's got anything to do with price, but it's volume growth which has driven our CPaaS revenue. But we are truly excited about t his collaboration platform, voice collaboration platform, which is our UCaaS product, employee interaction suite. I think that's a very unique solution we have built with our global voice backbone and the platform we have built, I think that's when we woul d love to scale.

Balaji Subramanian: Got it. So Commotion is included in collaboration and CPaaS segment only?

Siddhartha Mundra: Yes, Balaji, but it is not material contributor to the revenue.

Balaji Subramanian: Got it. Basically, based on the strength that you are seeing in UCaaS and the employee collaboration suite, etc, it is kind of fair to assume that most of this growth is underlying business growth and there is no lumpy revenue or something which is there in this particular quarter. That would be a fair statement, right?

Ganesh Lakshminarayanan: Yes. I don't think there's lumpiness in the Q4. There is usage growth. The volume growth has happened on the CPaaS side, and we are seeing some good wins on our UCaaS side.

Balaji Subramanian: Great. This is very helpful. Thanks once again and all the best.

Ganesh Lakshminarayanan : Thank you very much, Inba. That brings us to 7:30. I would love to close the call. Thanks a lot for joining. I think we take all your best wishes, me and Sid, and we'll come back next quarter to talk more about the year.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Tata Communications, that concludes today's call. Thank you for joining us. You may now click on the leave icon to exit the meeting. Thank you all for your participation. Goodbye.